Bata India Ltd. (BATAINDIA)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

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August 22, 2022

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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Subject: Post Earnings Call

Dear Sir/Madam,
This is further to our letters dated August 8, August 16 and August 18, 2022, on the captioned subject.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Thursday, August 18, 2022.
The same shall also be made available on our website i.e. www.bata.in
This is for your information and records.

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
Company Secretary & Compliance Officer

"Bata India Limited Q 1 FY2023
Earnings Conference Call "

August 18 , 2022

ANALYST : MR. MANOJ MENON – HEAD OF RESEARCH – ICICI
SECURITIES
M
ANAGEMENT : MR. GUNJAN SHAH - MANAGING DIRECTOR AND CEO –
BATA INDIA LIMITED
MS. VIDHYA SRINIVASAN – DIRECTOR FINANCE & CFO
– BATA INDIA LIMITED
MR. NITIN BAGARIA – COMPANY SECRETARY – BATA
INDIA LIMITED

 Moderator : Ladies and gentlemen, good day, and welcome to Q1 FY2023 Earnings Conference Call of Bata India Limited hosted by ICICI Securitie s. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manoj Menon – Head of Research – ICICI Securities . Thank you and over to you Sir .

Manoj Menon : Hi! A wonderful good morning, good afternoon, go od evening depending on the part of the world you are joining this call from. Representing ICICI Securities this is Manoj Menon here I am joined by my colleagues A niket Sethi and Karan Bhuwania representing ISEC consumption team. It is our absolute pleasu re to host the management of Bata India Limited for the 1Q FY2023 Results Conference Call. The company is represented by Mr. Gunjan Shah - Managing Director and CEO ; Ms. Vidhya Srinivasan - Director Finance and CFO; and Mr. Nitin Bagaria – Company Secretar y. Now over to the management for the initial remarks and after that we will open up the floor for Q& A. Over to you, sir.

Nitin Bagaria : Thank you ICICI team, and welcome everyone. Good afternoon to all of you. We will directly jump into the presentation t hat we have already shared with the stock exchanges, we assume you have access. We will try to navigate through the slides as well as the numbers so that we stay synchronized.

Slide #2 is a disclaimer, I am sure you must have gone through t hat. I now requ est Gunjan to take us through the presentation then we can ju mp into the Q&A. Thanks and over to you Gunjan.

Gunjan Shah: Thanks Nitin. Hi! everyone , Happy Independence Day, Happy 75th Independence Day, it is a big milestone in India 's histo ry, I a m sure all of us are proud of it.

I am on slide #3, which is the index basic ally it is a format that we hav e talked about in the past, we will talk about the business, we will talk about some key levers and how we have managed to shift on those, wh at are the highlights, and fina lly is basically the financials.

Moving on to slide #5, we ha ve reached now nearing almost 1900 point of sale that i s a combination of both EBOs and the shop in shops. We started sharing that shop in shop and I will talk abo ut that in deta il spread across obviously 800 plus towns . In addition to this obviously we ha ve got the multi -brand outlets through our distribution verticals. Obviously last quarter we did significantly surpass our ever high sales in the quarter one had j ust concluded, April, May, June. Sneaker studios got expanded in line with our sneaker
 strategy. I will talk about that a little more. We keep penetrating deeper through both the franchise as well as the multi -brand outlet distribution segment, and we have obviously made significant progress now in terms of our product offering, the refresh, newness, especially important focus area that I have talked about and I will talk again this time .

Moving to slide #7, which is a lever that I have talked about in the past to all of you all, quickly on I could not go through each one, but progress on many of those sneakers it continue s to outpace our overall growth, the sneaker strategy is continuing the momentum, and the payoff that we have invested behind it. We continue to invest even more and the next one big part of portfolio evolution, there is another piece on casualization , there is also a piece that we are now working upon which is on basically pre mium fashion on the ladies side, the Hush Puppies anyway rank as number one .

On expansion, franchise expansion continues, it is another strong quarter, we would like that momentum to continue and maybe even increase further more about it later and similarly our access to potential which is what the WD percentage is, c ontinues to gai n momentum and give us dividends in terms of topline growth.
Marketing investments, there were a bunch of campaigns, so the marketing the momentum is, we had done in the December quart er a decent amount of marketing, in the March quarter we had brought it down a little towards th e first half because of omicron, but this quarter in the June quarter we have again seen a multiple campaigns actually and one of our strongest marketing investments in bringing youth back to Bata and that is giving us benefits.
E-commerce continuous momentum , significant sequential as well as year -on-year growth , e-commerce was one engine that has continued to grow year -on-year even during the COVID period and over that we have seen some decent growths in this quart er gone by.
Our some change in initiatives on the supply chain side, the customer returns are reducing, signifying obviously a whole bunch of initiatives towards better product quality process - wise as well as in terms of making sure that defects are ident ified well in a dvance. Also we made our first big step towards regional sourcing which is ge tting sourcing closer to demand does give us multiple benefits in terms of how do you take cost benefit as well as in terms of faster nimbleness in terms of the reactivity of dema nd fluctuations.
Variability on costs, fle xi manpower is something that I ha ve talked about, we made strong strides more than doubled the flexible manpower in our stores . There is one large initiative, multiple others that are in the works in terms of var iabilizing our cost structures , and last but not least on current processing technology, some big shifts, now our entire retail

 distribution centers have gone live with the new technology package, and that will give us ensuing benefits over a period of the next quar

ters and years. We are looking at the comprehensive technology implementation enterprise wise and that is under very lean stages of discussion and hopefully we wi ll talk a little more about it next quarter, and last but not the lea st even the manufacturing system has undergone an upgrade i n terms of the software systems.
With that moving to slide #9, in terms of point of sale , that is what you see in the graph below, which is the bar ch art. It is spread into three , which is the COC O, which is gre at, franchise outlets which are the ones that is the bar that is marked in black , shop in shop s improve and the total obviously is total. As you can see we are nearing almost 1900 points of sale, it is a significant tr ip up from the previous quarter, which was also an increase, what is also of note is that the increase has happened across the various elements of our network. As I had mentioned to many of you all , in the previous quarter is that our rationalization on the COCO has come to a reasonable closur e I would say, and now we ha ve seen the next editions on the COCO also, while we hav e significantly added franchise as well as shop in shop stores. As I mentioned I see a lot of potential on franchise and these I think there i s a chart next. We have also i nvested in renovations and free slips across our store network. This year will be our largest ever investments on renovation and facelift, some of it is optical in the sense that it is also clearance of backlog of the work that we could not do for an 18 mon ths COVID period, but also it has the large amount of work done by the team and obviously anyone 's great benefits in terms of response from consumers.
Moving to also, I would say that 125 Sneaker Studios, we were 100 plus last quarter. So we keep adding i t obviously leads our overall growth Sneakers as I said that significantly kept on pace in fact further the gap a nd therefore driving our growth. Sneaker Studios are going even faster , we plan to invest in this even further, and we also hop e to see a store of Sneaker Studios down the line. Also we see basically men 's dress especially Hush Puppies doing extremely well last quarter, and that is on the premium side of kids.
Slide #10, moving to the next chart. The franchise, 20 editions as you can see in the chart the last year we saw largest ever net addition of stores at 75. This first half we have already added roughly around 40. We have got a very strong pipeline, I have mentioned this the kind of demand that we see from potential franchise partners is eno rmous, it is more a question of our bandwidth, which we are obviously increasing, and I am getting optimistic of keeping the vision of 500 sooner rather than later, and we should hopefully see a record year, this year on addition from franc hise stores.
Moving to slide #11, which is on the multiband outlet side, the town coverage as you can see is a consistent graph of additions. We are closing towards 1100 towns which are

Page 5 of 19 mapped directly by us. Our access to potential in terms of t he kind of size of distri butors, which is a big strive that we have taken in terms of large distributor additions. So there has been some consolidation, but a large amount of net addition in terms of large distributors, and that gives us an access to almost 40 % of the market potential in our estimates. It is led by a concerted strategy in terms of a customized portfolio, which has been something that has, I think been the key to a sustainable and a competitive growth on this channel, and we hope to continue doing that along with op ening a few more fronts on this front, which is basically on men 's as well as on the sports category .

Next chart which is #12. On e-commerce, I think it stays at about 10 %, it has been almost 3x in terms of contribution on our entire multi -channel e -comm

erce omni channel business.

Let me remind you e-commerce for us is a combination of three revenue lines, it is obviously the market places, it is our home delivery, as well as basically our bata.in, which is our key store and all three of them had done a st rong big even as you can see that even sequentially the channel has grown almost 70% and obviously significant ly over the previous years as I mentioned this was one channel that has grown every year . One more key metric for us especially on our key store has been basically in terms of our ability to scale up sustainably is to manage the country and as you can see has continuously kept a declining path despite higher volumes and this goes on to show and gives us confidence that we can scale u p this channel. The bata.in is by far our largest store in our store network, if you can consider that e -store as a store. We have also added 3PL facilities to scale up the digital business and that is in line with our thoughts on nimbleness in our supply chain and cost s tructures.

Marketing investments on slide #13, as I mentioned it has been one of our strongest quarters on marketing investments we see this as not only our own confidence, but the payback that we are seeing in terms of the investment payb ack back to us from a shopper point of view. We saw multiple campaigns the start of the quarter had the Hush Puppies, NEO Leader campaigns that was the first ever campaign that we had on Hush Puppies ever in our history, and it has given us great feedback, casual contribu tions within hush puppies has gone up, it has grown much faster and it tells us that we are on the right track. We also had towards the start of the quarter the sag end of the unlimited sneakers campaign and th at I had spoken about last qua rter also. We brought about our first campaign with Disha Patani with the 24/7 casual collection, and that has given us good feedback, one indicator is obviously that the average age of women consumers has shown a significant drop within a short period of a quarter and we look forward to that obviously getting accentuated as time goes by, and I mentioned the category that have done was sneakers, woman 's, as well as Hush Puppies have done have led our growth significantly. Some of the examples of stores that we have renovat ed across our network and as you can see many of them are littered with the speaker studio concept of us also within these stores.

Page 6 of 19 On the slide #16, some of the other highlights, I mentioned about the retail distribution system, it has gon e live, we start ed this journey about nine months back, and now the full network on the retail distribution centers has gone live. Net promoter score as spoken about this, this is a key focus area for us, and that has shown significant improvement at 70 there is a gain of almost 700 basis points versus 2021, and it is not only now in our COCO stores, but also our net promoter scores in our franchise network is also now very close to this mark and that is an encouraging sign. It also tells us that we know how to manage scal e on the franchise network or we are learning how to do it well. Franchise engagement in line of that has also gone up to make sure that we understand what our partners are telling us and therefore we get better at serving consumers and increasing revenues for both them as well as us . We did make an effort, significant effort led by the leadership on corporate social responsibility, there is a concerted volunteering, employee volunteering program, which we started beginning this quarter as well as we were awarded by CII for our quality on zero defeat.

Moving forward to slide #17 which is the financial metrics, as you can see obviously the growth is significantly does not fit in the bubble, but it is basically about 253 % over last year, whic h was impacted by the s

econd wave, and about 7% higher than the pre COVID quarter one . On the right side you see the profitability metric both of them show the trajectory which is what we have tried to work towards which is making sure that we sustainable profitable growt h on a consistent trajectory, and in recent times that has been our highest profitability both EBITDA as well as PAT.

With that I come to the end of this small presentation of mine. over to you all for questions .

Thank you.
Moderator : Than k you very much. We will now begin the question and answer session. We have our first question from the line of Akshen from Fidelity. Please go ahead.
Akshen : Hi! Team. Three questions from my side. If I look at your presentation . The contribution for franchise and store in store is 32 % this quarter in terms of number of store count. Could you help us understand what is the contribution to revenue, is it directionally similar, lower or higher, that is question one. Question two is you have highlighted that online salience has gone up. Could you help us understand as online salience grows up and it is a journey should it keep going up for the next two, three years. How does that impact P& L in terms of gross margins and EBITDA margins and third is specific to this quarter could you just speak about margins, seque ntially revenues are up healthy, but other overheads are up to a similar extent. Just wanted to understand if there were some one -time cost or some resumption of normal cost that happened this quarter, which so I would have assumed that
 there would be some more operating leverage this quarter from other overheads, that was not to be seen. Those three questions from my side. Thank you.
Gunjan Shah: The first one o n contribution of point of sale, this is p ertaining to the retail business line and the ratio of contribution of revenue is not i n line with the number of point of sales naturally so. Shop in shops are significantly smaller obviously it is like one panel or now we are looking at multiple panels within some o f the se departmental stores etc. While we expand the number of stores we are also looking at multiple panels , but also we had done significantly lower from a revenue per panel or a per store perspective. A franchise from a revenue perspective is lower largely b ecause there is also a part of the revenue line that gets passed on to our channel partner from a margin perspective. From a profitability perspective as I said it is significantly accretive. So that contributions will be much in line with the store contri butions . The second piece on e -commerce, we do see this scaling up, e-commerce is a scale business along with I am sure a year in terms of learning curve. So while there might be gross margin impact depending on the channel because within t hat there is a B2B business and when there is a market place B2C business, B2C margins are largely in line with our retail margins , the point is that on but however things like let us say registration and fixed cost are significantly lower so our endeavor is to make sure that over a period of time which channel also equally contributes on the profitability at a EBIT line, depreciation being another benefit that this channel will have this COCO. On the last piece I will hand over to Vid hya to talk on the sequential margin s ide.
Vidhya Srinivasan: Margin is approximately down about 1% from March 2022 quarter. So that is essentially about 0.3 % is on account of essentially a change in mix where retail share is a little bit lower in June quarter versus March quarter. Second piece is we had absolutely gained in March quarter of about 0.3% and obviously that is not there this quarter and therefore that is kind of counting that impact and finally this is also fairly consistent, there is also a product in price impact of about 0.4%

that is a consistent trend for example if you look at the March to June quarter of 2019 you would see actually a much larger margin. So it is essentially a function of the products that make up our business in June quarter versus March quart er.
Akshen : Specifically on the overhead cost line item it is sort of grown exactly in line with topline is it just how we should think about seasonality from Q4 to Q1 or maybe because of Omicron you spend a little naturally lower on A &P etc., and that has caught up I a m just trying to understand that line item.
Vidhya Srinivasan: So, I think there are two functions to it , I mean, of course there i s a little bit of a seasonal thing, but two big functions is that obviously we spent more in marketing this quarter compared to the previous quarter which is like Gunjan mentioned in the presentation we were kind of being link has got it as far as marketing is concerned in the March quarter. The
 second piece is that obviously from a rent concession standpoint given the increase in sales we have not had rental sessions and the third piece is also given the increase in sales some of the expenses which are related directly to sales obviously kicked in, so it is a function of that.
Akshen : All right, thank you .
Moderato r: Thank you. We have our next question from the line of Umang Mehta from Kotak Securities . Please go ahead.
Umang Mehta: Thanks for the opportunity. I just had one question, would it be possible to share the contribution from sneakers and shoes and including power here a s well . In this quarter and what would that be in the pre COVID 1Q FY20 20 quarter .

Gunjan Shah: I lost you towards the end, but my sense was what is the contribution of the sneaker category and how has it progressed over let us say pre COVI D or something i s that right.
Umang Mehta: Correct, that is correct.
Gunjan Shah: So sneaker contributes roughly around about 19% to our turnover it has been a gain of almost 4% points. Basically 400 basis points versus what it was pre COVID. During the COVID there i s a lot of distortion in the mix etc . So I will not take care as a reference, but we see that contribution is largely being dri ven, I mean, you can also know the bank calculation but it is because of our significant delta growth, the delta grow th that we had i n sneakers in December quarter where we started seeing the first returns of this concerted effort was about 10% it went up to about 20% in the March quarter and the delta growth in the quarter was about 28 %, 29%, and we feel very robust abo ut this trajecto ry going forward also.
Umang Mehta: Understand, and just if I can squeeze one more, what was the contribution of school shoes in this quarter.
Gunjan Shah: So school business contribution would have been roughly around 9% in this quarter. S o school has bee n a little pin point for us while the school business has sequentially gone up significantly between March to June, from our 2019 perspective there has been a little more difference in the behavior from a consumer perspective there were two elements that w ere basically manifesting itself, one was that there was spacing out that happened rather than normally it gets punched very accurately between May and June this time there was a little more pacing that happened and I can felt a spillover t hat has happened of a school business into the subsequent quarter of July, September. The second piece that I think will give us hopefully much better legs going forward on this business is that we anticipated a certain
 amount of we have a traditional and a Fortier classi fication of the school business we anticipated a certain contribution and therefore the inventory profile of this mix and the demand that came in was far offsetting there so we

could not basically catch up to that
Fortier angle of that mix and that is something that while we have now basically made corrections bu t I am sure from the next season onwards we will have a much better decent place to capture the demand.
Umang Mehta: Understood, thank you so much and good luck for the rest of the year.
Moderator : Thank you. We have our next question from the line of Aniket Sethi from ICICI Securities . Please go ahead.
Aniket Sethi : Hi! Gunjan, thanks for the opportunity. The first question I had was on the ASP growth number of 19 %. So can you kind of split it up in terms of the mix benefit which you would have seen from casualization and some like for like price increases and the follow -up to that is in terms of the inflation that you would have been seeing are you covered for that inflation now.
Gun jan Shah: So there are two questions but both of them are interrelated. The ASP growth has been I would say sequentially flat, but the year -on-year growth is obviously significant in the range of that at an overall level at 20%, there is a mix play that is there in it. I would say that right now from whatever we see as inflation we have taken action as I had mentioned last time we have also seen obviously 50% of our portfolio that gets impacted because of GST increase and that also is a factor in our ASP increases obviousl y that effect we have traded from a sequent ial perspective as time goes by. We are basically as of now hoping that the inflation stabilizes it is not decline, but we will have to wait and watch on it.
Aniket Sethi : Understood, got it. Secon d I just want ed to understand are there any segments at the bottom end which you are kind of open to consolidate given the increasing focus on young consumers and casualization . So just want to understand this comes from the perspective of that maybe the b enefits of casualization in the headline numbers could be much bigger quantum in a f ew quarters.
Gunjan Shah: There are two parts to this. The way I see this market is that in the medium to long -term all things in the market will grow pretty well or should grow pretty wel l and things are trying of brand the possibility that we have led by Bata we do feel that we have got a right to play in both the sides. On the premium side we have been experiment with, on the super premium side we have been experimented a few concepts deeper especially on the spotier as well as on the women fashion as I had mentioned earlier. So one is that both the segments will grow, in terms of the way it manufacture itself is that we have seen our ASP
 price point basically getting impa cted because of the price increase that has happened and that is the one that we have now made a large effort we have started seeing some initial

signs of it in terms of helping us recoup volumes back and we will see how that progressively impacts benefici ally to us, but I see potential on both sides .
Aniket Sethi : Got it that is really clear. Lastly one small clarification which I wanted to check. Do all your newer stores have a sneaker studio this is again more of a market specific strategy you are using right now.
Gunja n Shah: Mostly the newer stores would had especially in the tier one to tier two towns metro tier one towns. The franchise need not have it we are looking at what is the right way to scale this because 125 stores is about less than 10 % of our network so there is an ample way to go before we go down, but all new stores that we renovate in most cases that metros and tier one has sneaker studios and that is all we keep adding every quarter.
Aniket Sethi : Got it. Thank you so much, thanks and wi sh you all the best.
Moderator : Thank you. We have our next question from the line of Gaurav Jogani from Axis Capital . Please go ahead .
Gaurav Jogani : Thank you for the opportunity sir.

My first question is with regards to if you can highlight you know wha t has been the a verage selling price both in the retail and the wholesale channel for us and also if you can highlight why the online A SPs are declining for us consistently over the last four , five years.
Gunjan Shah: So one is I do not know where you got to hear but e -commerce, ASPs are actually going up and even last quarter we had gone up the big leaver in fact there one of the big leaver has been in scale is to make customized curetted collection which is online saree and obviously drives ASPs for us . In fact the highe st ASP that we have is in our e -store even compared to our metro store network and that is sorting that we have made actually very strong progress consciously obviously to our benefit on economic etc. The second piece, the first question I think was the AS Ps versus retail etc. So I will give you a little more clear and things were retained in the top I would say the top curtailed end of our store which would be metro, and tier one cities the top 30 metros in the country would be in the range of about 1000 p lus the balance would be in the range of about 800 odd ASPs and the distribution business would be e-commerce as I said is a combination of the channel but our endeavor is towards getting and making sure it in end customer ASP and in the li ne with retail a nd the distribution business the ASPs are significantly lower we are at a range of about 300 ASPs .
 Gaurav Jogani : The reason why I was saying about the online the ASPs declining was just I was referring to the annual report d ata that has been shared by you. So if you divide the number of pairs sold by the online sales the ASPs actually come at a lower level of around 572 which was actually around Rs. 700 in FY20 20. So hence I was mentioning to that, that the ASP s or the realization per pair i n online coming down.
Gunjan Shah: So that only function of that is basically because you run it through a market place itself so if you have a partner , your realized ASP might be lower but the consumer ASP is keep going up so it is now based on channels basically.
Gaurav Jogani : And my next question is with regards to if you see overall in terms of there has been a sharp price increases both in the wholesale channel and the retail channel as well over the past couple of years, but at the same time if you s ee on a CAG R bas is our revenues have just grown by a 2% CAGR versus the pre -COVID or the Q1 FY2020 levels. So my question so with regards to have we seen volume decline both in the wholesale and the retail channel and if so what would be the key reasons for this.
Gunjan Shah : So there are a couple of questions that are embedded in this. One is that we have had a significant conscious strategy towards rationalizing unprofitable stores over the two -year period and that shows up in the draft that I have shown you and that as I said that exercise has been largely completed and we will keep on having a ongoing collection but I think structural one is turning and that is why I think this quarter we have had net additions for the first time in the last eight quarte rs and hopefully that momentum continues that is one, the second piece that is there is in terms of volumes as I mentioned earlier to someone else’s question we have seen a volume pressure which is largely in the entry price point of which are in the range of 500 plus or minus and those are the ones that we are now working towards making sure that we re-engineer make sure that we introduce and the impact of consumers it i s very critical that we want volume led growth and as I said we are seeing early signs of some of the a ction that we have taken we will keep your operated as period goes by and our initiative start fructifying in the market place.
Gaurav Jogani : Sure, thank you and tha t is

all from me.
Moderator : Thank you. We have our next question from the line of Kapil J agasia from Edelweiss Financial Services. Please go ahead.

Kapil Jagasia : Sir my question is regarding the franchise stores like we have around 300 plus franchise stores in the smaller towns, but you see if we see in smaller tow ns the market is very organi zed. So how successful we have been in these towns with respect to market share again .
 Gunjan Shah: Sorry the market is very organize d you said in the smaller towns.
Kapil Jagasia : Market is very unorganized so would we have gained market s hare over a peri od of time .
Gunjan Shah: Ye, so I mean there is no syndicated data that tells us in a more concrete way, but yes for sure there are many towns where we are the first entering players from an organized detail but not necessarily so by the wa y so we ha ve got a basket of benchmark companies that we consider as pear that we would like to make sure that the benchmark on franchise expansion that shows us enormous potential in terms of where we can go in term of the franchise therefore let me also clarify that while primarily the franchise expansion is towards the down pops data there are also the larger metros that are expanding in the hinterland and there either so where we could not make economic spends for sustainable economic sense in opening COCO stores the f ranchise model certainly allows us to alert pockets of opportunity and c apping the market and eventually hopefully getting market share does that answer hopefully your question.
Kapil Jagasia : Yes, sure I guess that was the quality question. Thank you so m uch.
Moderator : Thank you. We have our next question from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.
Aliasgar Shakir : Thanks for the opportunity. Based on the channel checks that we do I get a feedback that on the ground in the stores Bata sales is not really as aggressive in terms of pushing business to the customer. So just want to hear your feedback about what we are doing to probably optimize sales at the store level when we compare yourselves with other retailers .
Gunjan Shah: I think there is and your feedback would not be complete ly misplaced by the way. So thanks for re -emphasizing it, it is something that we have worked upon and we will continue to work upon, there are two, three things better of note that I can talk to you the re are multiple things that we have worked, one is the piece that I have mentioned with is a question of the imperious structures of basically the store staff now a large part of it is linked to basically the remuneration is linked to the outcome at the st ore a combination of both hygiene as well as how do you see customer satisfaction as well as revenue parameters the second piece is that whether we need to make sure that we comply with other companies. The second piece that is there is wit h fixable manpow er there is a certain amount of how do you say a sign wave that is there in terms of a kind of footfall and the businesses in the stores has happened between various times of the day and as various days of the week and therefore that piece has gained signi ficant traction it is more than double the flexible manpower in our stores and that gets the ability to cater to consumers. Last but not I would say the most important piece is that we have institutionalized and therefore now
 reaching incen tives to it, it is with entire piece of independent led promotes force survey as we get across our entire store we work directly from a third party agency and that is linked to the incentives of the stores etc., and that has given you an update in my prese ntation as progr essed well. So yes, they are always hope to improve but there is effort in the direction.
Aliasgar Shakir : This is

very helpful. Just quick follow -up here so what percentage of the front -end staffs remuneration would be variable .
Gunjan Sha h: In the range of about 25% to 30%.
Aliasgar Shakir : Second question is on the footprint addition so the number of store that you indicated have seen quite a strong growth if I say in terms of area would you be able to share what kind of area addition we would have seen I am just coming from the point of view that you mentioned that the franchise and SIS are smaller stores whereas we have seen shutdown of the large COCO . So would the area addition be very different from the base of store addition that we have seen.
Gunjan Shah: I do not have an answer handy right now but we try and get back to you, but your premise is not strong it obviously the SIS getting panels are not a store hit but it is a very registered way of getting consumers and making sure that these people available at a time where the consumer might want the structure the franchise stores are reasonably large if I think on the town side and the hit on that potential but I do not say that it is the premise want to be we will not had change the a rea dramatically .
Aliasgar Shakir : Got it, thank you very much.
Moderator: Thank you. We have our next question from the line of Trilok from Dymon Asia. Please go

ahead .
Trilok : Hi! Thanks for the opportunity. Just want ed to understand in the previous conversation and post the Q1 results we are highlighted that you are running a double digit sort of growth rates and we ended up the quarter at 7%. So was there any impact that it faced in the June month or is there a natural phenomena that you guys faced in t his quarter.
Gun jan Shah: Yes, as I mentioned basically while we are absolutely on track however versus 2019 we did have basically the school business which I did talked about which did have a competition impact otherwise no other big reasons.
Trilok : So essentially a sch ool business would have itself kind of had the full implications on the lower growt h than expected is that correct understanding .

 Gunjan Shah: I would say that the expectation might be yours but that is how I would look at it from the refer ence data point that you mentioned.
Vidhya Srinivasan: I think it i s also spread out a little bit more like if you look at the June 2019 or whatever trajectory that we are looking at school business like G unjan mentioned earlier was between April, May, Jun e predominantly May and June and I think we saw the traction of that but I think a lot of the schools which opened up had also kind of relaxed super requirements at least to start with and then over a period of time children were told to wear formals. So I think we are actually seeing foot spreading into July also which was not the case in 2019.
Gunjan Shah: And we slightly saw a certain segment a large segment of that getting the demand par opportunity even what we thought was estimate and therefore our ability to get the somehow impacting for the demand that we saw.
Trilok : And with regards to there was again the comp arison prior to COVID in this quarter when we look at the Opex it seems to be sort of I think is it margin was quite high compared to click o ver quarters is there any sort of cost which has been built in now or is this the normal run rate we should think about going forward because the profitability seems to be lower than pre -COVID.
Vidhya Srinivasan: I think as far as cost is concerned I think some of this is also because a little bit of our cost structure is variable. So we are seeing the impact of parameters in cost structure which are totally linked to sales whether it be in terms of selling commission for e -commerce whether it be some of th e freight expens es our ends have become a lot more variable because we are moving towards the minimum guarantee plus pe

rcentage share of sales. So some of that is happening. So that is what I would largely say. In terms of profitability versus the marketin g expenses with write offs.
Trilok : So essentially there is no meaningful sort of cost bunched up in this quarter is that fair understanding versus pre COVID.
Vidhya Srinivasan: I think apa rt from the fact that pre-COVID we are talking about two, three years of increases etc. Nothing majorly different as far as co st is concern apart fro m the variabilization of cost.
Trilok : And would you like to share the percentage of variabilization now was pre COVID if the cost is 170 is variabilized now versus between I am pretty sure .
Vidhya Srinivasan: We do not mention it that way what we do mention is 18 year as the certain line items that we are working towards, one is obviously as I mentioned the retail manpower the other piece is third party sourcing in various pa rts of our opera tion a large part of it being

 obviously warehousing logistics and the other piece is obviously the manufacturing packing etc., where we can get a lot more valu e. So these are various initiative and each of them obviously has milestones that will open into benefits as these progress in terms of percentage of sales targeted.
Trilok : Sure, I will get back in the queue. Thank you.
Moderator : Thank you. We have our next question from the line of Ankit Ked ia from Phillip Capital. Please go ahead.
Ankit Kedia : Sir three questions for my side I just wanted to know are you thinking of exporting Bata footwear to other geographies of Bata where they are present and is that a big opportunity for you. My second question is regarding the SSG can you start to share the ret ail SSG and mix between volume and pricing over pre -forward and my third question is regarding online whic h one of the participants asked, so if I look at online revenue versus last year versus pre-COVID the CAGR is less than 12 % and the gr owth versus last is year would be 5% in absolute online revenue for marketplace and bata.com compared to what you are saying that it is 10 % contribution but that is more from home delivery so are you losing market share in online marketplaces for our produ cts.

Gunjan Shah: Okay lost track of your questions I think the first one was exports the second piece was SSG and other metrics and the third piece was on online. I will take them in reverse so basically online is actually going pretty fast so I do not kn ow where you are getting this 12% and 10% in fact I mentioned this so despite the overall growth now being much larger than the business pre COVID our contributions are almost three years we can estimate the kind of growth I have given you the growth that we have seen ove r even the previous year
that we are seeing at almost something like 2.7x but that is okay every quarter but even sequentially it has gone up by 70% so it is significantly fast for our stripping on overall growth and from whatever we hear I think we are wh ile we are on a very miniscule base I would say relatively compared to our offline market share so there is a big headroom there but we are going faster and what we get to hear at least from our key accounts and market places. On the piece on exports I would say it is a work in progress their provisions for sure a lot of our businesses of Bata worldwide and either a large part of their sourcing happened from China and we are looking at a structural strategy of diversification and a big part of it is because India is so large and are sourcing base that our manufacturing days are pretty large so we are looking at it, it requires a lot of structural thinking including making sure the right technology the capability as well as the right how do you see the tools and the effects are all available including materials but I do not think that i s such a big constraint
b

ut we need to work on it structurally there is a concerted team that is working on it and we will obviously update all of you as we prog ress in a concrete manner we should see

 hopefully our progress in the over the next few quarters on that front. on the last piece sorry what was that question on the SSG business while we do not share metrics on that but as what is evident to you in terms of COCO stores we have significantly reduce COCO store at least what is pre COVID and therefore SSG is higher than basically our overall growth from a COCO network. The franchise SSG is significantly higher even on a like to like basis besides the inorgani c expansion.
Ankit Kedia : Just on the volume growth in SSG , by when do you think you can be back to pre CO VID levels in volume terms.
Gunjan Shah: I am hoping for as early as possible but we will share with you but we are very hopeful with the kind of initiative that I ha ve mentioned on price points and product reengineering that e have rolled out that we should be able to get our volumes growing also as I said our endeavor is over the medium -term to make sure that it is the volume that growth for better.
Ankit Kedia : Sure that is helpful Sir thank you.
Moderator : Thank you. We have our next question from the line of Girish Pai from Nirmal Bang Equities Private Limited. Please go ahead .
Girish Pai : Thank you for the opportunity. Gunjan you mentioned that you dedicated certain entry level price points and you would want to get back to them. Where are we in that journey that is question number one. Second is you mentioned that you want to kind of do something on the premium fashion side for ladies and again when do you think you could kind of start on that particular aspect and thirdly on the distribution side you said from a product perspective you would want to look at more of sports and more of men 's again when do you think you can it in probably embark on that these three q uestions .
Gunjan Shah: I will forget your questions again, so remind me, but on the entry price points I think we are well progressing on that journey I think it obviously required from fundamental work the in terms of making sure that product reengineerin g is not seeking away from the consumer while we get sure and we are able to get profitably the price points back I would say that we would be about depending on bunch of article and etc., but the shoe line of roughly around 75 to 80 articl es they would be 70% of the journey done so we will wait and see as and when we complete the journey and it impacts the market stores how does it give us response back we are very hopeful as I mentioned a couple of times in this call. On the piece that you mentioned on, s orry, what are the other two questions, if you can tell me.
Girish Pai : Yes, the ladies part of premium fashion and on the description side men's and sports categories .

 Gunjan Shah: So on the ladies fashion so basically when I am so proud w e will be hopefu lly I think quite October or so we could have it starting rolling out in stores we are significantly acting especially in the top 200 stores for leading fashion range and two privates led by a brand of reliable , one is on basically occasion s the other one is on western office wear so that getting add up with higher ASPs and therefore the premiumization journey on their front. the second come on that same thing is to tie out new banner itself and that is something that is work in progress we will update you but we feel that there is conscious gap

and opportunity
there that we should be able to leverage on that front so that is on that front. The other piece was on the distribution results. Sorry if I got it wrong but men's is a second area of ours led by our esteemed brand it is I mean court and court almost a legal in

its main stress segment
in that entire multi-brand outlet business and that is doing really well it is charging our growth it is also getting us a significant competitive advanta ge in terms of p rofitability. So that is something that will keep driving growth for us build that was in terms of what we have already started basically in terms of making some kind of imitative towards open footwear on sports as well as close footwear on sports and we will update you on concrete progress as and when we link on it, but that is something that we are starting on the men' s clothes is something we have already done extremely well in fact it is a large chunk of our business currently also.

Girish Pai : Okay tha nk you very much.

Moderator : Thank you. We have our next question from the line of Gaurav Jogani from Axis Capital. Please go ahead .

Gaurav Jogani: Thank you Sir again. My question is with regards to the wholesale business of yours so just going by the again the annual report numbers. So if you see these revenues for your wholesale business is now in FY2022 come back to the pre -COVI D levels of around 3.5 billion odd whereas if you see the number of distributors has also incr eased significant ly to 500 plus. So meaning that your revenue per distributor is not back to the pre -COVID levels as yet. So anything that you would like to highlight on that front.

Gunjan Shah: Yes, so that number was basically for the full year of 2021-2022 that was as y ou all know it was a story of basically two halves in a way. So the exit run rate was far higher and that is what we have seen even this quarter. So that i s now significantly growing despite the kind of pricing and GST pressure that have been in that segment and that is growing pretty well so I would say the per distributor throughputs would have only gone up on a run rate basis .

Gaurav Jogani: So it would be right to assume that did we now higher versus the pre COVID level on the exit basis .

 Gunjan Shah: Yes.

Gaurav Jogan i: Thank you. That is all from me.

Moderator : Thank you. We have our next question from the line of Girish Pai from Nirmal Bang Equities Private Limited. Please go ahead.

Girish Pai : Thanks for the opportunity. I just want to get back to the discussion on margins you mentioned that other expenses they were higher at 20 % in 1Q FY2023 versus 15 %in 1Q FY20 20. So this 20 % as of sales is something that you see continuing into the rest of the year and beyond that or you think that will kind of cru nch going forwar d.

Vidhya Srinivasan: I think I did not have properly but basically you are asking me to kind of project what the increase in ex penses would be going forward I think it will be difficult for me to comment on that in terms of making a forwar d looking statem ent I think what I can is that I do anticipate that a certain part of my expenses will be linked to the growth in sales which I talked about earlier .

Girish Pai : My other two questions one is to do with the level of discounting this year ve rsus pre COVID FY2020 would it be very similar or do you see that kind of coming off materially because the demand is fairly robust and secondly then if you can give some kind of outlook on growth because we ha ve seen just about 7% growth versus pre -pandem ic 1Q is that th e growth one should be expecting or should the growth be in the double -digit territory going forward versus pre pandemic levels .

Gunjan Shah: So the markdowns have been slightly on the lower side largely for the reasons that you yourself mentioned and we do not see that dramatically changing as a trajectory in a medium-term and on the growth we maintain a policy of not giving a forward outlook but we remain optimistic in terms of demand capture and the mom entum that we see in the market.

Girish Pai : And if I can squeeze one more in terms of percentage of

spend on advertising what would
that number have been for 1Q FY2023.

Gunjan Shah: FY2023.

Girish Pai : 1Q FY2023 advertising as percentage of sales how much would that number be.

Gunjan Shah: Would be about 2 .7% or so for the quarter was about 5% so for the previous year I think we were maintaining pre COVID use to be in the range of about 2.5 to 3 and that has got we should normalize to as I said we will have an impetus towards investments so we will keep marginally greeting it up as we payback for a various campaign that I had spoken about last quarter store compensation for the previous quarter.

Girish Pai : And in terms of the economics of SIS and the franchisee stores we could get the retail stores on an average basis. So what would that be as a revenue per store wise and profitability metrics wise what would that be SIS and the franchise stores versus the normal r etail stores.

Gunjan Shah: So franchise is something that I have mentioned has significantly up graded from a net EBIT perspective and we want that to be so it also obviously both franchise and SIS also have long-term strategy implications in terms of the flexibility in the model our ability to scale up much faster etc., and as I said access to the h interlands which otherwise we could not do with the COCO business model . The SIS is something that is something also has a similar kind of a flavor I would say that it is not just significantly different from profitability but it is dramatically improve once we start seeing scale coming through on it.

Girish Pai : Okay thank you very much.

Moderator : Thank you. I would now like to hand the conference over to the management team for closi ng comments. Over to you Sir .

Nitin Bagaria : Thank you e veryone for joining looking forward to interacting with you again in case there are any further queries you can direct them to us happy to entertain. Thank you.

Moderator : Thank you. On behalf of ICICI Securities that concludes t his conference. Thank you f or joining us an d you may now disconnect your lines .

Disclaimer: While we have made our best attempt to prepare a verbatim transcript of the proceedings of the Earnings’ Call, however, this may not be a word-to-word r eproduction.

Call: Nov 2022

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November 16, 2022

The Manager
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Listing Department
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of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400051 The Secretary
The Calcutta Stock
Exchange Limited
7, Lyons Range,
Kolkata - 700001

BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Subject: Post Earnings Call

Dear Sir/Madam,

This is further to our letters dated October 28, 2022 and November 14, 2022, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Monday, November 14, 2022.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.

Thanking you,
Yours faithfully,
For BATA INDIA LIMITED
Nitin Bagaria
Company Secretary & Compliance Officer

"Bata India Limited
Q2 FY2023 Earnings Conference Call"

November 14, 2022

ANALYST : MR. MANOJ MENON – HEAD OF RESEARCH – ICICI SECURITIES

MANAGEMENT : MR. GUNJAN SHAH - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED

MR. SHAIBAL SINHA – DIRECTOR – BATA INDIA LIMITED

MR. NITIN BAGARIA – COMPANY SECRETARY – BATA

 Moderator : Ladies and gentlemen, good day, and welcome to the Bata India Limited 's Q2 FY2023 Earnings Conference Call of hosted by ICICI Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" t hen "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manoj Menon – Head of Research – ICICI Securities . Thank you and over to you Sir!

Manoj Menon : Hi everyone it is a wonderful good morning , good afternoon or good evening depending on the part of the world you are joining this call from. Representing ICICI it is absolute pleasure to host the senior management of Bata India Limited for the results conference c all today India time afternoon. The company is represented by Mr. Gunjan Shah - Managing Director and CEO ; Mr. Shaibal Sinha - Director; and Mr. Nitin Bagaria – Company Secretary . Without much ado , over to the management for the opening remarks and post which we will open the floor for Q&A. Over to you Sir!

Nitin Bagaria : Thank you ICICI team and welcome everyone. Good afternoon to all of you. I have with me Mr. Gunjan Shah who is Managing Director & CEO . We also have M r. Shaibal Sinha who has been with Bata G roup for over 18 years now. He was the Director Finance for Bata India from 2004 -2010 and he was also Non-Executive Director from 2015 to 2019 and then again from 2021. He is overseeing, as you all know from the stock exchange disclosure , the finance and accounts function for the Company. We will directly j ump into the presentation that ha s already be en shared with the stock exchanges . We assume you have gone through the same . We will navigate through the slides as well as the page numbers so that we stay synchronized . Slide #2 is a disclaimer, I am sure you have gone through the same . I now request Gunjan to take us through the presentation, then we can ju mp into the Q&A. Thanks and over to you Gunjan.

Gunjan Shah: Thanks Nitin. Hi everyone . Welcome to the call for Q2 ended Sept ember 2022 of this financial year . I am on slide #4, which is the overview of the quarter. Just before I get into the next slide despite as I mentioned even in the result release that despite a reasonably tough environment i n an operating sense b oth inflat ion and otherwise I think we have managed to deliver some good growth and obviously in a sustainable manner and we will talk about many of the levers and what a re we doing about it in the presentation going forward.

Moving to the next chart I think the pie ce that I have already shared with many of you all who have attended this call now over several quarters is that these are big thrust levers

 strategically that we have been driving, o bviously multiple initiatives keep getting populated into t his and we wil l keep updating you on various progresses that we make that are obviously fueling our strategy and footprint going forward. On this I think portfolio we continue to push ahead of sneakers. Sneakers continue to outgrow consistently by a mile or a significan t margin and therefore lead our overall growths more than reta il and now more so we are t rying to work towards even our multibrand for the

distribution business as well as the e -commerce business, but there is significant impetus that continues o n this and in fact right now we are on the verge of launching our sneakers campaign for this season. Winter is the season for sneakers . Along with that we also have significant outperformance that we saw in various other premium categories of ours and I wi ll talk ab out that subsequently. On expansion again I think we have spoken about it that we will want to access and make sure that our brand equity is commensurate with basically our expansion and ability or access to consumers. We are following a capi tal efficient model and therefore while we have seen now since last quarter and even in this quarter net company owned or COCO store additions but a large part of our footprint expansion will be driven through franchise as well as distribution model. This quarter again we saw significantly large numbe r of franchise store additions, w e are well on our way of our vision of 500 stores that I had set for myself by about 2024 hopefully we should achieve that earlier than ex pected. It has been also backed by significant multib rand distribution channel increase that also we will talk subsequently. Marketing investments continue. We will have start of the festive season and some of the recent festives, etc., did get commenced from September or the latter part of the quarter, so various campaigns were run around it and then obviously October onwards we have started our mainline festive campaigns and now the sneaker campaign that you have talked about so that impetus continues and we continuously invest in the brand to build the fra nchise for the future. NPS net promoter score I have talked about it, this has now got i ngrained and institutionalized that is li nked to performance measurement, etc., across the length and breadth of the organization and that also continues to strengthen even in this quarter across channels. Digital footprint one of the best quarter in e-commerce that we have seen in terms of revenue terms but also in terms of high yield factors, in terms of reduction of complaint as well as I said now even t he sneaker impetus now is spreading across even the growth engines. On agile & efficient supply chai n multiple initiatives are put, s ome of them there have been concrete progress in the quarter gone by , regional sourcing which is bringing the supply closer to the demand clusters. We have made further progress. I talked about our initial initiative s last quarter now even more volumes have been entrusted, a l arge part of one single category that is sold in the south which is what is getting sourced in the nor th is now bein g readied for sourcing in the south that has got operationalized and we should start seeing that coming through in terms of distribution cost benefits going forward. We have also basically stabilized s uccessfully warehousing operations on our 3PL network the first in Bata's history and hopefully not the

 last many more to come. We will wait and watch the entire benefits that we extract from it as well as then expand it across our warehousing footprint.

Next was manpower which you o n the sixth p oint on this c hart. Continue s we are now 15% of our retail manpower is flexi which is either weekender s or part time and that gives us much better benefit on cost on one side but more importantly on making sure that intense heavy footfall in time zones whe ther it is wee kend s or evenings we have got much higher manpow er available at the right time.

The last piece we are proud to share with you all that we have in this quarter signed off and are going ahead with significant technology initiatives. There is a inve ntory soft ware that we use which is get ting upgraded, but simultaneously along with that we have also kicked off the entire year the transformation exercis

e which will have multiyear benefit as we go through it not only in terms of digitizing the entire value chain but more importantly also

making sure that we get much better control and efficiency measures in place as data analytics ticks over once we stabilize this, this programme of ERP rollout should stabilize.

It is a multiyear programme as I said but the larges t and the most important module of that will kick in the next 12 months or so. We have also along with i t for this large network we

have also rolled out pretty large technology transformation on the merchandising side. Just to give you an implica tion of what this means is basically it is not only automate s but it also

standardize s the entire thing of 7000 styles on one end and 2000 plus point of sale on the other end from a reta il point of view and expanding and how do I make sure that the right price point s are available to the right consumers in the cohort s that these stores and points of sales are whether it is the COCO stores, whether it is the franchise store s and whether it is the shop-in -shops.

With that I will move into some more details on some of t he highlights that I have talked about. On retail and portfolio expansion as I said last quarter we saw the first net additions on COCO stores that continues while we shave off the non-profitable stores and that is now even more aggressive ta sk that we hav e taken going forward but simultaneously we also keep adding in the right places so the net additions we saw about 10 stores, w e also saw net additions in franchise of about 30 stores and shop-in -shops about close to 30. This was also backed by renovations in existing stores which are now cumulatively standing at about 54 and about 20 odd renovations in this quarter also. What you see in the bar graph is how the contribution of that is , so as you can see that while the r ed bar which is the COCO stores have come down from a contribution to network of about 66%, d espite net additions from a 68% the previous quarter it is compensated by obviously significant additions that we have now progressively seen franchise network is now almost close to 20% in fact by ne xt quarter we expect this to touch 20%. In this also we have also expanded significantly our weaker studio stores. Now we stand at 250 plus and that is a big driver of the sneaker

 outgrowth that I have talked about and has been (inaudible). Besides that th e premium categories some example here hush puppies , the sneaker category is led by North Star and Floatz are all that have significantly outpaced and that also tells us that there is a certain kind of traction or a significant amount of traction that we s ee on the premium side and we will continue to participate. In fact I will speak about a new concept that we have tried on the premium side in a few charts down the line.

Franchise 30 additions I have spoken all about this. We crossed 3 50 stores till not too far back we were less than half of it. The vision in the next 18 months or so is about 500. We hope to exceed that by a mile as we progress. This year looks like we will set the highest ever addition on franchise and it is on the bac k of 2021, which was FY2022 which was also highest ever at about 70 stores. Now we seem to have made a steady run rate of 30 stores a quarter and hopefully expanding even f aster. There is a lot of client, etc., that is being worked behind the franchise sto res to make sure tha t we are escalating the opportunities , there is a very wide opportunity that we see and I think that apace will continue. On the multibrand outlet the town coverage crosses 1100 towns for the first time , there is a steady attrition that we see on that and that keeps adding to basically growths in the distribution business. Even last quarter we have grown healthily over all reference points whether it is last year o

r pre -COVID level s and we hope that to continue while there is some sluggi shness that we see b ecause of the kind of inflation and price increase that we have seen and that is something that we are working aggressively towards basically minimizing. As we see raw material prices turning around that should basically help us not onl y in terms of margin from this front but also in terms of bringing back price points and opening price points at ma ss categories across all chan nels even in the retail outlets, etc. There is a strong work that is on this.

Moving further digital enabled sal es hits a record con tribution of highest ever of about 11% this quarter and on a normative base of full retail recovery and we are obviously seeing significant growths over last year of almost 50% but double of what we have seen in COVID. As I said it is b acked by significant sustainable initiatives. We see complaint rate coming dow n, we see obviously new categories that we are participating in, s neaker sales has now started driving growth also and participating in it beside s the core strength areas and we are also now focusing significantly in terms of now leveraging the scale that we are getting in the e -commerce business. This was all obviously backed with significant marketing initiatives and as you can see some samples of various initiatives that we hav e driven. This is no t only above the line but also lot of below the line initiatives , localized and even multibrand outlets we are getting into making sure that we are activating in the brands even at outlet level in the distribution channel and that is le ading to obviously t raction for us.

 Other key highlights I mentioned the one that was on IT t hese are large two solutions that have been taken in. We will need to move the chart. NTS this was in the 60s we ha d moved it successfully to 70 plus last quarter and this quarter we have moved it to even 73, also this is backed by significant improvement that we see across concepts so even the franchise network which is expanding fast but simultaneously also giving us great consumer experience is also improving ext reme ly high and the gap between the two is very narrowing and hopefully it will get eliminated sooner or later. One of our factories received obviously quality certification as well as the last point that I was mentioning earlier which is that we are also expe rimenting in ter ms of the kind of traction that we see on the premium side and that we are trying to see how best we can leverage while we see categories as well as the Hush Puppies portfolio is significantly outpacing growths but we have also opened up the entire Red Lab el concept with a store last quarter and that is giving us promising results in terms of higher A SPs almost 2.5 x of our norma tive ASPs in our network as well as attracting us more fashionabl e trendy in terms of consumers.

With that getting into the financials these numbers are visible to you all even earlier in our release last quarter we clocked 830 Crores that is 35% over the previous year in Q2 and obviously 15% higher than pre -COVID so significantly moved ahead of pre -COVID. Margins were at about 19% sl ightly muted compared to what we have seen even in the recovery and we hope to see with the various initiatives that we have rolled out as well as the raw material prices turning around we want to see that obviously bouncing back going forw ard as time goes by. With that, that come s to my end. Thank you so much for listening into the presentation and we will be happy to take your questions.

Moderator : Thank you. Ladies and gentlemen w e will now begin with the question and answer session. The first question i s from the line of Girish Pai from Nirmal Bang Equities P rivate Limited . Please go ahead .

Girish Pai: The other expenses were about 17% of sales in 2Q FY2023 pandemic i

t has gone up to about 22 point something in 2Q FY2023 so what were the incremental chan ges that have happened in the other expenses side and will it remain so elevated going forward or are they going to come off?

Gunjan Shah: Basically there are three, four elements that are there and some of them require a structural correct ion, some

of the m as I said with scale we should be starting to get a lot more benefits
coming through, s ome of them are to do in the mix of the channel. S o some of the channels
that we are obviously expanding and therefore not necessarily comparable w hich is
basically le t us say the franchise model that I have spoken in the past as well as the e -
commerce chan nel, etc., t he gross margin is where some of those expense lines are taken
and therefore coming a little lower but basically they do bring in a lo t more efficiencies on
 some of the other line items. The other piece that is there is that as we see some of these
channels gaining scale we also see that those will start giving us basically benefits as we
structurally attach those cost , there are multipl e initiatives that w e have rolled out which is
to basically try and attract those scale related benefits one of them is basically consolidating our warehousing footprint as we gain scale and therefore are able to supply from larger freight providers as wel l as warehouse locat ions, etc., s ome of them were required initially
to be a little more flexible where we were not sure of what is the response that we will get
e-commerce being an example but with now scale and stability in that channel and a bit of
foresight forward looking outlook we should be able to therefore now start amortizing
those. Rent and occupancy is one more big area that I think we will work upon and try and
make sure that is coming back through which is where I mentioned that some of the non-
profitable stores that is a continuous activity now with stability and trend lines and therefore
uptake reports we are now able to analyze stores much better post COVID therefore we may take appropriate calls wherever required to eliminate the nonproduct ive expenses. Shaiba l
you want to add something.

Shaibal Sinha : Also in 2021 and earlier we had some benefits in t erms of rent negotiations i n some of the
other expenses which have normalized this year and a little bit of change in the mix in
which our bus iness is actually mo ving where the freight cost is slightly higher than with e -
commerce business moving at a much faster pace, but I think we have complete control
over these and we have initiatives setup so that we will be able to kind of control these ki nd
of cost going for ward.

Girish Pai: The volume last quarter it was about 90% of what the volumes were in 1Q of FY2020
because of the pandemic 1Q and volume picture look today compared to 2Q FY2020, w hat
is the AS P growth if you can just throw some light on the ASP volume pi cture?

Gunjan Shah: Basically I think it has been an equal split if you compare to pre -COVID level Girish right
so if it is 15% I would say about 6 to 7% came from volume so that is very healthy t hat is
what I had commented also last ti me s o it has been eq ual split between price increase and
volumes. There is also the price increase while we were not able to necessarily pass on the
entire piece that we wanted especially in the mass categories where also we had seen entire
GST fees that I talked about last t ime but now with obviously some of the inflationary
pressure s hopefully turning around we should be able to continue and push on this volume
front as we see this inflation tapering.

Girish Pai: Just one last question this is regarding a dvertising spending and percentage of revenue has
that gone up substantially compared to 2.5% levels that you were clocking pre -pandemic is
that one of the reasons why other expenses are also t

here ?
 Gunjan Shah: That is one of the expenses but I would say it is not an expense in my mind it is an
investm ent and there will be a quarter-on-quarter movement but we will basically want to
ensure that we keep investing behind the brand.

Girish Pai: Okay thank you very much. I will go back into the queue.

Moderator : Thank you. The next question is from the line of Hrishit Sitwala from Matsya Capital .
Please go ahead .

Hrishit Sitwala : So I just have the same question over other expenses so on a normalized basis what should
we expect given all the puts and takes that you have given us ?

Gunjan Shah: It will be very difficult for us to extrapolate the entire piece but I think the broad
commentary that is going to be there is that there are two, three angles to it right as I
mentioned that there is certain pieces which ar e to do with inflati on even fuel, etc ., related
which are linked to freight which we are very hopeful with the kind of initiative that we
have done in terms of freight optimization as well as the regional sourcing that I talked
about as well as some of the negotiation, revers e auction, etc., that we have initiated that
they should start getting optimized but some of the other angles that are not related to
channel mix will sustain. The other piece is obviously the occupancy piece which there will
be an acti on plan that we talk ed about.

Shaibal Sinha : I think that the objective is that going forward we would like to make sure that at channel
levels we would like to keep improving our margins as we go along but there is a mix which is changing so that is somet hing

which obviously impacts the overall at a company
level but our objective is that we are absolutely on top of channel level and ensuring that we
are not really increasing the cost at channel level and improving the margins basically.
Hrishit Sitwala : So if we look at it l et us say in the next three, four quarters aside if you look at it from the
medium to long term perspective would you expect to get back to your previous EBITDA
margins or let us say FY2020 or are you aiming for the same ?
Gunjan Shah: It wi ll be very diffi cult and we do not give forward looking forecast but endeavor is to not
only reach there but obviously exceed ed in the long run.
Hrishit Sitwala : Got it. Thanks a lot.
Moderator : Thank you. The next question is from the line of Gaurav J ogan i from Axis Capi tal. Please
go ahead. Mr Jogani may we request that you return to the question queue because we are
able to unable to hear you clearly. The next question is from the line of Akshen Thakkar
from FIL. Please go ahead .
 Akshen Thakkar : Hi g uys just one question around the margin which is building on to the other question.
Firstly you did mention that margins are different across channel s maybe not the exact
number but could you just radiate for us which are t he high margin channels for you, whic h
are the low ma rgin channels for you and w e are looking at the numbers we have got into
16% on annualized basis, 17 to 18% sort of good quarter before COVID starts , if we are
looking at going back to that sort of levels from here in your view is it gross margins that
drives it here or you think it is going to be operating leverage that gets us over there ? Those
two questions from my side thank you.
Gunjan Shah: We do not comment on the margins specifically and also a quarter is a very short period to
evaluate a channel f rom margin because some of the elements that are to do with let us say
inflation, etc., impacts a certain portfoli o, etc., very differently so like the ma ss category as
you are aware of have gone through a lot more impact due to materia l related inflation as
well as taxation change right which was there do to with GST of below 1000, but
structurally we want to ma

ke sure that all channels has the gain scale. E -commerce as I
mentioned is a bit lower but rest of them are ballpark in the sam e zone some maybe pl us or
minus. Structurally in the long run that is how we want to maintain the channel operating
margin that is how we look at it.
Akshen Thakkar : Would you say that even gross margins in online channels are lower?
Gunjan Shah: The line to b e seen is not only gross margin while obviously the influence is across lines but
there are various cost lines that shift depending on the channels so retail the cost line sits
below the gross margin whereas in some of the others like even a franchise or even the e -
commer ce the cost lines are already absorbed into the margin that we pass on to the partner
and therefore all the lines are important for these channels and therefore that is how we work on. Even in e -commerce we
see a great opportunity going forward both in terms of
cost line s below the margin as well as in terms of the gross margins that we see directly
whether in terms of basically getting the right kind of portfolio done. Now as we gain scale and better partnershi p with some
of the market plac e, etc., how do we get curated portfolio
form directly with these partners and therefore create a pool of gross margin that can flow
into the bottomline.
Akshen Thakkar : Then just on to the second question that if you have to get through wherever the m argins
land up right and on that basis they were at 16, 18% let us say directionally going over there
you think the heavy lifting has to be done by operating leverage or you think gross margins
are sort of being under run rate the stage and gross margins a lso need to move up from these
levels ?
 Gunjan Shah: It will be a combination of both Akshen and that is what I was trying to say and it is not just
to one channel it will be across channels and simultaneously as I mentioned we want to see
volume base growt h and that is someth ing that also we will always keep in mind and that
has been also a factor in the quarter gone by.
Akshen Thakkar : Thank you guys.
Moderator : Thank you. The next question is from the line of Vikas from Equirus . Please go ahead .
Vikas: Thank you Sir. Sir my first question is with respect to our advertisement spends can you
quantify what was the amount spent on advertisement this quarter ?
Gunjan Shah: I think it was about 2.5% or so this quarter but directionally we want to be gradually increasing this over a
period of time so while let us say the June quarter m ight have been a
little higher this quarter a little lower, etc., so it is a quart er-on-quarter change but broadly
we want to be in the ballpark of about 3% in the long run.
Vikas: Understood and Sir one more question we did mention that we also went through

renovation of around 27 stores during the quarter so can you give a ballpark number what was the amount spent on the renovation of the stores because that would add to your other expense component ?
Gunjan Shah: We spent on capex about on renovation of a store we spent roughly in the range of about 3 to 5 million depending on the size of the store and the extent of renovation i n fact 2 to 5 million right and our endeavor is towards m aking sure that thes e stores undergo renovation give us the delta seems to have grow n in the range of about 7 to 8% and that more than makes up for the payback that we would like for the capital allocation.
Vikas: Got it and Sir one last question was there any sort of one off into our gross margins or probably any of the expense s that would have shot up and that was like one -off ki nd in nature for this quarter ?
Shaibal Sinha : Yes so we had taken certain prudent expenses provisions in this quarter that is how th e expense is looking little bloated on overall basis but those one offs would not be there going forward.
Vikas: I am so s

orry Sir I did not get it what was the expense?
Gunjan Shah: We had to take some prudent provisions for certain litigations that a re underway while we are contesting it, etc ., etc., so that had to be taken for cases that were related to the last several years.

 Vikas: Would you quantify that what was the amount ?
Gunjan Shah: 11 Crores.
Vikas: Okay Sir. Thank you so much Sir. I will re turn back to the que stion queue.
Moderator : Thank you. The next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead .
Bhargav Buddhadev: Yes good afternoon team and thank you for the opportunity. My first question is on our formal category so just wanted to know what is the percentage of recovery over the pre - COVID levels in the formal category that we have seen so far ?
Gunjan Shah: Sorry in the formal category what has been the percentage of recovery pre -COVID?
Bhargav Bud dhadev : Yes if pre C OVID is Rs.100 what is it now?
Gunjan Shah: Understood so the formal category I would say we were at 115 for the quarter then we would be at about 108 or so in the formal categories both men and ladies.
Bhargav Buddhadev: Okay so still we h ave not recovered right back to pre -COVID?
Gunjan Shah: No it is more I said 108 verus 100 so it has recovered but obviously some of the other categories have driven it even further so sneakers for example you say casual foot wear, the Floatz , etc., on the premium side so all of them have delivered and some of the fashion stuff that we had rolled out under Red Label as well as Marie Claire , etc., that has driven it even faster.
Bhargav Buddhadev: Is it possible to share what have been the volumes regist ered by us in the fi rst half of this year?
Gunjan Shah: Not the absolute but as I mentioned out of 115% growth we saw about 7% coming from volume.
Bhargav Buddhadev: Historically if you look at Bata the focus was primarily on realization increase and volum e growth was flattis h for almost a decade going forward over the next three to five years are we also focusing on volume growth or the strategy still continues to focus on realization that increased ?
Gunjan Shah: Two parts to that answer and I mentioned th is even earlier righ t it is a longer term piece right obviously there will be modulation based on inflation at some periods but the quarter

 gone by as well as going forward our endeavor is to make sure that we got volume based growth, but simultaneously se veral categories we see a lot of potent ial in terms of premiumization, in fact currently the traction on the premium side is extremely high so that will obviously also continue so it will be a combination of both. Right now a lot of the energy of the organizat ion, etc., is to ensure that the kind of price points that we have vacated because of price increases we try and get those aggressively back as and when we can afford or as we get an efficiency as well as some of the raw material prices turning around, so it will be a combination of both let us put it that way shortly.
Bhargav Buddhadev: Lastly Sir we have seen a lot of merchandise change on the casual portfolio, how about the formal portfolio or there also we modernize the merchandise ?
Gunjan Shah: Absolut ely.
Bhargav Bud dhadev : Correct Sir. Thank you very much and all the best.
Moderator : Thank you. The next question is from the line of Anand Shah from Axis Capital . Please go

ahead .
Gaurav: Hi Sir this is Gaurav from Axis Capital so Sir my question is in regards to you me ntioned that the advertising cost you are reinvesting towards portfolio casualization and evolution so would that mean that structurally we will grow above the levels of 2.5% seen in the past given the fact that we require more investme nts in these lines ?
Gunjan Shah: I have just a

nswered that question. We will obviously see variations by quarter but broadly on the ballpark we would like to keep on inching i t forward so 2.5% was your baseline that you referred to we would like to ensure that it keeps inching towards 3% and further but let us say equated annual basis we will not significant spikes w e will keep gradually taking it up.
Gaurav: Sure Sir. Thank you Sir and the next question is with regard to the rental s that you mentioned the stores are getting opened on the franchi se basis and the proportion of COCO is also coming down so should not the impact of the rental be a bit lower versus what we are seeing right now because most of the se franchise stores again I am assuming would be paying the rent by the mselves ?
Gunjan Shah: That is a natural mathematical conclusion for sure. Our franchise model the rental is not on our head and which is what I had responded to someone else on the gross margin front so many of the cost price gets absorbed there.
Moderator : Thank you. The next question is from the line of Tejas from Spark Capital . Please go ahead .

 Tejas : Hi thanks for the opportunity. Sir my question pertains to couple of points that you made in the presentation so two points in particular the fifth point w hich is on agile & efficient supply chain you spoke about 3PL pilot implemen tation and speed to market point as well and sixth on flex i manpower so if you can elaborate both the points and how should we see the benefit of the same, wou ld it be absorbed tot ally in P &L or would it largely reflect in better capital efficiency ?
Shaibal Sinha : I think it has impact at various levels basically because of the inflation also going up in certain areas we would like to initiate all the se cost sav ing initiatives and try and absorb instead of passing of complete to the consumers all the increases, so ASP we have not been able to kind of increase that kind of level on low price items because where the volume actually comes from we are initiating all kinds of cost saving initiatives which will have an impact. The second thing is on operating expenses also we are working on certain initiatives which will help us in actually protecting our operating margin so overall if you see this is just not something which is going to im pact our margins yet we will be kind of not increase that at a proportionate level , gross margins would be kind of protected and then we will try and improve our operating margins on overall basis.
Gunjan Shah: To add there are a few m ore initiatives which are in the pipeline w hile I did not put them here because we will want to see concrete output but hopefully next quarter we will able to talk about them which are to do with sourcing, consolidation, getting economies of scale because we d o procure from our contractors and manufacturers large volumes and therefore getting that optimization going besides obviously extracting whatever we get in terms of raw material inflation reverses .
Tejas : Sure and between distribution expansion and im proving quality of di stribution where do you see more low hanging fruits between the two drivers ?
Gunjan Shah: Actually our distribution expansion is with the quality of distribution so that is why we are talking about WD and not just ND in normative terms if that is the quest ion that you were looking at right for me even the franchise is a significant amount of distribution expansion because I am enhancing access in markets and consumer cords where obviously there is a lot of brand equity as well as requiremen t but whatever results are not available so they go hand in hand in my mind.
Tejas : Sure and Sir last one if I may. What was the mix of open footwear and close footwear as on first half?
Gunjan Shah: It is basically in the range of about 50:50 broadly. It varies a little b y the quarter but bro

adly 50:50 December quarter will be higher on c losed but summer is a little higher on open.

 Tejas : Okay that is all from my side. Thanks Sir.
Moderator : Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.
Ankit Kedia : Sir my first question is regarding the RM inflation so currently if you index it to pre -

COVID where would be the basket of RM products today and do you think the price increase in the system is sufficient or you need to take further price increases in the coming quarters ?

Gunjan Shah: I cannot give an outlook just because I do not have a confirmed outlook on how the prices will change but early signs we do see some reversals of it but we will wait for proof of the pudding and obviously it (inaudible) into the pipeline of inventory so there is a certain lag effect that does happen but we do see early signs of it. As I mentioned basically turning the curve and there is as I said a concerted action plan acro ss in terms of trying t o make sure that we extracted and not only material prices but also in terms of other components like fuel, etc., and various third party vendors that we outsource some of our activities, etc. Index to pre -COVID I would still say it stands elevated. I thin k in many categories we would have taken commensurate prices increases. As Shaibal mentioned for mass categories is where we are seeing some amount of demand implication of it also because of taxation so I think it will stabilize but there is some amount of stress right now in that front.

Ankit Kedia : Sir my second question is regarding the (inaudible) business, t here are three components one is the coverage, second is the depth at the reta il coun ter and third is the product so, from this perspective you ha ve already reached 1100 towns but from the depth and from the product perspective where are you currently placed you think there is scope to improve 30 to 40% more or you are broadly there and it is not to do with product now ?

Gunjan Shah: While I mentione d some kind of category so basically this entire multibrand outlet initiative and t hrust which is being gradually and now this year has given us significant dividend is being fueled on both right, 1100 towns in a market like India, etc., is nothing so there is a long scope there itself right. There is a huge scope on that front however it is very required that it is done with a certain conscious product strategy otherwise you can go haywire both in terms of complexity as wel l your USP on why do you feel tha t we should be the preferred participant ever at an outlet level or a consumer level for that category. We are right now focused on what we call as competitive hedge category primarily historically it has been basically the formal which is the men 's dress that we call i t has been school and it has been a plastic material or PVC material that is called basically sandak. Going forward we see this now is kind of success that we have seen w e have seen growth happening year-on -year on this category, etc., even i n this tough period we have seen growths on it. We are now

spreading that to some more categories now in a conscious manner couple of them one is on the sports side e specially the open sandals but even the closed shoes or s ports and simultaneously in terms of ladies dress which is ballerina , etc. Now they ha d to be catered to that segment and the target consumer clientele is different therefore the kind of portfolio that you design for them has to be distinctively different and that cannot be a replica of w hat we sell in retail and which is where there is a conscious work that is happening so we select categories step -by-step and keep expanding while we keep making sure that we develop a certain kind of USP/competitive edge i

n wh atever we participate.

Ankit Kedia : And Sir my last question is government is talking of PLI in footwear and in last call also you spoke of China plus one and you wanted to manufacture in India for the other geographies i f it is earlier than expected given the PLI scheme what would be the capital outlay you look at from a manufacturing perspective where do we stand today because only 40% is in house manufactured for Bata India also, the rest is outsourced so if you can throw some light on that ?

Gunjan Shah: So there are two distinct qu estions actually so one is that the PLI we will still wait for formal notification as and when it comes while we have been party to some of the proposals that are in the works right now and I am sure once it comes out we ca n comment a little more because w e will have also gone through it in detail. The other piece which is to do with Bata India becoming a sourcing ba se for the world or globally Bata , there are concrete initiatives that are afoot , it is not necessa rily only c onstrained to our in-house manufa cturing so that is why I said there are two distinct questions. We can also synergize for sure right but the point is they are to o distinct in my mind and that is parallelly afoot irrespective what happens on the PLI front and that we will see progress ove r the next about six months. So there are two ways in which we are trying to tackle it one is that there are whole bunch of market that Bata operates globally where products that we successfully scale, sell and buy in large volumes in India those categorie s are not necessarily the same product but those categories and those type of products and therefore those capabilities can be easily exportable. The second piece is designing for products which are right now let us say from China plus one perspective so t o diversify the pace because we are also impacted. We do have a large sourcing base in China and these ups and downs of China is slightly a hiccup to impact is slow so both of them are in work but that is independent in my mind from the PLI.

At some point they might converge so that will be great.
Ankit Kedia : That is really helpful Sir. Thank you and all the best.
Moderator : Devanshu your line is in the talk mode. Please go ahead .

 Devanshu Bansal : Thanks for the opportunit y. Sir I just wanted to che ck so f or 15% growth versus pre -COVID I guess our mix of B2B business through franchises, wholesale as well as online channels must have increased versus pre -COVID and revenues for B2B channels in my view are lesser than X of com mission so has that also sort of i mpacted some of our growth to some extent ?
Gunjan Shah: Sorry I did not get your question you are saying that the growth got impacted because of?
Devanshu Bansal : I am saying the B2B mix in the business which is wholesale, franchise, online must have definitely increased versus pre -COVID and B2B revenue in my view if I understood correctly it represented X of commission so has that also had some impact on the 15% growth that we have seen versus pre -COVID?
Gunjan Shah: Okay so you are saying that it is not a n apple -to-apple realizations from a per se is that the question that you are asking ?
Devanshu Bansal : Yes, so if you can sort of tell us the number which you have seen in terms of growth for only the company ow ned stores that would be helpful ?
Gunjan Shah: We do not give segment wise but we have seen growths all across channels and that is what it is raised and it has been across reta il, franchise, e -commerce and I&D for sure obviously some of these growth engines that I h ave talked about because of the inorganic addition as well as same store growth we have driven it a little faster.
Devanshu Bansal : Got it. Sir one small request if you could consider things on these channel s have different sort of revenue rec

ognition in t erms of gross margins, EBITDA margins as well as revenue recognition if you could provide the channel wise sales going ahead it would be really helpful.
Gunjan Shah: We will evaluate that.
Devanshu Bansal : Lastly you have indicated from margins perspective for all these channels so how are the B2B channels like wholesale, franchise as well as online in terms of working capital versus the direct retailing channel ?
Gunjan Shah: So are they much more efficient from a working capital perspective , is that the que stion?
Devanshu Bansal : Yes that is the question .
Gunjan Shah: For sure for the last part of the inventory ba se working capital is that the stores in the COCO network, e -commerce and I&D for sure anyways they are to the partners. On the

 franchise also our mode l involves basically outright sale and therefore the inventory is with the franchise partner.
Devanshu Bansal : Got it so the y must be ope rating at much, much leaner sort of working capital ?
Gunjan Shah: Not them necessarily but we for sure because our working capital blockage gets rel eased significantly. We obviously want to make sure the tax enables us to have inventory turns that are much better as we stabilize these channels going forward.
Devanshu Bansal : Sure and what would be the receivable days for s ay franchise, online and whol esale ?
Gunjan Shah: What would be the?
Devanshu Bansal : Receivable days.
Gunjan Shah: It is largely on cash and carry basis. Some selective places we do have receivables but w e do not see a big shift in that red line going back wards or going forwards . What ever we have is all the within the credit limits backed by bank guarantees. We ha ve not had a bad debt kind of an issue is that what you are hinting towards.
Devanshu Bansal : Okay got it Sir. Thank you. That is it from me.
Mode rator : Ladies and gentlemen t hat was the last question. I now hand the conference over to the management for the closing comments.
Nitin Bagaria : Thank you everyone for joining. Looking forward to interacting with you again. In case there are any further queries you can direct them to us. We would be happy to answer them. Thanks a lot. Thank you everyone.
Moderator : Thank you. Ladies and gentlemen with that we conclude today's conference. We t hank you for joining us. Y ou may now disconnect your lines .

Call: Feb 2023

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February 20, 2023

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The Secretary
The Calcutta Stock Exchange
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Kolkata - 700001

BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Subject: Post Earnings Call

Dear Sir/Madam,

This is further to our letters dated February 9, 2023, February 14, 2023 and February 15, 2023 , on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclo sing here with the transcript o f the Post Earnings (Conference) Call held on Wednesday , February 15, 202 3.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.

Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
Company Secretary & Compliance Officer

Encl.: As Above

 “Bata India Limited
Q3 FY ’23 Earnings Conference Call ”
Febru ary 15, 202 3
MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. SHAIBAL SINHA – DIRECTOR – BATA INDIA

LIMITED
MR. NITIN BAGARIA – COMPANY SECRETARY – BATA
INDIA LIMITED
MODERATOR : MS. NIKITA JAIN – BATLIVALA & KARANI SECURITIES
INDIA PRIVATE LIMITED

 Moderator: Ladies and gentlemen, good day, and welcome to the Bata India Limited Earnings Conference Call, hosted by Batlivala & Karani Securities India P rivate Limited . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nikita Jain from Batlivala & Karani Securities India Private Limited . Thank you, and over to you, ma'am.

Nikita Jain: Thank you, Yusuf. Good afternoon, participants. On behalf of B&K Securities, I would like to thank the management for giving us the oppor tunity to host the Q3 FY '23 Earnings Call . Today we have with us from the management, the MD and CEO, Mr. Gunjan Shah; Director, Mr. Shaibal Sinha; and the Company Secretary, Mr. Nitin Bagaria.

I would now request Mr. Nitin Bagaria to start the call with his opening remarks post which the moderator will open the floor for Q&A. Thank you, and over to you, Nitin.

Nitin Bagaria: Thank you, B&K team, and welcome, everyone. Good afternoon to all of you. I have with me Mr. Gunjan Shah, who is MD and CEO, and Mr. Shaibal Sinha. We will directly jump into the presentation that has already been shared with the stock exchanges. We assume that you had gone through the same. We will navigate through the slides as well as the page numbers so that we stay synchronized. O n the slide number two, we have the disclaimer. I'm sure you have gone through the same.

I now request Gunjan to take us through the presentation. Then we can do the Q&A round. Thanks, and over to you, Gunjan.

Gunjan Shah: Thank you, Nitin. Hi, everyone. G ood afternoon, ladies, and gentlemen. I will jump into the presentation, which is starting with slide number seven . A quick update on the few levers that we've been talking for some time. Synchronization on portfolio, I think there has been a significant m ovement forward in terms of Juniors, highlights being synchronization continues to lead our growths by a good margin. Obviously, we are trying to bring in many more styles, especially in terms of pop colour as well as whites depending on the store cohorts, etcetera . as we penetrate them and see success in it.

The other piece that I will also talk about a little down the line Bata's Floatz, which is our washable specialty comfort compound footwear, which continues to show great momentum. It has now penetrate d to almost 80% of our network and is at a annualized run -rate of almost something like, INR 60 crores already, product that was launched almost about 18 months back.

On expansion, franchise stores saw significant expansion and movement forward as I had even spoken last time to you all, and this quarter saw largest addition in our history, and we are hopeful that with the kind of momentum and the profitability we are seeing in this channel, we'll keep pushing this lever and the kind of possibility or oppo rtunity that is there in the various markets across India and across pop strata.

Distribution business, we also saw expansion in terms of distributors while that business, and especially the mass categories have been under some amount of stress for the las t three, four months, but our fundamentals still continue both in terms of town expansion as well as in terms of the right kind of distributors giving us access to potentials, and with hopefully the inflation subsiding, we should start seeing that momentum coming back to us.

On the marketing investments, we continue to invest. This quarter saw significant investment towards basically the festive season, driven by our varying portfolio as well as festive occasions. The campaign was run behind it, and we also saw the start of a sneaker campaign that is in first show right now. This is also backed by a continuous improvement that we see in the net promoter scores of consumers who interact with us in our stores, that has now reached almost 75 -plus. We keep plugg ing at it. The gold standard on that stays in mid -80s, and that's where we want to go.

On the digital footprint, there also, while it continues to lead growths, it is a double -digit contribution despite normalization and offline now significantly picking u p. Large improvement that we see is basically in terms of our bata.in e -store of ours and that is now reaching a significant higher number of repeat customer usage, and therefore, much better realizations.

Sneaker contribution is even higher, almost to one -third of our business that we do on bata.in and tells us, therefore, the kind of potential that is there. This has been also backed by significant improvements that we saw in terms of our consumer service that we do on bata.in.

Agile and efficient supply -chain, this is one big lever that has been taking some time for us to get into action. We see now momentum coming through. One large piece that we went through during this quarter is our largest warehouse out of the four retail warehouses has now gone into 3PL. Hopefully, will give us efficiencies as we go by and nimbleness in terms of manpower.

Continuing on that line, Flexi Manpower, I've talked about this, and this continues with great momentum. Now close to almost 15% to 18% depending on the month is no w Flexi Manpower in retail that allows us to have much better manning required during the high footfall time zones, while simultaneously maintaining the cost under control.

Last but not the least, we do continue improving in terms of our technology. Two la rge projects got undertaken during this quarter and which is ERP project as well as HPM. HPM for you all is basically High -performance merchandising. With the large store network, it's very important that we build a science into the way we do merchandising for different cohorts, and while being -- this will help us basically automate the entire thing and an end-to-end -- right from forecasting to replenishment of stores will get automated through this. HPM will go live by mid of this year, that is 2023 arou nd June and ERP is scheduled to go live in another nine months from now.

Moving forward to the next chart, which is Page number 9 -- sorry -- Yes. Page number 9. Our expansion footprint continues while the milestone that you see overall 2,000 hits. I think franchise, I've spoken about the shop -in-shop and franchise, our efficient flexi channels, they continue to expand.

COCO, while you see a net addition of one, as I had mentioned a couple of quarters back, we are now into net additions. This quarter, we saw a little more muted like additions. We will want to see, as I have mentioned, a 20 -80 ratio in terms of COCO versus franchisee view expansion.

This quarter, we saw also a significant action on some low -profitability/low -value adding stores to us, and that is why the net store addition stand

s at one. We are hopeful that we should again start seeing significant additions , as like last quarter was about 10.

Renovation, which drives same -store growth is something that continues and that is continuing to provide us momentum. We saw about 35 stores go -- undergo renovation. I have not been able to share a chart, while there a re some highlights out there on certain key categories, but I'll at least comment on it. So Sneakers continue to grow faster than the overall business by almost something like 20 percentage points. Hush Puppies, the premiums portfolio of ours at an overall level grew again almost something like 20 percentage points, and with the exclusive Hush Puppies concept growing at almost something like 30 percentage points.

Comfit, also a brand of ours, which has been continuously giving us great lengths over several years, also grew significantly at about 22%. And Floatz, I have already mentioned, while the pay is negligible because it was a new product, but now contributes, as I'd said, at an annualized run-rate of almost INR 60 crores. We plan to take it up to hopef ully INR 100 crores this year, and it had a sequential jump of 20%.

So, basically, the premium and obviously, the new collection was driving our growths from a category perspective. As I mentioned, mass categories do see -- have some kind of sluggishness in terms of demand with the kind of hit that they've taken in terms of GST as well as inflation that has impacted on that side. As that cycles back, we hope to see that momentum coming back.

In that breadth, as I mentioned, in the distribution business of o urs, we continue to make sure that the right levers and the platforms continue. Whether it be in terms of footprint, and whether it be in terms of categories, our core category still continues to INR 1,000 coming back sooner rather than later.

On the digit al side, penetration continues, I think a seasonal movement, but overall growth continues to outpace. Even this quarter, it grew -- have continued to grow fast. And I have mentioned, while Sneakers does extremely well in overall e -commerce, in bata.in has obviously grown by almost 100%, 200%, but in overall, e -commerce also grows by about 42%.

Women's category, so now we are trying to get into much more customized merchandise in e -commerce as well as making sure that we are able to have the right price poin ts that we want to plug out there. On campaigns, we ran multiple campaigns, run across wedding occasions, the festive, as well as Sneakers, and I think that did result in basically us getting the same store growth into our stores.

Moving towards the next s lide, which is number 14. Highlight, some of them I mentioned. NPS moves, human resource, we have implemented SAP. So technology is getting embedded in many ways. ERP, we are going ahead. As talked about it, we go live in another nine months. The project i s on track. There's an exclusive team that have been manned behind it. High - performance merchandising shall give us significant benefits, not only in terms of better productivity of the merchant we put up in stores but also in terms of the kind of turns an d inventory productivity that we get.

Flexi Manpower, I have talked about. We do see now a good amount of benefits coming through. While we saw some of it flowing into this quarter in terms of margin benefits on efficiencies, which are structural as well a s taking benefits of some of the material price changes that we see. There are some stabilizations that we see in material price inflation and maybe in a couple of categories, some kind of a slight decline that we see as of now. We also obviously enhanced capacities where required from a warehouse perspective, etc. besides speaking it on a 3PL movement in the largest warehouse that I mentioned.

The last chart, obviously shows you the finan

cial summary, right? Well evident to you, we see basically the revenu e at 7% versus last year and obviously, at two years because that's a COVID phase. We see EBITDA moving obviously much faster than the PAT and that is because we had interest income, which is lower because of the dividend payout that we have done, right? A small mention, we had a VRS payout during this quarter and -- in one of our factories. That should hopefully help us in terms of better efficiencies going forward.

So thank you. That covers our presentation. Thank you so much.

Moderator: First question is from the line of Mr. Bhargav Buddhadev from Kotak Mutual Fund.

Bhargav Buddhadev: Sir, you alluded to the fact that there was some weakness being – sir, my first question is that in your opening remarks, you alluded to the fact that there has been some we akness on the mass side of the portfolio. So is it possible to sort of split your revenue into how have you done on the below INR 500 MRP segment and above INR 500 MRP segment?

Yes. Sir, in your opening remarks, you did mention that there was some weakness on the mass side of the portfolio. So is it possible to cut your revenues into how it has performed on the below MRP of INR 500 and above INR 500 MRP? How has been the performance?

Shaibal Sinha: We couldn't get your name.

Bhargav Buddhadev: This is Bhargav from Kotak.

Shaibal Sinha: Thank you, Bhargav.

Gunjan Shah: Okay. Hi, Bhargav. Yes. We will try and give you some indication of it because we do have also -- because we do changeovers across seasons in terms of various articles, etc. but a price p oint analysis shows that basically less than INR 1,000 and within that less than INR 500 and INR 500 to INR 1,000 has actually seen the decline from a contribution perspective by almost about 10 percentage points, obviously made up by the greater than INR 1,000. Greater than INR 2,000 is the one that's growing fastest.

Another way of giving your indication is obviously our brands. The ones that I talked about, Sneakers, an ASP of about INR 2,000. Hush Puppies, ASP is about INR 4,000. Your Floatz is an ASP o f about INR 1,400, and Comfit is an ASP of about INR 2,100. So these are the ones that you could see very clearly how they're grown and that shows up in terms of proceeds and online that I talked about from a price point perspective.

Bhargav Buddhadev: And, sir, what would be in terms of contribution of the less than INR 500 MRP portfolio for us? Would it be very large?

Gunjan Shah: Less than INR 500 would be roughly around 25% I would say, about 22% now.

Bhargav Buddhadev: Okay. Okay. Understood. Secondly, sir, you mentioned about the ERP implementation. In the next nine months, you expect to go live. So the last time we did this implementation, obviously, the experience wasn't that great. So is it fair to say that this time around we've plugged those looph oles, and also if you could share who's the software partner?

Gunjan Shah: No. Absolutely. In fact, even the -- even everyone involved, whether it's the global management as well as the India Board, all of us in the management, etc., have been very cogniza nt and aware of these entire things that happened a few years back. It's obviously in a very different context, in a very different structure, etc. So as I said, many earnings that have been obviously understood and incorporated. One of the largest thesis for sure is to make sure that two large things to indicate to you, one is that we have created an exclusive team structure to make sure that there is a dedicated focus that is there towards the entire understanding of as and when to be processed, and there fore, whatever that goes behind it.

I'll not get you into too many details on it but the second big piece that we are making sure is getting incorporated against the other piece which is to do wit

h making sure that we have also done it module -wise so that we do it in a phased manner rather t han boiling the entire ocean. So what we will be doing is the first piece that will go live from nine months from now approximately is going to be only the finance module, right? So the operational , etc., so we don't boil the entire ocean all over. By the subsequent modules, as we gain confidence and stability in the previous one, we'll cascade immediately afterwards but it's not like, at hold of any issues whatsoever. We don't anticipate anything, and obviously, we have engaged consultants, etc., to work even better this time.

Bhargav Buddhadev: Okay. And is it fair to say that this other expenditure run rate which is now at about INR 180-odd crores or INR 700 crores on an annualized basis versus ma ybe INR 500 crores pre -COVID, is it primarily on account of these modules getting implemented? Is that a one -time element over here or how should we read into that?

Gunjan Shah: Other expenses is a bunch of many things.

Shaibal Sinha: Yes.

Gunjan Shah: Shaibal, do you want to add anything?

Shaibal Sinha: Yes. Yes. So the other expenses include quite a few things, which are included in it, which is the legal and professional cost. You also have the technical services agreements, the royalties which go int o this, marketing expenditure is included in this, the rent cost is included in this, so more or less these are all the expenses we've bunched. There is no one -off of this which we did in the last quarter. Other than that, it's more or less normalized expe nses.

Bhargav Buddhadev: So, sir, the reason I'm asking is because the run rate has increased significantly versus pre -COVID. So what is it that we are doing different in this other expenditure?

Gunjan Shah: Yes. So run rate has increased because during CO VID time -- pre-COVID…

Bhargav Buddhadev: No, no. pre-COVID …

Gunjan Shah: We had certain kind of concessions which we had taken in terms of rentals, which is -- which has been normalized now and…

Bhargav Buddhadev: No, no. I'm referring to pre -COVID period. Before the rental concessions came into play.

Gunjan Shah: The occupancy cost is probably one of them. Marketing cost has gone up also pre -COVID if you compare it.

Shaibal Sinha: Right.

Gunjan Shah: And so I think there are two large pieces that a re there in this, one is basically the entire piece on IT and there are multiple platforms of IT that are getting into this, one is the entire engine that we have created for our e -commerce engine, right, and which was almost absent pre -COVID. Second two a re the large projects which are ERP in HPM but a few other smaller ones. So that's one big piece.

The other one is marketing, which I have spoken about. We will want to make sure that we keep plugging and investing behind marketing, and that is something t hat is structurally would continue going up. Obviously, it should not be very varying in the long -range versus turnover but there are the two large items. Some of them are related to turnover, so Hush Puppies in terms of royalty, etc., which are all more r elated to certain category sales, etc.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: Thank you for the opportunity, sir. Sir, my first question is with regards to if we compare the store expansion versus t he pre -COVID level till now, the store expansion roughly has been in the range of around 19% to 20%. However, if we compare the sales likewise, during the same period, the sales has just increased by 8 odd percent, so which clearly shows a drag in terms of the sales, in terms of the per store basis or whichever way you want to look at it.

If you can help us out which particular segments are getting impacted and which particular categories are getting impacted, a

nd are these structural impact or once the sit uation normalize, do we hope to get them normalized?

Gunjan Shah: Yes. No. Sure, Gaurav. So couple of things, right? One is that when you see store expansion, our focus stores which are on average giving us turnovers in the range of about INR 1.7 crores to INR 2 crores now, right, have actually still not, how do you say, while we have stopped declining on them, which is a COVID effect, but we are still not significantly added versus pre -COVID levels. So it's the wrong comparison from that perspective. Obvio usly, it is -- I can't blame you for it. I am sharing that information.

The piece that have seen the expansion and which is what I have been emphasizing on in the long run is going to be extremely beneficial and capital efficient is going to be the franchi se stores and that is where you see a lot of addition. Most of these by default are in smaller cohorts but give us long -term access as well as brand equity building in those cohorts, whether it's mostly in Tier 3 to Tier 5 towns, and that is where we see f rom a consumer perspective, productivity per store of roughly around 50% of where our focus stores are at about INR 1 crore. What we realize is turnover, right, is about 65% of it. So that is where the reported financial number will be, while obviously the absolute profit that we earn per pair, still is comparable or in fact even better, as I mentioned in franchise.

The -- so that's where the big difference lies in your inference versus this. As I mentioned, however, the COCO stores will expand. It is somet hing that we have also been a little more circumspect because of the COVID period. But last two quarters, as you would deduce from the numbers, the reductions have obviously eliminated and going forward, we should see a decent amount of addition in the ran ge of about 10 to 12 stores in COCO alone, but broadly in the range of about 20 -80 ratio between retail and COCO and franchise.

Gaurav Jogani: Sure. Just one query…

Gunjan Shah: Did I answer your question?

Gaurav Jogani: Yes. Sir, that pretty much clarifies a lot of things. Sir, just one clarification that I request here. If -- you mentioned that only one COCO store was added during the quarter, so there were also -- store closures also during this quarter in COCO?

Gunjan Shah: Absolutely. We added -- I don't handily have it. We added about 12, 14 stores this quarter, but we also closed many unprofitable or smaller stores or maybe converted them to franchise but largely closed them, right, which is to the extent, therefore, net addition is one, but w e should not see that -- these are temporal things that we do when we do analyses of stores in terms of this thing, but broadly, got the accurate number here. The additions are basically 18. The closures are 17.

Gaurav Jogani: And, sir, just one more quest ion with regards to this. As you mentioned, while the contribution from the franchisee stores is 50% lower. However, on a profitability basis, they are in fact better or in par with the COCO stores. So just one follow -up here because if you see in terms of the margins also versus the pre -COVID levels, while I understand the impact will be higher on the margins and the margins have declined by around 500 bps but when I see the EBITDA margins, it's actually declined by around 850 bps. So which is the part whe re we're missing? Why the flow through from the franchisee is not translating into the EBITDA levels?

Gunjan Shah: Okay. Couple of things, right, and I'll also request Shaibal to add in. Couple of things on this front, right? One is that there is a signifi cant impact of inflation as well as GST, which I've mentioned earlier, GST for INR 1,000, etc., you all are aware of it. That impacted for us over 50% of the portfolio perspective. And while we took commensurate action, etc.,

we had to also ensure that we remained in line with consumer trends, so in a balanced manner. And that is basically now hopefully ironing out, and we should see benefits of that flowing through as I

mentioned, at least on the material inflation, and GST now get cycled into the base. Th at's one big piece that will be a differential versus, let's say, a pre -head clear start.

On a franchise fee , they are absolute profitable, right? But however, we need to -- may take into account the fact that basically there is a certain amount of impact that we are carrying through inflation as well as this that we had to balance out on. So as we continue gaining scale and get turnover significantly ahead of pre -COVID levels, we will see that flowing through into our this thing. Yes. Shaibal, you may also add here.

Shaibal Sinha: Yes. Plus what also has happened if you compare it with the pre -COVID levels, we have been investing quite a bit on the digital side of our business where the channel mix is also evolving and undergoing a change. And when we see t he profitability in -- other than the retail where -- the profitability is much lower. So that is also impacting the overall margins at the operating level.

Gaurav Jogani: Sir, so if I understand then in the inference that while we are making investments in terms of many things right now, so once when scale comes back, you will see the profitability also reverting back to the pre -COVID levels? Is that understanding right?

Gunjan Shah: So basically, just to expand it further, yes. Your understanding is righ t. The question -- some of them -- so just to give you an example, let's say the entire piece of bata.in is just one example, right? There is a significant investment in creating a platform as well an engine as well as the

kind of capabilities that are req uired to service consumer online. But now that has to get appropriated or amortized over a certain size of turnover that is now gaining scale as we iron out teams, make sure that the consumer experience is matched up to what they are expecting in general a cross various e -commerce platforms, that turnover scale will start flowing into the bottom line. So, yes, it is investment for the future, but right now it is as Shaibal said, diluted.
Gaurav Jogani: Sir, one last question, if I may just ask here. Sir, so while we have seen the -- as for with legal participant, that the quarterly run -rate has significantly increased because of the investments that we're doing right now. But do you expect these levels to sustain, or it will moderate going ahead in the coming years?
Gunjan Shah: No. We obviously measure for productivity. While investment can be for a certain gestation period but eventually, they do have to be measured and hopefully delivered against the productivity. Therefore, percentage productivity is somet hing that we will want to aggressively improve upon. Yes.
Shaibal Sinha: Yes. Plus I think these investments we've been doing now for the last two years, and we would like to actually continue for some time because as Gunjan said in the beginning that's li ke, for instance, ERP, we are taking in modules. So if the Phase I gets over, then we'll get into the Phase II and Phase III. So to get across all the functions which will get covered under the ERP.
Similarly, for other areas of digitization, we would cont ribute to invest in that.
Moderator: The next question, line of Mr. Samraat Jadhav from Prosperity Wealth Advisors.

Samraat Jadhav: So my simple question is that how many stores are we planning to add in JF? And specifically, are we focusing on what are to wns or all across?
Gunjan Shah: So as I mentioned, roughly -- so last year, we would have added basically about 120 -odd stores, right, for in that sense…

Samraat Jadhav: That's including the…
Gunjan Shah: Right? This year, you would be wanting to have a l ittle more aggressive number but broadly in the ballpark of about 170 and as I said, 20 -80 ratio between COCO and franchise.
Samraat Jadhav: Right.
Gunjan Shah: See, it's also dependent on making sure that we see a right opportunity, and it's a right kind of a balance between the location, the commercial, and etc. So we're not fixated on it, we don't have a limitation in terms of how many, but that's the broad target that we have started off this year with or next year.
Samraat Jadhav: Okay. And any new pr oduct addition which we have done, or we are focusing on?
Gunjan Shah: Sorry, what was that question?
Samraat Jadhav: Any new product addition which we are focusing on because I think in the entire thing, we have heard more about sneakers only. So are we focusing only on that, or we have added some new products also?
Gunjan Shah: I just mentioned that when I made my presentation, Samraat, that basically Floatz had been a big addition. A large part of the effort that is there is always towards -- and that was a priority, especially for the last about six, eight months as we got out of COVID, that we wanted to refresh our entire portfolio to our consumers, etc. There is a significant shift that we have done. We can see acknowledgment of it from the consumers .
From a new product perspective, Floatz has been a big addition. I think a big priority is towards making sure that that gets penetrated, and obviously significantly enhanced. We are investing in holds, even the capability that is required so that we get even better collection going. Some of those images, we've tried to put up in the Investor Day but a lot broader.
The third piece that was I think the activity and a project that we've started just before COVID hit us was the entire piece on apparel, and that's the project that we're working on. We will hopefully have an update for you next quarter as we progress on that project, but we plan to go live on it in H2.
Samraat Jadhav: Great. Last question. The vision INR 500 for franchisees is for till what ye ar?
Gunjan Shah: So we had started off that with a three -year planning of traction, etc., that we have seen and obviously kind of capability that we have built -up in terms of managing different business model as well as running it efficiently, we hope to s ee it earlier than -- sooner rather than later, hopefully

before this next -- hopefully, the next calendar year ends before that. So we had started off with our three -year plan. I think in about two years, two months or two years, three months, we should get done with it, hopefully.

Moderator: The next question is from the line of Mr. Aliasgar Shakir from Motilal Oswal Financial Services Limited.
Aliasgar Shakir: Yes. Thanks for the opportunity. Few questions. First on the revenue. So you mentioned that about 22% of our business comes from production below INR 500, which is where we see sluggish demand. Can you just share I mean what categories would this be? I'm just trying to understand will this be mostly open footwear and probably even school footwear. J ust trying to understand if it's only industry impact or we have also premiumize our portfolio because of which some of the lower end of the category has been more impacted?
Gunjan Shah: Okay. That's actually a lot of questions within that one question, Al i, but we'll try and see if we can address that, right? So one is that a large part of it by default, right, while I had given a commentary on below INR 1,000, right, but even INR 500 remains the same commentary. So large part of the below INR 500 would be open footwear by default, right?
I don't think we've got closed shoes that are -- there are too many articles that are there, right, in that range? The p

iece that has to do with that is that they got disproportionately impacted because of both material pr ice inflation as well as in terms of the GST impact. So some of it, not all of it, right, we had to take up prices, etc., and that would have had its impact.
There is some kind of a category construct that we also keep observing, which is also showing a similar kind of an impact. We are hopeful as we cycle and things normalize, we should see that coming back on that front. Simultaneously, our premiumization strategy continues. So that is independent of this. So while we don't want to penetrate down pop stra ta, etc., franchise multi - brand outlets, even digital does help us and that will keep expanding us in terms of these categories and the volumes that we get from it. But our premiumization in general from a same - store perspective, that perspective, that obj ective will continue, and which is to get in a better value proposition to consumer, better styles, and obviously the category that we can write on. Some of them I mentioned in my presentation.
Aliasgar Shakir: Just quick follow -up here. So is school footw ear also a category that has been sluggish? I mean any factor around there?
Gunjan Shah: No. So, yes. You mentioned that school piece. School is not such a big thing from a last quarter perspective for our business, right? Schools does have a large impact between March to June, right? Broadly, while it says throughout the year, etc. but there is a spike that will happen during that time, largely to do with academic year change, etc.
What I had mentioned especially in the last quarter was that this year whil e we saw school bounce back, I don't think it's a pricing phenomenon, etc. We did see a big shift in the kind of portfolio of school shoes that were being demanded by consumers, and we were caught a little

unaware, especially coming out of COVID and the ki nd of decency trends not available in a normal year we would have.
This time, obviously, we are much better prepared, we are far more confident. And just to give you a flavor, the sporty kind of school shoes is now gaining much more favour compared to a little more traditional kind of shoes that were there earlier, with the buckles and stuff like that. And therefore, that is what we are now obviously expanding our range towards, and we are very optimistic of the coming school season. From a last quarter perspective, school is not such a big phenomenon.
Aliasgar Shakir: Second question on your margins. So your gross margins, now I think we are at a stable quarter, but despite that, if I compare with pre -COVID, we are almost 500 bp down despit e entire premiumization narrative as well. So is it that we have not fully passed on the raw material increase that you just spoke about and maybe this will only revive as we see softening of raw material prices or you think there is improve here in the ne xt few quarters irrespective of it?
Gunjan Shah: So it's a combination of at least previous two questions that were discussed, right? One is the point that you made which that -- which I had also commented on, which is that for the March price items, while we did take price increases, right, the kind of inflation clubbed with GST, there was some amount of impact on margins that we had there, right, and which we'll iron out hopefully as time goes forward.
The second piece is also channel mix, right, and some of the growth channel, etc., they are a different business model. So, for example, franchise, my gross margin line takes a compromise but at at an EBITDA level, I still more than make up for it. So that comment, we had discussed on that time. And some of the other new channels where we are investing in as we gain scale, while the gross margin line shows some amount of impact, but at an EBITDA level, it comes back to us.
Aliasgar Shakir:

Okay. So the EBITDA margin, as you mentioned previously, should over t ime come back to the previous pre -COVID level, but it's not going to be very quickly. I understand. I mean, as we gain scale, it may happen, right?
Gunjan Shah: Thank you. Yes.
Shaibal Sinha: Yes.
Aliasgar Shakir: Just last one question if I can add in. We are growing quite aggressively in the Sneaker category, which is a very large category online. So just wanted to understand our strategy in terms of online, and what is the contribution today coming specifically from Sneaker.
Gunjan Shah: Okay. So that' s couple of things, right? So one is that as we have continued on the speaker journey, it has also given us a lot of learnings and that is in many ways, right, from backend, to frontend, to consumer, to designs, to price points, and which brand we want to promote. Some of them, we have already actioned and leveraged upon which is giving us results. Some of them,

we still have to do because they take a slightly more longer -term lead time, especially the brand piece, etc.
The piece on online, so that's showin g up. Now, Sneakers, let's say, tell about a year back was slightly dilutive on gross margin compared to the rest of the portfolio. Now it has started becoming accretive. That comes with scale, that comes with better understanding of product and pricing pr ofiles, etc. The piece on online, online does lead sneakers. It is at least about 500 basis - points contribution higher. And within that bata.in as I mentioned, is almost one -third of our sales from Sneakers.
So on a puritanically basis, I mean I keep askin g the team that if we can do that on bata.in, why don't we do it in our stores? So it's a question for hopefully getting some of the other pillars into the place to keep going on that journey.
Moderator: The next question is from the line of Mr. Gaurav Jog ani. Please go ahead.
Gaurav Jogani: Thank you for the follow -up, sir. So my one question is with regards to the distribution business. We have taken a lot of expansion in terms of the town coverage and also in terms of the weighted distribution that we are doing. If you can throw some light, how this has improved versus the pre-COVID levels now and how the contribution has increased for us in the overall scheme of business.
Gunjan Shah: Right. So a few numbers, Gaurav. It is growing significantly higher; I would say almost 30% plus versus pre -COVID. We are also seeing now it contributes to roughly around 14% to 15% of our turnover. This would have been about 11% or so let's say pre -COVID. More importantly, there we have also seen on an overall basis, whil e for the, let's say, nine months of this fiscal year, we have significantly outpaced whatever we track as market category growths, right? Last quarter, where actually some amount of pressure was seen September onwards, there has been some relaxation in te rms of credit periods as well as discounts in the market, we have refrained from it, that's prudent. While it has given us some amount of short -term pressure, I feel it will also help us bounce back much faster as things normalize in the future. So does th at answer your question?
Gaurav Jogani: Sure, sure, sure. That helped, sir. And, sir, just one more on the part of the big cost savings measures that you've been highlighting in terms of getting the supply chain right, also in terms of the Flexi Manpower t hat you have adopted, plus getting better near to the sourcing areas also. So if you can help us quantify what kind of savings these have generated for us over the last, say, a couple of years or whatever timestamp that you want to allude to?
Gunjan Shah: That's the question that I have also for my team, Gaurav. But let me try and see how best I can address it, right? See, these last two years, obviously, we saw savings during COVID, etc. I'm n

ot going to repeat all of that but those were mostly one -offs. T here were some structural ones in terms of unprofitable stores, etc., etc., and that -- some of it is a continuous exercise that you keep bringing out as time goes by.

The pieces that have been harping upon and hopefully, I will give you a lot more updates going forward, I'll touch upon a few of them. So, Flexi Manpower, I have talked about it. It allows me to basically have the right kind of manpower as per footfall profiles, and therefore, paired in much better efficiency while delivering better service t o consumers. That is now contributing to 15%. That was close to about less than 3% pre -COVID. That will show up as FSG keeps going up in terms of percentage to turnover, and therefore, productivity of that cost line item.
The second piece is, in terms of 3 PL, right? We have taken our largest warehouse that handle

roughly around 40% of our volumes to 3PL. That will show up in terms of not only immediate benefits in the next, let's say 12 months, but structural benefits over multiple quarters and years, right ? In terms of managing that much more efficiently and expanding the entire 3PL across several other warehouses of ours, right? So that is one big lever that should start impacting. There are pieces to do with, let's say, freight, etc. We do see the fee on that and there is a lot of work and action that is being worked upon, and we will talk to you about concrete issues on that front. We will also want to ensure that we have started seeing immediate benefits on certain other cost lines which are fixed -cost i n our in -house manufacturing, the VRS that we ran last quarter will also give us, and but some other pulls also on the fixed -cost side in terms of a manufacturing piece.

And last but not the least is also in terms of material prices, etc. As we see those t rends much better, we will want to make sure that, that flows into our margins also as time goes by.

Shaibal Sinha: Yes.

Gunjan Shah: Shaibal, if you'll add?

Shaibal Sinha: And just to add, we are doing lot of savings in various kind of areas. At the same time, we are also investing quite a bit of money in our technology. We are investing quite a bit of money in marketing in order to make sure that we also ramp up in the areas where we want to ramp up. In the digitization also, we are investing a lot o f money, so but that's how we are balancing the overall cost also of the organization.

Moderator: The next question is from the line of Mr. Girish Pai from Nirmal Bang.

Girish Pai: You've grown sales by 18.5% in the 3Q of FY '23 versus say 3Q quarter of FY '20. How much has that contributed in volume?

Gunjan Shah: Okay. So basically -- Hi, Girish, by the way. So, basically, these seem as I said basically, some amount of demand sluggishness in this quarter from those price point perspective. So the volumes h ave been muted comparatively. While we grew volumes by almost 7% in September quarter, this quarter has been about minus 5%. So, broadly, we would be at around point -- positive 2%, 3%, versus pre -COVID, let's say, July to December.

Girish Pai: Okay. And I go back to the discussion around the other expenses. It used to be about 16% of sales in 3Q FY '20. Today or rather in 3Q FY '23 it's 20%. This bridge of this 400-basis point, how much of that has been contributed by higher -tech expenses and royalty and a lso marketing

spends . Like I had to spend to -- sales ratio. How much is that increased by between the 3Q pre - COVID and 3Q now? And similarly, tech expenses or digitization expenses, what was that in the pre -pandemic phase and what is it now?

Gunjan Shah: Okay. So that's a pretty detailed question, Girish. Broadly, between the three, it accounts for 90% of it. What we will try

and do is maybe we can offline, try and revert back…

Shaibal Sinha: Yes.

Gunjan Shah: On the exact contribution between the three. I'm sure we can share that with you. That's not a problem.

Shaibal Sinha: Yes.

Girish Pai: Okay. Lastly, did I hear you say something that you got some ambitions on the apparel side and how large are those ambitions like? You want apparel to become what p ercentage of your turnover, say, three years down the road? Or did I hear you right, in first place?

Gunjan Shah: No. You heard me right, that we are. So there is a little context to this. We had started a certain amount of project on this. It's an area th at we will have to make sure that we get our act right, right? It is a very adjacent area from a consumer shopping perspective, and therefore, it's, how do you say, there's an adjacent lever instead we can do with our retail network etc. So that's what att racts us because besides the fact that it's a very large and a fast -growing profit pool, both in terms of revenues, as well as, obviously in profitability. So that is what attracts us. Concrete plans on this, etc., we will get back to you. But the reason t hat we are even talking and putting effort, we have developed an exclusive team behind this, is because we see a material impact if we are able to do this well over a period of time.

Moderator: The next question is from the line of Mr. Shubham Thorat from Perpetual Investment Advisors.

Shubham Thorat: So just one question from my end, before that one clarification. So I just missed your initial remarks on ASP front. So if you can reiterate on that bit? And if you can comment on the average ASP for your port folio for this quarter?

Gunjan Shah: Okay. Both the questions are related to ASP. So, Shubham, ASP is for the overall portfolio fixed at about INR 770 -- Yes, INR 772 for the quarter. It is sequentially as well as versus last year, up by about 13%. However, unlike, let's say, the first half of this year, it is all being driven by premiumization and no sequential price increases that we have taken. Does that answer your question?

Shubham Thorat: And my second question is on the -- that you mentioned t hat the material cost inflation and the GST impact has been quite severely impacted your March portfolio. And you had mentioned in your presentation that the material cost is continuously coming down right now. So how do you think it will affect that March portfolio? And how do -- when do you think the demand in that category would return back?

Gunjan Shah: We can't give forward -looking statements. Some of it is project some of this is extrapolating the future, which we are not which we'll wait and watch. B ut, however, on the materials price sense, right, there is some amount of stability, and in certain categories like basically, PU as well as EVA, we do see and even rubber, we do see some amount of decline. So that obviously should aid, if that sustains, b ut at early signs. So let's keep our fingers crossed on that front.

Moderator: The next question is from the line of Mr. Vikas Jain from Equirus Securities.

Vikas Jain: Sir, just continuing with the last question, when you said that there has been some dec line in key raw material that we consume. Was there an impact on the gross margins coming from consumption of [inaudible 0:51:10] quarter and is there any further hyper inventory there into the system which might have an impact going ahead as well?

Gunjan Shah: We can't quantify that. However, it is a -- see, these two or three materials that I've mentioned have seen some signs of decline. We will have to wait and watch how that pans out over, let's say, a slightly more extended period of time because then it makes impact, both from our the refresh of our cost perspective as well as from a scale perspective, once it spreads across a sign

ificant part of our portfolio from our FG cost perspective. So we'll have to wait and watch on it, but right now, at least the inflationary upward curve seems to have flattened out. So that certainly is enc ouraging for us.

Vikas Jain: Sure. And just with respect to a strategy perspective, if the price decline in the raw materials continue, would there be some pass on to the consumers to pull the demand where we are seeing the stretcher that is the mass categ ory?

Gunjan Shah: Okay. We basically will -- we will have to evaluate this as on a case -by-case basis, right? As I've said, our premiumization strategy will continue but, on a case, -by-case basis where we see benefits of obviously, competitiveness and com petitor actions also, we will evaluate those. So it will be difficult for me to comment immediately on it.

Vikas Jain: And just one last question, just from where do you see our business only in FY '24 and '25 onwards as to like, if things normalize, where do we see our business with extended network and the franchisees and all that we are opening, where do you see a growth on an annual perspective, the number that we can achieve in FY '24 and FY '25, any broad numbers would also do?

Gunjan Shah: There will be -- we don't give forward -looking statements. We do have a strategy which is over three years as well as five years. We seem to be on track on it both not only from a number's perspective but more importantly, even from a lever as well as some of the in vestments that we have talked about, they will fuel future growth. We definitely want to get back to pre -COVID CAGRs and maybe even higher.

Moderator: In the interest of time, we will take this as the last question. I now hand the conference over to Ms. Ni kita Jain for the closing comments.

Nikita Jain: Thank you, Yusuf. Thank you, management. Thank you, participants, for taking the time off and joining the call. Have a good day.

Moderator: Thank you. On behalf of Batlivala & Karani Securities that conclude s this conference call. Thank you for joining us and you may know disconnect your lines.

Nitin Bagaria: Thank you.

Gunjan Shah: Thank you.

Call: May 2023

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May 22, 2023

The Manager
Corporate Relationship Department
BSE Limited
1st Floor, New Trading Wing,
Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400001
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400051
The Secretary
The Calcutta Stock Exchange
Limited
7, Lyons Range,
Kolkata - 700001

BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings Call

This is further to our letters dated May 5, 2023 and May 19, 2023, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Friday, May 19, 2023.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.

Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP - Company Secretary & Compliance Officer

Encl.: As above

Page 1 of 16 “Bata India Limited
Q4 and FY ’23 Earnings Conference Call”
May 19, 2023
MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. ANIL SOMANI – DIRECTOR-FINANCE & CHIEF

FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – COMPANY SECRETARY – BATA
INDIA LIMITED
MODERATOR : MS. NIKITA JAIN – BATLIVALA & KARANI SECURITIES
INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY23 Earnings Conference Call of Bata India Limited, hosted by Batlivala & Karani Securities, India Private Limited. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nikita Jain from Batlivala & Karani Securities, India Private Limited. Thank you and over to you.
Nikita Jain: Thank you, Yashshvi. Good evening participants. On behalf of B&K Securities, I would like to thank the management for giving us the opportunity to host the Q4 FY23 earnings call. Today we have with us in the management the MD and CEO, Mr. Gunjan Shah, Director of Finance and CFO, Mr. Anil Somani, and the Company Secretary, Mr. Nitin Bagaria. I would now request Mr. Nitin Bagaria to start the call with his opening remarks, post which the moderator will open the floor for Q&A. Thank you and over to you, Nitin.
Nitin Bagaria: Thank you, B&K team and Nikita and a very warm welcome to everyone. Good afternoon to all of you. We have Gunjan Shah who is MD and CEO. We also have Anil Somani who has joined us in April as CFO and has been elevated to Board and he's Director of Finance and CFO. We have shared the presentation with the Stock Exchange a little earlier prior to this call, but we'll be happy to take you through this call. We will navigate through the slides as well as the page numbers so that we stay connected.
So on slide number two, we have the disclaimer. I'm sure you have gone through the same. So we move to the next slide, which is slide number three. Over to you, Gunjan, and thank you for joining.
Gunjan Shah: Yes, thanks. Thanks, Nitin. We will run through the presentation. The template is for people who have joined us in the past should be reasonably co-relatable. Okay, let's go. So we are on slide number five, which is basically talking about some key milestones. I think the key one that I would like to highlight here is that we crossed 2,000 points of sale for the first time in our history for sure. And obviously 700 plus cities where these points of sale are spread out. Both of them are all-time highs.
We also had Sneaker Studios, which I have been talking about for some time, now straight to 500 plus stores. And a new product, which we are very excited about, which is doing extremely well, continues to create records every quarter for us and did achieve the ever highest last quarter. Besides that, we did obviously continue our investments in technology and received awards on the CSR front.
Slide number six. Slide number seven. So these are the levers that I have talked about, portfolio expansion as well as retail excellence, marketing investments and making the brand youthful, exploring digital commerce, making sure that our supply chain becomes agile and efficient to cater to demand, and nimbleness and variability on the cost structures, on the foundations of

talent process technology, and being a responsible citizen as well, sustainable contributor to the ecosystem.
So largely you see updates on various initiatives across this. Many of them continue quarter on quarter and for consistency and leverage on scale. Sneaker Growth continues to outpace our overall growth largely. Floats, as I mentioned, is something that continues to create momentum every quarter. And we have made some very promising and reasonably contributing now inroads into occasion and [inaudible 0:04:25] wear, that is something that we were largely absent in. I would say focus towards ladies, but also co

vers men.
Retail Excellence. Store renovations continue. NPS, Net Promoter Score is at ever highest level last quarter. On an expansion front, we saw franchise store additions again, creating a continuing momentum. And we saw in the multi-brand outlets, expansion in terms of number of distributors,

quality of those distributors.
Marketing Investments. We ran campaigns across sneakers, schools and women, which helped us basically drive footfall and the same store growth. And obviously, as I mentioned, Net Promoter Score from a consumer perspective, retail values.
On the digital side, the marketplace business was a little muted. But however, our own e-store as well as our omni-channel business did extremely well last quarter. NPS in our own store increased. And that is something that is a very critical lever for repeat business, as well as we saw significantly higher sneaker contribution on our e-store.
We did execute and stabilize the entire third-party outsourcing of our largest warehouse in the North, which is in Jamalpur. And the project is underway in this quarter for taking the next largest warehouse and outsourcing it to a [inaudible 0:05:57]. That has given us not only efficiency, but also effectiveness in terms of service levels, etcetera, improvement over the scenario was pre-transferred. Our optimization on cost continue, it is across, I think, corporate overheads, as well as in terms of store manpower, as well as in basically outsourcing the projects that I just mentioned.
Last but not the least, on technology, two large projects, one of them completed. This is the RIMS project. This is the entire inventory management project that has got upgraded. And now it is in a manner, I would say, one step. It is readiness for a full-blown ERP when it comes along. But it basically allows for that information to now cross-link across many other platforms of ours and therefore better decision-making. The ERP, as well as the high-performance merchandising project, are on track. The high-performance merchandising project will go live in another two or three months, in fact, two months. The ERP is expected to go live with the first module going live in the first quarter of next year, in 2024.
Next slide, please, slide number eight or slide number nine. I will run through some of those key parameters that we have been tracking and sharing with you. Points of sale, we crossed 2,000 plus now at 2,053. What you do see out here is the ratio below. And as I have been talking about consistently for a long period of time, we will see expansion on the franchise and FIAs from a contribution perspective because they will expand much faster. While we will have COCO

expansion also happening, even in this quarter as well as going forward, franchise as well as FIAs for the full year, we did ever-highest additions in the year 2022-23. And the momentum is pretty promising. We've got ambitious targets even for the coming year, which is 2023-24.
The franchise, Yes, it just basically gives you a longer-term trendline of it. We had set a vision about one and a half years back of hitting 500. We have now touched almost 420 and we look to be much on track for that 500, maybe a year prior to what we had initially targeted ourselves. What you see in the graph below is what has happened over the last three years, 59 stores we added on the franchise in 20-21. 2021-22, we added 75. Last year, we added 116. And as I said, we are on track to achieve 500 much earlier than expected.
We see continuous momentum on this. And it is backed by not only same-store growth in existing franchisees, but also by a couple of other parameters that we consider very important in terms of sustainable franchise business. One is the MPS. Our franchise store is almost at par with now what we consider as almost hitting best in class at 80 MPS in COCO. And also, you know, th

e number of franchise stores that we open with existing partners that now contributes to almost 60% of our new franchise store additions every quarter.
In multi-brand outlets, our expansion journey continues. The business has been a little tight for the last two, three quarters, largely because the lower price points have been under pressure. We do hope that that turns around with inflation now getting moderated, flash, flattish. But our expansion and building blocks continue, both in terms of distribution as well as in terms of categories. We did hit 1,300 plus pounds, as well as weighted distribution now has touched almost 44%.
Within categories, the categories that we consider as competitive edge categories, which not only drive growth, but drive profitability in this, they continue to drive our growth. We have now entered or tried to launch into two new categories. One is the sports [open 0:10:14], and the other one is basically value-added category for ladies also. And both of these have shown good signs. And these are the two that we would like to, over a period of time, build into competitive edge categories, which are currently men's dress, which are school, as well as sandals, that is, plastics.
Digital, as I said, overall had a slightly muted quarter, largely due to marketplaces. And I think it was a temporary blip. Early signs are that we are more than making up for the gap that was there from a marketplace perspective last quarter. But the rest of the channel, which is both omni as well as our own e-store, did extremely well. And in fact, we did ever-highest number on our

e-store, and it's on track to becoming almost 2x of our largest store in our network, backed by extremely good metrics now that we have started tracking in terms of consumer experience, as well as satisfaction.
We did drive campaigns, driven largely, anchored around sneakers, school, school work towards the fag end of the quarter, and which will extend into this quarter. And obviously, our Style with Comfort campaign, all of this obviously helps us deliver strong SSE growth this quarter. We are also, amongst the key categories that we have focused on, sneakers continues to grow well. We will see a lot more action on power going forward, and I'll speak about that in a few slides down

the line. Hush Puppies again continues to outpace, which continues the entire premiumization journey, backed by Comfit. That brand also did extremely well, and a very profitable brand, as well as clothes. While the pace might have been negligible, but on a sequential basis also, we see continuous strong demand.
These are some key initiatives. Some of them I've talked about. Some of them we have shaped up. Now we feel more confident about how we want to take them forward. Red Label, we started off with an experiment, a single store in the north, in quarter 3, that is October, November, December. We see encouraging response across key metrics, whether it's ESP, whether it's profitability, and whether it is in terms of footfalls and consumer feedback, as well as, most importantly, the age of consumers that we are attracting. We will now want to expand this into multiple others locations, and the next store on this line is likely to come up in the next about 45 days.
The next big initiative I indicated towards this last time was Apparel. We will be launching at leisure under Power Brand. We feel that with 1.5 million consumers walking into our stores every week across the network, they do have a latent, as well as obviously an actual need of apparel, and they do purchase it also. It's just that we don't offer it. I think we've got a right to partake into that entire consumption area, and this is something that we'll see light of the day in the coming quarter, in another couple of months. We will be launching across three technologies, as well as, reasonably competit

ive price points, with decent margins to boot.
We will wait and watch this space in terms of further updates on this, but we feel very bullish on it. Last but not the least is clothes. While we see continuous momentum and significant growth in this category and this brand, we have also expanded our collection in this. We are also wanting to take the brand outside the Bata banner, and we started off with, even in this quarter, with at least a couple of kiosks, which will basically allow the clothes brand moving outside the Bata banner.
We have also experimented this into the multi-brand channels, which is both e-commerce, as well as the distribution business, with encouraging response. It already has almost 60% penetration, even within our franchise stores.
Other highlights for the quarter gone by, NPS. We have now hit every highest TP. It's best in class. I think it is something that we can keep continuously plugging at, and we can even revise benchmarks on this, but I think on a normative basis, itself, it's extremely strong. We did, obviously, significantly invest towards training of our people and capability on that front. We have, obviously, the two large projects from a technology piece, while there are many others that are enabling much better data visibility, much more informative decision-making, and quick, corrective feedback, whenever required.
There have been, obviously, various events organized in terms of engagement of employees, as well as making sure that all of us are working towards a single objective of the organization. We did do a significant VRS in our southern factory in Bangalore in the last quarter, as well as we do see now some amount of benefits in terms of reduction of material prices. Last but not the

least, efficiencies in our supply chain continue. I have talked about the CPL and similarly in our factories.
With that, with the financial summary, what we did see was 17% top-line growth that you see in the bar chart. We also, for the full year, saw significant growth, and we clawed back to pre-COVID levels of volumes, almost 48 million pairs, and with an average realization that was significantly higher, which I have talked about that because of the inflation we did and the GST, we had to take up prices. This is a blended realization across all our business lines. As I mentioned before, the COCO business price pair is very different from one which is on franchise,

and this is very different from what we see from the multi-brand outlets. This is a blended price realization.
These are the financial metrics. I will not drain the chart because it is self-evident, as you can see on the curve. I will not go through each of those lines. With that, I think this should be -- there is one more last chart. Slide number 20. Cash generated for the year has now moved to about INR726 crores as we exit this year, and the ROC henceforth has obviously improved now to 20%. We expect this to keep going up as we improve our capital-efficient expansion and variability in our business cost, etcetera, and obviously growth.
Thank you so much for that presentation, and I am more than happy to take questions. Thank you.
Moderator: Thank you very much. We have a first question from the line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead.
Bhargav Buddhadev: Good evening, team, and thank you for the opportunity. Sir, Bata has been sort of working a lot on premiumizing its portfolio. So just wanted to know your numbers in terms of what percentage of portfolio would now be below INR500 MRP, and what was it pre-COVID, and what is your sense on this category going forward in terms of outlook?
Gunjan Shah: Okay. I don't have it handy. I did mention some numbers last time. Just let me see if the team is able to rustle up something quickly. But broadly, I would say that below INR1,000, we were at about 50%-50% pr

e-COVID, and now we would be in the range of about 35%-40% below INR1,000. That number, we handily, I do track it because we also did a tracking because of the entire GST and opening up price points back again wherever we could to get volume growth going back in.
Below INR500, my sense is out of that 35%-40%, we should be about half of it, so about 20%. Both of them obviously would have declined with the premiumization, which is both mix as well as price that would have taken up the mix on the higher side.
Bhargav Buddhadev: Sure. Thank you. In terms of FOFO, our contribution to overall store count is now close to 20%. Is it possible to highlight what could be the revenue contribution from this segment, and what would be the EBITDA margin in this category?
Gunjan Shah: You are talking of the franchise stores?

Bhargav Buddhadev: Yes, sir.
Gunjan Shah: Yes. So, while we don't get splits on the business lines, but ballpark, I would say that it is about 600 points to 700 points accretive from a profitability perspective at EBITDA or channel operating margin level, which takes care of all the nuances and only allocation costs which are neutral across business lines. So, it is at almost significant accretiveness to our overall business profitability.
Bhargav Buddhadev: Because we are then seeing that contribution coming in as of date, so possibly as this sort of sector starts contributing meaningfully, will we see that also getting reflected in your EBITDA numbers?
Gunjan Shah: So, it should. See, the whole objective of driving franchise expansion is on three fronts. One is that it allows me to open up stores in places where the brand is obviously demanded for. But however, the scale does not justify me opening up a company on store.
The second one is basically it is, as I said, it is accretive from a profitable perspective. Your contribution that I get at an EBIT level per pair is higher than what I get from a COCO store.
And the third one is basically in terms of capital efficiency. It allows me to flex expansion much faster without fixing up or deploying too much of cash. So, on all these three fronts, we will see, I mean, the whole objective of doing this is to make sure and step-by-step it keeps on contributing meaningfully to our overall growth as well as profitability. So, it gives me access to consumers as well as done it in a far more capital efficient and profitable way.
Bhargav Buddhadev: And so, my last question is, Bata has appointed Badri Beriwal as a Chief Strategy Officer who has come from Britannia. Is it possible to share in which particular vertical will he be spending more time like COCO, distribution, FOFO, SIS?
Gunjan Shah: So, it is, the designation is Chief Strategy as well as Business Development Officer. And therefore, driving the strategy from a consumer point of view across the organization as well as making sure that, new initiatives as well as alternative growth engines, etcetera, are given the right kind of leadership as well as direction, both from a strategy as well as the execution perspective.
Bhargav Buddhadev: So, this is a new position, right, in the history of the company or was this position already there?
Gunjan Shah: Yes. Not there in the recent past.
Bhargav Buddhadev: Okay. So, thank you for your thoughts and all the very best.
Gunjan Shah: Thank you.

Moderator: Thank you. We have a next question from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.
Nihal Jham: Yes, sir. Thank you so much and good evening to the management. Sir, three questions from my side. The first was that could you discuss the category-wise and here by category I would say

bifurcated into formal, casual, school-wear and also maybe the [new sports 0:3:27] category where you have given some data, that how has the recovery versus pre-COVI

D and not versus last year?
Gunjan Shah: Okay. Basically, I would say that, see, overall we would have recorded about, for the quarter gone by, about 15% growth over pre-COVID. Now, in that, I would say sneakers, the casual as well as would have outstripped the rest of the category. So, comfort slash casual, sneakers and the premium segments would have outstripped while I think most of the categories, even school, would have exceeded the pre-COVID levels. But I think these are the categories that would have grown faster than the ad par growth.
Nihal Jham: Understood. Because if I say volumes for this year are similar to what we did in FY ‘20, which are these categories? Is it mainly formula which is seen of all versus pre-COVID or the school, which are the categories that have lost share internally in our analysis?
Gunjan Shah: I am, I didn't get your question clearly. You asked which categories have grown, have done better versus the others versus pre-COVID?
Nihal Jham: Which you highlighted were basically the casual categories and sneakers. So, I was just trying to ask the other side that which are the categories in which is incrementally seen a reduction in a share. I'm assuming formula, but anything else that you want to highlight?
Gunjan Shah: So, I would say the ones that are at the lower price point. So, I would say, as I said, all of them, even school would have exceeded pre-COVID, but they would not have grown at 15%. More importantly, I think plastic as well as volume category, which is facing some amount of demand pressure are the ones which have been relatively a little over versus pre-COVID. I mean, relatively versus 15%.
Nihal Jham: Understood. And just a follow-up here that is this driven by our own aspiration that maybe the inventory that we are keeping now is more premium or this is more related to the way the market has grown?
Gunjan Shah: It's a combination of both. So, premiumization is a conscious strategy, but that does not exclude ourselves from a significant amount of business that we do from the below INR1,000 price point, which I answered to someone else. And we would like that to grow and through our multi-brand distribution business, etcetera, we will see that growth happening. I think the building blocks are pretty much there. And there's no reason why we should not see that demand recover as the inflation stabilizes.
Nihal Jham: So, is it possible in the future the share becomes 50-50 again from the 40-60 it currently is?
Gunjan Shah: Sorry, I didn't get that question at all.
Nihal Jham: I'm so sorry. I was asking that currently the share of INR less than INR1,000 and, plus INR1,000 as you highlighted was around 40%-60%, 40% and 60%, which was 50%-50% pre-COVID. So, do you see the case that in the future the share of less than INR1,000 and, plus INR1,000 becomes 50%-50% again?

Gunjan Shah: It's a little difficult to predict this. As I said, there are two levers at play. There will be premiumization across segments. Now, which segment relatively is doing better at various points in time will determine this mix. But right now, we see the premium segments relatively doing much better. So, that's driving the momentum of growth. But you will also have times wherein obviously the bottom of the pyramid, etcetera, will start firing in. And we will see that also grow. But I think over a longish period of time, I think by last year we would have seen a significant impact of inflation, therefore an acute impact on less than INR1,000. That should normalize a little. But the longer term trajectory would be that I don't see that going back to 50%-50%.
Nihal Jham: Point taken. The second question was, is it possible to share the channel mix for the full year between wholesale, online, and COCO franchise?
Gunjan Shah: So, basically COCO is about 70%. You have franchise which is at about 8%. You will have

multi-brand distribution at about 14% and e-commerce at about 10% or so.

Nihal Jham: Last question from a side. You did highlight investments in technology and marketing as a part of the press release. Any sense or quantification that you expect how much of the spend could be on a ballpark basis if you budgeted this out?
Gunjan Shah: Yes. So, the IT technology-based capex that we will have outlay for this year will be in the range of about INR30 crores. And the marketing expenditure, we will look at it continuously going up to basically from 2.6%, 2.7% levels to about 3% over a period of time.
Nihal Jham: Thank you so much, Gunjan. And wish you all the best.
Gunjan Shah: Thank you.
Moderator: Thank you. We have our next question from the line of Tejash Shah from Spark Capital. Please go ahead.
Tejash Shah: Hi. Thanks for the opportunity. So, we have made a lot of interventions on distribution, premiumization, and even brand positioning in the last 24 months to 36 months. Now, when I see distribution expansion, CAGR, which is 7% of last four years versus our revenue growth of 4%, the output actually looks a bit underwhelming despite putting so much effort on the premiumization and distribution expansion side. So, is it that the underlying demand is so underwhelming or have we lost market share versus pre-COVID period?
Gunjan Shah: So, there are a couple of factors. I think one is basically that as we go about expanding, some of these, so let's say the franchise stores in general are at about 0.5x of our COCO stores on an average, 0.4x to 0.5x. So, the turnover per store would be lower because you are entering and penetrating into cohorts that are relatively smaller, and which is why we want the franchise model to get us access there. So, it's not an apple-to-apple.
The second piece that would be there is basically in terms of multi-brand outlets. I think there is some kind of a demand pressure that has been seen over the last year on those price points which are at the mass end.

And that has obviously created some of the pressure. As I mentioned, we are looking forward to the inflation stabilizing and consumers adjusting to it. I'm sure the kind of mix that we have in the building blocks, that should provide payback. So, I think both of these combined together is what is providing that phenomenon. Each of these element-wise, they have pretty good, I would say, same-store growth that we are carrying.
Tejash Shah: Sure. And so, if you can comment on market share and any specific segment where we would have gained market share or we are still under-indexed?
Management: There is no syndicated data available Tejas on market share. The last one that we have is Euromonitor that provides us an annual level. That shows that the market share is recouped back from whatever hit that we would have taken during COVID time. So, the last report says that. But there is no syndicated data. My guess is basically on the premium side, I think we could have participated even better than what we could have. I think on the mass side, we would have done reasonably well, I would say, from the market share perspective.
Tejash Shah: Fair point. So, second, on working capital, again, if I map it to our 4% CAGR growth, inventory has actually gone up by 9% CAGR. Debtors have also gone up by 16%. Debtors obviously on a low base, but inventory growth is also significantly, in fact, two times our revenue growth. So, just wanted to understand, is this the new mix in the distribution will actually entail higher inventory investment or there are any transient runoffs in this number right now?
Management: Anil, you want to answer that? I don't know where the inventory is. You said 1.5x of inventory?
Tejash Shah: No, sir. 9% CAGR versus 4% growth in revenue pre-COVID?
Management: Okay. I don't see it that way. So, I'm a little surprised. I would say

actually we would, by this year, have inventory efficiencies, which we measure in terms of number of days of inventory that we carry on FG, would be better than what we have ever had in our past. So, even right now, I think we are roughly at par. So, I don't know whether CAGR is changing.
Management: Just to add, Gunjan, obviously our inventory is going at a much lower base, so I don't know where this number is coming from.
Management: So, we can respond separately.
Management: Yes, sure. I'll take it off that.
Moderator: I request you to come back in the queue, Mr. Shah, as we have other participants. Thank you. We have our next question from the line of Gaurav Jogani from Axis Capital. Please go ahead.
Gaurav Jogani: Thank you for the opportunity, sir. So, my first question is with regards to the investment that you are doing on the technology and also on the other ventures like marketing, etcetera. So, do you think that these are right now suppressing the margin? So, my question is with regards to, you know, you have been making a lot of investments in the technology part as well as on the marketing front.

But at the same time, you know, your franchisee is giving you a better margin perspective. So, do you think it is because of these investments that your cost savings initiatives as well as the incremental margins from franchises are getting masked right now? And once these initiatives are over, you could see a rebound in the margin profile?

Management: Yes, I would say yes and no. Yes, some part of it is that. Some part of it is also lag of capex that we had not deployed during the COVID period of couple of years. So, a lot of that has got applied in the year gone by. And some of it in this year. Besides that, obviously, some of these initiatives, they will not only pay back in terms of efficiency, but also our ability and muscles to grow better. So, the endeavor is to basically try and make sure that they also contribute towards growth and better efficiency. So, for example, let's say the high performance merchandising project that I am talking about will allow me to manage this 2000 and expanding network in terms of the right kind of merchandise, what sells where, and therefore, the ability to do it more scientifically. And therefore, the efficiency of that inventory in terms of generating growth, etcetera. So, similarly, on the e-commerce side, which is basically to drive growth. And finally, some of them will flow into initiatives, into efficiencies.

Gaurav Jogani: So, sir, would it be prudent to assume that the high level of investments would continue at least for the next couple of years that you're doing?

Management: I would say so.

Gaurav Jogani: Okay. And so my next question is with regards to the dividend payout. So, if you see during the year, the dividend payout is almost 57% of the annual profits. And I think the last year also we gave a special dividend. So, is there any change in the dividend policy and can we see the dividend now being higher versus the historical levels of 25%-30% dividend payout number?

Management: Okay. So, basically, the board, while last year was a one-off kind of a dividend that was announced at that point in time, but this year is more normative. So, I would say that that's in line with the policy. The board's policy on dividend is up to 60%. So, we will have to see every year what ratio the board approves on this, but that's where the policy is. This year is more normative. So, it's not a one-off.

Gaurav Jogani: And so, if I can slip in one more question. With regards to the distribution front, you've been very aggressive. Even this quarter, you've added almost 200 towns out of the 300 towns added in FY ‘23. So, what is the outlook here? What kind of performance or contributions you're expecting from this part of the business? And with the inflation now normalizin

g, do you see growth reverting in the segment back?

Management: Yes, both of them we are looking at very, both the questions we are looking at very optimistically. That's why we are investing in it, not only in terms of the infrastructure that I just showed you in the slide, but also in terms of manpower and capabilities. So, and also collection and merchandise that's required for that channel, which is very different from the exclusive business outlook, retail outlets. So, Yes, we are looking at it very ambitiously and optimistically.

Moderator: We have our next question from the line of Nitin Shakdher from Green Capital's Single Family Office. Please go ahead. We have our next question from the line of Girish Pai from Nirmal Bang Equities. Please go ahead.

Girish Pai: Yes, thanks for the opportunity. Gunjan, if you look at the EBITDA margin in FY ‘23 and compare with FY ‘20, there is almost like a 430 basis point dip. A lot of that is coming from other expenses being higher by about 500 basis points. Can you give some guidance of how that number is going to look like? Other expenses? Were there any one-offs in FY ‘23 which are not going to be repeated going forward?

Management: At a larger level, no. The last quarter did have a one-off. So, there is some element of that one-off. But the other piece that is there on other expenses is to do with two or three lines. One is there is a mix that is changing and therefore the contribution of channels like franchise, e-commerce, as well as multi-brand have gone up. And that has a very different kind of P&L. The second piece that is there is that some of the investment that we have put in that has its own depreciation effect. Especially the largest mention would be on technology side, Girish.

Girish Pai: Okay, and you also mentioned about a VRS being implemented in one of your manufacturing units down south. Are the costs connected with that appearing in the P&L? Where exactly would those be?

Management: They will flow through on the corporate overheads. So, that is where it should flow in. But basically, it should pan out over a period of this year, etcetera.

Girish Pai: And would we see further VRS going forward?
Management: I can't comment on it right now.
Girish Pai: Okay, last question. Margin, athleisure apparel is going to be adding to your revenues. Do you think this is going to be margin accretive or decretive? Or what is your view on that?
Management: All the three initiatives that I mentioned in the slide, and specifically apparel for sure, right? But even floats as well as rentable, all are being aimed for margin accretive.
Moderator: Thank you. We have our next question from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.
Aliasgar Shakir: Thank you so much for the opportunity. I just wanted some color on the revenue profile and revenue growth. So, when I see your store addition over the pre-COVID numbers around 20%, and you would have taken some price increase plus premiumization combined would have helped us somewhere about 10%. So, against this 30% revenue growth expectation probably that we were building, I mean, your growth, if I compare pre-COVID is somewhere about 13%. Now, I take your point, you mentioned that franchisee is about 0.5. And we've seen about close to 250 or franchisee is about 10% to 12%. So, maybe 6% impact would have come because of this. And, but I'm just trying to get a sense that this along with, you also mentioned that lower price products are seeing some impact. Still, the gap seems, reasonably high.

So, against the 30, let's say if I take 6 impact because of franchisee, maybe, you know, give or take 5 impact because of the low price product not doing well. Still, the gap seems reasonably high. So, what is it, you know, that has seen a rel

atively far lower revenue growth than what, probably you were anticipating?
Management: No, the only other piece that I can add, but I cannot comment on the mathematics, but the only other lever that I can, or insight I can add to you, Ali, is that you will have, we have shut down about, I think about 90 or COCO stores net, right, versus pre-COVID, which were unprofitable.
Aliasgar Shakir: Okay, and they would have have been very high revenue contributors?
Management: Average, I would say, not necessarily very high.
Aliasgar Shakir: That's also true. Okay, do you think, sir, you know, we mentioned that the casualization sneaker trend is doing very well, but we may have probably in this shift from our existing to casualization trend, seen some revenue loss in some part of the business? Or do you think this is recoverable?
Management: You would have seen some losses. Sorry, I missed that part.
Aliasgar Shakir: So, I'm saying that, you know, the trend that we are now moving towards casualization, sneakerization, maybe some part, I'm not sure whether open footwear, formal wear, some categories, you would have seen, lower revenue profile, probably because we are pushing lesser in the store. Has that been a factor which has led to this lower growth, or any of those categories? I'm just trying to understand when we build growth for the future, what part is recoverable?
Management: Right, right. So, the way the system works, Ali, is that a range and therefore an article set that does well automatically gets filled in, right, from a short term horizon, which is at a store level, etcetera. And then from a range investment point of view, which is at, let's say, a horizon of a season, which is six months.
So, if let's say, for example, we see comfort doing well, then comfort automatically starts getting more inventory, and comfort starts getting more and more range. So, similarly, you will see that across. So, as I mentioned, you do see a certain amount of action on premium, and that's doing well, right. The one that is on the lower end is where basically there is some amount of demand pressure, and which is what I responded to another query that was there in terms of, what's grown faster and what's grown slower.
So, that is where the piece would be. I would not exclude completely, but overarching, we would like to continue premiumization. So, another example being that, let's say, even if it's open footwear, right, float is a way of premiumizing open footwear. And therefore, the average ticket size of a consumer, which was otherwise buying, let's say, flip flops at, let's say, 300, 400 average selling price in our store, is now jumping to almost 1,200 plus.
So, you are catching a consumer, you are offering more premium products, but you are not necessarily excluding them from offerings of 300, 400, but some of them are up there.

Aliasgar Shakir: Got it. So, last follow up here is, so, as we see the lower price point products recovering, should we assume that there is at least about 15% odd recovery in revenue that is foreseeable?
Management: I can't project growth for you, Ali. We don't give forward-looking forecasts, but our endeavor is

to make sure that while we see the market turning around at a certain price segment level, we
continue our strategy as I outlined in my presentation. So, hopefully, that should only add to our
performance.
Moderator: Thank you. We have our next question from the line of Tejas Shah from Spark Capital. Please
go ahead.
Tejas Shah: Hi, sir. First of all, I wanted to apologize on that inventory calculation. It was wrong at my end.
So, you were right. It was 2% versus 4%. So, first of all, I wanted to register that. So, my question
is on the franchisee part. So, we have done a very good job on expanding the network. And
usually, if the franchise economics works out, then the same franchisee p

artner starts expanding
the network. So, just wanted to know, are we seeing consolidation of franchisee owners who are
expanding more franchisees?
Management: I did mention that, Tejas, in my presentation. But first and foremost, thanks for sharing that
correction. So, I guess we are a little more relaxed on inventory now. But coming back on the
point on… I had mentioned that in my presentation that there are two or three metrics that we
look at in terms of, you know, while we are going aggressive in terms of expansion, but we want
a sustainable franchise model. And one of those is basically the profitability of our franchise
partners. And the best outcome indicator of that is how many of them are opening up stores,
multiple stores with us. So, I think last quarter, 60% of our stores that got opened were with
existing franchise partners. So, that's creeping up all the time, which is a good indicator. And
that responds to your question also, I guess.
Tejash Shah: Fantastic. Second, sir, if I see your brand architecture and our premiumization journey, do you
think that the current set of brands can fulfill our aspiration to premiumize the portfolio? Or you
think that there are still some white spaces in our brand architecture where we'll have to launch
or bring some of the overseas Bata family's brand to actually kind of premiumize the whole or
complete the whole pyramid here?
Management: Yes, no, there is. I mean, it's a never-ending task, ideally, if you look at it, right? And which is
why you have so many brands in the market, right? Because there are consumers for various
kinds of price and the brand value that is being provided by various brands. From our portfolio
perspective, there are obviously gaps. And the initiatives that I've listed out in the chart in my
presentation, whether it was Red Label, whether it was Power, that was a category, but hopefully
it does well. It spawns off the Power brand itself and Floats. All of these are basically attempts
on that, basically trying to nail some of these kinds of white spaces. When we feel that we have
developed some expertise in our architecture.
Tejash Shah: Great, sir. Thanks and all the best. Thank you.

Moderator: Ladies and gentlemen, we request you to restrict your question to one at a time. We have our
next question from the line of Ankit Kedia from Philip Capital. Please go ahead.
Ankit Kedia: Hi, Ankit. Hi, sir. A couple of calls back, you had mentioned your aspirations to do contract
manufacturing for global data. In your next leg of growth, you haven't spoken of that. Has that
project been shelved or that is a separate thing which you will call out number-line?
Management: I have not called it out because I don't have a tangible progress update for you. But Ankit, the
progress in the work is not being shelved out. In fact, it is working even more aggressively. As
I mentioned, I think even at that point in time or maybe in a subsequent conversation or a call,
that requires a lot of working. I think globally, Bata is very aggressively looking at a China plus
one strategy. India is the largest sourcing base, even larger than China, for the Bata Global
Organization, primarily in India, obviously.
So there is a huge amount of capability. I think there is a natural fit in terms of what's required
and what's available, both from a requirement perspective of trying to diversify out of China, as
well as in terms of the kind of capabilities and the kind of network that we have in India. So,
wait and watch this space. We will obviously make sure that we update you once we have some
tangible progress to be made on it. But we are working very aggressively.
Ankit Kedia: Understood. Some second question is regarding floats. You know, the category has picked up
post-COVID. We have seen clocks as the market leader, you know, growing aggressively as
well.
Moderator: I requ

est you to come back in the queue, sir. Thank you. Ladies and gentlemen, you are requested
to restrict your question to only one at a time. We have a next question from the line of Akhil
Parekh from Centrum Broking. Please ask your one question.
Akhil Parekh: Thanks for the opportunity. The question is on the employee expenses front. If I look at it as a
percentage of sales, it is broadly in line with FY'20 numbers. And this is despite some of the

activities…
Moderator: Hello. Your voice is breaking. There is a lot of disturbance.
Management: Yes. Which number is in line with 2020 number?
Akhil Parekh: The employee expenses as a percentage of sales. If I look at it, it is broadly in line at 12%. And we have been doing some kind of a flexi staffing to reduce that cost. Basically, if you can highlight or throw some light on, you know, what percentage of our staff is on flexi and do we expect any further cost reduction on the employee cost front for next two years.
Management: Okay. So, directionally, yes. Obviously, I think COVID did have its impact. Otherwise, these percentages could have looked a little better. But I'm sure some of these initiatives will pay back over a period of time going forward. There are three levers on this. And it is very macro level. One is flexi in terms of retail manpower. That as of now stands at about… it varies per quarter depending on seasonality of the business, etc. But stands at about, let's say, about 15% to 18%. The aim ideally should go to at least about 25% for status quo. So, there is headroom there.

The second one that's the lever is basically in terms of the backing. And therefore, you know, the supply chain piece, the 3PL, wherever we can outsource non-core areas, get in more efficient partners to collaborate with, etc. I have updated you on one of those warehouses that we moved. We are in one of our factories and there will be multiple such other initiatives down the line. The third one that's there is basically on technology. So, whether it's HPM, whether it's ERP, whether it's data warehouse management systems, etc. that we are setting up, there also we should see productivity increases coming through because of digitization itself. So, all of these combined together will eventually help us keep this under check going forward.
Moderator: Thank you. We have our next question from the line of Gaurav Jogani from Axis Capital. Please go ahead.
Gaurav Jogani: Thank you for the opportunity again, sir. So, my question is with regards to the margins if you see in Q4. So, you know, we had done a gross margin of around 58.5%. And given the fact that, you know, our franchisee contribution has been increasing over a period, shouldn't the gross margin should go down whereas the impact could be felt at the EBITDA level? But shouldn't the gross margin theoretically be down? And how do you see this sustaining ahead?
Management: Yes, so technically you're right. And I think it's a question of mathematical weightage and of various channels at various points in time. So, even let's say, for example, in e-commerce, if the e-store has got the maximum margin, whereas the marketplaces will have at the gross margin level would be relatively lower or a sales margin level. Right. Obviously, the picture is very different at the EBIT level. So, depending on the mix for those channels for various quarters, but eventually, yes, your mathematics will tell you that the margin will trend differently if the mix of the lower margin channel goes up. But then that will also get compensated by some of the expense lines below the margin line.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nitin Bagaria for closing comments. Over to you, sir.
Nitin Bagaria: Thank you, everyone, for taking your time and joining us. Looking forwa

rd to interacting with
you again. In case there are any further queries, you can direct them to us. We would be happy to answer them. Thanks a lot. Thanks, everyone.
Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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August 17, 2023

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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings call

Dear Sir/Madam,

This is further to our letters dated August 2, 2023 and August 11, 2023, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Friday, August 11, 2023.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.

Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP - Company Secretary & Compliance Officer

Encl.: As Above

“Bata India Limited
Q1 FY ’24 Earnings Conference Call”

August 11, 2023

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. ANIL SOMANI – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA -- COMPANY SECRETARY – BATA INDIA LIMITED

MODERATOR : MR. GAURAV JOGANI – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Bata India Q1 FY'24 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Gaurav Jogani from Axis Capital. Thank you and over to you, sir.
Gaurav Jogani: Thank you, Zico. Hi, everyone. On behalf of Axis Capital, it is my utmost pleasure to welcome you all to Bata's Q1 FY '24 Earnings Conference call. Today, from the management, we have with us Mr. Gunjan Shah, Managing Director and Chief Executive Officer, Mr. Anil Somani, Director Finance and Chief Financial Officer, and Mr. Nitin Bagaria, Company Secretary. Thank you and over to you, Nitin.
Nitin Bagaria: Thank you, Gaurav and Axis Capital. A warm welcome to all of you. We have Gunjan, who is MD, CEO. We also have Anil Somani with us. We have shared the presentation with the Stock Exchange a little while earlier, but we will be happy to take you through along on this call. We will navigate the slides as well as the page numbers to stay synchronized. On slide number two, we have the disclaimer. I am sure you have gone through the same. We will move to the next slide, which is slide number three. Over to you, Gunjan, and thanks for joining.
Gunjan Shah: Thank you everyone, welcome to the call from Bata and thanks for joining. So we'll start off with the agenda, we will talk about business overview, I'm on slide number three, the strategy highlights and then the financials and then we will open up for questions as we have done for now several quarters.
On the key highlights before I jump in, we obviously saw footprint extend. I will talk about most of these points in subsequent slides to now almost 2,100 points of sale including shop and shops. Our technology investments continue and in fact the largest one will go live in this month, is on track and the next year we will go live in quarter one of next year, sorry quarter four of this year.

We will also be extending our sneaker studios, they have now got extended to almost 565 stores as well as our new product that I have been now talking about for several quarters, which is Floats, the casual, washable, molded footwear. Keeps on recording highest volumes, and has obviously done highest ever even this quarter.
Moving on to highlights on the various strategies and thrust areas that I've talked about. I'm on

slide number six. Portfolios, Sneaker Studios, we continue to push forward. As I said, we've added to almost 565 Sneaker Studios stores and Sneaker continues to outpace our growth. Despite now strong bases also coming along, because it's now almost 18 months since we started this entire Sneaker drive.

Floats I've talked about it's now started contributing meaningfully to our volumes and also value to the extent that it's given us confidence to open up our first new banner under floats and I'll speak about that. We also have a significant focus towards comfort as well as style brands and they continue to grow for us leading our outpacing our overall growth despite the overall muted environment that we saw in the quarter gone by.

Franchise on the expansion and retail excellence, we did renovate a significant number of stores this year, this quarter which was almost about 40 stores. We are towards the fag end of our backlog refresh that we had wanted to do because of the gap during COVID. And I think over the last 18 months and maybe another six months, we will have the store refresh continue and then we will come back

to normative refreshes.

Franchise store additions continue. We added further 30 stores, 29 stores this quarter. And that pace continues. And we continue to see exceedingly good response from that business channel.

Distribution business, while the mass business has been sluggish, we continue to invest behind basically expansion.

And we are also now making significant efforts towards controlling the retail channel by putting in for the field force, sales force productivity tools as well as key account management on the top 2,000 out of the MBOs that we reach out to.

On the marketing investments, we did run campaigns on monsoon back to school. School was extremely positive this year. We did manage to capture the demand in the right manner, including the newer styles on shoes, etcetera, which we had missed last year. And we also had to keep on USS in line with what industry trends were. It gave us a good response in this relatively inflation driven environment that we had on the demand side.

E-commerce was outstanding for us this quarter, continued to grow strong double digits, and was also backed by further initiatives on basically franchise stores now have been added into Omni. It's early days from a meaningful turnover contribution from them, but we have fixed the model that is required to make sure that Omni also runs on this, as well as we have basically expanded our servicing capability for e-commerce business marketplaces.

On the supply chain side, the big milestone that we managed to do was implement WMS. Now, even in the distribution business side, and the first warehouse went live in South India, and soon to follow with the rest of the warehouses the rest of this year. We did continue to be tight on

costs. I think we are now making some decent amount of headway on cost efficiencies, both on the COGS side as well as on fixed cost and we are hopeful that that will help us invest better in the business for growth.

Last but not the least, technology, three big projects that I am talking about here besides many others, one on the inventory management software has been completed, so it is completely on the cloud and the other two HPM which is automating the entire merchandising matrix for almost 1,700 EBOs plus 400 odd SISs is also going live as we speak and ERP is on track for quarter 4 of this financial year. So Yes with that I'll move on to slide number eight retail expansion

We continue to see expansion across all the three lines on retail exclusive outlets Cocoa the largest of the footprint continuously [inaudible 0:07:16]. As I have mentioned consciously our strategy is towards the capital efficient lines particular franchise and Stop & Shops and they continue to outpace. Franchise has seen decent traction and we continue to see significant additions.

We will continue with a strategy of 80, 20 in capital efficiency. While now we have started seeing incremental Cocoa additions, but we will still outpace by as I have said the potato rules In terms of franchise driving bulk of our additions. We have also started seeing additions in terms of Hush Puppy franchise, hopefully the momentum will grow and the balance of this year.

Franchise, 29 stores as I mentioned, we have now reached almost 450 stores, much earlier than the 500 that we had envisaged 1.5 years back, and within a three year framework. So, we are very hopeful that we should be able to prepone that target by almost a year.

On the distribution side, which is slide number 10, we are, while we have been talking about this distribution with growth, we are also now moving towards basically focusing towards controlling on retail, and that will be the next level on this front. While we are seeing now some signs of stabilization from inflation is therefore a pricing front, and hopefully the demand benefits of that should flow.

But to reinforce that, as I said, I t

hink focus on front line sales force, key accounts and therefore
activating the brand in those outlets, as well as sales force productivity is going to be now the next level of shift that is going to be driven in this business. We are very hopeful this can give us meaningful expansion of Bata brands availability, especially in the interiors.
Digital business did extremely well, continues its strong growth momentum over the last almost three years now. We continue to drive it all across our three channels, and we saw obviously a significant business growth in not only marketplaces, but also in our dotcom channel. The number of visits have gone up dramatically, as well as basically in terms of as I said Omni that has now been enabled not only now in Cocoa, Bata, Hush Puppies as well as now the franchise outlets.
We have also made sure that almost all relevant platforms are all now basically have our offerings available across our brands and we continue to look at evaluating even ONDC how can we partner with them. What you also see out there is early launch that we have done of our

new collection under power and which is a step and go. We feel that's a big feature that we have launched and that collection is hitting the stores as we speak.
On slide number 12 on marketing, we had campaigns that we ran which were topical. You had monsoon driven from the floatz collection, you had schools, you also have various regional festival campaigns and obviously the large one that we had to do which was end of season sale. We saw good response. I have mentioned about schools and floatz, even end of season sale. We saw good response. I have mentioned about schools and floatz.
Even end of season sale, I talked about it. I think that did extremely well. However, we were expecting a much, how do you say, we were expecting to start a little later, but we saw industry trends tending towards it much earlier. But that did help us reduce our inventories, which will lead to much special merchandise hitting the stores as we in the last couple of weeks that we have started now, going with full price merchandise.
On the brands and categories, Northstar continues to do well. Hush Puppies, Comfit, as well as Floatz, all of them doing well. Hush Puppies was relatively muted largely I would say with basically the wedding day is moving the casual section of Hush Puppies continued to do well it was a horrible section that I think did get impacted because of the auspicious day movement between the quarters, but we are very hopeful we continue to invest behind the brand and in fact this year we should see highest ever additions on the Hush Puppy store network that we have been largely stable for the last about 4 years, 5 years.
Besides that several other achievements that have gone into investing behind experience for all various stakeholders, not only consumers, but consumers as the center of it. We launched Buy Now Pay Later. We have also launched automated application for the visual merchandise activation across stores and making sure that we are able to track it across franchise as well as local network.
I talked about this, the first banner under floatz that we have launched, extremely efficient model. We are very hopeful, early signs have been very good. It's been in operation now for almost 6 weeks. And the signs have given us enough confidence that we are now lining up almost another 10 such banners, kiosk stores across the next three months, four months. We also launched almost first in industry, shoe insurance program, Bata Shoe Care.
It's giving us good response. We started off with 50 stores. Now we have penetrated almost 500 stores on it. We would see much more gradual improvement and traction on it as we are able to even market it better. Store renovations I've talked about. We have done significant amount of store renovations in the last 18 m

onths and we foresee another I think one or two quarters of that
and then we should get back to normative levels.
We did have launch and automated application for Landlord Connect which helps in much better relationships and therefore much better transparency as well as account clarity with our landlord partners. And the one that I talked about a little while back, which was that we will actively look at adjacent spaces, we have launched Power Activewear apparel that is now hitting on a pilot stage to almost about 60 stores, which should be done within this week or next.

And we will look forward to the results and keep you all updated on how that's going. We are very confident of the mix that we have launched. It has been in the works for almost a year now, right from research to understanding where do we want to position to the technology that we have incorporated in the products. And we'll keep you updated.
On slide number 15, other highlights, we did launch, so now almost 50% of our receipts are now digital, and we are looking forward to it getting to almost close to 90 plus, which should be

digital receipts, make it more tech-friendly, user-friendly, as well as obviously efficient. We did launch the Power Step and Go collection in the last few weeks and we feel that's a very unique feature, extremely comfortable as well as hands free in terms of usage and we are very bullish on this collection that has been launched.

We did obviously take the inventory management software, got it upgraded into version 2 as well as got it completely on the cloud now and obviously there was work that happened on cyber security. India sourcing hub has now taken some more shape we are seeing now export orders coming through and which should be obviously increasing as you know the system stabilizes etcetera.

We did see efficiency benefits across several lines including freight etcetera and outsourcing that we have done in terms of 3PL. On the last line is basically I mentioned about WMS in a [14:58]Depot and Hosur as well as optimization on freight cost and sorry on freight and warehousing costs.

Moving to financials and therefore, the last slide of my presentation, slide number 17. Despite this, we did see about 2% growth in a pretty tough environment. I think a large part of it was driven through same store growth, but we are hopeful that this is a temporary phenomenon, our investments continue and a result of that was that we did see our EBITDA sequentially climb from 23 to 25, however over last year it was a decline of 100 basis points and a similar trend line that we saw on the PBT side, which you can see on the graphs on the right. With that, thank you so much for the time and we are open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Ali Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir: Yes, thanks so much for the opportunity and for that detailed presentation. First question is on the revenue growth, sir. So you did explain the network expansion that we have done from somewhere about 1,900-odd point of sales to 2,100, and also the particular categories which have seen growth.

So, if you could just explain what would have led to 2% growth, I mean any particular categories that would have seen decline product wise or in terms of network if we have seen 10% growth, but revenue growth is 2%, then which particular channel would you have seen decline? Is it the retail channel, Cocoa channel or are the new channels that we have expanded in which is the shopping shops and MBO have probably seen a weaker performance?

Gunjan Shah: Hi Ali, that's a lot of questions bundled into that, but I'll try and give a jab at it. So, our growth engines largely continued in terms of outpacing growth, which is franchise as well as e-

commerce. The distribution business, while the platforms are strong, we are strengthening them, as I said, in terms of now getting into retail productivity and control, and therefore extraction of throughput per distributor.

But it has had impact because of this entire mass category, GST, pricing, etcetera. It's now stabilized. We have across channels now not taken price increases for almost about eight months to nine months. And we don't foresee touching that any significantly going forward. So, we are very hopeful that that should along with the retail control give us. On the Cocoa side, it has been basically, I would say that we've been also cautious in terms of our investments and it's a capital intensive kind of a channel.

So while we will keep expanding in the last two quarters, we have started seeing net Cocoa additions, but as I have mentioned, our conscious strategy is to make sure that we are driving expansion almost 80% through the franchise network. So that's where I would place myself right now.

Aliasgar Shakir: So I wasn't clear why would we have seen just 2% growth when the network has grown 10% year-on-year. Are we seeing like-to-like decline, SSSG decline in our network?

Gunjan Shah: No, there is been decline, obviously. That goes without saying. But I would say relatively it's been not so sharp. It is basically, I would say, I think it's a combination of two facts. And we will have to see how it pans out. I am very hopeful. As I said, one is that consumers have seen a significant amount of inflation and that takes time for consumers to absorb.

I think the second piece that is also there is basically it's a, I think, consumption and occasion days, especially wedding occasions, etcetera, have had a calendar shift. And we are looking forward to the festive season very optimistically and that should hopefully cover up for this.

Aliasgar Shakir: Got it, this is quite helpful. Two more questions, one is on your margin, we have seen you despite RM softening and also you know you've taken some mix lead price improvements, margins have come down. Can you just explain what has led to this?

Gunjan Shah: It's actually very simple. It's been largely driven through basically inventory optimization. So, we have had, how do you say, we did see industry moving into EOSS much earlier. And therefore, basically, our EOSS period got preponed into a large part of June and that did have

obviously an impact on margins.
As I said that -- that has also resulted in us now bringing in our fresh merchandise back in much faster. So, I don't think that's a longer term structural phenomenon, but yes in the month of June we did have a preponment of EOSS for about two weeks or so.
Management: And just to add to what Gunjan said, that our inventory degrowth compared to last year was 4.5% despite a sale growth of 2%. So, we would see a much better fresh inventory in the coming quarter.
Aliasgar Shakir: Got it. So hopefully, we should expect Q2 onwards relatively better margin profile.

Manangement: Yes, we hope so.
Aliasgar Shakir: Okay. And this last question is on this apparel bit quite exciting to know the kind of opportunity this throws, especially you have 2,000-plus stores in your network. So, if you could just throw some light in terms of what price point, product range that we are seeing here and Sneaker is in 560 stores in 18 months. So, how quickly you plan to roll out your apparel in terms of your overall network.
And if at all you could give any kind of broad targets in terms of what is the size and scale you want this particular category to grow in two years, three years?
Management: Okay so what I what I will do early is that an appropriate time we will come back with a proper update for you all which will give a little more flavor to this entire piece, but just t

o give you at
a macro level. So, first thing is it's a pilot right so we should not run ahead of ourselves it's a new category. We want to make sure that we have learned it well right.
We have shown our ability to scale up things as soon as we see so floatz is a classic example. As soon as we saw that they're giving us response and success and we have now scaled up not only width of lines and range, but also stores and therefore it is penetrated to almost about 80, 85% of our network already, right? And to the extent that we are opening it up.
Now coming back to apparel, apparel in general as a consumption per human being or a body, right is to the extent of 7 to 10X of what footwear is. So, that's the kind of adjacent consumption opportunity that's there. Now it's split, it's obviously a far more nuanced in terms of both bottoms and tops. There is undergarments and overgarments, there is various locations, there are fits, as well as formal, informal, etcetera.
What we felt is our right to succeed in this would be coming from two, three areas. One is consumers who are walking into our stores are looking at footwear, but they are also buying apparel outside somewhere so that's obviously the immediate hanging fruit. We felt that athleisure is the area that we should basically are we should be targeting first and which is why we have launched this under power.
We have launched it in about 60 stores. We have brought in, make sure that as I said at the start when I was giving my brief, that there is a lot of groundwork that we have done in terms of the product, the fit, as well as basically the technology that is put in. And the last piece is that from a pricing point of view, we have tried to make sure that it when we have done consumer research, etcetera, we have tried to find a sweet spot which is sitting somewhere in the middle range, which is obviously straddling the premium guys on one side and obviously the unbranded and the mask guys on the other side.
So, the range that has been launched is from 800 to about 1,300 and we will share more news as we learn also a lot more on this. But it's been a solid jab at it. Our primarily objective right now is to make sure that if there are 100 people moving out of the store buying footwear in a day, how many of them we can make sure that they get the apparel from our store and based on feedback and obviously learnings, we will keep reviewing the merchandise, etcetera.

Moderator: Thank you. We move to the next participant. Our next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead.
Bhargav Buddhadev: Yes, good afternoon team and thank you for the opportunity. My first question is on what is the share of exports now and when we say that Bata India is aiming to become an India sourcing hub, can you share some thoughts in terms of timelines and market opportunity that this can translate into?
Gunjan Shah: Yes, so basically, see the macro opportunity as I have said in the past, when I have said that we are evaluating this entire piece, is coming from a fact that we've got one third of the global production that Bata does happens in India, largely for India itself, right? So, we do about 50 million pairs, globally we sell about 150.
So, there is another 100 that is being sourced from various parts of the world. Now, we have

right now not contributed meaningfully to that entire pie that is happening. We do source a large part globally from China and globally we are also looking at consciously diversification out of China from a sourcing strategy and because of the large base as well as knowledge and expertise that we have in India across various footwear types and almost across all our brands. Natural outcome of the diversification out of China is to enhance the India sourcing hub.
Now in that light basically what work has been happening is to ma

ke sure that there are multiple
things that have to fall into place. We see signs of that now progressing right, the teams have now started getting aligned. There are now supply chain linkages that are being created so that people get comfortable in sourcing out of India.
And last but not the least, there has to be a lot of tech transfer that has to happen out of the current supplier base, wherever that is lying, in China or otherwise. So, there is progress happening. I think once we start seeing meaningful numbers, we will make sure that we also share it with you. But we do see light at the tunnel sooner rather than later.
Bhargav Buddhadev: And will we sort of manufacture this through a vendor ecosystem or we'll be investing in manufacturing?
Gunjan Shah: So that will depend on the product. As long as I mentioned in the past, this business is straddled on two fronts. On one stratum is fully automated products, largely molded as well as single molded stuff, etcetera, something like floatz. On the other side is customized, huge manual interventions, tiles, small MOQs, etcetera. So depending on where in the stratum the product sits, that is where you will see, wherever there is a high level of capex and automation, we will put it up in our plant. But wherever it is to do with, let's say for example, as I said, styles, labor intensity as well as smaller MOQs, we will want to leverage the source ecosystem that we also have very large in India.
Moderator: Thank you. Mr. Bhargav, may we request you to rejoin the question queue for follow-up questions as there are several participants waiting for their turn. Thank you. Our next question is from the line of Nihal Mahesh Jham from Nuwama. Please go ahead, sir.

Nihal Jham: Yes. Thank you so much and good evening to the management. So my first question was, as a part of the opening question you did allude to the mass segment being under pressure. So just to quantify that, possible to give a sense of how the growth divergence was within the less than 1000 and above that segment, we've done that in the early quarters before?
Management: So, while in the overall, while we did have obviously a muted scenario, the mass category still is showing signs of stress. However, it is also, I am seeing that sequentially coming down. So that's why I said that we are very hopeful that all this investment that has gone behind the mass category, some of the price points that we have introduced as well as the width on the multi-brand distribution that we have done, we are hopeful that it can come back. But yes, even in this, we have seen the premium category grow faster, especially the products that were basically in the range of about INR1,000 plus compared to the products that were less than INR1,000.
Nihal Jham: Got that. I just wanted a discussion on the inventory, if it's possible to say give a ballpark number and is this, if it's higher than say what the average is during pre-COVID, will there be a requirement to increase the EOSS beyond August to liquidate it, so that we have fresh inventory at the time of festive?
Management: No, we are very comfortable on our inventory. As I said, we introduced EOSS largely because the industry phenomenon introduced it and therefore consumers by nature expect it. So that is the reason and as I mentioned to another person on the call, we have already started now pushing our fresh merchandise across all our stores.
Nihal Jham: Helpful. I just had one more question. On the apparel focus that we are having, as much as I see the stores of Bata while it was possible to introduce a vertical sneaker studio, is there a space to put enough collection to create these conversions unless we focus that as we have done the renovations?
Management: So you are right, it's not easy. It's not only space for display, it's more efficient than footwear by the way in terms of disp

lay, largely because it's either folded or it's on hangers and therefore you
are able to show more range compared to let us say footwear etcetera. It also requires much less inventory space from a storage perspective. But however it also requires changing rooms. So I think it cuts both ways. We will also learn. We have got enough stores in fact which were the initial pilot stores, where we have space to accommodate this and we are able to bring alive the proposition.
As I said a primary objective right now is to make sure that, we've learned this category well, we understand what works in this, we are able to quickly and agilely take feedback and correct around things and then obviously we will make sure that we've got a concrete plan of expansion.

Nihal Jham: Thank you, Gunjan. I'll discuss it in detail.
Management: But right now, no expansion of stores on behalf of this, even in the pilot.
Nihal Jham: Got that. Thank you so much.

Moderator: Thank you. Our next question is from the line of Varun Singh from ICICI Securities. Please go ahead.
Varun Singh: Yes, sir, my first question is like given the distribution expansion, since past several quarter, it is extremely low, hardly 1% or 2% compared to the last quarter base. I understand the 80%- 20% principle, which we are using to drive capital light distribution expansion but still, given that context 1% to 2% overall total store expansion, that number looks relatively on the lower side.
At the same time, if you can also help us understand that, like currently our total Coco store is 60%- 62% ballpark compared to our overall distribution. So at what level you think that, the current capital light aggressive store expansion that we are doing that is likely to stabilize. So what should be that ideal ratio, which is there in your mind? So just two questions on this distribution front, sir.
Management: The second part is easier to answer, which is basically, I actually missed your first part, can you just repeat that question please?
Varun Singh: Sir, first part is our overall store expansion is 1% or 2% every quarter?
Management: Your expansion has been 1% to 2%, okay, got it. So see the piece that is there is, and that is why I have been talking about capital efficient model is that it's a once you invest in a Coco store, it's a multi-year game, right? And it's not only the fixed cost that gets incurred by default because of that, it is also the capex that goes in which get amortized over, several years. So it is important that we are relatively conscious of where we go about it. So we have also been simultaneously. So what you see as numbers are net stores.
We have also been consciously of reading out legacy stores that we have not been, how do you say, enthused about in terms of future prospects. So that leads to a net control that we want to have. As I've said, our endeavor is towards getting the capital efficient model going, which is obviously the franchise model. That we have seen healthy additions, to the extent that it's almost 2x over two years, or two and a half years, I would say.
So that will continue to grow very fast. We will expand, so till about three quarters back, we were having net reduction on Coco. Now we feel confident enough that we can see expansion, but as I mentioned many times in the past, we will continue to see a Pareto skew towards franchise on that model. In terms of where can we take this, there are many ways of looking at it, right? So when we looked at, let's say for example, a strategy on EBO expansion, whether Coco or franchise, there are almost 700 what we call as targeted shopping areas that we want to be present in across the length and breadth.
We have also tied up with third parties to help us identify these locations as well as towns that we can take it to. Franchise has also allowed us to enter cohorts and consumer cohorts, whether

suburbs of large agglomerates or urban agglomerates, or in Tier 4, Tier 5 towns, where earlier a Coco model was not allowing us to profitably hit there.
What we are also wanting to make sure, because of this entire piece, is that we are going to be conscious of that, it is going to be a same-store growth that will give us long-term profitable

growth. So we are very consciously wanting to be sure that we focus on that also. But there is enough potential as far as the opportunities where we can penetrate with this.
Varun Singh: Yes, and about the ballpark number on the top of your mind regarding overall contribution from Coco?
Management: In terms of revenues?
Varun Singh: In terms of both distribution and revenue?
Management: So as I said, we will keep on expanding. Last year we have added almost something like about 120 stores. Primarily almost 110 plus came from franchise. We will see the Coco maybe expanding a little more aggressively now, but the ratio will not dramatically change. It will still be in the ballpark of 80%- 20%.
Varun Singh: I meant that, on a steady state or where do you think this number to stabilize over a long period of time, maybe five years, four year, six years time?
Management: It is difficult on that front because see India is also developing so towns and townships that were not suitable for us from attractiveness from setting up an EBO, whether franchise or Coco are becoming attractive. So I would say that, we carry a horizon and that horizon has got enough on the plate for us, right? So we will keep on updating those work that we do and as infrastructure

evolves, as the per capita income evolves, etcetera, as of now, we've got enough on our plate for the next three to four years.
Varun Singh: Got it. And sir my last question is on, there's a chart called weighted distribution in your presentation. If you can help us understand, how should we read or make use of these numbers?
Management: So I mentioned this, someone else had asked it about two, three quarters back. It's basically the primarily objective that we had, at the chart of this, at least the journey that I've been showing on the charts, right, about two years back, was to make sure that we've got large and potential distributors in loop with us. And we are not with people who might be decent size for us, but are not large from a potential access point of view, because that is the best way that we get a sense of how much access to outlets that they give us.
So this is basically a measure of telling us, what is the size and profile of the distributors that we are getting to from a potential perspective. As I mentioned, now we feel that, we have reached a certain level where we now need to start looking at our extraction as well as our retail control, which is the outlet that these distributors service. So that is going to be the next leg, and I'm sure we will be able to show you progress etcetera, on that front, which will basically give us much better extraction for distributor going forward.
Varun Singh: No, I mean if the number is 44%, so 44% means what?
Management: 44% of the footwear distributor potential that we mapped is where we have got a percent from a distributor engagement perspective.
Varun Singh: Understood, got it. Okay, sir, thank you very much. That's it for my side.

Moderator: Thank you. Our next question is from the line of Tejash Shah from Spark Capital. Please go ahead.
Tejash Shah: Hi, good afternoon. Thanks for a very detailed presentation and improving disclosure standards. So a couple of questions. So first, we have seen a lot of permutation combination of late in franchise model in the industry of late. So just wanted to understand in our franchise model, apart from capex, what does the franchise has to fund? And how do we account for margins that we gi

ve to franchise in P&L?
Management: I have explained this in the past, but I'll give it an attempt again. It is basically, it is an outright franchise model. It is capex from the partner. It is also inventory from the partner because it's outright. And we do give him a margin. I will not reveal it, but it's in the ballpark of about 30% to 35%. And obviously fixed costs are incurred by the partner for store operations.
Tejash Shah: Okay, and sir, the revenue that you account in your numbers, it is net of margins?
Management: Yes, absolutely. So it will always show up lower on the margin line. The way we look at, I have said this also in the past, the way we look at it is that for any targeted shopping area, when we want to evaluate between a Coco and a franchise model, we look at basically which model gives us much better absolute net profit per pair.
Tejash Shah: Okay, and so employee expenses also borne by the franchise?
Management: Sorry?
Tejash Shah: Employee cost is also borne by the franchise? What does he cover in the…
Management: All the fee cost of store operations are borne by the franchise partner. Including staff, yes.
Tejash Shah: Including staff, but the training and all you actually handle is…
Management: Yes, absolutely. Training, supervision, compliance, the software is our own proprietary software and several other things that would be part of compliance. Including, as I mentioned, the Net Promoter Score, which is basically in terms of measuring the consumer experience that the consumer sees in a franchise store. We have a control as well as obviously a governance mechanism on it.
Tejash Shah: Sir, second, we have expanded our sneaker collection to 560 stores. So are the SSG in this store much higher than the rest of the network that we have?
Management: For sure. Basically, and they have also outgrown our sneaker sales. While the sneaker collection in general has expanded across all our stores. What we have brought in these sneaker studios is put them all together with a much wider, obviously, sneaker collection. So for the sneaker collection, expansion, refresh, bringing in new styles, colors, etcetera has happened across stores. So, these sneaker studio stores have now over almost 18 month journey, right, have shown a distinct higher shift in terms of contribution of sneakers as well as obviously growth of sneakers.

Tejash Shah: But at store level does it contribute because when you are expanding this, you must be sacrificing some other collections also there in terms of wall space? So why not just to show up in SSD?

Management: Yes. It is, it shows up, so it is something that is accretive. It is also, please understand, it is also a fact of bringing and registering in the consumer's mind that this is the kind of collection and width of sneakers across usage and brands and price point that we've got to offer to them and that is what works for that consumer and that is where we have tasted success on it. So you might have still had those in various categories.

So the ladies and the men's category in the kids category, you will have it in let's say the power section somewhere and a non-star section somewhere but putting it all together, itself has a dramatic impact on the consumers, registration of the entire proposition. So that's also been one large piece of this entire Sneaker Studio story within the store.

Tejash Shah: Okay, and sir, a last one if I may. Sir, when we see all the reforms, all the initiatives that you have taken in the last 18 to 24 months may, and when we kind of reconcile that with the revenue momentum that we are showing, and then there is no syndicate data here, so I'll rely on listed universe, footwear players' numbers. We seem to be losing market share in listed universe also.

So just wanted to understand, where's the bottleneck that all the initiatives are still not reflect

ing
and kind of changing the growth momentum or trajectory over here?

Management: So I would say that it's a combination of many things. It's a price point that you play in, it's the usage occasion that has also seen some kind of a shift post COVID, right? So, and also the fact that, we have consciously taken a call on the Coco footprint, which many others have obviously been on a much more aggressive expansion. Eventually, these things stabilized.

And we had seen, obviously, the premium section running way ahead of what we had long-term seen in the last couple of years. We are seeing now that getting balanced back. So I think it's a question of some of these phenomena playing out over a certain time horizon. As long as we are confident of the thrust levers that we are working on that should help us gain profitable growth over the next, over a period of time.

Tejash Shah: Sure, sir. Very clear. Thanks and all the best.

Moderator: Thank you. Our next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead, sir.

Gaurav Jogani: Thank you. So my first question is with regards to the cost savings. We have seen your both employee cost as well as the other operating expenditure being much lower. In fact, it has declined on a Y-o-Y basis. So is this a conscious estimate on the part of the company, given that the focus on the cost of the initiative, which is start now to reflect? And can we expect similar cost savings in the future as well?

Management: So, yes, we've been talking on it and we have been working on it for some time now. It has started showing some efficiencies. So I've talked about, let's say for example, we have now done 3PL of the largest warehouse that we had in the north. That obviously is going to shave off a large part of our staff cost. Similarly, now this quarter, we will go ahead with a 3PL of our next

largest warehouse which is in the south. So all of these are basically efficiency drivers and many others. We did a small VRS in our factory in the south in December last year.

So all of these, we have done significant upping of incentive and variabilization of store staff expenses. So they are all leading up to productivity, etcetera, and as I said, some of the technology leavers that I've talked about, they will also lead to much better productivity in terms of even managerial staff and at supervisory levels. So an accumulation of initiatives, and we are very hopeful that they should only gain momentum going forward.

Gaurav Jogani: Sure. Sir, my next question is, with regards to this implementation of the merchandising software that you have talked about, so is it a possibility, that because of this software now being implemented, maybe there is some cleansing of the old merchandise that you are also taking along, and which is in turn possibly impacting your revenue growth in the near term. But as you said, the special merchandise will start hitting from the festive period, which in turn can also boost sales for us going there. So is that a right understanding?

Management: I, your voice got a little garbled in between, but what I heard you say was that this automated merchandising project that we are on, it is basically along with a platform globally renowned by Blue Yonder. The levers are right. They will help us be more efficient, not only aging, but also making sure that, we are able to plan for the right articles in the right kind of stores. Because the network is so large, we've got tried consumer cohorts that we cater to.

And therefore, making sure that we are able to customize to what a store in, let's say, South Mumbai in a mall is very different from the kind of merchandise that we need to offer in Dhulia, which is a store that we would be having there. And therefore, making sure that we are able to customize, therefore productivity of inventory goes up.

As an outcome of that, you

will be able to also make sure that you have lesser aging, etcetera
and therefore, much better efficiencies of the inventory side. So, yes, the benefits and the business case are on much better revenue growth, as well as because you're offering much relevant merchandise to the consumer core, and the other side is on inventory efficiencies.

Gaurav Jogani: Sure, so just a follow up on this. What I was actually trying to ask was that since this application has just got recently launched, would that also mean the cleansing of some of the non-moving inventories in particular locations, which could have possibly impacted sales for us in the near term?

Gunjan Shah: I don't foresee any near-term impact because of this going forward.

Analyst: Okay, thank you.

Moderator: Thank you. Our next question is from the line of Alok Shah from Ambit Capital. Please go ahead.

Alok Shah: Yes, thanks for the opportunity. The first one is, Gunjan, just wanted to check when the new product launch is made, how does the product travel across your different formats of stores, say

flagship, family, normal, distribution, franchisee, etcetera. So how does it go? Does it go all across the formats at the same time or how does the rollout happen? That's my first question.

Gunjan Shah: Okay, so I'll try and give you a couple of examples. In case it's a new format and a new product altogether. So for example, let's say when we had launched floats, which was something that we didn't have, either because of the price point, because we did have Ewa products, but with the compound that we launched at the price point that we launched, which was almost 50% premium to the rest of the products that we had, we were making sure that we initially launched it in about 20% of our network, and then because we are having relatively agile lead times, we could then expand it over a period of the next six months to nine months to now as I said almost about 90% of our network.

But now taking this parallel further, now we are launching and obviously we are investing in molds and therefore much larger designs and range and floats that we are doing it much more ambitiously and faster because these we feel much more confident. It is upgradations, new designs, value-addition, but the same DNA of the product of floats. And which we will, so floats 2.0 that we have launched, we have launched it at almost 450 stores in one shot. So then we become a little more ambitious in terms of how we go about launching it. So that is broadly the process. I hope that answers your question.

Alok Shah: Correct. So just an extension to that. So say floats is a new one. Say a range in North Star, right? Say, five new designs in North Star gets launched. So how does that rollout happen? Say, first to your store and then say after how many weeks, etcetera, to smaller stores of Bata COCO and then after how many weeks to franchising. I mean just wanted to understand that.

Gunjan Shah: Largely they would follow the floats 2.0 sample, right, which we will have -- see it also depends, Alok, on the price point that we launch it at. So therefore, there might be and now more-and-more store with the franchise network becoming large we are also wanting and developing since the last season, customized selection for those type of stores. So it can also be the bottom 500 stores this product goes, but doesn't go to the top 800 stores.

So there are various ways in which we skin it, also depending on the price point, but largely it will follow the model which is for products which are let say in the North Star updates, etcetera, new styles, colors, etcetera, we will then go much closer to 2.0 because then we are largely in the same DNA of the product. And therefore, you will go to a much wider set of our target stores in the first season itself.

Alok Shah: Got it. Fairly clear. The second point was on, consistently over
the last few quarters, you've been
mentioning about the growth in North Star, HushPuppies, Comfit, etcetera. That if you do some checks, it's coming to around maybe 45%, 50%-odd of your revenue. Maybe, maybe we could be wrong. So firstly, just wanted a clarification that what that number could be? And parallelly, then, if that is growing then what segment is growing at a larger rate and what is largely, the management strategy to address that decline?

Gunjan Shah: So if I look at it from the last about 12 months period because longer horizons are not handy in terms of the data available but let's say, these categories would be in the range of about 30%,

35% of a turnover, they have grown faster, right, for sure. What's happened is that there are the mass volume products that are there. And especially, as I've been mentioning it now for some quarters, we do see sequential improvement on those because of I think external environment as well as I think some of our internal actions, but they have been the ones that have taken the toll. So price points below INR1,000, which would be Sandak, etcetera, are the ones that have taken

some kind of a toll. Open footwear, volume products, etcetera.
Alok Shah: Got it. I have a couple of more, maybe I'll take it offline. Thank you.
Moderator: Thank you. Our next question is from the line of Chanchal Khandelwal from Birla Mutual Fund. Please go ahead.
Chanchal Khandelwal: Hi Gunjan, thanks for the opportunity. So the point which Tejas raised previously in terms of markets here, now if I look at from the organization you are coming from, Gunjan, ex-Britannia, you always we always saw that the market share was the utmost focus.
Now somewhere in last 24 months after you have taken off 24 months, 36 months now, somewhere you have taken a lot of initiatives but it's not reflected in the sales, it's not reflected in the same store sales growth. There may be a leaking bucket, but there's something which is going wrong. And plus, if Bata as a brand is not working on, you have multiple brands in the category and you are a net cash positive company. Why the focus is not on aggressive expansion now?
I mean, if I look at the market across vertical, there are companies who have been expanding retail in a very aggressive way. Somewhere we are losing that sales or market share. Any comments here? Before I ask another question?
Gunjan Shah: No, I commented on that with Tejas's question. It's on the same line. As I said, there have been different consumer segments as well as price points have been behaving in a differently post-COVID in a slightly acute manner. I think our initiatives are in the right direction, both from the areas that I've outlined on slide number six of nine, which we have been consistently working on. And I think once these even out over a period of time, we should see the games that we are all looking for.
Chanchal Khandelwal: Gunjan, what we are trying I mean, I'm asking it again, what we are trying is within the same store giving multiple spaces to various categories and trying it out. What I'm trying to understand is that why not try a few new formats and aggressively roll it out given the franchisee route or given the net cash you have and see the success. I mean correct me if I'm wrong, won't that play a better role because of the leaking bucket which we have?
Gunjan Shah: You are saying new banners? Is that what you are talking about?
Chanchal Khandelwal: Yes, new banners for them aggressively expand HushPuppies or aggressively expand some other banners you have multiple banners which you have tried in the past.
Gunjan Shah: Yes, sure, sure. So we are looking at them, but it's not easy to set up a banner, right? To make it accretive in terms of profitable growth and substantial enough, it is years of seeding that needs

to be

done and with some clarity of where it needs to lead up to. So we are looking at them, as I mentioned to you, we have seen the floats that we have put up, we have also tried out something on the wedding occasion piece which is under Red Label, etcetera. So these are all areas that are there, but to have substantial enough effect to show impact on the overall business, it does take, building over a period of time.
Moderator: Thank you. We move to the next question. Our next question is from the line of Falguni Dutta from Jet Age Securities Private Limited. Please go ahead.
Falguni Dutta: Yes, good evening, sir. So I have two questions. One is on the number of the pair of footwear that was sold volumes in FY ‘23 and Q1.
Gunjan Shah: I don't have handy, Falguni, the volume exactly, but it was flat over last year. So it's been largely volume driven. Basically, as I've mentioned, we have hardly taken any price increase in the last about eight months to nine months. So it's been a marginal price, ASP related impact. Blended all across, it's been about 1% to 2%.
Falguni Dutta: No, so this is you are mentioning for Q1, right?
Gunjan Shah: Yes, Yes. Is that the question you asked?
Falguni Dutta: Yes, so you are saying that in Q1, the volumes were more or less flat Y-o-Y. Have I understood you correctly?
Gunjan Shah: Yes.
Falguni Dutta: Yes, and another question is like broadly if you can just tell for FY ‘23 full-year, what was the number of pair of footwear sold?
Gunjan Shah: About close to 50 million pairs, about 48.4 million. About close to 50 million pairs.
Falguni Dutta: Okay. And sir, another question would be, is it possible to give a broad breakup of, like, Comfit would be what percentage of this or sneakers that way? A broad idea?
Gunjan Shah: Sneakers is about 20% of our turnover right, Comfit sits at about 7%, in fact 8% now because of the growth that we have seen.
Falguni Dutta: And any other any two more categories you can give on the which contribute higher. I mean, I just wanted to know broad breakup of the volume of the turnover also will do like you said 20% is sneakers.
Gunjan Shah: Yes, Yes. So I don't have it handy but I can give you HushPuppies that fits at about 20%.

Falguni Dutta: Okay. Thank you. And if by chance you have the number for -- can we take this number to be more or less flattish or no, no, it will be a bit higher in this volume for the -- if you were to break up into quarterly, four quarters, would you have the number for Q1 of last year or can you give us some sense?

Gunjan Shah: Can I request you, Falguni, to reach out offline to our investor relations and we will try and see how best we can understand your question and respond to it.
Falguni Dutta: Sir, would you have their number on the website or else I can just take the number on the call phone.
Gunjan Shah: I will reach out and if not available then we will try and respond to you. I don't have it handy right now.
Falguni Dutta: Fine sir, if you can just tell me whom to call to and whom to speak to?
Nitin: Falguni, Nitin here, I'll reach out to you.
Falguni Dutta: Fine, fine. Thank you, thank you so much.
Moderator: Thank you. Due to time constraint, that was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.
Gunjan Shah: Yes, so thank you everyone for your time and joining us. Looking forward to interacting with you again. If you have any further queries, you can direct them to us. We would be happy to answer them. Thanks a lot, everyone.
Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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November 14, 2023

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The Manager
Listing Department
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The Calcutta Stock Exchange
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Kolkata - 700001

BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Subject: Post Earnings call

Dear Sir/Madam,

This is further to our letters dated November 2, 2023 and November 9, 2023, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Thursday, November 9, 2023.

The same shall also be made available on our website i.e. www.bata.in

We request you to take the same on record.

Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP-Company Secretary & Compliance Officer

Encl.: As above

Bata India Limited
Q2 FY ’24 Earnings Conference Call
November 09, 2023

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. ANIL SOMANI – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA -- COMPANY SECRETARY – BATA INDIA LIMITED

MODERATOR : MR. GAURAV JOGANI – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Bata India's Q2 FY24 earnings conference call hosted by Axis Capital Limited. As a reminder, all participants live will be in a listen -only mode and there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Gaurav Jogani from Axis Capital.
Gaurav Jogani: Yea, hello everyone. On behalf of Axis Capital, it is my pleasure to host Bata's Q2 FY24 earnings conference call. From the management today, we have with us Mr. Gunjan Shah, Managing Director and Chief Executive Officer, Mr. Anil Somani, Director Finance and Chief Financial Officer, and Mr. Ni tin Bagaria, Company Secretary. Thank you and over to you, sir.
Nitin Bagaria: Thanks, Gaurav and Axis Capital. A warm welcome to all of you. We have Gunjan, who is our Indian CEO. We have Mr. Anil, who is Director Finance and CFO. We have shared the presentation with the stock exchanges a little while earlier. We will be taking you along the presentation on this call. We will navigate the slides as well as the page numbers to stay connected. On slide number two, we have the disclaimer. I'm sure you have gone through the same.
I hand over to Gunjan now and thanks again for joining. Hi, everyone.
Gunjan Shah: Hi, everyone. I hope you all are getting my voice. So, I will then start off on slide number three, which is the layout of the entire short presentation that we have for you. And then we will open up for Q&A.
Moving on to the next slide, on some big highlights, before we get on to some operational highlights, the footprint extended to about 2150 in terms of points of sale. We did also in recent past conclude the strategic alliance with Global Brand 9 West to en hance the global style offerings to Indian consumers. Sneaker Studios continues to expand to now almost 600 and plus stores.
Floatz has our casual washable footwear offering, which was started almost about two years back, continues to keep ramping up every quarter. And we are now backed with further manufacturing investments, etcetera. We feel very robustly on it and that contin ues to grow well.
And our technology investments are on track. HbM has already gone live and the merchandising tool has gone live. And the other big piece, which is the ERP, is on track and scheduled to go live as per plan in quarter four of this year.
Moving forward, the strategy chart, as I have mentioned, basically driving portfolio evolution. And I will talk about each of these in some detail going forward in the subsequent charts. Retail excellence, both expansion, renovation, as well as basically i n terms of multi -brand outlets.

The third is basically in terms of investments behind Bata Brands to ensure that we bring in saliency on the brand as well as connect with the youth and drive style imagery. E -commerce and therefore digital footprint continues to expand and has been outper former in a relatively

muted quarter that we had. Making sure that the supply chain becomes more and more agile and efficient.
There were a couple of large projects that we have implemented. One was an exceptional item, which is there under VRS as well as in one of our units. And also installation of a significant engineering capability on the IMEVA, which should, amongst others, basically also fuel the float scope.
Staying nimble on costs, overarching all across the entire value chain and trying to bring in variabilization to cost structures. Last but not the least, talent process and technology. I mentioned a couple of projects on that side that have moved

forward.
Anyways, I will talk in the subsequent charts. I will quickly move on to slide number eight, which is point of sale. We continue to expand. It's a consistent trajectory, but however, a very prudent trajectory. And I think it stands us in good stead. It's a good mix of COCO Stores, which I had mentioned about three, four quarters back that we have now added net COCO Stores additions, but in a prudent manner.
We will continue our significant expansion on the franchise store additions. There will be obviously additions that we do, which is the smaller ones, which is on SIS. What we have also opened up in the last quarter with some different additions and which should be resulting in much better trading density and sales per square foot is the pop -up stores.
We've opened almost now 10 pop -up stores under the float spanner, one under Hush Puppies also. And these are basically ranging from about 100 square feet to about 250 square feet for Hush Puppies. And we are having strong ambitions going forward on that fr ont. This addition will continue. However, as I said, COCO versus franchise will be in the ratio of about 80 -20 at a ballpark level.
Next chart on slide number nine is on franchise specifically. I think I had stated that basically by FY25, we wanted about 500 stores. Until three years back, we were less than about 150 or so. You had consistent trajectory as you can see. And that traject ory continues. Last quarter was relatively a little lesser than what I would have expected. But we will see again that ramp up.
I think it's a temporary, how do you say, number that came below 30. But otherwise, we've been adding in the range of about 30 plus every quarter. And we would like to continue that. That fueling continues. We are also now on that front, not only enhancing the bandwidth and therefore the pipeline from franchise additions, but also now moving towards making sure that existing partners open more and more stores. Right now, almost 40% of our new store openings come from existing partners.
We want to ramp it up to almost 60%. And I think that's a good sign that basically partners that are people who understand Bata, people who understand the category are the ones and therefore they mature, those two new stores mature much faster and they are able to realize benefits much

faster. On the multi -brand distribution business, while it has been a muted on that front, last quarter, the platform continues.
As I had mentioned, we will now be, and as you can see, and I will talk about it a little more in subsequent quarters also, we will be now wanting to look at depth and extraction. And there are two large levers that we are working on that front. One is on specific categories where we feel that there is a right to win as well as, you know, how do you say, sizable, you know, potential for revenue.
And within that, I think ladies' value added, plastic value added as well as sports is something that we have made some significant seeding. We have seen some very good response. I don't think it has been commensurately impacted on turnover yet, but we are hopeful that in the ongoing quarter as well as the subsequent, we will start seeing benefits.
I think there is a very large benefit there. The second piece on extraction, which is not mentioned here in the chart, but we will track for benefits and therefore share with you, is on control on secondaries and therefore outlets. We are investing in, you know, in technology, in key retail outlet programs, as well as, you know, feet on street, which gives us much better ability to control the way butters presented and showcased to consumers in multi -brand outlet environment, and therefore enables secondari es and therefore better extraction from the kind of distribution reach that we have now made progress on.
So that will be a big pivot that we will see

within the distribution business going forward.
Moving on to slide number 11, digital. I think it's been relatively outperformer, though I think the growth rates would have got a little muted while it's been str ong double -digit growth, would have got muted because of shift of season, and that's obviously a spillover that's gone into October, etcetera, as the partners also started taking in their inventories, but I'm sure it will all

flow back into this quarter. I t is also backed by a couple of other initiatives besides marketplaces. We have also ensured that we are now penetrated into additional accounts like Tata CLiQ, Nykaa, etcetera. We have also seen some encouraging response.

We have transitioned from butter.in to butter.com in the last quarter, and that has given us some significant benefits of scale that comes from search engine optimization, etcetera. And last but not the least, the Omni -channel business, which is a signific ant addition in addition to the pie that you see here. We do now almost 4% to 5% of our retail turnover coming from Omni -channel, and that has now been, it was with a toe being done in the COCO business.

Now it has been also the model has been fine -tuned for the franchise, and out of the about close to 500 franchise stores, 300 have been enabled through the home delivery channel. Moving on to slide number 12, what we see here is the campaign that we have d riven during this quarter. Some of them were towards the lag end, so I think I'll take them in the reverse sequence. Basically, Power Apparel is what we launched as a pilot. I talked about it. Power Apparel continues to give encouraging response in the pilot stores of 60 stores that we had launched it in, 62 stores. It is now contributing to almost about 2% to 3% within that range across these stores in terms of same store growths. Our ambition is to make sure that as we get the learning

right on one, two fronts, there are several learnings that we have seen. One is on the merchandise front in terms of colors, styles, what works, what doesn't work, the mix between bottoms and tops, ladies and gents, etcetera. And that is something that is being fixed as we replenish the merchandise, etc. The second piece that there is also how is it positioned within stores. There are several learnings within that.

Wherever we have positioned it slightly back end of the store or at the next level, etcetera, we've not seen the similar impact. Therefore, those corrective actions have been taken. In some cases, we have also modified the stores. Our objective on Apparel is to make sure that while the size of the category is large, we get our complete understanding right before we scale it up and leverage across our network. And the thumb rule for that, which I have set for the team, is that we need to see 4% to 5% same st ore growth from Apparel contribution to the store sales, which gives us a good understanding that we are consistently able to scale this up going forward. So we are well on track on that and we'll update you regularly.

We did run obviously the entire campaign, which is now into three parts, which was Pujo, Red Label, Casual Style campaign, all under the ambit of every walk is a ramp walk. The strategic direction that we wanted to drive through this campaign, it is a very large campaign. It's ongoing as we speak also.

It has been towards driving the style quotient on led by Bata Red Label and obviously the entire portfolio of brands and products that we offer. It has had a very good response and you will see that in the highlights when I talk about certain categories on the style quotient, etcetera. Moving therefore on to basically the next chart, which is on key categories that have done relatively well in this otherwise muted environment has been North Star, continues to grow in double digits. Comfit continues to grow in double

digits. Hush Puppies show some moderation on a maybe
elevated base on the premium front last year, but continues to still be accretive in terms of growth. And Floatz I've already talked about. There is not only growth ove r last year, which are very attractive, but also sequentially. It also comes at a significant delta margin, which will further get enhanced as we get the in -house manufacturing for Floatz going.

Therefore, then moving on to slide number 14 is some key business highlights is basically gross margins saw some prudent management during this quarter. A combination of basically managing the obviously the channel mix in a way, but more importantly discou nts as well as inventory management. And I think that showed up our inventories are actually in a place where we feel very comfortable. And I think it's in the right mix.

And hopefully adding the merchandising tool that we have automated all across which is getting rolled out in this quarter will give us further benefits on much more agility on inventory management. So I think that's one thing that would be a highlight that I thought I'll share with you. Red Label, the style first brand from the Bata banner, I think has been exponentially growing. I'll beat on a low base, but now the bases are no longer small. It contributes just the Red Label brand itself contributes to alm ost now 4% of our turnover. And we're looking at that continuing to grow and fuel the entire style imagery.

In addition to obviously, associations that we have with brands like Hush Puppies and now even Nine West going forward. I talked about this, which is the IMEVA capability machine. It is

about investment that we have done and we have installed in part anoth er and should significantly enhance not only our understanding of this entire product, but bring in significant agility in terms of bringing innovations as well as the freshness into this entire category.
It's been successfully commercialized and we will see commercial production coming out of it in the next few weeks. So it will fuel this entire thing of Floatz, which is basically now inching towards almost 16,000 pairs per week kind of weekly sale. And we are now wanting to push that even further.
As I mentioned, we have also opened up the entire concept of Floatz as an independent brand outside the Bata banner with the Floatz pop up stores. We are now in almost a dozen locations, actually 12 as we speak and ambitions are to take it as fast as possi ble to about half a century.
As we expand our range, bring in much more innovation, etcetera and fuel some of it because of the investment in the back end, we will see this entire thing spawn off even larger as the response goes. In addition to that, we al so had a Power apparel that was stabilized, which I've talked about.
We also had significant success in the Power Step & Go category.
While we ran out of stocks on that front, but there is active work happening in the next few weeks, we should have stocks getting replenished on it. We had a very exciting response. It was that ASPs, which are 2x of the Power ASP itself and which is, which itself is 2x of the Bata ASP.
So we feel very excited about that category going forward. And Omni business I've talked about, I think it continues to ramp up, it continues to help us manage. In fact, that has got a very strong correlation not only to consumer satisfaction on one side, but inventory management on the other side.
It gives us confidence to tightly manage inventories because we can drive this entire home delivery channel even better going forward. On consumer facing, we are in the process of rolling out brand stories across a very large scale. We've done pilots to so me exciting response, primarily anchored around comfort, around the show, as well as around power.
And we will want to see Android label, right? So we will

see this now scaling up. This quarter
should see about close to 400 stores getting impacted by these, where you have the story that along with a connection coming together and talking to consumers, w e will see next year that going into almost about half the network, which is about 600 to 700 stores.
Customer complaints and therefore quality remains under control and a good trajectory. And the store experience score that we keep tracking is at elevated levels, at an overall level between Bata and Hush Puppies. Hush Puppies obviously at the premium side is even higher in the plus 50s band.
On other highlights, PIS, which is in the offing, I think the notifications are out. There are further clarities that are emerging. I think the government has been reasonably helpful on this entire

front in making sure that people who have strong domestic manufacturing capabilities, they are enabled and we are well on track.
Several of our source base and manufacturing sites have got certified, and we are well on track to have a very smooth transition into PIS. 3PL implementation, part of the entire variable is variableization of costs is now stabilized in the north depot and shortly we will be going live in one of our largest southern depots. So that's something that should give us continuing leverage going forward.
VRS I have spoken about. We have launched VRS about four months back. We had in one of our south units and that is something that is tracking well as per the plan and which should give us significant leverage on our agility as well as upgraded capabilities which were hitherto not available in that existing factory of ours.
The variable incentive structure continues to progress on the retail storefront. We have now launched a temporary program in last quarter as well as this quarter, which takes up this entire piece to a desired level of at least 30% and which based on respon se that we see and some modifications, we would like that 30% variableization of store remuneration to structurally get impacted from next year onwards as a continuation.
Last but not the least, corporate social responsibility is not only in regulatory compliance but also a purpose that we carry across from Bata as a philosophy and one of the cornerstones of that is employee voluntary and we achieved a significant milestone on the Bata founder's day, which involved all our employees contributing a thousand plus hours dealing on that day itself.
Moving to slide number six, the financial highlights. As you can see, revenues were muted at about -1%. I think EBITDA came in relatively stronger at about 12.8% growth. This was, as I said, a combination of two, three things. One is student management in terms of cost margins. I think we did make sure that we were extremely diligent both in terms of the kind of mix that we were selling, pre miumization that we were driving for, as well as markdowns and discount and

promotions and that finally got leveraged into basically profit before tax.
In addition to that, there were significant initiatives across the organization on cost efficiency. Some of them I've talked about in my previous chart. We did have an exceptional item that gave us a hit of about INR41 crores related to the VRS that I talk ed about in South Bend, resulting in a depressed back at about INR24 crores for the quarter.
That brings me to the end of my small presentation to you all. Thank you so much. More than happy to take questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from Nihal Mahesh Jham with Nuvama. Please proceed.
Nihal Jham: Good evening, Gunjan. Three questions from my side if I could take it. On the growth part of it, you did allude to that there was a shift in the festive feeling. Would it be possible to get more sense on that from the perspective

of what was the for the q uarter ballpark and what, in your opinion, was the impact in the shift in the festive one -year performance?

Nitin Bagaria: Nihal, you said SSG, what? Can you just repeat that question, please?
Nihal Jham: I'm so sorry. I was saying that I was looking for what was the ballpark SSG for this quarter, given that we've done quite an aggressive store addition versus last year. Also, excluding the impact of the shift in the festive, what would our growth have look ed or SSG either way you want to comment on it?
Gunjan Shah: I think, basically, the piece that is there is on store additions. I have mentioned this because a large number of them come from a franchise, so it cannot be numerically added in terms of weightage. However, on SSG, we were at basically in no single digit s negative for the quarter.
Nihal Jham: What would have been if the festive would have not shifted? What, in your opinion, would have been the growth like if you could just give a sense of that?
Gunjan Shah: Should have been positive in our estimation. However, we will have to wait and see how the entire follow -through happens. There is some early signs of impact of the festive season coming through as well as obviously the campaign and initiatives, etcetera. But we'll have to wait and watch on that.
Nihal Jham: Thanks, Gunjan. Gunjan, the second question was on the 9West app that you announced a few days back. If you could just give a colour in terms of, I think Nine West doesn't have its own EBO network, so is it going to be rolled out across our 1700 stores? An d what is the kind of revenue potential we are looking at, including margins, manufacturing for that also?
Gunjan Shah: I've understood it while I think the voice got a little muffled. But basically, what you're saying is that what does this entire piece on Nine West entail? So Nine West is roughly about a billion -dollar -plus retail sales brand globally, with obviously a si gnificant part of it coming from the Americas.
It stands for fashion as well as youth and a combination of that and therefore bringing in on -trend styles. And that's the leverage that we are looking for at the premium end and at the youthful end. It is a manufacturing as well as a licensing arrangement . It's the full license arrangement, exclusive for the market of India and therefore will be applicable across our business channels. So whether it's the COCO, whether it is our franchise, whether it is e -commerce or whether it is the multi -brand outlets a lso, potentially. We will fructify this entire piece in terms of actual rollouts, over a period of time.
But basically, the point is that we will want to expand this across the network as applicable. And by far, the first and foremost will be making sure that it starts rolling out in our top stores, etcetera. But over a period of time, we will see what's the appropriate level of penetration, as well as eventually even bringing in EVOs, etcetera., which is also part of the licensing arrangement.
Nihal Jham: Do we have online sites also for this?
Gunjan Shah: Yes.

Nihal Jham: This is one last q uestion from our side. And Anil, this will be referred to you that if I look at our annual report, I do notice that our rental expenses have increased significantly versus last year. And I don't think , we've added that many E BOs, both from the reported and a cash basis. So any specific aspects there to be add about?
Gunjan Shah : Nihal, if you can just be a little slow on your question, there is some muffling noise coming, so that we can understand the question.
Nitin Bagaria: So your question was in the last annual report. Can you repeat, Nihal, please?
Nihal Jham : I was asking that , when I was looking at a rent cost for this year, both on a cash and a reporte

d
basis, I see quite a significant increase on a per square feet basis. Just wanted to check , what is the reason for that, if you could highlight the same.
Gunjan Shah: You're assuming when you say annual report, you're talking about FY '23 versus FY '22, is that right?
Nihal Jham : Absolutely, yes.
Anil Somani: Okay, so there are obviously one reason, and I will be able to provide more details. But in that year, it was a non -comparable period. In the previous period, many of the retailers, including us, got the benefit of the COVID impact. And as a result of it, the numbers are not comparable.
Nihal Jham : So maybe I'll connect offline to get more details on that.
Anil Somani: Sure.
Nihal Jham : Thank you so much.
Anil Somani: Thank you.
Moderator: Thank you. Our next question comes from Girish Pai with Nirmal Ban g Equities. Please go ahead.
Girish Pai: Yes, thanks a lot for the opportunity. Gunjan, we have been speaking about Bata India becoming a sourcing point for Bata Global for its footwear needs. Where are we in that journey? Can you just give some update on that?
Gunjan Shah: Yes. So the journey continues, Girish. Actually, now we have most probably done this year a significant start to it by exporting to almost something like about, half a dozen countries of the Bata footprint. The piece is progressing as per plan. It is also now working on basically also ensuring that whatever was getting connected, there were separate teams that were also sourcing for Bata. That is also getting merged and therefore getting supervised in. And I would say that , this is working pret ty aggressively.
And we will keep updating you on that front on how we progress on that. We should be looking at most probably this year under our supervision, we should be looking at about a lakh pairs going out of from India. And even more ramping up next year.

Girish Pai: My second question is on Nine West. From a brand perspective, do you think it could become as big as HP or Hush Puppies say over the next five years to 10 years?
Gunjan Shah: That's exactly the kind of ambition that we have. We do see potential in it. We do see exclusive, how do you say, understanding on styles and therefore style quotient coming through. And obviously, some amount of heritage, as I mentioned, of the global parentage coming through on that front. And that's the whole objective of what Hush Puppies has done largely on the men's side, while Hush Puppies now has almost 30% ladies contribution. But on the fashion side, etcetera , that's what we are expec ting Nine West to deliver to us.
Girish Pai: And what has been the recovery on the mass segment side, sub INR1,000 price point, a sub INR500 price point? Those were like weak areas of our business. Has that recovered?
Gunjan Shah: I would say that there is still a mixed bag on that front. We have still not seen a secular recovery on that front. I think also we have tried to, we have also consciously tightened up our purse strings, both in terms of, outstanding as so credit periods, as well as in terms of discounts.
And I think that might have delayed it a little. But my sense is , we are hopeful that I think it is sooner -rather than later actually start converging now in terms of premium versus mass. So that should, as I have been mentioning several quarters now, that these are cycles and we are hopeful that the cycle is showing signs of balancing out.
Girish Pai: My last question is on the COCO part of the business, which is still a fairly substantial part. What do you think should be the growth rate one should be pencilling in and how much of that would be ASP driven, in your opinion over the next three years , four years?
Gunjan Shah: So on the COCO part, we see basically the point is that , we would like to see high single digit safe store growth. And half o

f it should be coming from, premiumization, I would say, not price increase. Price increase we have largely saved up from for almost now four quarters to five quarters and half of it coming from bearish growth.
Girish Pai: Okay. Thank s a lot.
Moderator: Our next question comes from Varun Singh with ICICI Securities. Please go ahead.
Varun Singh: Yes, thanks for the opportunity. S ir, my first question is on the premiumization bit. So where do we currently stand in our overall sneakeri sation and premiumization journey? Because ever since we started setting up sneaker studios in our stores, it has been more than seven quarters , eight quarters. At the same time, our pace of, adding sneaker studios in stores, that has also fallen down significantly since last two quarters. I mean, hardly 30 or 35 to 45 stores is what we are adding up. So ca n you please give some understanding over there?
Gunjan Shah: Yes. So, Varun, basically the entire piece, there were multiple legs to this entire sneakerization story. So if I dial back a little, almost about 18 months to 20 months back is when we started this entire sneaker studio concept, which was bringing across the entire offering of sneakers under

the Bata banners together and make sure that it impacts the consumers.

That was the first leg that fired off. The next piece, I think very closely, but I think came with a slight lag of about, let's say, a quarter or two quarter was basically entire merchandise and bringing in basically fresher styles, etc etera . Largely driven through North Star, and which is what basically is what I highlighted is driving it.
I think the piece that we are now wanting to basically drive this even further is going to be making sure that Power comes alive. And therefore, as I talked about, I think bringing in not only the Power products through, I think some of the work that we have been talking about in terms of technology, etc etera and bringing in unique propositions, which is that we want Power to stand as the, how do you say, democratizing fitness and technology is something that you will see fructifying over the next few month s.
And that's where the next leg that we see on this front, what will also happen along with this is that we will want to make sure that Power also is going to be the anchor of our proposition to consumers from a brand perspective. And we will see significant investments coming through on that front also. So we had sneakers studios, we had unlimited sneakers as a campaign, which was bringing a life to consumers and registering it.
That gave us a big shift in terms of almost 400 to 500 basis points in terms of contribution of sneakers, making sure that we bring in lifestyle and therefore much better styles and colors under North Star. And I think the next journey or leg of the journey will be Power. So that's how I see this journey on sneakeri sation.
It will continue. I don't see any reason why we should not be participating because this is the fastest growing. And I think there is still a lot of backlog that we need to clear on this front.
Varun Singh: Understood. S ir, actually my question was that in how many more stores we want to implement this program or are we largely done with regards to how many stores we would have aspired?
Gunjan Shah: No, I got that. I missed answering on that front. So the initial piece when we did the sneaker studios was basically driving this across obviously our source. What we are now doing is that we are now doing it along with the entire innovation so that it becomes more efficiently. So yes, you are right in terms of seeing that the pace of the sneaker studios is going to now come at a slightly lower level. But I thin k the Pareto contribution stores, etc etera, have been activated. So now the next fev er is basically in terms of merchandise as well as brand propo

sition, etc etera, to
consumers, which is what I commented on. But you are right in your observation.
Varun Singh: Got it , sir. Very clear. And sir, a follow up on this is what would be our revenue contribution from sneakers as on today and compared to maybe like a year back?
Gunjan Shah: So from two years back, we would be about 500 basis points higher. From a year back, it would be slightly muted. And that is largely because the piece that was there in terms of Power is still to be completely slipped . I think in September onwards, once the S tep&Go, etc etera . so the merchandise started filtering in, we have started seeing that coming back. So about 500 basis points over two years.

Varun Singh: Understood. And sir, my last question is like on the premiumization slide, we see a strong growth in almost all the brands, excluding Hush Puppies compared to last quarter, 5% growth. So like what explains this relative underperformance in this brand?
Gunjan Shah: I think it's also that Hush Puppies saw extremely high growth last year. Varun, basically saw extremely high growth. I think there was some amount of COVID and maybe post COVID bounce that I think might have resulted in some mute dness. But our ambition on Hush Puppies, in fact, I think this year, we are likely to exit December with about 120 plus stores of Hush Puppies and next year is goin g to be even stronger addition.
So a large part of this addition that we are talking will start also now Hush Puppies will have a significant contribution. The other big piece that we are also going to invest in Hush Puppies is renovation of stores. A large part of the renovation that we have done have been in Bata stores. Hush Puppies has not been invested in as much from a store experience point of view and that will undergo a big change.
The first new concept has been opened in Southern India , in Kerala and there will be a whole bunch of work that's lined up for the next two quarters. So Hush Puppies will continue. This quarter might be an aberration.
Moderator: Thank you. We now are going to have a question with Mr. Gaurav J ogani. Please proceed.
Gaurav Jogani: So my question is with regards to, if we see that while the premium part of the portfolio is seeing good growth rates, both Floats, Hush Puppies, even if I consider the base, and the North Star

piece as well, which means that the value end of the segment, is it declining in high double digits or maybe mid teens kind of a number? Would that understanding be right?
Gunjan Shah: And especially when you look at the one that is below INR500, yes, you are right. But as I mentioned to someone else just a few minutes back, we are slowly seeing that now narrowing down the gap that we had, let's say about three quarters , four quarters back of premium significantly outstripping the mass. I think that the tr ends are now slowly converging.
And that I mentioned it , that these go through cycles, and we are hopeful that they will, how do you say the mass market should also start bouncing back. I think consumers have seen a lot of inflation, we have taken up prices, let's say two years back or so, one and a half years back. We have very consciously stayed away at a very broad level of any price increases for almost now four quarters , five quarters.
And we see raw materials stabilizing. And therefore, I don't foresee that consumers will get a little more comfortable in terms of the decrease in expense coming over, provided the overall macros work well.
Gaurav Jogani: So, sir, my follow up question to this is, given the fact that in the morning on the TV interaction, also, you mentioned that you will be targeting double digit growth rates. And if I have to bifurcate the growth rates between, the premium portfolio, and t he mass end of the portfolio, how would you'll be looking at , be t

he mass portfolio now given a low base to grow a bit higher,

and the premium portfolio, maybe take a little backseat, or both will continue to grow at the same pace?
Gunjan Shah: No, both will continue to grow. I would say ye s, there might be a quarter or so , where there might be some rebalancing, but at a slightly more medium term, which is where my commentary was, I would say that our premiumization journey will continue. And therefore, I don't see why premiumization, a premium part of our portfolio should b e at least 1.5x of our overall growth.
Gaurav Jogani: Sir, on answer the second and the last question, is with regards to the growth rates, again, I mean, I understand, that the addition largely has been on the franchisee part of the business, which is again, a lower contributing in terms of the reported numbers. So if you can bifurcate for us, what kind of growth rate drag you see from the franchisee piece of the business in the overall numbers?
Gunjan Shah: Okay, so I think while there, while even at the end, so we track growth rates of franchisees at multiple levels. And now the network is large. However, as you rightly said, and as I mentioned it, the reported turnover that comes through comes to a discount ed level, right. And these are smaller consumer cohorts, which I thought we could not access to through a COCO format. So all of this I've spoken about. Notwithstanding that it's now becoming reasonably sizable, it is now close to double digit in terms of contribution to our sales.
And we are looking for basically this continuing to expand significantly going forward. It is, inorganic and organic combined, it is growing in very high double digits for the last several quarters now. It's also, as I mentioned, significantly upgraded fro m a capital as well as fixed cost perspective. And therefore, from our EBITDA level.
Analyst: Sure. So just one clarification, when you say double digits, you mean the SSG growth rates or the overall growth rates?
Gunjan Shah: Both. Last quarter, though the SSG would have been still positive, better, but it would have been a little more muted, considering the overall discretionary demand. But let's say over four quarters, it has been in double digits on SSG also.
Analyst: Sure. Thank you. And that's all from me, sir.
Gunjan Shah: Thank you.
Moderator: Thank you. Our next question comes from Abhishek Getam with Alpha Invesco . Please proceed.
Abhishek Getam: Thank you for the opportunity, sir. So my question is, I wanted to understand our strategy and initiatives on Tier 2s and beyond. So I do understand our renovations and sneaker studio launches and pre -management for Tier 1. But how are we looking to grow in Tier 2s and beyond?
Gunjan Shah: Okay. Can you just, Abhishek, repeat that question? It was a little muffled.
Abhishek Getam: Yea. I said it's very heartening to see our sneakerization and pre miumization story. But I was asking, how do we look to grow in Tier 2? What are our initiatives and strategies for that?

Gunjan Shah: Okay. So multiple legs, Abhishek, on that front. So first and foremost is what I was just talking to the previous caller, which was on the franchise expansion, a large part of the franchise expansion. So let's say, for example, over the last four quarters, we wo uld have added almost about 120 -odd store s in franchise alone.

I think of almost 90% of those have come in Tier 3 and below towns. Right. And that's where in many of these towns, we are the first branded store of footwear that's opening up, et cetera. And that does give us inorganic first mover advantage on that front. The A SP at a retail price level of these stores also is not very different from our COCO ASPs , but at about 20% lower than our Metro A SPs. So it's not so low.
At a marg

in level, in t erms of profile of products, et cetera, it is reasonably at par, leaving aside obviously the fixed costs and the capital costs leverage that I get on the franchise model. So that's on one side, which is expansion, sustainable, profitable side.
The second piece is basically that we want to also make sure while we are now devised mechanisms of trying to track, and there's been a lot of effort, especially post -COVID of driving newness and freshness into our stores on regular season and within season drops. We are now wanting to percolate it down the top strata, down to the last, even the COCO store as well as which go down the tier. Therefore, making sure that e very season, at least 20% of the portfolio across each category minimum is refreshed and therefore consumers see freshness.
The last piece that is there in this is this entire Omni piece, which opens up the entire portfolio of Bata without me having to necessarily invest in inventory all across all styles and all sizes. And which, as I mentioned in my presentation, that we are not only now successfully penetrated across the entire COCO network to a significant level, but also now opened up the entire franchise network to it, which allows the franchisee to also access the entire portfolio of ours without having to take the risk o n some slow moving or high premium articles. So premiumization will also be driven down top strata, leveraged by obviously, as I said, freshness, etcetera .
Abhishek Getam: That's very heartening to hear. I just wanted to understand that just to get the number right, in Tier 2 and beyond or Tier 3 and beyond, our A SPs would be roughly, or most of the products would be open footwear ? Or how would that mix be?
Gunjan Shah: I don't have it handy in terms of, did I hear you right? Open footwear?
Abhishek Getam: Yea, I mean, I was thinking that more towards open footwear sales in those areas , in Tier 2 region?
Gunjan Shah: I don't have it handy. My gut feel would be yes, it might be a few percentage points higher, but not significantly. Yes, to the premium Top 100 stores, my open footwear would be significantly lower. But overall, let's say metro and Tier 1 towns, and let's say , Tier 3 and below, the ratio will not be significantly different. But AS Ps would be obviously the merchandise mix, etc etera . would be a little more different. And that's what I mentioned. That's about 20% ASP lower.

Abhishek Getam: Right. And assuming that ASPs in this town or cities would be around 5 00, 600 for us, is it? I mean, you did say that it is almost at same profitable level for COCO and franchisee , but could you give some light on the numbers on the margin side?
Gunjan Shah: Okay. So one is, let me correct it. Our overall ASP of the retail network is in the range of about INR1,000 now. Right. So it's been a premiumization journey that continues. Within that, I think the Tier 3 and below would be in the range of about, some rule about INR800. So it's not, you know, the INR500 or INR600 that you mentioned. The margin profile is similar. Maybe it's about 20 basis points lower. So it's to do with, the product profile is different, right? So I'm saying the amount of va lue addition that I do in the product, and therefore the price that I charge from the consumer is the equation both and therefore the margin is still reasonably stable.
Abhishek Getam: Understood. So thank you for the detail ed answer . The last question, to grow more or to grow more on the touch points side, in the, all over India. So do you think opening and franchising would be the way ahead or going via MBOs or partnering more with distributors is the way to go ahead? I'm going on a large, larger base.
Gunjan Shah: Yea. Yea. No. So, see, I think there is opportunities, both ways or actually three ways, right? Two, you have mentioned, which is fran

chise and MBOs. There is this entire piece of online,
that is a third channel and that's very important. And I think overall is also a very large focus. And I think that will especially some of these muted times will help us is focused on same store growth. So all three or four of them will be worked upon and are part of the priority that I just mentioned when I showed the top levers in my presentation.
Abhishek Getam: Right. Sorry. Additional question to that is, j ust for the next one or two years, growing on individual store basis, I mean, growing on Bata stores, it is still be a profitable business for our franchise, right , in Tier 3 or beyond ? Even our growth goes [inaudible]. Understood. Thanks.
Moderator: Thank you. Our next question comes from Ankit Babel with Subhkam Ventures .
Ankit Babel: Good evening, sir. So my first question is just a clarification. You did mention in your TV interview today that y ou are targeting a double digit growth. So, are you targeting this group

even in this year, FY '24?
Gunjan Shah: No. So my comment was on what's the medium term vision that we carry. And that is obviously that we want to make sure that we have a double digit growth, a profitable growth is what I mentioned. Right. So, we will stay with it. That's the vision and the levers and the plans that we carry. As I mentioned, like last two quarters, we've seen obviously some up and downs, so those will correct for themselves, but we will stay with that vision.
Ankit Babel: Okay. And second is the INR5,000 crore revenue target for 2025. Just a clarification, this is a calendar year target or, I mean, like FY ‘26 target ?
Gunjan Shah: I think this is some quick calculation that, journalists does at times. So, Ankit, but, we will stay with our vision of double digit growth. So that will eventually translate to INR5,000 crores at the right time.

Ankit Babel: Okay. And last question is, sir, once you achieve this double digit revenue growth in the medium term, can our margins be back to the pre -COVID levels?
Gunjan Shah: We don't give forward -looking forecast. The reason that I mentioned also on this commentary that I made on the revenue growth perspective is to just say that these are all the various levers that we'll work on, which should show us, basically impact in that form. We always, as I mentio ned, we would like to have sustainable, profitable growth.
So our desire is to make sure that we maintain margins as well as be prudent about it, even more so in these tough times that we have seen recently. All the more reason, as I mentioned in my presentation at the start, that we would like to be very consciou s of various fast lines, both fixed as well as variable.
Ankit Babel: Okay. Thank you, sir.
Moderator: Thank you. Our next question comes from Sanjeev Pandiya . We apologize. We didn't receive his audio. As there are no further questions, I would now like to hand the conference over to the management for its closing comments.
Nitin Bagaria: So thank you everyone for joining us. Looking forward to interacting with you again. Thank you everyone. Thanks forum .
Moderator: Thank you. On behalf of Axis Capital Limited, that does conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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February 9, 2024
The Manager
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Limited
7, Lyons Range,
Kolkata - 700001
BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003
Dear Sir/Madam,
Subject: Post Earnings call
This is further to our letters dated January 30, 2024 and February 6, 2024, on the captioned subject.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Tuesday, February 6, 2024.
The same shall also be made available on our website i.e. www.bata.in
We request you to take the same on record.
Thanking you,
Yours faithfully,
For BATA INDIA LIMITED
NITIN BAGARIA
AVP – Company Secretary & Compliance Officer
Encl.: As Above
Page 1 of 19

“Bata India Limited
Q3 FY ’24 Earnings Conference Call”
February 06, 2024

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. ANIL SOMANI – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – COMPANY SECRETARY – BATA INDIA LIMITED

MODERATOR : MR. VARUN SINGH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Bata India Q3 FY24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varun Singh from ICICI Securities. Thank you and over to you, sir.

Varun Singh: Yes, thank you, Manuja. Good afternoon, everyone. On behalf of ICICI Securities, it is our absolute pleasure to host Bata Q3 FY24 earnings conference call.

From the management, today we have with us Mr. Gunjan Shah, MD and CEO, Mr. Anil Somani, Director of Finance and CFO, and Mr. Nitin Bagaria, Company Secretary. Thank you and over to you, sir.

Nitin Bagaria: Thanks, Manuja. Thanks, Varun and ICICI Securities. A warm welcome to all of you. We have Gunjan, our India CEO, and we have Anil, Director of Finance and CFO. We have shared the presentation with the stock exchanges sometime earlier. We will be taking you through the presentation on this call. We will navigate the slides as well as the page numbers to stay connected. On slide number two, we have the disclaimer. I am sure you have gone through the same.

I will now hand over to Gunjan and thank you once again for joining.

Gunjan Shah: Hi, everyone. Welcome to the quarter three analyst conference call. Thank you for joining us. I will quickly jump into the presentation. While it has been a relatively muted environment from a demand perspective, we continued with our strategic levers and the thrust areas and in fact, even invested in a couple of areas and which I will highlight as we go through the presentation. On slide number four, we continued on our portfolio evolution.

It continues, the premiumisation journey continues. Premium categories did outgrow our overall portfolio growth driven by Floatz, [Comfit], basically the Hush Puppies and the Bata Comfit brand and we also made significant movement towards newness in our stores. We are looking at this like a big thrust lever going forward and in the coming quarters, we would want to see a significant democratised newness and portfolio evolution across the store network of the wide portfolio that we have across categories and we put in measurable metrics in place for that.

But even the last quarter did see some improvement on that front. We continued our expansion journey, both COCO as well as Franchise. Obviously, as I have guided in the past also and we have worked upon it that Franchise will outpace and dominate the expansion journey and that will stand us in good stead because it is a far more capital as well as cost efficient channel for us from a margin perspective also.

Even the multi-brand outlets, while the mass market continues to see sluggishness, we did see the infrastructure build up now with a focus towards retail and we will want to focus on that going forward while we will wait for that turnaround from a market perspective. From marketing investments, the big highlight for this quarter, we did invest significantly in this quarter on our marketing campaign. We did have an optimistic outlook on the way the season follow through would have been in this quarter while the response has been a little muted from a consumer sentiment perspective.

But the campaign did deliver significantly on the metrics of fashion, trendiness as well as modernity. Brand health metrics, the way we measure every quarter have seen on most levels ever highest measures and therefore deliverables against it. But we will want to see that translate into much higher throughputs.

The digit

al footprint work continues aggressively has been and even for the previous quarter was the fastest growing channel, growing handsomely in strong double digits and backed by even the Omni channel which is through our entire EBO network delivered at home. That also continued its progress. We have now made sure that the Omni business of ours which was still about let's say three quarters back restricted to our COCO outlets is now expanded to our Franchise outlets.

Now the option and therefore the enablement for it has been expanded to almost 80% of our Franchise stores. We are seeing traction for it. There is a lot of headroom to match up to the kind of contribution that Omni gives into our COCO outlets.

So, we will want to keep tracking on the Franchise outlet only. On the supply chain, the point number five that you see on the left, two large progress updates. One is that we have continued

the outsourcing of non-core areas.
Last year we had outsourced basically the North warehouse. In this quarter we successfully did the transition of outsourcing of our South warehouse that effectively translates to a third-party service provider or the South warehouse operation which is almost 300 headcount and with much better efficiencies as well as effectiveness in terms of service orientation.
The other big one which we had shared with all of you last quarter where we had taken a large strategic call on shutting down our factory in Southcan in Bangalore which was not adding value in the long run for us. We have successfully progressed on the VRS compliance or completion and I think that has gone smoothly.
We did however as we have tried to do in the last recent months or recent quarters kept a tight control on overhead costs while we continue to invest in marketing as well as future readiness on technology etcetera. That immediately brings me to the technology which is the seventh point that is there out here.
The ERP program, there are two large technology projects which are underway. The high-performance merchandising project has gone live with now pilot modules running successfully and we expect the full commercialization in the next couple of months. Similarly on the ERP

project with MS Dynamics and I will elaborate on the chart that is on track for commercialization in the subsequent quarter.
With that I will try and move to some key highlights that elaborate on the points that I mentioned on the thrust chart. Expansion continues as I mentioned. We have now successfully crossed in December '23 which is almost a year ahead of the initial start plan that we had of franchise towards crossing 500.
So, I think some very good work, some strong momentum that we see on that front and COCO continues to selectively project going forward and we will continue doing a prudent investment even on the COCO side. Simultaneously this is also backed with renovations which we continue to do a pace at almost now basically about 30 to 40 stores a quarter and we will want to make sure that we continue that pace. Average age of our stores has come down to below 7 years.
We would like it to come down to roughly around about 6.5 years which is a stable state and that will progress with the Red 2.0 concept in the Bata banners largely now in more than half of our network and ideally over the next two years we would like to see almost 80% of our network covered in that including the new stores that we open.
On the slide number seven that you see while we have been trying to make sure that the focus is on the core banners etc. we have -- I have shared with you future ready initiatives that are trying to open up new growth verticals.
The Floatz doors continue. Now we are at about 10 doors on Floatz. You see one example we continue to learn on this. We expand the range on Floatz and the momentum on Floatz continues. It is now developing a sizeable enoug

h base and at accretive margins. Hush Puppies
which has not gone through a renovation of a new concept.
We have piloted a new concept store for the first time last quarter. It is giving us encouraging response and there will be an aggressive panning out of this entire renovation of the Hush Puppies store which has not been touched for almost a decade and that will pan out aggressively in this quarter as well as subsequent to that. We also have tried out to expand the franchise of Hush Puppies through efficient kiosk model and that the first kiosk model got opened last quarter also.
Moving to chart number eight, while the mass market has continued to see sluggishness, we continue to invest in this channel. We believe that we have got the right model in place and once we are able to make sure that we get the right momentum going from a consumer perspective, this will give us multifarious benefits. On a CAGR basis, we still feel we have got a healthy trajectory going and that is backed by investments which are driven towards distribution and as you can see in town coverage as well as weighted distribution.
KRO count which is a critical initiative going into 2024 which is key retail outlets which is making sure that we start getting now a control on retail outlets along with basically getting feet on street going which will be the way to milk this entire thing in terms of extraction of this infrastructure has seen a peak last quarter and will continue to invest in this.

The KROs continue to grow faster despite the overall muted environment that we saw in this. Driven by certain focus categories in school, ladies as well as sports, we also obviously invested in terms of technology and automation in terms of warehouse automation on the distribution business.

Digital commerce as I said continues to significantly outpace our overall business. We are now into consistently double-digit contributions on e-commerce. We are present across all major platforms. We plan to expand across within these platforms in terms of both categories as well as channels in terms of B2B as well as B2C whether it is Amazon, Flipkart, Mitra, Nykaa Fashion, AJIO.

We also have basically now expanded the entire order fulfilment through our Bata stores as well as warehouses and we want to have a diligent mix between the two. The contribution remains healthy in terms of both Bata.com, B2C as well as the B2B business. We will see the B2C continue to grow much faster as well as Bata.com going forward also as has been the last quarter.

In addition to this, which I don't count in the numbers that I have shared, is the Omni delivery which I have mentioned and the franchise network that we are now looped in. With 400 plus franchise enabled, the penetration leaves a lot of headroom to be desired and that we will work towards in the coming quarters.

They were obviously backed by significant campaigns and a large part of even the marketing campaign was oriented towards digital which then has a direct co-relation to how we convert even on the online interfaces of ours in terms of digital commerce.

That brings me to Slide 10. We did launch our largest campaign in our history as well as in the year gone by. We did go with a front-footed approach that this should get multiplied with the kind of a season spillover that we would have expected into this quarter while the overall momentum was still leaving much to be desired and we would have expected much more.

But as I mentioned, in terms of imagery, in terms of fashion as well as style, all metrics that we measure for in terms of campaign deliverables gave us strong [greens] and the overall health metrics moved up. There were significant shifts that we did in this campaign compared to our previous campaigns.

One is that it was an influencer-led entire strategy, whether it is macro, global or national influencers as

well as micro-influencers running into hundreds. We are building up capability and there is a distinct capability that is required in running this entire model of communication through influencers, etc. and there will be continuous work on it.

We also made sure that the entire campaign tagline which was every walk is a ramp walk was backed up with the right kind of merchandise, etc. and that showed up in terms of the growth that we saw in Bata Red Label, which I will talk about. We did invest in marquee properties to make sure that the saliency of the brand comes through and that showed up in terms of awareness and considerations being at ever highest levels during the exit December in terms of consumer surveys.

And last but not the least, obviously made sure that the entire collection as well as the activation in the stores in terms of the ramp walk as well as the merchandise backed this entire proposition that we were trying to register with consumers.

Hence, moving to Slide 11, the premium brands did see a significant outperformance in terms of growth that continues. We have seen that trend post-COVID. Premium brands do continue to outpace. While we do see the mass market, while it is still a drag on our overall growth, there are some signs of it showing some moderation.

But premium brands, as I said, continue to outgrow, led by Red Label in the wedding style area, Hush Puppies in terms of premium comfort, Comfit in terms of mass comfort under Bata as well as Floatz in terms of casualization and obviously backed by significant range expansion and freshness that I talked about in the earlier chart. The premiumization journey will continue and while we will want to make sure that the mass market becomes wherever applicable more competitive.

Moving on to Slide 12, the other big area besides marketing that we invested in, we have continued to invest. We continue to do that. The entire landscape that you see on 12 is a journey of transformation. A lot of the work has happened in the years gone by. Two large projects that we are doing this year as well as maybe in a couple of more quarters are HPM as well as the ERP and effectively that should translate to making sure that we have got wherever we needed to make up as well as get to cutting edge in terms of technology, it translates out, giving us datafication and database decision-making, agility in terms of empowerment as well as enhancing even consumer experience from a front-end perspective, whether it is offline or the online world.

We will see and keep updating you as we progress in terms of now leveraging some of these investments that we have made. But that was and this quarter was a large investment that we made in this. In terms of awards, obviously there were various awards especially on the software side that we made in terms of CSR as well as in terms of diversity. We continue to invest in people.

We installed our first -- commercialized our first capex in terms of machine, that is the EVA machine in our plant in the East and that will gradually ramp up and obviously give us significant backend benefits in terms of agility of product as well as cost efficiencies that we see. Initial signs are good and we will ramp it up over the next three to six months. And I think the other big transformation that the footwear industry has gone through is BIS.

We have successfully transitioned without any hiccup whatsoever. The entire sourcing that we have, which is largely domestic, into basically the BIS compliant era and we are looking forward to that transition giving us leverage and an edge going forward. The minor quantity that we do import, we have already made sure that we have got plans of localization on all those products going forward so that we don't anticipate any kind of a disruption from that point of view.

Therefore, then moving to Slide 15, all of this finally resulted in lesser than expected, but positive growth which was at 0.4%, INR904 crores versus INR900 crores last year. This was backed by making sure that we were tight on leakages which I mentioned even last quarter and resulted in expansion of gross margin at about 56% blended across all categories as well as channels versus 54.8%, so a gain of 120 basis points.

However, we didn't flinch back and as I said, there was a front-footed approach we took in marketing. As you see on Slide 16, we did make significant investments. On a cumulative basis, we are still relatively, I would say, at the benchmark that we wanted to stay in this environment on advertisement, but this quarter we did invest in it at about INR35 crores for this quarter versus '24, a significant jump. The other big investment was in terms of the IT cost.

There was also a prudent financial framework guideline adherence that we did which was expensing out the cumulative ERP-related expenditure that we have done. So, in this entire blip that you see of 127% versus last year, there was expensing out of the cumulative ERP implementation cost that we have incurred as capex and therefore hit the cost line.

Therefore, then moving to Slide 17, while we did see muted growth and that does have an operating leverage impact on the rest of the lines, there was tight control on the rest of the cost lines. So gross profit did expand, as I said, by about 120 basis points. But however, the investment that we made plus the fact that in December '22, we did have a back-ended benefit on rental concessions to the extent of about 100 basis points. That had a, last year versus this year, cumulative impact on PBT of about 250 basis points which we would have invested or we would have otherwise flown to.

So therefore, then resulted in an EBITDA de-growth of about 10% at about 21.3, a healthy double digit on that front, however, and a PBT of about 8.6% at minus 29.5% versus last year.

That brings me to the end of this presentation. Thank you for your time and attention. I'm open to questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Yes, hi. Thank you for the opportunity. My first question was on the Freshness that you mentioned on slide four. You said the Freshness is at highest levels of 34%. I wanted to know how do you define the new products that are coming under this definition of the product launched 30, 60, 90 days back? How was this number a year back? And what is the aspiration for this number for the coming two to three odd years? That would be my first question.

Gunjan Shah: Okay. No, that's good. Actually, it's been a journey, Videesha, on this front. Let's give you a little perspective. We were let's say going back about six quarters. We were in the range of about mid-20s or so in terms of Freshness. The way we define Freshness is anything that is new to store and therefore that consumer cohort that the store services in this season.

It's a season-to-season measure and therefore gets reset every season which is Jan to June as well as July to December. And therefore, a percentage means out of the total offerings that we have in a store how much of it is fresh.

Now there is further rigor that we apply to this and we will want to make sure that this becomes a key proposition because that's what we are trying to promise to consumers in terms of trendy and fashion. And we will want to dovetail this similar measure at a store and

category level but that mid-20s was still about a couple of seasons back at about 30 and has now moved to 34%. So that's the journey. I hope that answers your question.
Videesha Sheth: Yes, very much so. And what would the aspira

tion be for this number for the coming 2 to 3
year?
Gunjan Shah: I think we will actually want to now dovetail this even further into category cluster kind of a freshness. So, the overall 34% I think we will not want to go beyond 40 for a season Freshness but within that are we making sure that the entire 2,000 EBO network are we replicating this entire 34% or 40% is going to be the prime driver going forward. So, it will go up but the big driver will be making sure that it's democratically spread all across. The minimum threshold that we want to make sure is that it's not only at a certain cluster of stores and a certain category but all categories and all clusters of stores is where the endeavour would be on this front.
Videesha Sheth: Got it. Got it. And second question was on HBM. How are you tracking the benefits from the implementation of this software? So, one is of course the low contribution from discounted sales but just trying to understand when can the benefits from using this software when are they likely to peak in terms of better throughput?
Gunjan Shah: So, I cannot share the business case Videesha but we do have a business case. It is a financial business case and we are beholden and obviously want to make sure that the team is tracked against it. There are 3 or 4 levers where the benefits are anticipated to come through. First is obviously better inventory management. So far more linked data and therefore much better visibility of information while making decisions. Making decisions much faster on inventory management and therefore placing the orders in the right articles in the right locations is going to be one big lever.
The second one is much better availability against what we promised to a store therefore adherence to basically what they require while maintaining better inventory management. The third piece and that should result into better conversions and therefore sales. The third piece is in terms of better financial planning and better control from a merchandiser's perspective in terms of the right mix of articles and the margin blended profile that the person is wanting to deliver on.
The last one is control on obsolescence and therefore making sure that we are agile in terms of moving the stocks to the right places where we can push it out before it results into an inventory hit on us. So, these are the 4 levers that should in terms of timing of impact they will

pan out but the sense is that within about 12 months we should have them into a steady state run rate of impact that have been built into the business case.
Videesha Sheth: What is the mix of sub 1000p products for us during the current quarter? I recall that during 4Q FY'23 the mix was somewhere around 30% to 40%. So just wanted to know the mix for the current quarter? And also, if the [3-week] consumption were to pick up and consumer wallets were to revise would we look to monetize that trend by refocusing on the mass end of our portfolio for the retail operations?
Gunjan Shah: Okay, that's a long question but a quick data point now less than 1000 is being basically for the last quarter wallet about 30%. Cumulative for the year it was at 34% so it is lower but however the pace of reduction has come down so I am assuming that if things stay right we will want to see this fire as I said that goes in conjunction with the mass market business channel of us which is MBOs.
We continue to invest in it. We are hoping that that's where we will get this entire thing repo back so while we want to focus on premiumization with the right brands as well as the right offerings we will not want to lose sight and in fact where required we will take aggressive steps to capture this revival in demand as we see it. An introduction of article is at this point.
Videesha Sheth: Thank you very much for answering my question. I will get back in the queue.

Moderator: Thank you very much. The next question is from the line of Girish Pai from Nirmal Bang Equities Private Limited. Please go ahead.
Girish Pai: Yes, thanks for the opportunity. Gunjan, in the flat revenue growth picture that we have for the quarter what is the volume and ASP expansion that you see?
Gunjan Shah: Both is mid-single digits both ways, Girish. So yes, that's how it is. In addition is that we have as I mentioned now for almost six quarters, we have stopped price increases so it's largely the premiumization that is driving this mid-single digit kind of a premium or ASP increase and we are hoping that the stability on pricing, etcetera, will as I commented just in the previous question will eventually help us turn around the mass market demand perspective from consumers. But yes, mid-single digit on the pricing and therefore mid-single digit on volume

de-growth.
Girish Pai: Okay. The other expense part has jumped up on a Y-o-Y basis to almost like 410 basis points. Can you provide a bridge to that? What are the elements, what are the account heads which have kind of expanded on a Y-o-Y basis?
Gunjan Shah: I will request the CFO to answer on this.
Anil Somani: So as Gunjan talked about it during his presentation, especially investment on technology investment on marketing, these are the two big ticket items. Rest of the places we have leveraged versus last quarter and obviously we have certain rental benefits which would have flown last year on account of rent concessions resulting from COVID-19. All put together if we do it, rest all as you would have seen gross margins has gone up by 120 basis points.

So, these are -- obviously out of this, marketing IT we would getting into the normalized phase starting next quarter and rental obviously one piece where we are able to leverage on other costs and that would be something which we would not be able to recoup.
Girish Pai: So, on a normalized basis, how much would the other expenses be as percentage of sales? Would this come off by 200-300 basis points?
Anil Somani: To give you a slightly simplistic answer, Girish, while we don't have giving you forecast but the point is that on a YTD basis, except for the expensing out that we did of the cumulative ERP implementation, rest of it on a YTD basis is reasonably reflective of trend lines.
Girish Pai: Okay. My last question is on fixed costs in the manufacturing, I think on the supply chain side. Are we done with our pruning there or is there more to come?
Gunjan Shah: Okay. So, South Can was the large structural one that we did which is the factory that I mentioned in Bangalore and that obviously had a business case behind the VRS and that will flow through, and we are confident signs are good on that front and we will see those benefits. But that is I would say less than a quarter of the entire fixed cost from a manufacturing perspective. So, there are other levers, both operational as well as structural, and we will keep evaluating and working on all of those in terms of making sure that that helps us become -- that helps us allow for investments on the consumer and the marketing front. There is need left.
Girish Pai: Thank you.
Gunjan Shah: Thank you.
Moderator: Thank you very much. The next question is from the line of Nihal Mahesh Jham from Nuvama Wealth Management Limited. Please go ahead.
Nihal Mahesh Jham: Yes, thank you so much and good evening. Sir, my first question was on the marketing bit. You have taken a decent step up and I think we spent around 4% of our top line versus our historical run rate of around 2%-2.5%. So, the first question was that is this a reset you plan to continue over the course of the years ahead?
And second is while you did mention about the slowdown, was it that we saw a higher increase in footfalls or maybe an increase in online clicks, any of those metrics which mayb

e at least
got more customers aware of our brand and maybe the convergence did not happen maybe because of slowdown. Just your thoughts on how effective were the marketing spend from that perspective.
Gunjan Shah: Okay. On the first piece, it is the direction that we want to take on the front that I mentioned in my chart which is digital influencer-led focus towards style trendiness and bringing in a certain amount of confidence. That is the direction that we want to take. Obviously, campaign to campaign the way we want to communicate, the kind of collection that we are bringing. But the core of it will be on these pivots and we will want to sustain because it takes time for a

large enough consumer base and newer consumers to register the entire message that we want to give.
It has to be backed up as I said in the question that I answered a few minutes back, which was on making sure that we have got the right kind of store experience as well as the freshness in stores, and that I had detailed out a little earlier. So, we will want to sustain and continue with that, with obviously a flavour campaign by campaign. But the core message and the medium we would like to sustain.
On the second piece in terms of impact, while yes as I said that we would have desired much better impact in terms of the business results. But as I mentioned all signs of brand metrics, in fact while in absolute I don't think we were happy with the kind of footfall impact, but it was sequentially better versus what we saw in the previous quarter.

And brand health metrics I mentioned right from the entire consumer funnel from awareness to consideration towards [inaudible] as well as in terms of style and modernity, we hit ever higher peaks on that. So good signs on that front and therefore, we are encouraged to continue investing on it on a phasing basis.
Nihal Mahesh Jham: Understood. Just one more question. We do specifically highlight how the growth for Red Label, Comfit and Floatz has been keeping Hush Puppies out here. What would be the ballpark contribution of these three brands as of now to our total revenue?
Gunjan Shah: Should be in the range of about 15%
Nihal Mahesh Jham: And Hush Puppies is approximately 20%?
Gunjan Shah: Yes.
Nihal Mahesh Jham: Understood.
Gunjan Shah: That broadly correlates to our price point which is greater than 2,000.
Nihal Mahesh Jham: Yes. Thank you so much. I'm done.
Gunjan Shah: Thank you.
Moderator: Thank you very much. The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.
Gaurav Jogani: Thank you. This is a my question you know again follow up to the previous question that you know why we see please speak.
Gunjan Shah: Please speak a little louder Gaurav.
Gaurav Jogani: Yes so is this better, can you hear me now?
Gunjan Shah: Yes

Gaurav Jogani: So, my question is a follow-up to the previous question, where you know, the 15% to 20% contribution coming from the fast-growing brands. So, would that mean, that the other, the rest of the 60%-65% odd brands are declining in high single-digits, because of which we are seeing a flattish kind of growth there? And so, that is one part of the question and the other being, what possibly you see could lead to a revival that could tell in future lead to a double-digit growth for the overall portfolio?
Gunjan Shah: Okay, the first question is mathematics Gaurav. So, whatever I say, I'm sure you've got mathematics to make sure that the average works out. So obviously, yes. But that doesn't mean that it's all dependent on only, while a large part of it is also correlated to price point and the segment that is relatively sluggish, I would say, so some turnaround from a consumer perspective will help.
But as I mentioned, there are a few things that we are working on. One is to mak

e sure that
across price points and categories, we want to make sure that we present on the front foot freshness. We did invest in marketing. We want to make sure that it's backed up with basically enough new range coming through and a proposition to consumers. And there will be a lot of work, and I talked about it in reasonable detail a little while earlier.
The second piece that is there is we continue to invest in accessibility to consumers, whether it's through the franchise route, in terms of EBOs, whether it is in the e-commerce space, as well as in the MBO space. And I've talked about it in the presentation.
Last but not the least, in certain pockets where we sense that we have got some flexibility, in a selective manner we will take aggressive affordability calls to bring about value for money back to consumers. We have not taken price increases, so we are assuming that consumers are slowly stabilizing to prices.
But in certain cases, we might want to even selectively take price reversals. I do not think the weightage will be large, but yes, we will take those actions also where required. So, combination of these three from our perspective should help us as the momentum turns.
Gaurav Jogani: And sir my second and the last question is with regards to the BIS, you know whatever we can understand from the BIS implementation is that it is largely to you know help to curb the cheap quality imports that are coming from China and other countries and you know given approximately 25% to 30% contribution for us comes from the INR500 and below segment. So how do you see the benefits from the BIS implementation helping Bata given that you know again that particular segment is I think declining higher versus the other portfolio?
Gunjan Shah: Yes. There are actually multiple questions in this question that you have asked. Our first priority was to ensure that we secure our own manufacturing across categories as well as obviously expanding as well as a very large sourcing base that we have of our suppliers. We are simultaneously looking at consolidation of suppliers towards larger guys, but either way the entire universe has been brought under the BIS fold and is compliant and therefore our priority was to make sure that we don't have any disruption whatsoever in terms of supplies.

How does it pan out from a perspective of other players getting impacted etc. I have mentioned this even last quarter when I talked about this, is that relative to what we have seen in the past to some other industries going through BIS which is toys for example, the industry in footwear in India is relatively well developed, specifically in certain segments, right, in terms of construction type as well as price points.

So, there will be certain pockets where I'm assuming that there will be turbulence, provided we are seeing what is the kind of implementation the government goes through. So, we'll have to wait and watch on that front, but our priority was to first make sure our house is right and we are ready for the transition. That we are good on.

Gaurav Jogani: Sir, just a follow up on this. Would it be a right understanding that a bulk of a large part of the imports does happen in the INR500 and below segment and that in a sense impacts the competitive ability of the organized players and probably that could be better once BIS is implemented?

Gunjan Shah: I would say it cuts both ways, Gaurav. We have also analysed the import data etcetera. We do get access to it. So, it is not only that but yes, it is mirroring the ratio that we have in India. So, a similar ratio reflects even in terms of imports. There is a lot of high-end imports that also happen. As even in our case there were a few of them. So, I think we'll have to see how that reflects all across, but it's evenly, you know, proportionate all across price points.

Gaurav Jogani: Sure sir. Than

k you. Thank you. That's all for me.

Moderator: Thank you very much the next question is from the line of Jay Gandhi from HDFC Securities Please go ahead

Jay Gandhi: Hi, thank you for the opportunity. The first one is could you help me with the channel mix for the first 9 months in terms of retail distribution and online?

Gunjan Shah: And can you just complete the second question also Jay.

Jay Gandhi: Yes, so in general, just wanted to kind of, you know, understand the gross margin movement a little better from a nine-month perspective. So, once you have pre-revised over the course of, you know, the past nine months or past one year, there would be a counterbalancing, you know, lever also, right? If, basically, if your distribution is growing faster or the online piece is growing faster or even if the gross, if the franchising piece is growing faster, this will be a counterbalancing factor to your premiumization story, right? I'm only talking from a gross margin perspective?

Gunjan Shah: Okay, all right. While we remove the data point for the mix, I think let me answer the second one. The piece is that you are right. See basically the point is that as I mentioned we have not taken price increases for almost several quarters now, more than a year. So effectively whatever we are seeing is ASP increase is just because of the mix.

Now the mix is because of two plays. One is because of product mix primarily and some amount of channel mix. So, if the multi-brand outlet does not grow as fast, effectively the mass

market is also relatively not growing as fast and therefore it is reflecting the overall ASP increase.

So, you are right in a way. The gross margin will not have too much of an impact. Some of it is coming through because of the premiumization per se. Some of it is coming off because we have managed to be a little more efficient on leakages, promotions, etcetera and markdowns, but a combination of that is what is giving you basically the gross-margin impact, but premiumization is largely coming through mix.

As I mentioned a couple of questions back, is that we are wanting to make sure we get the mass market going also wherever relevant without compromising on margins and the action that I talked about at that point in time.

On the ratio of mix etcetera largely I would say that we have got I&D at roughly around, so basically I&D has been a little lower. Normally we are at a YTD level basically at about 15% but for the quarter was at about 12%. E-commerce is steady state at 10% consistently and that continues. Franchise is now in realized turnover because it is basically discounted when you sell it to a franchise partner, but that now is steady state at about 7%, 7.5% and the rest about 70% is in COCO which is EBOs, Company Owned Company Operated. Does that answer the question?

Jay Gandhi: Well, yes, it does. See, I understand this. The only thing is that, I was wondering that you've gone from about 390-odd franchises to about 500-plus. I'm sure all of these channels, franchises or distribution or e-commerce, they've only grown relative to the COCO part Y-o-Y. The only thing is, yes, I understand that certain amount of premiumization would have helped gross margins. But the limited point is that each of these channels, franchises, anything which

is non-COCO is likely to be gross margin dilutive?
Gunjan Shah: Yes, you're right. So, there will be some amount of dilution that will happen. So, let's say, for example, if 150 basis points, 120 basis points is overall gross margin expansion, then the mix impact would be a little larger from a product perspective because the channel mix would have taken away a little. You're right.
Jay Gandhi: Correct. Fair enough. And the other question I had was on the rental, on the base year. So, you mentioned that you had about 100 bps of savings last year, right? Now, I was looking a

t the
annual report and based on the annual report, the rentals is about INR420 crores, INR430 odd crores, which accounts to about 12 and a half odd percent of sales. And this is only in stock. Even if I look at it from a rent per square foot perspective, based on the area that you report, from FY '22 to '23, rent as a percentage of sales has actually come, it's about 12 and a half percent. Even if I look at FY '19, it was about 12.9 percent. So the point is you are already firing at a similar rent per square foot as what you have been pre-pandemic times.
So is it that when FY '23, this rental bill that you are seeing in FY '23, is that going to be a meaningful bump? Is this rent per square foot going to continue?

Gunjan Shah: Okay. So my comment and that Anil then expanded upon was for the quarter, Jai. What you are talking about is annual figures and we need to check them also. But my comment was for the quarter, there was a certain amount of rental concession post-COVID that got back-ended, that got exhausted obviously in this quarter last year and therefore on a year-on-year basis, there is about 100 basis points impact. That's what we commented, limited to the quarter. For the full year, I am sure your numbers are correct, but we can separately clarify to you exactly, how does it reconcile.
Jay Gandhi: No, sir. Point set. Thank you so much for this.
Gunjan Shah: Okay, Jay. Thank you.
Moderator: Thank you very much. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.
Ankit Kedia: Thank you. So my first question is on the KRO counters, they are less than one per town, which seems a very odd number. So can you define how do you define this KRO in terms of revenue per counter and what could be the opportunity size in terms of say two, three per city or per town? So over the next two years, you would want to leverage these key retail outlets?
Gunjan Shah: Okay, Ankit. So obviously, you know, I mean, the ideal situation is in a very mature and evolved scenario is the way an FMCG would go about doing this, right? But there are two parallel tracks that are running, right?
One is access to towns and therefore making sure that Bata is accessible where the consumers would like to be. And obviously, we don't have, enough and more reach that we've got. Therefore, the entire town expansion, the pieces that where we've got some kind of a control and understanding and therefore stability in terms of distribution expansion, therefore towns that we have gone, pick out the larger outlets on those where we see basically so throughputs that give us outlets that give us throughputs of more than about 25 to 40,000 per month, right? How do we make sure that we are able to present, not only make ourselves present, but present it to consumers in a controlled fashion, make sure that the range comes alive, we've got a certain critical mass of the kind of offering that we want, whether it's in men's dress in Bata Rebook, or whether it's let's say in power open, or the EVA range that we are coming out with, etc. So making sure that we've got a certain critical mass and the presentability coming through is what the KRO action plan is. It will always follow with a lag, but your expectation is right. And that's where we would like to desire to move towards. And that's what the curve is trying to show you. It's a journey that's relatively nascent.
And I would say that, it's got long legs to go. Right now, the contribution of KRO to a distribution business is in the range of about early double digits. But we are expecting that even now, despite the overall muted scenario, it does grow much faster. And that should continue irrespective of how the environment changes.

Ankit Kedia: And sir, when you say when the demand comes back, you could take a reverse p

rice action,
typically for the MBO market, this 15% revenue contribution from IND over the next three years, where do you see this contribution go if the town coverage, KRO count, everything falls in place right for you?

Gunjan Shah: About 20% plus minimum.
Ankit Kedia: Sure. And my last question is on the April, this presentation, we haven't spoken about April. So how has been the progress on the April front in our stores? Last quarter, you gave us some good signs on the April growth.
Gunjan Shah: Yes, yes. So, we are still at, so I think I mentioned it last quarter, we have launched it in about 60 stores, we are at the 60 stores, we have got feedback in terms of what's working, what's not working, even in certain stores, what is the kind of, location within the store that works.
Certain stores where we have actually removed and put into some other stores, we are still in active 60 stores, we want to make sure that it gives me a same store growth, delta on apparel alone of 3% plus before we collectively want to expand it beyond that.
We will want to our expectation is that by let's say, mid of next quarter, we should hit that and then I will be able to tell you about the expansion plan on it. Simultaneously, a whole bunch of learnings on merchandise itself, the colours that are working, some of the fits that we are looking at, as well as materials, all of that is obviously underway. But it's going to be something that we'll want to learn before we expand.
Ankit Kedia: Thank you. Thank you so much.
Gunjan Shah: Thank you.
Moderator: Thank you very much. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.
Shirish Pardeshi: Hi, good evening team. Thanks for the opportunity. Sir, my first question on slide nine, you have given a number 4.1 million pairs shipped YTD '24. So, can you strip out the quarter number for the digital part and the overall part for quarter and the nine months?
Gunjan Shah: What I do have handy is a million pairs for the quarter. So, a little less than million pairs, but yes, just about rounded off to a million pairs for the quarter.
Shirish Pardeshi: And the overall?
Gunjan Shah: We don't share that. Maybe at the end of the annual report, we will. Yes.
Shirish Pardeshi: Okay. Okay. Thanks. On the Nine West, I think you mentioned that it's on the way, but what is holding on and any point you can say that how fast it will roll out or it will be a marketing which will be done on the select and then you will expand or any some colour if you can share?

Gunjan Shah: Yes. Yes. So, it takes some time to make sure that we operationalize it. Obviously, the deal was signed last quarter and it is working at a furious pace. We should see it entering stores during this quarter. We will want to start off with about 50 stores within the Bata banner. We will learn how it works. It is a price point that's going to be very, very different. It will be higher than even Hush Puppies in terms of price point and average level.
We want to make sure it gets presented well in terms of brand stories coming through not only pieces of fashionable footwear, but also the kind of accessories that we are making sure that it comes along with. As I said, it will start getting into stores with the launch going through in this quarter and towards the end of this year is when we will be able to collect thoughts. As I said, subsequent plan is to make sure that we then reinforce it with an exclusive branded outlet, a banner store of its own. That's the broad plan.
Shirish Pardeshi: Thank you. And my last question on the margin part. If I look back, I think you did mention the mix change and channel mix, but I just want to pick up your candid thought. What are the margin drivers at this time and if there is an inflationary pressure? And if you look at medium term, I'm not saying guidance, but what as

piration sees that whether we go back to 58-59 or we will still remain in the similar range?
Gunjan Shah: This is gross margin. I believe we are at levels which are pretty healthy and reasonably comfortable with Shirish. There are margin drivers. There are ways, levels in which we can do margin drivers. Obviously, premiumization is one big lever, but also in terms of making sure, as I said, there is about 7% to 8% blended that we do in terms of consumer spends. About half of it, a little less than half of it goes into above the line, but there is more than 50% that goes below the line in terms of markdowns and promotions.
How do we do them more scientifically, etcetera? And the entire piece on merchandise management, which is going to be digitized through HPM, which will also give us levers, which I responded to a question earlier. So, there are drivers for it. As I said, we don't see inflation from a cost perspective. Consumer inflation, demand, yes, there might be an impact, but right now from a cost perspective, we have stayed away and we have managed to make sure that the costs are relatively stable. And therefore, that is not a big driver in terms of margin dilution going forward right now.
Shirish Pardeshi: Thank you and all the best.
Varun Singh: Thank you, Shirish.

Moderator: Thank you very much. The next question is from the line of Akshen from Fidelity Investment. Please go ahead.
Akshen: Okay. So, thank you for the presentation. And, we have been discussing last few quarters on initiatives that you are doing on portfolio and distribution to get the top line growing. I just wanted to ask you a question that, with the mix that you are envisaging, both in terms of products and in terms of distribution, when we look at the business three to five years out, what is the right margin for a business like that?

Historically, the margins have been very volatile, but we hit pre-COVID EBITDA margins of 16%, 17%, gone as high as 18%, 19% in quarters. And last year, we were at about, 30%- odd and then we've seen everything in between. So, as the business, hits the kind of strategic changes that you're trying to do. Do you go back to 15%, 16%? Those are healthy levels? So, you think a brand like yours, which is doing as much, should maybe earn a little more?
Gunjan Shah: We are as greedy as you, but we have to, on a lighter note, Akshen, but the point is that our endeavour is to make sure that very clearly, we want sustainable, profitable growth and both go hand in hand. So, it's not just a question of percentage EBITDA margins, but also making sure that we are able to invest enough in terms of driving growth, both current as well as future. So, we would like to make sure that, we don't give you guidance, Akshen, but we want to make sure that it's sustainable, profitable growth from all the benchmarks that you have mentioned.
Akshen: Sure. Let me try to sort of ask this in another way. Your ANP spends for the longest time has been between 1.5% to 2.5%. As you start doing, more premium portfolio within Bata, is there like a sense that this needs to maybe go to 4%, 5%? Or do you think spend levels are appropriate? Basically, what I'm trying to understand is that there's a lot of, optimization of costs, etcetera, which is going on. Is it necessary to do that to just reinvest in the business or some of that will flow through EBITDA?
Gunjan Shah: There was latter. So, some of it, I mean, as we implement it successfully, we will want to invest some of it into our brands as well as the business, as well as, in terms of technology, etcetera, which we have done and we'll continue to do. But some of it, obviously, will make sure that we flow into the EBITDA also.
Akshen: Okay. Great. And a last housekeeping question. As far as the last annual report, you had totally 9,400 employees. I think 4,400 were on roles and 5,000 were on contrac

ts. When you're saying the Southcan VRS is sort of successful, could you help us understand how large the workforce over there would have been? I mean, is it like 10% of workforce, 20% of workforce? Any just rough idea would be fine.
Gunjan Shah: No, it's nowhere near the scale of 10% of workforce. A large part of this workforce is in the stores as well as including in terms of the supply chain. But combined together with the 3PL outsourcing of warehouses, each warehouse is about 300 manpower. Let's say, for example, Southcan was about 140 odd people. So, I think cumulatively, it does have its own impact. I don't have the handy numbers right now, but I'm sure that the team can follow through on that piece with you separately.
Akshen: Okay. That would be great. Thank you and all the best.
Gunjan Shah: Thank you, Akshen.
Moderator: Thank you very much. The next question is from the line of Ashish Kanodia from Citi Bank. Please go ahead.

Ashish Kanodia: Thank you for the opportunity, sir. On the volume growth part, I mean, when you say mid-single-digit decline this quarter, and if you look at this quarter, it basically had the benefit of delayed festive season. And in the base quarter, which was your Q3 FY'23, there was, again, a volume decline of around 5%.
And when I looked through the call transcript of two, last quarter you talked about festive season seeing some growth. And had there been no delay in festive, Q2 should have actually reported revenue growth, right? So, on that background, what led to this slightly underwhelming performance on the top line, on the volumes?
Gunjan Shah: Yes. No, I can't agree on that front. In fact, we went in with the same robust philosophy that I talked to you all last quarter with the festive spillover, etc. And we did back it up with money where the horse's mouth is on marketing investments, etc. with consumers. The impact was below par and therefore muted, as you're saying. I think the volume piece is obviously also traded off with the fact that there is a lower price point that is causing bulk of the sluggishness.

And that has a disproportionate impact on volumes. At an overall level, higher price points, etcetera, we have seen not only value growths but also volume growths. Because then the mixed impact gets neutralized at the same price point and it's all driven through basically growths of volumes.

Ashish Kanodia: Sure, sir. And just the last bit on marketing, I think you touched upon that. While this quarter, marketing spends are slightly elevated, but on a YTD basis, this spend is mostly normalized. So, if you can just share what that YTD normalized marketing spends are? And do you expect this spend to kind of continue over the next two years? From a percentage perspective, is that the trajectory which you will continue?

Gunjan Shah: So, slightly less than 300 basis points is the pure ATL spend, which is marketing spend. We would ideally want in a normal scenario, we would like this to inch towards 300 basis points and slightly higher over a period of time, as we see response and the business impact coming through on that front.

Ashish Kanodia: Sure, sir. That's very helpful. Thank you.

Gunjan Shah: Thank you, Ashish.

Moderator: Thank you very much. In the interest of time, that was the last question. I would now like to hand the conference over to management for closing comments.

Nitin Bagaria: So, thank you everyone for joining us. Looking forward to interacting with you again. Thanks. Thank you, ICICI.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

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June 3, 2024
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Limited
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Dear Sir/Madam,
Subject: Post Earnings call
This is further to our letters dated May 24, 2024 and May 31, 2024, on the captioned subject.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Friday, May 31, 2024.
The same shall also be made available on our website i.e. www.bata.in
This is for your information and records.
Thanking you,
Yours faithfully,
For BATA INDIA LIMITED
NITIN BAGARIA
AVP (Special Projects) – Company Secretary & Compliance Officer
Encl.: As Above

"Bata India Limited
Q4 FY'24 Earnings Conference Call"
May 31, 2024

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. ANIL SOMANI – DIRECTOR FINANCE AND CHIEF
FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – COMPANY SECRETARY – BATA
INDIA LIMITED

MODERATOR : MR. VARUN SINGH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Bata India Q4 and FY '24 Earnings Conference Call on hosted by ICICI Securities Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

And I'll hand the conference over to Mr. Varun Singh from ICICI Securities Limited. Thank you and over to you, sir.

Varun Singh: Thank you, Neha. On behalf of ICICI, it's our absolute pleasure to host Bata's 4Q Earnings Conference Call. From the management team, we have Mr. Gunjan Shah, MD and CEO; Mr. Anil Somani, Director of Finance and CFO, and Mr. Nitin Bagaria, Company Secretary.

Nitin Bagaria: Thank you. A warm welcome to all of you. We have Gunjan Shah, India's CEO, and we also have Anil Somani, Director of Finance and CFO. We have shared the presentation with the Stock Exchanges earlier today. We'll be taking you through the same. We'll navigate the slides as well as the page numbers to stay synchronized. On slide number two, we have the disclaimer. I'm sure you have gone through the same.

I'll now request Gunjan to take over and thank you once again for joining.

Gunjan Shah: Okay. Hi, ladies and gentlemen. Good to meet you again after the quarter. Sorry for that disruption. We had to switch because of some kind of a power blip. But I will start off with slide number four, which is the key drivers that we've been consistently trying to track for and update you on. So some of the key highlights, and I'll touch upon and expand on a few of them in the subsequent slides. The premium segments continue to grow. Red label, comfort, power, all have grown significantly ahead of overall growth, despite the overall sluggish conditions that we still see.

Floats continues to power at a very high level, and now it's reached almost mid-single-digit contribution, almost doubling for the quarter. 16,000 pairs average weekly sales, and obviously the peaks of the season and the monsoon lie ahead of us. Sneaker Studios also helped drive the sneaker growth, reached almost 700 stores now.

On retail expansion, we added almost 24 new doors, slightly lower than what we expected. We would want to have a run rate of almost 40 doors every quarter. Hopefully this quarter we'll make up that run rate.

That's the run rate we have almost achieved for the last two, three quarters. Bata distribution continues to hold pace. As I had mentioned last time, considering the kind of demand scenario on the mass segment, our focus has been towards extraction from the current set of outlets and distributors, and that's where the focus remains.

Renovation facelifts continues at, in fact, three-point, and I think one of the reasons why our franchise openings might have been a little slower. We did almost 70 stores, highest in a quarter,

and we hope that gives us basically a significant blip-up in terms of same-store growth going forward. On marketing, we continue to invest. Marketing expenses have been higher. I had mentioned that even in the December quarter, as well as in the March quarter. We continue to invest behind the brand.

We did largest 10-by-10 campaign, both digital, media, as well as in our stores, and did have impact on the brand metric. On the digital footprint, the e-commerce business continues on its trajectory, both in terms of driving growth as well as in terms of profitability increase and all the channels have done extremely well, including our own dotcom channel.

The Omni piece, which is also now spread most probably the widest Omni penetration that we've got, both in terms of points of sale as well as

in terms of depth of adoption, I think, in the industry
is that, and now has expanded to almost 400 franchise stores also getting looped into it.

On the supply chain side, we did do basically a significant automation of our second-largest warehouse, which is in Mumbai and we also did a large project in terms of monetization of Faridabad land, which is almost on closure. Stay nimble on costs. We continue to be very hawk's eye on fixed costs largely.

We would have loved much higher leverage on basically from a top-line perspective, but even then, they were under reasonable control and helped us manage our profitability at least. And last but not the least, I have mentioned this, almost an 18-month-long project on ERP has gone live successfully and smoothly on 1st of April and we are looking forward to obviously benefits accruing from it in terms of speed, agility, as well as accuracy of business-enabling decisions on commercial side.

Moving further to slide number six, expanding on a few of these quickly, the COCO, as I mentioned, continues to expand. We added net three COCO stores. Obviously, we closed also some unprofitable or non-brand value-adding stores. The larger piece of expansion continues, as you can see in the longer-term trajectory also, is on the franchise side, albeit a little lower than what we would have wanted and we will want to catch up that run rate this quarter onwards. Obviously, franchise continues to deliver great growth, and we have also on the COCO side significantly made a move, I had mentioned this last quarter, on getting freshness, trendiness, etcetera, into not only the top 500 stores, but also the bottom 800 stores, and there has been a significant headway that we have managed to achieve across categories. And we plan to beef that up with a piece that I will talk about a few slides down the line.

In terms of portfolio expansion, three or four large pockets, largely consistent with the direction that I have given earlier also. First power EBO store has been opened in the north in the quarter that went by. This will be very quickly. In fact, the second one has been opened in April, and we want to quickly ramp that up. On a conservative basis, we look at at least 10 stores by December. Hopefully, it will be even larger.

We will follow a cluster strategy, and we will want to saturate slash go into depth in north first before we expand further. Similarly, power apparel has gained momentum back again after the winter miss that we had, and we are looking forward to not only refurbishing a lot of the learning

that we have gained over the last six months, but also ensuring that we now start looking at expansion of 200 stores by December. We also did the launch of Nine West. Nine West we had tied up in 2023 with ABG brands on that front, and the soft launch happened in 40 stores in February in the last quarter.

We will be now following up in this quarter with a significant launch as well as making sure the full range comes through, including the non-footwear, which is expected to be almost half of the entire business and the marketing campaigns plus the expansion should take us to about 70 stores by December 24. Floats is the other piece. While we've seen great response, we have invested in a lot of technology, a lot of new styles, a lot of forward-looking investments in terms of molds, etcetera, that we have put in.

We keep getting great response on this. The speed at which it is putting out of the store is very encouraging. We have now gone to double-digit doors in terms of pop-up stores. We hope to continue that momentum even more aggressively on Floats, even outside the Bata stores. And we should be looking at ambitiously a first EBO on Floats by quarter 3 of this year.

On the e-commerce side, I think as I mentioned, robust growth that we managed to see almost across channels on a reasonably large base tha

t we anyways had last year in this quarter and

backed by volume growth and Bata.com also doing well. We did have a record number of Omni business that we did from our stores. Almost a million pairs actually is a great landmark for FY '24 that we crossed to just Omni. There were multiple campaigns, a refresh of the entire Bata.com site that we did and relaunched it. And I'll invite many of you all to also visit it. It's a great site to go to.

On the distribution business side, while the business is still muted, it has been a drag on the overall growth rates even for this quarter. We are seeing some signs of mass market showing some risks, no resuscitation, but still early days for the quarter. It's been a drag. We continue, obviously, the work in terms of key retail outlets and making sure that we are also pushing towards extraction from these outlets.

We did launch the entire and expand on the entire EVA range, which has been, I think, a growth category for almost 18 months. Something that we should have caught on much earlier. But anyway, for the last six months, we have now launched it. It's now very quickly ramped up into the fifth largest category for the distribution business and I think as I mentioned even in floats at the price point that this range sells in distribution business it is not under floats. It will have a significant blip-up in the next couple of quarters because of the seasonality.

As I mentioned we continue to invest behind the brand, multiple campaigns that we ran. I'm on Slide number 11. Bata 10 on 10 was the centerpiece of the entire thing bringing about style and comfort both together in terms of casual as well as occasion. It's consistent with the every walk a ramp walk campaign that we ran the previous quarter and backed by obviously digital campaigns in various ways.

We also, obviously, launched Nine West as I mentioned. A large piece of the marketing piece on Nine West, etcetera, will happen this quarter and this was reinforced with making sure that

some of these communications/stories are brought alive in the stores. In terms of brand stories

for significant new collections/technologies that we're introducing as well as kids' engagement areas using technology like digital screens, etcetera, and most of the renovated stores.
On slide number 12, some key accolades across technology, green practices, sustainable practices, marketing campaigns as well as in terms of diversity and that endeavor, obviously, continues. With that, moving to slide number 14 which is the financial section. This finally resulted in I think lower than expected in my mind, growth rates at about 2.4% though better than what we have seen for the last two, three quarters.
We would hope that this trajectory improves even further going forward. Despite that, in slide number 15 as you can see I mentioned that in the last quarter also our investments behind IT and marketing, some of the initiatives I've talked about, ERP has gone live. They continue apace and hopefully set us up for as the demand cycle improves and cycles back, but these will help us, basically, improve our efficacy as well as efficiency in terms of operations.
The last chart on margins, gross margin was protected reasonably well, I would say during this quarter, despite the tough trading conditions and that resulted in leverage into EBITDA. However, overall leverage we still would have desired more from a fixed cost perspective, etcetera, and we will look forward to top line driving us and that's going to be our focus going forward also. That brings me to the end of the presentation. Thank you for listening in and we can have any questions. Thank you.
Moderator: The first question is from the line of Girish Pai from Nirmal Bang Equities. Please go ahead.
Girish Pai: Yes, thanks for the opportunity. Gunjan in your TV interview in the morning you talked about a dem

and pickup in March and is that demand pickup sustaining into April and May?
Gunjan Shah: Yes so I can't give you forward-looking forecast, Girish. And obviously very soon we'll come back to you for the next quarter, but the piece is that yes we did see an improvement during the quarter from a Jan which was actually much worse, but to March which was a little better, but still not giving us complete clarity in terms of how the underlying conditions have changed. As I mentioned, there are some signs and pockets that we see, but is it lifting the entire boat we will have to see how it comes over a longish period of time. So that will limit the comment of mine right now.
Girish Pai: My second question is on the channel mix and channel growth in FY'24 now that the full year is done which have been the channels which have been driving growth for you in FY'24 and which have been the drags and I would want specifically comments on the COCO channel. How has the growth been there?
Gunjan Shah: So broadly the growth engines that have delivered in terms of growth would be the ones that is franchise I would say e-commerce and Hush Puppies from a channel mix perspective. The ones that are playing at the lower end of the price point, the biggest drag so COCO would have been just about at par for the overall. It is the distribution business and the lower end price point related business that has been the drag on the growth.

Girish Pai: Okay, my last question is with regard to the variability in gross margins across quarters, what is driving this variability and the 60% gross margin is that sustainable going into the future?
Gunjan Shah: See it's actually, I would say, a reasonably predictable seasonality. Obviously, there are some variables that do come into get accentuated depending on one is the circumstances of the business as well as more importantly festivals moving from one quarter to another, but broadly there are two large things that create a mixed change. One is EOSS which comes in into basically, let's say, the June quarter as well as the December quarter.
The second one that there is basically a certain mix of a certain kind of a business. So the sneakers goes up that curves with slightly higher margins from a COCO perspective, but you will also have times where in the school business goes up and that time the margins do come down. But they do follow a reasonably predictable pattern if you look at it over longer periods of time and that should not deviate much. The only large deviation that we can possibly have is festival season moving from one quarter to another.
Girish Pai: Sorry if I can squeeze in one last question the channel mix in terms of revenue, if you can give that for FY'24?
Gunjan Shah: Yes, so COCO would be about 70%. You will have distribution business in the mid-teens, e-commerce in double digits, low double digits, and you will have franchise in the higher single digit.
Moderator: Thank you. The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.
Videesha Sheth: Hi, thank you for the opportunity. My first question was on the product mix. What is the mix of discounted or full-price sales within the revenue and also you've been taking a lot of initiatives on improving the frequency of new launches and even on overall better inventory management. So as a result to what extent can this benefit in terms of increasing the full-price sales?

Gunjan Shah: Yes. So there are slightly different objectives Videesha for this question. So the newness is towards driving freshness. People want to see range and fashion in the store and consumers come to us at a frequency of about 3 months to 5 months on an average. And therefore they would like to see new styles and new varieties and wherever applicable new technologies, etcetera, coming through and that's what this concerted drive was.

I thi

nk over the last 2 year we would have made significant improvement on it. The initiative that we have been driving for the last two quarters and which is what I tried to give some snapshot in my presentation was to make sure that it percolates across the entire network and earlier a lot of that used to be concentrated in the top 500 stores. We wanted to make sure even the bottom 800 also get equally impacted.

And that's where basically the minimum threshold that I had set which was at least 20% by store, by category should be desirably fresh for the season. The second piece that you mentioned was that how does that help in terms of -- so that's the prime driver. Does that help full price sales? For sure, it does, but a large part of this newness does not necessarily drive volumes. The

volumes are driven by the ones that the consumers are repeatedly consuming and some of it is bestsellers and news.

So bestsellers and news which are carryovers from previous seasons that have done well, will be large contributors to volumes and therefore the sales mix comes from those. The last piece on markdown of the portfolio in the range of ballpark as I said it varies. In the previous question I'd answered, it varies by quarter, but in the ballpark of about mid-teens would be the portfolio rate that goes under markdown on an average.

Videesha Sheth: That was helpful. And on the second question was on the apparel bit, any incremental update on the apparel portfolio in terms of the response and how are you trying to get incremental SSG from the same? Basically, just trying to understand what is your right to win in this segment and how is the same communication to the consumer?

Gunjan Shah: So we've got a going-in hypothesis which is what I'd shared a couple of quarters back when we had launched it which was the going-in hypothesis being basically getting in almost the best kind of technology with obviously the right kind of design as well as comfort fit, etcetera, at a certain value proposition that we wanted to where we felt that the consumers did give us in the consumer did stick response on it.

The piece, however, that we and some of it was the going-in hypothesis there is a lot of learning that we have come. One clear case, I mean, there are maybe a half a dozen more, but one clear case that came was that as soon as we hit October, we were not ready for the winter wear. I mean, it's in retrospectively sounds so obvious, but it is something that we were not ready for.

And obviously, we'll make sure we are ready this time around. But the piece was that there are similar learnings on some other pieces.

There's obviously enhancement of our understanding of that piece and therefore technology and proposition that we want to give to consumers. It is -- I would say the last quarter was the best that we have seen till now in terms of apparel contribution in the stores that we have launched. It is still below the threshold that will allow me to expand. But the trajectory gives me confidence, as I mentioned. Therefore, in H2, we want to double the number of store network as we hit the threshold.

Videesha Sheth: Got it. That helpful. And just lastly, on the ad spend for the full year, if you could share that number?

Gunjan Shah: It's been in the guideline of about 260 basis points. Last quarter, actually, 250 basis points. Last two quarters would be higher than that. And that's something that we have been trying to do to try and navigate some of this sluggishness that we see from a consumer sentiment point of view.

Videesha Sheth: And the 2H run rate is something that you would look to continue even in F'25 as well?

Gunjan Shah: Sorry, Videesha. Can you just repeat that?

Videesha Sheth: Yes, sure. And the 2H run rate, which was relatively elevated, would you continue that run rate in fiscal '25 as well?

Management: Investment or marketing?

Videesha Sheth: In terms of investments on ad spend?

Gunjan Shah: But it's not 2x. I don't know where you got the information.

Videesha Sheth: No, in 2H. I meant the second half.

Gunjan Shah: The second half run rate. Yes, broadly ballpark, yes, we will run with that run rate. And in fact, we might want to invest a little more. But we will also nimbly play with the overall conditions that we see.
Videesha Sheth: Thank you. That's all from my side.
Gunjan Shah: Longer-term glide path, we would like to take it to about 3%.
Videesha Sheth: Understood. Thank you.
Gunjan Shah: Thank you, Videesha.
Moderator: Thank you. The next question is from the line of Aniket Sakhare from Metta Capital Advisors LLP. Please go ahead.
Aniket Sakhare: Hello, and thank you for the opportunity. So, as we see, sneakers have become a social currency and a symbol of street culture…
Management: Your voice, Aniket, is not clear. A little louder, please.
Aniket Sakhare: Hello. Thank you for the opportunity. So, as we see, sneakers have become quite trendy right now. So, sir, going ahead, how do we look at the trends in the sneakers and for the industry as well as for our store purpose?
Gunjan Shah: Yes. So sneakers, as I mentioned earlier, is actually two, three segments per se, right? One is obviously performance. The second is lifestyle. There is also casual, which falls under the sneaker segment. And our sneaker studios has been an endeavor of bringing it all together. So, hitherto, it used to lie within various parts of the store.
And a part of all this renovation that we do is bringing it all together. I think if you're looking at basically in terms of what is it that we are wanting to invest within this, I think the easiest wins that we have seen over the last about 12, 18 months since we have put a largest push towards the sneakers has been in the casual and lifestyle.
Performance is what we are pushing forward. Power performance last quarter shows that there is signs of it. It is coming from a distinct USP that you deliver to consumers and therefore build your credentials overall from the sneaker perspective. And EBO will also add to it. Our EBO ASP of power is almost 1.5x of the ASP that we have in our stores.

So it just showcases that, that once you're able to display the full range, but it's a journey by itself, right? I mean, developing the kind of performance sports credentials and therefore the tech behind it, while we are leveraging our global parentage as well as the R&D that's going behind it. But that's the space that we want to really tackle well through the EBO route.
Aniket Sakhare: So I'm referring to Slide 4 of our PPT. So as you mentioned, we have implemented sneaker studios in 698 additional stores, right? So in terms of numbers, if you can specify that how it is going to supplement our revenues?
Gunjan Shah: Yes, that's what I mentioned that these are sneaker studios, which are basically a panel within the Bata stores and that is what we want to make sure that we bring across the entire proposition of sneakers to our consumers and register on them. And that's given us great response. The fastest response has been basically in the lifestyle and casual. So it's not additional stores if that's what you're looking for. It is basically sneaker studios, which are panels within the Bata stores.
Aniket Sakhare: Yes, and last question from my side. So as we see, our sales have been quite reduced from the last quarter comparison. But, sir, if we see, our COGS has increased, specifically the raw material. So is it due to price hike in raw material?
Gunjan Shah: You're talking sequentially?
Aniket Sakhare: Yes.
Management: The gross margin piece -- the question is relating to the COGS piece, right?
Aniket Sakhare: COGS, yes.
Management: Yes, so typically the COGS has -- we have improved o

ur gross margin, which is the impact of both majorly coming from mix and COGS per se has no major change. We need to take into account the COGS plus the change in inventory. Obviously, it would not vary significant.
Aniket Sakhare: Okay. Thank you.
Moderator: Thank you. Our next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.
Lakshminarayanan: Thank you. A couple of questions, sir. First is, as an organization, when you actually draw your business plan or strategic plan over the next three years or five years, how do you build in your growth expectations? And what is it based on? How do you do it top-down and bottoms up?
Gunjan Shah: So it's a little very broad question, gentlemen, but broadly the piece is being made from, you know, it starts from first principles, which is economic growth. How do we see within that the consumption piece? Then it moves into the industry and therefore what is our ambition juxtapose against these inputs at a top-down level?
Then obviously, it comes down bottoms up in terms of brands. What is our ambition on various brands, the categories within that, and lastly, the channels? So in a very simple form, this is what

it will be, but then it'll have manifestations in terms of org structures, supply chain capabilities, technology, etcetera.

Lakshminarayanan: So in general, if you look at it -- if you just look at next five years, what kind of industry growth do you actually expect? And when you say that you have performed well, do you have a benchmark saying that, look, we have performed more than some kind of an industry average. So how do you calibrate yourself and say that, look, we have done well or we have not done well, and we should do well?

Gunjan Shah: So our endeavor is to make sure that we are edging ahead of the industry growth. The industry growth estimates based on various inputs that we get, but I mean, nominally speaking, it should be GDP growth plus the inflation, minimal, and that works out to almost low-double digits in those lines.

Lakshminarayanan: Got it. And the second question is that if I just look at your presentation, it would have been good to have some breakup in terms of your regional sales mix or your price points mix or in terms of leisure, casual, formal, or men, women, children, or something like that. Is it that by design you don't want to share it or is it that you think you can actually share it?

Gunjan Shah: No, it's a combination of both. It's also a question of how much we want to load information together. I try and keep it to the highlights, but more than happy to entertain any queries wherever we can offline. Please do contact our investor…

Lakshminarayanan: The context is that, as I walk into a Bata showroom, I find a lot of brands. But as an organization, and it depends on whether I walk into Bangalore or Chitradurga or Chennai or Tuticorin, you know, it differs. As an organization, what are the brands you want to push? What is the mid-segment growth? What is the -- is formal growing faster or is premium growing faster? It's something which, you know, I can get into a lot of details, but if you can just help me understand what is a men, women, children mix, for example, that could be helpful?

Gunjan Shah: So what might help, I will answer that. I will answer that, but in case there is a query that you've got, which is a little more detailed or offline, you can please send that across and we'll try and address it. Basically, our contribution of men is in the range of about 40% to 45%. Our ladies mix is about 30%. Children's is in low double-digit and non-footwear is in high-single digits. Lakshminarayanan, is that you?

Lakshminarayanan: Yes, sir.

Gunjan Shah: But Yes, you can please reach out, as I mentioned, in case there is some more details.

Lakshminarayanan: And if you actually look at, as an organization, premium,

I mean, what is your cut? Like, how do you say that this is premium? And is there a rupee? At an MRP, you decide it. And if so, what is that cut and how much -- what is the revenue contribution in ballpark?

Gunjan Shah: Yes, the premium mix, I have given commentary, Lakshmi, but however, since you have asked it greater than 2,000, which is 2x of our ASP, is what we consider as premium. Obviously, Hush Puppies is, let's say, runs at almost 4,000. But overall, as a basket, that continues to grow faster.

The one that is the lower end, which is, let's say, less than 1,000, less than 500, which is less than now about 10% of our turnover. Now, that's basically the one that's been tracking, as I mentioned in my commentary at the start.

Lakshminarayanan: Got it. And last, in terms of your inventory…

Moderator: Sorry to interrupt you, sir, I request you to come back for a follow-up question.

Management: Thank you.

Moderator: Thank you. Our next question is from the line of Jasmine Surana from VT Capital. Please go ahead.

Jasmine Surana: Hi, sir. Congratulations on the numbers. Most of my questions have been answered, but I wanted your take on how you are looking at demand and sales on a year-to-year basis, say, in the month of April and May.

Gunjan Shah: Yes, so as I mentioned earlier, Jasmine, I will refrain from giving a forward-looking forecast, but we are optimistic in the medium term, and we are hoping that some of this demand cycle, some signs that we have seen in the previous quarter, sustain and consolidate, but we need to see it over a longer period of time.

Jasmine Surana: Sure, sir. I just have one more question on the other expenses. I wanted to understand what has been the difference Q-on-Q from quarter three and quarter four by there has been a sudden hike in the expenses last quarter, and what is the sustainable number that would be shared?

Gunjan Shah: Okay. Prima facie, Jasmine and if possible, we can share details offline, but there are three large elements. Two of them I have talked about. In fact, all three I commented, but two of them I put

up, which is marketing, IT. That's a large expense that we have incurred, not only this quarter, but the last quarter, but for the full year, it's been a large investment, and we have charged off the entire ERP expense during this financial year.
The other piece is obviously marketing investments continue to grow ahead of turnover. The last piece that is there that has been somewhat a function of BIS in some form has been basically freight cost element, and some I think we can do more efficiently, but it's between these three.
Jasmine Surana: All right. Thank you so much. I'll take the rest of them offline.
Gunjan Shah: Thank you, Jasmine.
Moderator: The next question is from the line of Anurag Lodha from Axis Capital. Please go ahead.
Anurag Lodha: Yes, thank you for the opportunity. So, sir, you indicated that the demand trends have been improving from Jan to March, right? So I just wanted to understand, how are you looking at demand shaping up for FY'25, and what are the key levers of growth that you foresee?
Gunjan Shah: Yes, it will stay consistent to what I have mentioned in my presentation. We will want to make sure that, you know, some of these are focus portfolio additions, portfolio brands, casualization

and sneakerization definitely. Red label led fashion as well as Comfit led comfort is basically the focus brands that will drive us.
As I mentioned earlier, while it has been overall a tough trading conditions, even for the quarter that went by, we did see some shift in it between Jan to March. We will have to wait and watch and see how this consolidates over a longish period of time. Our endeavor in the medium term is, you know, as I'd indicated to some other participant was that we want to get to a consis

tent
double-digit revenue growth.
Moderator: It seems like our current participants got disconnected. We'll move over to our next participants. So our next question is from the line of Vikas Jain from Equirus Capital. Please go ahead.
Vikas Jain: Thank you, sir. Thank you so much for the opportunity. So first question is with respect to this BIS implementation. So in 4Q, was there any impact because of this BIS changes in our either phase or in terms of positioning? Anything that you want to speak about?
Gunjan Shah: No, as I mentioned, even in the previous quarter, we were ready for even the first Jan implementation, which was the earlier date of the quality control orders under BIS. And while the date has been revised by the government to 1st August, and therefore our readiness remains, we obviously did prepone some imports, etcetera. And since the levy has been given, we have very small quantities, but we don't anticipate any disruption from our operations perspective.
In fact, the supply chain has been extremely agile. One of the first, in fact, actually the first factory to get the BIS license was our Batanagar factory, way back, almost eight months back. And therefore, since then, obviously the entire manufacturing network has got BIS certified as applicable.
Vikas Jain: Got it. The second question is with respect to the ERP implementation. So you mentioned that ERP has been running from 1st of April. Now it's almost like three months that ERP is fully active. So any comments you want to make there as to like how, whether any, probably, if at all, is there any disruption that was there, or how has been the integration that across all the stages? Any comments there?
Gunjan Shah: Why don't I ask Anil Somani, who's been leading it, from a finance IT perspective to respond to it.
Anil Somani: So the overall, you know, the ERP implementation has gone well. All integrations are working fine. We are obviously in a stabilization phase. So once we do that, there would start our journey of, you know, leveraging the data analytics piece and also it's going as per the plan. And we are happy with the progress.
Gunjan Shah: And your other question that I understood Vikas was that, is there been any kind of a material business disruption, etcetera? In fact, kudos to the team. There has been zero disruption on that front.

Anil Somani: Great, sir. Great to hear that. So in the last question, if at all you could answer, could you share the contribution from the premium brand, that is a Float, or as Hush Puppies and Power, in the product pool, yes? What would be, sorry, the scale that it achieved?
Gunjan Shah: They will cumulatively account for almost something like 40% of our turnover.
Anil Somani: Perfect, sir. Thank you so much, sir. I'll get back to the question.
Moderator: Thank you. The next question is from the line of Varun Gajaria from Boring AMC. Please go ahead.
Varun Gajaria: Hi, sir. And thank you for that. Thanks for the opportunity. Okay. So just wanted to, just wanted

to understand, so from adding around 100, 150 stores a year, what is the plan as to like, the mode of, the mode in which the stores will be open? Will there be more of the franchise model or will it be more of COCO?

Gunjan Shah: No, so I have mentioned this. As you can see, even now from a trend, while there was a period post COVID where for almost about 12 to 18 months, we were still weeding out a lot more stores than we were adding from a COCO front. But that I think largely the exercise is done. Obviously, there is a continuous process of weeding out a non-profitable or non-value-adding stores to the brand. But we are adding net COCO stores that will continue. However, from an aggregate perspective, I think that's the other question that you're indicating towards. We will have predominant franchise store additions, which is in the ratio of 80-20. Does

that answer your question? Hello? I think we lost him.

Moderator: Hello, Mr. Varun. Further questions from the line of participants? The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi. So what are the strategic interventions required in the distribution channel? And despite getting at 39% of the freshness, have we lost any market share in that channel? And what has been the real problem in that channel for us to grow?

Gunjan Shah: Yes. By the way, the freshness that I talked about was largely from a retail perspective, COCO as well as franchise, including Hush Puppies. But the other question that you mentioned, which was in terms of the distribution channel, see, there are obviously areas that we can do better. I think the biggest one that was there was basically that about two years back towards the fag end of '21 and obviously a large part of '22, there was significant inflation.

And most of the industry, as well as ourselves, we had to move up prices. And at that price point, which is the mass segment, which is an MRP, which is below INR700, consumers are extremely sensitive to it. And that did create its own, how do you say, struggle from a consumption point of view from the consumers.

We have refrained from price increases now for the almost five quarters or a little more, maybe six quarters now. So middle of, let's say, second half of '22, '23. And that hopefully should at some point in time get absorbed by the consumers and move forward.

Independent of that, which is more a consumption and a pricing environment and an inflation adjustment scenario that I've talked about, there are a couple of things that we are pushing forward. One is basically making sure that we latch on to a few categories that we feel that either are the horses that are running much faster than otherwise.

The second one is ensuring that we are able to extract from the distribution expansion that we have done over the last three years. So as you can see, our weighted distribution, which is making sure the quality of distributors and the size of distributors that we are engaging with has significantly gone up. The number of outlets have gone up. Now we are at almost something like 30,000 MBOs.

Now the focus is towards ensuring that we've got depth and penetration, both at the distributor and outlet level, backed by obviously making sure the right kind of categories play that we make. One of the examples that I gave you was the EVA category, which has shown good signs, but there is a long way to go in terms of making an impact in that category, where I think we were delayed by almost 12-18 months.

Priyank Chheda: And what has been the like-to-like growth in your retail COCO channel, ex-off-franchise, of course? What has been the like-to-like growth for the full year in COCO channel? At least the revenue growth seems to be, again, very muted in this channel too? So if you can highlight, like you highlighted for distribution channel, what are the, again, the strategic interventions required to get the growth pedal back in the COCO channel also?

Gunjan Shah: Thanks for that. We don't share the like-to-like growth, but however, obviously, the overall growth has been muted. The piece that we are working on is on three angles. One is, as I said, this entire piece of making sure that we are able to get more trendiness going. Clubbed with that, we want to also do some kind of rationalization of complexity in store in terms of number of lines.

And H2 will see almost a 20% reduction in terms of number of lines that we want to bring. So one is bringing newness in terms of portfolio, make sure it's penetrated well across the network and simultaneously reduce the complexity. The second biggest piece is driving footfalls and therefore making sure that, you know, for example, right now in this quarter

, we are running a never-before-industry-first promo in terms of try and fly and running, obviously, thematic campaigns, highlighting some of our stories and USP.

The last piece was something that, while we are inched forward, I think last quarter, we finally

hit what I wanted and which is making sure that the store manpower variable pay for performance hits the benchmark that in my mind was about 30% and that's it there. And that is shown basically encouraging signs on conversion as well as NPS of consumers from store.
Priyank Chheda: Sorry, I couldn't get the rationalization of the lines which you said will be done in H2. You mean that you would cut down few brands or within the brands, you have more SKUs which you will have to cut down to get the correct mix.
Gunjan Shah: I mean, at a first principle level, it is basically trying to bring in that every product of mine doesn't have a reason for existence or a proposition to the consumer. Right now, that's the

idealistic level that I want to get to. Now, effectively, if I've got a sneaker and a sneaker and a sneaker, does it have a color proposition?
Does it have a style proposition? Does it have a technology proposition? Does it have a price point proposition? Now, it has to tick mark on either one of these to make sure that it's got a reason for existence. And outcome of that exercise is basically making sure that we are able to therefore remove redundancies which are maybe not necessarily offering differential propositions for itself to exist in a store.
Priyank Chheda: Sorry to harp again on this line. I mean, we have been working on the product effectiveness within the store for now quite some time. So why would, you know, we again rationalize it? And I think rationalization is something which keeps happening every year, every quarter, every day. So is there a very significant rationalization that we should think ahead?
Gunjan Shah: Which is what I'm talking about, that we want to. So you are right. It's an ongoing process. The question that we want to basically make sure that we are solving for, as I said, is to make sure that we are looking at first principles all over again. And that is coming out with an impact that is going to be differential to what we anyways do on an ongoing basis, season on season. So you will have end of season sale.
You will liquidate a set of stuff that doesn't work. You will bring in a lot of new stuff to bring in new trends, etcetera. And that's what you mean by basically something that happens on an ongoing basis and does happen. The piece that I'm talking about is differential, which is to make sure that you look at zero base. Is there a proposition that we would like to look at the line from existence perspective?
And simultaneously, as I said earlier in my call, which is making sure that the newness is percolated across categories and across stores. In addition to this, there will be a relook at a couple of a few brands, whether they make sense for a certain cluster of stores, whether up the pop strata or down the pop strata.
Priyank Chheda: Perfect. Just the last question from my side, if we can share brand level performance for the full year, the key marquee brands like Bata, Hush Puppies, Power or Nordstar, and as well as if we can share the contribution from the school shoes for the full year would be great.
Gunjan Shah: The school shoes contribution is about mid-single-digits. The brands, I will not be able to share immediately all the numbers on it, but as I mentioned earlier, the premium brands that I have talked about, Hush Puppies, Power, Nordstar, Comfit, etcetera. They contribute about 40% of a turnover.
Priyank Chheda: Sorry, I was asking for the full year performance. If we can on a qualitative basis?
Gunjan Shah: Okay, so let me come back to you offline on that.
Moderator: Thank you. Ladies and gentlemen, we'll take

this as a last question. I now hand the conference over to the management for closing comments.

Gunjan Shah: Thank you everyone for joining. Looking forward to interact again. Thanks a lot.
Moderator: Thank you. On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.
Disclaimer: While we have made our best attempt to prepare a verbatim transcript of the proceedings of the Earnings' Call, however, this may not be a word-to-word reproduction

Call: Aug 2024

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August 13, 2024

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The Manager
Listing Department
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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings call

This is further to our letters dated July 30, 2024 and August 8, 2024, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Conference) Call held on Thursday, August 8, 2024.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.

Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP (Special Projects) - Company Secretary & Compliance Officer

Encl.: As above

"Bata India Limited
Q1 FY '25 Earnings Conference Call"
August 08, 2024

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. ANIL SOMANI – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – AVP - COMPANY SECRETARY – BATA INDIA LIMITED

MODERATOR : MR. UDIT GAJIWALA – YES SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Bata India Limited Q1 FY25 Earnings Conference Call hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Udit Gajiwala from YES Securities. Thank you and over to you, sir.

Udit Gajiwala: Thank you, Steve. Good afternoon, everyone. On behalf of YES Securities, we welcome you all to Bata India's Q1 FY25 Earnings Conference Call. From the management team, we have Mr. Gunjan Shah, MD and CEO, Mr. Anil Somani, Director of Finance and CFO, Mr. Nitin Bagaria, AVP, Company Secretary. I now hand over the call to Mr. Nitin. Thank you and over to you, sir.

Nitin Bagaria: Thank you. A warm welcome to all of you. We have Gunjan Shah, MD and CEO. We also have Anil Somani, Director of Finance and CFO. We have shared the presentation with the stock exchanges earlier today. We will be taking you through the same. We will navigate the slides as well as the page numbers to stay synchronized. On Slide number 2, we have the disclaimer. I am sure you have gone through the same.

I now request Gunjan to take over and thank you once again for joining.

Gunjan Shah: Okay. Good afternoon, ladies and gentlemen. Joining for the call today, I will briefly run through the presentation which, as Nitin mentioned, is already uploaded. I will start with Slide number 4. Just a broader context, when we met for the call last time, we had said that we saw improvement in momentum at that point in time through the quarter between Jan and March at that point in time. That did continue for some time, but then we did see deleterious momentum in the latter part of the quarter, driven by various factors, heat wave, election, as well as wedding season, presumably.

So, it’s been overall a relatively tough quarter, reflecting in our sales for a long time having dipped actually negative to negative 1%. Within that, there were bright spots and I will talk to you a few of them. I will also try and see if I can give some sense of how we are trying to give impetus to the trajectory going forward, which we are hopeful of. I think one hit that keeps continuing really well, I have been talking about it for multiple quarters, has been floats. The brand continues significant momentum.

Now, on reasonably sizable base, contributions which are upwards of almost 4.5% to retail business and continues to log in highest quarterly sales quarter-on-quarter. So, almost running like a start-up. We are also running it like a start-up, a lot of investments that we are putting behind it, both on the front end, back end, technology, moulds, stores, etcetera and I will talk a little about it. The other big focus area has been power. Power has seen right from the previous quarter, as well as the quarter one of ‘25, double-digit momentum, we will want to keep pushing this brand, we feel that it's the right umbrella for attacking the athleisure space.

And it's got a good sweet spot in terms of the right to succeed at the mass stage price point in the range of 2000 to 3000 plus or minus, right. And there is a lot of work that's happening, a lot of the technology work that we have put behind power over the last two years, etcetera is flowing through, we will see, two large product launches going in this quarter also, which are with distinct user benefits that we are very confident will give us further traction on this. There is also a relatively better momentum that we saw in Comfort and Hush Puppies.

So, the premium Delta continues, though

it's been a narrowing gap, but it still continues. And Sneaker Studios, empowering the entire, encompassing the entire sneaker proposition expanded to about 740 stores now. On the expansion piece, franchise store expansion continues. So, we did see a continued expansion, we will continue to see almost 40 to 50 EVOs getting added every quarter, we are very hopeful that it will basically -- this momentum will turn around.

And these store expansions will help us. Within that franchise will be obviously predominant part, which I've talked about as a strategy going forward, especially in the tier three to tier five, where we are obviously, in many, many towns, the first organized retailer providing the kind of experience that we are, who are EVOs. Beta distribution also expanded, though the mass price points continue to have some amount of stress, it was relatively a little better last quarter, despite the other momentum areas that I talked about.

So, we are hopeful that that reversal journey will give us positive momentum in the balance of the year. Our investments behind stores continue, actually a pretty large number, I think 40 stores. So, ideally, we should be in the range of about 20-25 stores of renovation every quarter. This was timed, obviously, relatively a leaner time. And that's where we wanted to large part of these projects of ours at the store renovation.

Power EVO, I will talk about it. We opened one the previous quarter, this quarter also, we saw another one. And our ambitions are wanting to keep learning and moving forward on the front. We did attempt a large campaign, try and fly first in the industry to push basically in terms of footfalls and getting the momentum back. And also, we did a very different kind of a social media launch of Nine West. Now, Nine West is fully present in about 60 stores. And we are working towards making sure that we expanded going forward. E-commerce continues to expand. E-commerce momentum continued even in the previous quarter.

And obviously, not only in terms of portfolio, but also in terms of profitability, as well as partners, everywhere we did see good momentum. We also saw that momentum reflecting in our omni-channel as well as barter.com, so besides marketplaces. Some good work that happened in the efficiency, on the efficiency lines, capacity utilization was actually the best that we have seen in six quarters in our in-house.

We are at, and it progress well going forward at the best inventory levels that we have for the last almost eight quarters. Despite that, our availability has been also the best. So, I think it's been a good all-around work that's happened on inventory management and that should order well for us. In fact, it gave us a little amount of confidence that we postponed our EOSS sales in June by a couple of weeks compared to last year. And that reflects in the stable cross-margin

that we saw, despite obviously the overall revenue momentum being over. Simultaneously, I have been talking about this.

We have now fully stabilized in the previous quarter. Now, what I feel is right at par variable structure performance pay at stores at about 30% as per design. And we also stabilized the ERP module that we have run with MS Dynamics during the quarter. So, this is the first quarter where the results came in out of the ERP module. Moving further, a few highlights. The store expansion continued. What you see in the red bar is COCO. What you see in the grey bar is basically the franchise. Did see a slightly higher than normal COCO expansion last quarter.

As I said, we do try and pre-pone this relatively a quarter that we feel that from a project point of view, it's the right one to do. However, franchise did outpace it and that will continue. Another big highlight is the success of this from a partner perspective that now almost 50, half of the franchise additions

are coming from existing partners opening up multiple stores within the radius that they operate in.

And we would like that to keep continuing going forward. And the other big endeavour that we will have is to continuing push towards bringing in newness and innovation into our stores, not only in the top 500 stores, but even the bottom 800 stores. And that's been a big endeavour. We did make a shift the needle last quarter and the next six months will see a significant shift on that.

Moving to Slide number 7, which is basically in terms of seeding for the future, Power EBO. We have talked about it. We started the first store. It's in the north. The second one also has opened in the north. We will want to keep learning on this and the signs and the feedback are pretty good. We are getting the kind of trading density that we want from these stores. They are pretty compact stores, not more than thousand square feet.

And that seems to be the model that works. As you can see, it is encompassing largely the kind of portfolio that we want to show from a running sports perspective, but also has digital interaction. It's got apparel that we have anyways been working on for the last year or so, as well as some amount of non-footwear. We will want to expand this banner to about 15 stores in the next two quarters that is December 2024. This quarter, we should see about four to five additions. In the same breath is Power Apparel.

I have talked about it. We are there in about 70 stores now, slightly more than last quarter. And now the kind of traction that I have been mentioning this quarter on quarter for the last almost two quarters or three to you, we are seeing the kind of threshold that we want. And most probably, I think, in another two or three months, we should be looking at expanding it to almost 100 plus stores, ideally double of the 70 that we had. It also has given us a lot of understanding on franchise and making sure that we've got the right price points, some amount of also the material that we are losing. So earlier, we had only polyester.

Now we've got also cotton and blended stuff going. Price point that we have now aggressively put in, etcetera, all of them are working towards it and we are hopeful of the traction going forward. The other big piece has been floats. I've talked about it from a category and a business perspective, a lot of investments go in. As I said, now contributions are pretty handsome and come at accretive margins. We also are investing in the brand outside the Bata banner and the floats kiosks are the first entry towards that.

We are now at more than a dozen kiosks, 16 to be precise. A lot of learnings, but prima facie, the underlying momentum is very clearly visible and we should be expanding this and doubling this by also in the next two quarters. We will keep updating you on this. There's also work afoot in terms of opening the first EBO offloads. The kiosks are basically in the range of about 100 to 150 square feet, as you might be able to guess from the photograph on the screen. On the Slide 8, the other piece has been Nine West. I talked about it. We did do a launch. It's there in about 50 stores right now. We should have enough learnings in place. We should be looking at expanding that to about 70 stores within the Bata network. On the e-commerce, as I said, I think that continued its positive trajectory even last quarter across marketplaces, the D2C platform of ours, as well as Omni and all of them kept on generating momentum across various categories, some campaigns that we ran.

We are also wanting to make sure that some of the impetus that we have seen in the offline world on brands like Floats and Power, etcetera, we will be investing a significant amount of effort, etcetera, to make sure that e-commerce also joins the party on it in the next couple of quarters. On the MBO side, the

investment in infrastructure expansion continues. We are also
now investing in the top 1,000 outlets out of this direct reach that we have got of 50,000 plus, which we tracked for and where our FSR reaches.

We are also organizing the way we are putting up the entire range in these top 1,000 stores. They give us good throughputs on a per month basis. Besides that, we have invested in the EVA category at a price point of about 500 plus or minus. That's given extremely good results and has been doing extremely well despite the overall sluggishness in that segment, in that price point. On the campaigns in the quarter gone by on Slide number 11, we continue to invest in this and that shows up even in the P&L.

Our marketing investments are a big jump over last year. The campaign that I talked about on Try and Fly, we did a Nine West social media focused launch with influencers. We did obviously a topical campaign on floats, which was to do with the season. Last but not the least, obviously, in terms of brand stories coming alive within our stores. Some of the examples that you see on the screen in front of you. It's also been a period in the last quarter where we've got some good awards, especially from various stakeholders on the customer as well as on the consumer side.

Whether it be the franchise program, the loyalty program, as well as the social media campaign that we run. With that, coming to the last section, which is financials. While the results obviously have been published, sales have been muted. It was a negative 1.4% blended. Gross margin was flat, slightly positive, but mostly flat. That shows towards basically also I think

some of it was to do with making sure that we are able to toggle our inventories reasonably well. We did continue to invest.

This quarter also that I've not mentioned is that we have also charged off the complete expense on our IT projects, especially the largest one being ERP and that shows up in our other expenses. We've been on the conservative side on that side and this is the last quarter of large expense that was there on ERP. Marketing cost I've talked about.

Overall, it's not been too far from our ballpark of 250 to 300 basis points, but versus last year, yes, it's been a higher increase. And therefore, I think a longer term trend line, obviously disappointing revenue growth last quarter. We are hopeful that that turns around quicker. And

we also had relative simplification in our piece where we saw an opportunity and we
monetized the Faridabad land. That did obviously show up a bump up in terms of a one-time
gain and exceptional income that came in.
As I mentioned, between other expenses as well as some other lines, we had a cumulative
impact of one of expenses that we also charged off in this quarter on a conservative basis about
300 basis points on the EBITDA level. And therefore, that brings me to the end of the
presentation. Thank you so much.
Nitin Bagaria: We can now do the Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question
is from the line of Saurabh Kundan from Goldman Sachs. Please go ahead.
Saurabh Kundan: Thank you very much for the opportunity. Sir, my first question is, can you please let us know
the channelized growth between COCO, franchise, distribution and online in this quarter?
Gunjan Shah: Yes, I do not share the precise numbers, Saurabh, but overall, as I have been mentioning, the
piece was that franchise and e-commerce were the channels that grew the fastest, outstripping
the overall growth. On the mass side, distribution business was the relative laggard relatively.
Saurabh Kundan: I know that you mentioned that this quarter, you said that April, May and towards the later part
of June probably was weaker. But what is the same-store sales growth that you see, let us say,
in your COCO network, roughly? E

ven if you want to share April, May while you were still
seeing slightly better, even if you can share that number, the same-store sales?
Gunjan Shah: It has been evidently negative, Saurabh, but lower single-digit negative. Our endeavour is, and
I have stated this, is that we get it to basically mid to high single digits and we should see the
efficiencies flow at a significant level. So one of the reasons, even if I remove some of the one-
offs on the expense side, is that the [unclear] is coming because of the same-store sales growth
being muted.
Saurabh Kundan: Right, right. My next question is on the high-performance merchandising tech investment that
you have been doing. Can you let us know how do we measure what improvement or what
impact it has had? For example, if you could let us know the full-price sales now versus before
or any other measure that you track internally to see the effectiveness of these investments?

Gunjan Shah: Yes, yes. So there are a few, Saurabh, and it can be a long discussion, but there are a few
process metrics. There are a few outcome metrics. Eventually, the business case of that project,
which has now been fully, how do you say, implemented, is basically in terms of impact from
an outcome perspective on three, four large pillars. One is cross-margin, markdown, a
combination of that, and therefore, obviously, improvement on it. The second one is in terms
of inventory turns, right.
We would want to see, and as I mentioned, even when I'm making the presentation, some early
signs, but we will want to see, you know, we measure it for consistency on trailing 12 months,
which will take another six months of consistent performance. But basically, inventory versus
sales ratio. Last is going to be availability, right? And we do measure for availability versus
what has been the designed assortment for a store. And for each size, and how are we present
every day and every week. So all these three are the outcome metrics.
There are many other process metrics, which I'll not drain out here.
Saurabh Kundan: Okay. Could you give us an idea of what are your full prices? So percentage of sales that are
not discounted in a year?
Gunjan Shah: We would, my discounting on an average is at high single digit. Do I have the full price
contribution? I'll need to offline revert to you. I'm sure we can take that out.
Saurabh Kundan: Oh, sure. I'll connect with you, sir. And that's it for now. Thank you.
Moderator: Thank you. The next question is from the line from Rahul Agarwal from IKIGAI Asset
Management. Please go ahead.
Rahul Agarwal: Hi, good evening. Thank you for the opportunity. Sir, I had one question. I had all done the
sales and channel network. We spoke about 40, 50 store adds across COCO and FOFO is what
I understand in the quarter. Could you elaborate on what's the plan for SIS and MBOs? Is there
revenue salience overall? Because I'm relatively not really sure how much do COCO, FOFO
contribute to our business? And related question was from a gross margin and ROCE
perspective, like how would they be different? Like COCO, FOFO, that's the first question.
Gunjan Shah: Okay, so Rahul, you've asked multiple questions. Can you just repeat it quickly?
Rahul Agarwal: Okay, sure. So one is COCO, FOFO, SIS and MBOs. How do you plan to increase that
network? I understand COCO, FOFO is going to be 40, 50 per quarter. And gross margin and
ROCE, how are they different between COCO and FOFO?
Gunjan Shah: Okay. All right. Got it. The second one I've stated in the past also, Rahul, and the ROCE is, so
there are two ways of looking at it. One is at an EBITDA level. And the second one is at
ROCE and both of them are important. Actually, both of them franchise by default is better

from a ROCE as well as an EBITDA level, as long as it's, you know, there is a threshold at which it switches over. So the threshold that we have

seen is roughly in the range of about, you know, annualized turnover of about INR2 crores. So anything above 2 crores, then the COCO kicks in as much more accretive, right?

And an ROCE by default franchise is much better because a lot of the inventory and working capital is loaded onto the franchise because we follow an outright model. So I hope that answers that second question. The first one was the ratio between EBOs, I mean, COCO, FOFO, SIS and MBOs. We don't do ratio from a number because MBOs are very large numbers and throughput per store is very different. And that's why I show it to you separately. Even similarly for SIS also, our throughput per store is much lower than obviously the FOFO and the COCO. But between COCO and FOFO, if I'm looking at, let's say, for example, about 40 stores in a normal, at a, let's say, in a quarter or 45, we should have about 35 FOFO and about 10 COCOs. Does that answer your question?

Rahul Agarwal: Yes. And secondly, and then I'll come back in the queue, on the manufacturing and outsourcing mixed situation. So what is it right now for Bata overall and any updates from a BIS perspective for vendors if you could provide this?

Gunjan Shah: Yes. Thank you, Rahul. I should have actually included that in the presentation also on the BIS, but thanks for bringing it up. So a couple of things, I think the in-house manufacturing versus contract, the ratio has moved to about 25 for 75. Another big milestone while I declared and we had charged it off, I think, in a couple of quarters back, which was the VRS cost, a one-time cost, but we have also now formally notified the closure of the South Can factory, which was in Bangalore, Kenya. So that ratio will only keep moving.

So it's in the ballpark of about 25% right now. This was still about two years back at about 35. So there has been a distinct shift and I think one of those big reasons has been South Can itself. The second piece is the BIS. It has been now, I mean, at least the question marks have been completely clarified. It is effective from 1st of August.

The government has been extremely engaging and we have been partnering with them for the last almost about 18 months now, right from even the kind of quality control orders, etcetera that have been issued. It encompasses about, from a Bata portfolio perspective, almost about 90% of our products.

There is a small amount that is still not issued quality control orders, but a very small amount. The rest of it is all now covered and most probably for the broader footwear industry itself. We have successfully transitioned, I think actually about a month or so prior to even the 1st August, from our sourcing as well as manufacturing base.

There are some small parts of the portfolio, very miniscule and non-material, where there is some action still to be done or rather stabilisation in terms of getting the domestic sourcing done, especially where we have got very low volumes. Those are the ones that are still getting stabilised, but we are confident that they will not disrupt our initiatives, both marketing as well as merchandising in store. So that is the broad update on BIS.

Rahul Agarwal: Perfect Gunjan, I will come back in between. Thank you so much. Thank you.

Moderator: The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Yes, hi. Thank you for the opportunity. My first question was on the expenses side. We see that employee and other expenses have increased by 15% and 18% respectively during the quarter. Now, while other expenses had some impact of the one-time tech-related investment, what led to the 15% increase in employee costs? And also, how should we be looking at the cost side going forward as despite large part of the franchisee-led expansion, we see an increase in expe

nses?

I understand that the marketing-related expense and tech-related expense would increase the cost, but at the same time, we do not have to incur store-related expenses due to FOFO expansion, right? So I just wanted your clarification on this point.

Gunjan Shah: Yes. So, no, you are right. So basically, other expenses I have broadly talked about, right, even in terms of payroll as well as, okay, yes. So as well as payroll, etcetera, there were, there is no, I mean, basically, broadly underlying, we are actually pretty tight on it. And in fact, some of the piece that I talked about from a store level, variable cost structure, etcetera, will start kicking in in terms of benefits. So we do not see it outpacing sales growth going forward.

But the piece is that this quarter, there was some one-off related in the base, etcetera Cumulative impact, as I said, was to the extent of about 300 to 320 basis points, you know, between the ERP, the IT expenses, as well as some payroll-based effect.
Videesha Sheth: Okay, got it. In this continuation to the payableization comment that you mentioned, in the PPP, we could see that 30% of the incentive is variable in nature. But when we try to get an understanding from FY24's annual report, the sales commission line item as a percentage of total employee spend comes out to be only 14%. So is it only because of corporate employees that the 30% is getting diluted?
Gunjan Shah: I need some expert advice on this.
Anil Somani: So principally, what you are talking about is an annual report. The annual report, we report the total payroll cost. So question is, just to understand it better, how you are correlating from the annual report a variable piece of it, please?
Videesha Sheth: So in other expenses, we have a line item regarding sales commission? So would that…
Gunjan Shah: My sense is Videesha – my sense is your hypothesis is correct, the denominator does not necessarily include only store payroll. But we can offline correct it to you. But the construct has been what I'm stating.
Videesha Sheth: Got it. And lastly, can you help with the contribution from new launches or fresh inventory for the first quarter?
Gunjan Shah: Okay, so the number of lines that we would have launched in store, and they are not necessarily new to the system. So let me tell you, okay, so a little more elaboration. So we've got a large network, it's divided into store clusters, right? And depending on the cohort of consumers that it is in, because the merchandise in let's say a high street in Meerut has to be very different from a merchandise which would be in a mall in Gurgaon, or in Mumbai,

etcetera right? And therefore, then we have it divided into almost four or five clusters. So when I see a successful product, let's say in tier two cluster, or let's say a cluster two, not necessarily tier two town, but cluster two.
And next season, I take it to tier three, because it's seen a certain amount of success, etcetera It is a newness for that cluster and therefore that consumer cohort. If I have got through to you, then the eventual newness that we are talking about to these clusters of stores is to the extent of about 30%. The sales contribution is in the range of about mid-teens, so about 14 to 18%, depending on the month. The inventory allocation also is in the range of about slightly higher, about 14% to 18%.
Videesha Sheth: Okay, thank you.
Gunjan Shah: Thank you.
Moderator: Thank you. The next question is from the line of Anurag Lodha from Axis Capital. Please go ahead.
Anurag Lodha: Hi, thank you for the opportunity. So I just had one question. So your premium product portfolio has particularly done well. So I just wanted to understand how has the value segment performed? What is the salience between premium and value right now?
Gunjan Shah: Okay. As far as contributions go, I had mentioned that also, which

was that basically the
premium product, which is, you know, about 2000 continues to grow faster. That continues even last quarter, while the difference in trajectory has been narrowing, but it still continues to outpace. The contribution is that greater than 2000 is in the range of about 25%. Greater than 1000 is in the range of almost about 60%. And less than 500, which is largely the mass distribution business contribution, that would be in the range of about 15% now.
Anurag Lodha: Okay, understood. So are you suggesting that value segment is kind of picking up? I mean, you suggested that difference is kind of...
Gunjan Shah: We are hopeful. I think in absolute, it is still not turned around completely. But we are hopeful seeing some of the signs that we are seeing on the ground on that front, that in the coming quarters, we should see that turning around for us.
Anurag Lodha: Got it. Thank you.
Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.
Priyank Chheda: Yes. Hi, sir. Could you speak about the categories which are working well, which are not working well and why? What are the broader trends that are panning out in your footwear category? Now, we are four years away from the COVID. So there would be some sure large consumption shifts that would have happened. And one clear shift that is witnessing from your research is that sports and athleisure category is for sure looking very promising. So any

particular data points or any particular insights you would like to share on a broader category trends would be helpful.

Gunjan Shah: Sure, sure. Okay, thanks, Priyank. I didn't spend as much time on it. So one is that I can give it in the perspective of last quarter, last quarter. But I can also give you a little more broader one. That's what you're looking for. So on the broader front, and that's very clearly reflected in some of the highlights, some of the efforts that I'm talking about, the investments and resources that we are putting in, etcetera, has been sneakerization, casualization, as well as in terms of fashion. So these are three big pivots. Now, they manifest themselves in many ways. And let's say, for example, one example is floats. It's a classic case of casualization. Give good style, give good technology at the right price point, and there is momentum to be generated. And that's inspiration that despite the kind of overall consumption, you can make your own headway if you get it right. And similarly is on, as I said, on the sneakerization piece, as well as on, therefore, athleisure as a combination under it, which is why the apparel piece, etcetera, comes in.

And the last piece was, you know, fashion premium, etcetera, where Hush Puppies, some of the stuff that we are trying to do on non-footwear, especially nine vest, handbags, etcetera The one specifically last quarter that did show some amount of obviously stress disproportionately was the dress piece, both ladies as well as men. And my sense is to do with, which was otherwise doing reasonably well, I would say, but that obviously did not do well last quarter and most probably got to do with some of the occasion, wedding days, etcetera, etcetera, which should bounce back,

I guess. I hope that answers.

Priyank Chheda: So, the broader three trends which you spoke on, which is sneakerization, casualization, and fashion, what would be our sales contribution coming out from this trend, which is in our favor? And actually, what is driving such strong momentum or such a great acceptance for the consumer in this category? And how are we strategizing to benefit out of this? And on the other side, why formal as a category, which is again, a very large for us, is not picking up, is there some work to be done from our side as a market leader?

Gunjan Shah: Right. So, formal, let's say, for example, if I

go backwards two years, formal has been doing well. Right. The piece that I commented on was dress specifically within that, which did not do well last quarter. And my sense is because of, you know, some of the events that I talked about. But otherwise, over a longish period of time, I think it's relatively doing better.

The one that is, you know, the longer term trend, I think there is a lot of work to be done, we can do a lot more. I think even let's say, for example, floats, for example, we would be in the range of about 1.2 to 1.4 million pairs for the year. My sense is that can this can easily scale to about 5 million pairs, right?

Both offline, online, etcetera all combination done together. So, there's a huge opportunity that is there. In some of the places, we have to also fix the proposition as well as the mechanism of making sure that we are able to package it to consumers. So, are we putting up the stories

together? The power EBO, the power apparel, the entire athleisure, umbrella, etcetera is an endeavour towards that.

We do see that if you put in the right kind of technology, the right kind of initiative and the proposition to consumer, you will see traction on it. And that's what we are seeing for the last two quarters in power also. So, yes, so there is traction, but there is a long way to go.

Priyank Chheda: So, you didn't answer about what would be our contribution, revenue contribution as of now? And what would we see going ahead with these three trends? Where are we positioned?

Gunjan Shah: Okay, so casualization would casual overall, sneakers and casual combined should be contributing to about 50% to 55% of our business. My sense is that going forward, this should become about 60% to 65% in the longer term over, let's say, three years.

Priyank Chheda: Perfect. And just last question on the VAS norms, you did mention about your positioning for the norms getting implemented. Do you see competition from, say, MNCs veining out because they might take some time to readjust to the supply chains, in particular, into the sports and athleisure category? And also for the unorganized players, if you can comment on that?

Gunjan Shah: Yes. No, I've been asked this question. We will have to see how this pans out. See, the industry in general carries inventories to the extent, and this is only companies carrying it, to the extent of about four to eight months of inventory at any point in time, depending on the business model as well as the various brands slash players. Now, this is besides NBO retail carrying its own inventory, etcetera So I don't think trends as well as some of these insights will come out so clearly so fast.

But over a period of, let's say, about four to six months, we will start seeing some

understanding of how people have adapted to it. We also see on the positive side, to be fair to the industry, etcetera, there has been a lot more upgradation of technology and capabilities within India. That has happened over the last about a year or so. We have also benefited. So some of the products that we used to import, etcetera, those are also now getting easily domesticated, and we are able to make them at even better margins slash price points. So fingers crossed, should not be a big disruption.
But as I said, we'll have to wait and watch for the next about six months to see a clear trend.
Priyank Chheda: Great. All the best. Thank you for answering all the questions. Thank you.
Moderator: The next question is from the line of Abhishek Getam from Alpha Invesco. Please go ahead.
Abhishek Getam: Hello, sir. Thank you for the questions. I wanted to know, understand how is our plans on store openings on geography or region-wide? What sort of target areas are we looking at? And then in the newly opened stores, in like Tier 3 and beyond, what are you looking at the trends there? I mean, is it like floats

and EVAs working there? Or is it like sneakers and power working out there?

Gunjan Shah: Okay, so there are multiple cuts of the question that you have asked for. Tier format of stores between COCO FOFO as well as I think the banner and the concept that you're talking about in terms of floats as well as power. Floats and power, I have mentioned the immediate near term ambition has been what I mentioned in the presentation.
So I'll not repeat that. But overall, in terms of store openings from an EBO perspective, we should be looking at analysed about 120 to 140 stores. And as I gave an example, about 75 or 80% of them will be in the COCO, FOFO format. Does that answer Abhishek?
Abhishek Getam: Yes, no, I was coming more on the geography which sort of geographies are we talking about?
Gunjan Shah: Yes, yes. Oh, sorry. I see. I missed that. You shared it also in the tiers. Geographically, we are spread all across, right? I mean, it's almost to a fault that it's equally distributed all across maybe slightly higher index towards south. But our editions are also spread all across from our regions or state or province perspective. From a tier perspective, I would say that 70% of our net editions would be tier three downwards, overlapping very closely with the franchise model.
Abhishek Getam: Understood. And as you said, the index to south more and after that wouldn't be north or west?
Gunjan Shah: Index to south relatively slightly more. I mean, it's a small percentage kind of a thing, but otherwise, it's equally split across regions. North is technically our largest region.
Abhishek Getam: Understood. And so, you spoke about Evolite growing very fast in even a Lagarde mass market. So, what sort of triggers are you seeing in that brand? Or any key specifics that unorganized market is going off it? So, you're seeing growth there? Yes, yes.
Gunjan Shah: No, I think it's to do with the fact that it's at a very different price point. Obviously, the mass distribution channel, it's at about, as I said, 500 plus or minus, depending on the fashion of the articles. And it is something that we have launched about nine, eight, six, nine, six, seven months back. But it's seen great traction. But early days, right? I mean, it's only six days, six months.
So, two quarters of performance, but it's to the extent that I had, you know, I had to highlight it and share it with you all. So, we are now also investing on it. I'm sure I think in another quarter or two, I'll be able to give you all a lot more insight, which is based on far more, you know, how do you say consistent data points that we'll see also over a period of time.
Abhishek Getam: Understood. So, just one last question. So, we, at the company level, we see our COCO can be doing somewhere 55% gross margin. So, how does that model economics reflect for the franchisee owner or on the margin side?
Gunjan Shah: Okay. On the gross margin side, Abhishek, I mentioned this, the gross margin side, it is actually lower than COCO, naturally so, because we pass on costs and we pass on margins to our partners. But eventually at an EBITDA level, it is accretive to the COCO model.
Abhishek Getam: Thank you, sir.
Gunjan Shah: Thank you, Abhishek. Bye-bye.

Moderator: Thank you. The next question is from the line of Jasmine from VT Capital. Please go ahead.
Jasmine: Hi, sir. My question is more focused on the Nine West agreement that we have. I wanted to understand our position and play in Nine West and what would you clarify as our right to win in this category?
Gunjan Shah: Just what are the first part of the question, the agreement and what is our right to win?
Jasmine: Agreement and right to win with Nine West.
Gunjan Shah: You're talking of the licensing agreement?

Jasmine: Yes. Is it any royalty that we're paying? Is it a transfer agreement? I

just wanted to understand
that.
Gunjan Shah: Okay. All right. Yes, for sure. It's a billion-dollar-plus land largely housed, coming out of New York. And therefore, a large part of the franchise of Nine West, etcetera, comes from whatever the fashionist are of New York, etcetera We did this launch and the announcement on this almost two quarters back, Jasmine.
And we did talk about it in terms of what does it play for us. It fits into our strategy, Jasmine, of two, three areas and whether it's organic and some of the work that we're trying to do through, let's say, power or float or athleisure, etcetera But there are two, three pivots that we see that will unlock further opportunities, both in terms of growth as well as profit pool, which are athleisure, casualization, as well as high fashion premium.
Now, what this one, Nine West, fits in is basically the third, which is high fashion premium, younger ladies, right? And that's where we see that there is a very clear-cut area that we can penetrate into. And that's where we are hoping that Nine West will get in. Obviously, they come with a very large credential spread across almost about 70-odd countries. As I said, a billion dollar plus of retail sales and with very, very strong fashion credentials, along with some amount of technology.
Jasmine: Okay. And in terms of the agreement, if you could shed some light too?
Gunjan Shah: I can't share, obviously, details for obvious reasons, but it's a royalty agreement, right? But it gives us, it's a pretty large, wide agreement of longish enough period that we feel confident on investing in creating the brand in India. And it is also, it is an end-to-end agreement. So it is right from manufacturing to retail across all business channels and consumers in India.
Jasmine: Great. Thank you so much for that. All the best for the next quarter.
Gunjan Shah: Thank you, Jasmin.
Moderator: Thank you. The next question is from the line of Varun Gajaria from Boring AMC. Please go ahead. Ma'am, your voice is cracking a little bit. Hello. Ma'am, [inaudible 0:46:04] can you please use your handset or a mic, a headphone mic, please?

Analyst: Okay. Hi, this is Varun and thank you for the opportunity. We just wanted to check, when we say 70% store addition in tier 3 towns, will the same apply to Power and Nine West too?
Gunjan Shah: Sorry, we could not understand. 70% store addition in tier 3 towns is under, what did you say, last part?
Analyst: Will the same apply to Power and Nine West too?
Gunjan Shah: No, no, it will not apply and which is why I mentioned to another analyst just prior, a few minutes back, that there are different cuts. In Power, we are focused very clearly to follow a cluster strategy. So, we are largely focused in the radius of NCR and maybe a few kilometers around it, where we want to go with the Power EBO concept and that's got nothing to do with the overall larger expansion of COCO and FOFO.
Analyst: Okay. So, marketing campaigns also will be more targeted in those areas?
Gunjan Shah: Yes, the store level marketing campaigns, while overall Power campaign itself, because we do sell a large amount of our product of Power and the brand is sold through the Bata banner all across, that will obviously be countrywide. Right.
Analyst: And when we talk about tier 3 towns, what is the competition landscape in these areas and what is the plan there?
Gunjan Shah: Okay. So, it's a very omnibus kind of a thing. India is very complex to give a very simple answer to this. But at a very average level in most of these towns, there is, we see very clearly the feedback and the pickup extremely fast, because this is a unique, okay, so it plays both ways, right? I mean, it's an EBO experience, we are most probably the first brand to get into some of those markets, etcetera And it gives consumers a great aha.
Simultaneously, it also takes some t

ime for consumers to adopt to a great plush retail environment, right? You get air conditioned, etcetera because you are largely catering to consumers which are otherwise going to LDOs and you know, high street, multi brand stores, etcetera. So, but all in all, I think we do see great traction and which is why I said now, you know, a bulk of our openings are happening from existing partners opening multiple stores.
Analyst: Okay. Thank you. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.
Nitin Bagaria: Thank you everyone for joining. Looking forward to interacting with you again. Thank you, Udit and YES Securities team. Thanks.
Moderator: On behalf of YES Securities that concludes this conference. Thank you for joining us and you

may now disconnect your lines. Thank you.

Disclaimer: While we have made our best attempt to prepare a verbatim transcript of the proceedings of the Earnings' Call, however, this may not be a word-to-word reproduction

Call: Nov 2024

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November 11, 2024

The Manager
Corporate Relationship Department
BSE Limited
1st Floor, New Trading Wing,
Rotunda Building,
P J Towers, Dalal Street, Fort,
Mumbai - 400001

BSE Security Code: 500043 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai - 400051

NSE Symbol: BATAINDIA The Secretary
The Calcutta Stock Exchange
Limited
7, Lyons Range,
Kolkata - 700001

CSE Scrip Code: 10000003

Dear Sir/Madam,
Subject: Post Earnings call

This is further to our letters dated October 22, 2024 and November 8, 2024, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings Call (Group Call) held on Friday, November 8, 2024.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.

Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP (Special Projects) – Company Secretary & Compliance Officer

Encl.: As Above

“Bata India Limited
Q2 FY’2 5 Earnings Conference Call ”
November 08, 202 4

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – AVP – COMPANY SECRETARY –
BATA INDIA LIMITED

MODERATOR : MR. RAHUL ARORA – NIRMAL BANG INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Bata India Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions at the end of today presentation . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Rahul Arora from Nirmal Bang. Thank you and over to you, sir.

Rahul Arora : Thank you, sir. On behalf of Nirmal Bang Institutional Equities, I'd like to welcome everyone on this call for the second quarter results of Bata India Limited. From the management, we have Mr. Gunjan Shah, the Managing Director and CEO; and Mr. Nitin Baga ria, the AVP Special Projects and Company Secretary.

At the outset, I'd like to thank the management for giving us this opportunity to host this earnings conference call. And I'd like to wish everyone a very happy Diwali and a prosperous new year on this call. I request the management to begin with certain o pening remarks on how the quarter has gone by, subsequent to which we can open up the floor to the participants for their Q&A. Thank you and over to you, Gunjan and Nitin.

Nitin Bagaria : Yes. Thank you , Rahul, and warm welcome to all of you. Hope you all had a great Diwali. We have Gunjan Shah, MD and CEO with us. We have shared the presentation with stock exchanges sometime earlier. We will be taking you through the same. We'll navigate the slides as we ll as the page numbers to stay synchronized. On slide number two, we have the disclaimer. I'm sure you have gone through the same.

I now request Gunjan to take over. And thank you once again for joining.

Gunjan Shah : Okay. Hi everyone , Happy Diwali, and obviously shubh muhurat for the New Year . With that, I'll start off with the presentation. I will jump directly to slide number four. Yes. So I'll just quickly give you some highlights, and we'll obviously want to deep dive and share with you certain initiatives/progress that we made on the initiative that I've shared in the past with you all. On -- but however, first the highlights on the slide, portfolio, I think the comfort, casual, as well as premium brands continue to outpace our overall growth, while overall growth still saw muted growth, slightly better than what we have seen for some time now, and obviously throughout the quarter. But within that few brands stood out, the Floatz continues to grow out of scorching pace. Now even in absolute, it's almost closing on 25,000 plus 27,000 pair actually weekly sales for the quarter gone by. Power outgrew faster, slightly higher single digits.

Bata Comfit continues on a very strong trajectory at a strong double -digit growth, and our Sneaker Studio expansion can use now to almost close to 800 stores. On the retail excellence, we did continue our addition of stores, franchise store additions, almost 34 new stores. We also have now Hush Puppies reaching very close to 140 stores, 136. And additions happening aggressively both in COCO as well as franchise. Four Power EBOs have now been opened.

Last time, I updated two of two years so the last quarter saw two more editions. And we also saw key retail outlet additions in the distribution channel. I'll talk about it. We did run a couple of campaigns and I'll talk about it, both behind Power, which I said is the other big brand that we'll focus besides Power Bata itself, and we ran a collaboration with the Emily in Paris in Bata Red Label. Digital commerce continues to be the fastest growing channel for several quarters and years now, including the last quarter gone by, and now we

saw two large initiatives. One is
quick commerce has been added, and we will announce that Slope going forward.
And the other one is obviously Slope now is creating a significant chunk even in the ecommerce

business line, which was referred to almost close to zero till about a couple of quarters back. On the agile and efficient supply chain point number five, we are working on severa l fronts. I will expand on a couple of these going forward. Sourcing partner consolidation, we have dropped our complexity from a sourcing partner, manufacturing partner base by 39%. We want to drop it to actually by about 45% by the time we exit this year , and another 20% next year.

So there is a significant consolidation that we are trying to do in terms of consolidating volumes, extracting benefits, both in terms of quality, service, as well as cost. Simultaneously, there has been a concerted effort towards net inventory reduction. I will expand on this in subsequent charts, and both in terms of quality as well as the quality of the inventory. And which should serve us in good stead backed by some solid initiatives. But that is in despite the fact of that we have improved availabili ty. So that also leads to a lot of complexity reduction that we are working towards very aggressively.

Staying nimble on costs. So we have put in and now seen significant progress in terms of the right store size going forward. The store size of the network still has not seen the complete impact of it. But new store sizes are now codified to be significantl y smaller, almost about 30% smaller in malls, and 20% on high streets. To have note that even capex per square foot, there has been a concerted effort from the teams online.

Last but not the least, I think a very large initiative on something called zero based merchandizing is what we call it. It's just a project name, but the pilot has been done in eight stores with some exciting results, and I will talk about it down the lin e. Okay. With that, I will move to slide number six, and these are templates that I've shared with you. So this is a EBO of footprint that is there, both COCO as well as franchise. COCO, we have reached now 1,355 stores, and franchise at 600 landmark. So that's a great landmark.

In fact, I said 2024 as the landmark for 500, so six or whatever three months in advance, we have hit 600 itself, with a pretty strong trajectory going forward also. As you can see, it's split reasonably well across the regions, with South being obviously the largest region from EBO footprint. And these are, as you can see in franchise, almost each one is adding unique towns to us, and therefore unique access to a market share.

The next chart, taking you to chart number seven is Hush Puppies. There has been a distinct shift in the trajectory and store count traditions on Hush Puppies over the last two years. So this year shows you almost 113 to 136. We foresee this going even fas ter going backwards, but even for forwards also. And as I said, here you have seen the aggression both in COCO as well as

franchise, which is rightly so. We have also renewed the contract on Hush Puppies now for the next 10 years.

In the quarter gone by, we did a collaboration with Peanuts. And that has given us exciting results and obviously encouragement to do many more going forward. And obviously, it's resulted in better growth. So we would have desired much better in the quarte r gone by. There has also been a significant effort towards a few initiatives that I want to highlight and share with the team. There has been this entire theme of driving affordability, and in these times where consumers are feeling pinched on their wall ets, etcetera, so I'll not drain the whole chart.

But just tells you across categories that have been concerted efforts in not only offering the merchandise, but also as you can see on the

right side, making sure that it's in a classy way

communicated across to consumers, to prospect choices, make it easi er for consumers, and to discover the price as well as hopefully get convergence going in the store. What you see on the left side while there are a lot of numbers, but basically it's trying to say price points, the articles in those price points, and how do you want to offer them in how many stores and what week?

So there's a core price point which is the core and the belly of the business of the category.

And then there is an opening price point where we want to make sure that we are able to entice the consumer to engage with us in our store, etcetera. So there is a concerted act towards making sure the value proposition come across to consumers. We do see feedback from the consumers obviously wanting it, and that's what is triggering this. I talked about it a little last quarter also.

We will see a lot more going forward.

Moving forward to slide number nine, Floatz continues the trajectory as I mentioned in my highlights, both volume as well as turnover growth, backed by a very exciting additions in the portfolio. We continue to be far more aggressive in going forward. Our investments in this both on the back end capacities, technology, designs, molds has actually gone up multiple times, and we will see a lot more in the portfolio as well as freshness coming through.

So we are also wanting to bring in newness in terms of one is collaboration. So we just actually launched the Marvel Disney Collaboration. I think it's giving us fantastic response. But along with that, we want to look at a lot more, and you will see that excitement coming through. We also continue to expand the banner of clothes outside Bata. As you can see one example of it, but we will want to see a lot more. We expect to exit by 25 plus by the next quarter, and obviously encouraged by the traction that we get in this.

Going forward, we will want to at the right time, maybe in around quarter four of '24, '25, we will want to also freeze plans on opening up first EBO on that front. Power is the other big brand that we've been focusing on, the slide number 10. And there we see again, as I said, while it's again volume backed growth that we have looked at, and Power continues to outpace. So now we are seeing three quarters of continuous outpacing, backed by great collection. We had two large campaigns that we ran on Easysli de as well as Energy series, great response.

We also have now expanded our EBOs to four. We are focused on basically making sure that we do density first. So it's going to be Delhi NCR and surroundings within a certain concentric

circle, and obviously making sure the learnings come through. Apparel also continues to grow attraction sequentially. And as you can see that now we are reaching the threshold that we have looked for, and hopefully, by December, I should be able to get con fidence on the team being able to expand it further once we hit that threshold of what seems to growth on apparels.

Slide number 11, zero based merchandizing. This is something that we have experimented. The objective is as stated in the chart, put store at the center, reduce complexity, and enhance the consumer experiences, and therefore eventually conversion and sales from the stores. What are the big pivots?

So I will not take you through the full details, but basically making sure that we declutter the store, the merchandise as per what the customer profiling of that store is to make it more customized, reinvent and bring about and because of you reduce the c lutter, you are able to bring out the story and the brand communication that you want to bring out, as well as the collection that you want to showcase, bring out the freshness of the newness, and last but not the least, also make sure that you declutter in terms of a

lso the fixture in the communications hitting the consumers.

Now all of this has been done over the last quarter. We have now moved to almost eight stores. Most of them are running now for almost eight weeks post the intervention. We see great results. So obviously some input parameters, but also in terms of output parameters, two of them I've showcased here.

The lines in the store have reduced by almost 60%. So that's a massive slash, as well as the sales per square foot has simultaneously gone up by almost 20%. We expect this to obviously gain further momentum. Now since that playbook has been reasonably codified and the ambition is to take it to almost 20% of the network by the next couple of courses, which is 250 top stores of ours. We are very hopeful that this should give us even more encour aging results, and obviously impact the overall business also.

Slide number 12, digital commerce continues to as I said, grow much faster than the overall business in line with the market trends also. We are -- we hit a couple of large things. One was we did launch Nine West brand exclusively at one of the marketplace s. We also are driving growth. Now as I mentioned earlier in my summary in Floatz, but also some of our brands on Bata Comfit and Red Label, where we feel that we can expand beyond obviously the Bata as well as Hush Puppies core.

And Omuni obviously continues to chug along. It is 5% of our turnover, which is at actually industry leading. On slide number 13, the multibrand outlet business, the distribution business, the investments continue, our infrastructure expands. However, it i s the one that is at the lower price point that still continues to struggle from a demand perspective. There been some signs that we have seen of response to some of our collections that we have brought in, not necessarily at a lower price point, so that we still await from a consumer price point perspective.

But we did see encouraging response to the entire Eva like collection which was absent earlier, as well as the refreshed men's clothes where we brought in some attractive price points, both at

the higher end as well as lower end. One other large initiative that we have now rolled out and you will see updates going forward is now having got to a certain scale of rated distribution, you will now get to control on retail and that's what you see as KRO, which is a key retail outlets, which is curated outlets, which are large transacting outlets with huge throughputs for outlets for us.

And how are we making sure that we've got the right kind of engagement program going with them, and our new products as well as collection displayed in the right manner. So they are expected to lead the secondary growth as well as showcase our collection. We saw an addition of almost 150 in this. And we will track this going forward and share with you. From campaigns perspective, I mentioned there were two large campaigns that we run. Actually, the largest campaign was Power. I think well deserved, great r esponse, and we look forward to seeing this going forward.

We were live across the entire network of ours, and as I said, it was backed by two large collections. One was Easyslide, and the other one was the Energy Series. We also did a curated in and out which was on a collab with Emily in Paris on moving the imag ery on style, etcetera. And that was done in a limited set of stores, about 260 stores. Most probably the last chart before I get to the summary financials, slide number 15. We have also tried to make sure that we have concerted effort towards inventory, post obviously the post COVID boom where we are actually ramping up inventory.

Now we have tried to bring in some sanity and control, also in terms of making sure that the complexity comes down, while I talked about it from a store perspective a few charts back. But overall f

rom the network, as you can see, we have dropped inventory significantly while increasing availability. So it's the right kind of quality of inventory, and which is also showing up in terms of making sure that the fresh inventory goes up so that you can see on the right side. So both quantity as well as quality of the inventory has significantly improved. And you will see far more concerted action even going forward. There is still some meat left on it, which should overall, make the system far more agile going forward. On the financial highlights, as declared in our press release, the revenue grew by a muted 2.2%, albeit a little higher than what we have seen in the past for the last few quarters. We did see a recovery throughout the quarter between July to September.

And we are hopeful that this recovery should continue going forward with the oncoming wedding season and the occasions coming out. Gross margin did see a dip last quarter. We foresee that that should get fine tuned out. I am pretty comfortable with the in -taking the gross margin from a medium term perspective.

And that resulted in an EBITDA at about 22.9%, and PBT at about 8.4% as a percentage of turnover. We did obviously would like you to note that last year, the PBT was depressed because there were a VRS. And otherwise, there were obviously cost controls, etc etera , that we brought in place on a sequential basis that is reflected. Hopefully, it will start reflecting year -on-year going forward.

Thank you. That brings me to the end. We're open for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Videesha Sheth from Ambit Capital. Please go -ahead.

Videesha Sheth : Hi, thank you for the opportunity. My first question was on the overall consumption environment for the quarter till date, for third quarter till date. And also if you could highlight any divergence or any trends seen in metro and Tier one versus small cit ies for our stalls.

Gunjan Shah : Okay. So we did see I can comment on the quarter one by Videesha. It will be difficult for me to give you a forward -looking focus, but I'll try my best. Basically, as I said through the quarter, we did see improvement sequentially after obviously a pretty dismal environment in the previous quarter, which was April to June, election, summer, etcetera.

In terms of demographics, etcetera, we do see a slightly better kind of a response from the lower tier towns that is but however it's also getting up by the fact that premium continues to do better, right? So our higher price points continue to do better. And even this quarter, we have seen now the price points above INR1,000 have now even jumped further. I think over four quarters or less than INR1,000 price point contribution has now slided from about just close to 40% to now close to 30%. So there is still the divergence continuing. So we will have to wait and watch how that turns out.

Videesha Sheth : That's clear. And then with the focus on affordable proposition, how do you expect the premium versus mass portfolio to perform going forward, especially in the context of mass portfolio underperforming for the last quite a few quarters.

Gunjan Shah : So there are two pieces to this, right? So one is that, the question is that does the consumer sentiment and the consumer segments in ….[unclear speech]…. mass , how do they feel comfortable to start opening their wallets, etc etera ? We'll keep hoping for it, and we'll wait for that to happen. But in the meantime, consumers at almost all brands and category price points are looking for value, right? And that we can see very clearly. So I mean, the classic case for example is let's sa y the Easysli de, Power series. Now that's ramped up really well for us. Now that's something that is available at

a price point, which is actually almost two times or 2.5x of our ASP of our stores. But it's still a great value proficient to consumers because it's almost at 50% of the competitor price. So it tells you that you offer value proposition, it might still serve premiumization. There are multiple examples I can talk about it. Our latest launch of the leather collection at INR2,499. Again, more than two times of our ASP, but offering pure leather product at INR2,499 is great response on consumers.

Videesha Sheth : Got it, got it. And my next question was on the ZBM initiative. Just wanted to clarify here that the eight stores that you piloted this initiative in has seen a 20% increase in the sales throughput, right? So what kind of impact do you expect on your growt h rate over the next one to two years as you roll it out to the largest store network? I do respect that it's early days, but qualitative comment could also help.

Gunjan Shah : So the fact that basically it has gone up by 20% on a sales per square foot, and most probably you would have realized that in a pilot you would not have changed the size of the store, right? So it obviously means that the like -for-like in the store has go ne up, right? You also see net of control, right? So we're looking at in the context of the overall environment of the city/ the nearby store, etc etera . So we feel encouraged enough that this is something that should give us benefits going forward, not only in terms of turnover, but efficiencies of the store, consumer experience.

I didn't mention it, but the entire retrieval time, which is a great piece of consumer experience to especially footwear, consumers in stores, is that if you ask for a certain colour , and you want an alternative colour . If you ask for a certain size, you want an alternative size. How much time does it take the store salesman to get that alternative shoe back to you? That's dropped from almost about two minutes to almost 45 seconds, right? So these are great benefits in addition to the fact that's a sales p erspective. So yeah, we feel excited enough that it should -- we want to scale it up fast.

Videesha Sheth : Got it. Got it.

Gunjan Shah : And the inventory efficiency benefits that you get that on the long run.

Videesha Sheth : Right, and the last question is on gross margin. So besides higher saliency in franchisee sales, what -- which other factors would have led to the gross margin contraction of 140 basis point?

Gunjan Shah : Just a second. Basically the piece is that -- so there are two reasons that I would say, one is that, as you said, there is a mixed angle that's at play out here, franchise and ecommerce optically come at lower gross margins, right? The other piece that is there is that we have also invested some amount to try and make sure that we how do you say clear out inventory? And that is why I mentioned when I made the presentation that I'm pretty comfortable in the medium term, we should be able to man age gross margins reasonably well.

Videesha Sheth : Thank you for answering. Thanks a lot for the responses. I'll get back in the queue for my follow up. Thank you.

Gunjan Shah : We will be sure.

Moderator: Thank you. The next question is on the line of Sameer Gupta from India Infoline. Please go - ahead.

Sameer Gupta : Hi, sir. And thanks for taking my question. So sir, you have all mentioned in the past that the ambition is to first get to double digit growth. Now I understand that the times are challenging and value end in this seeing some pressure. But the company has also been taking very positive steps over the last few years. And at some point, we do expect the value portfolio also to s tabilize, if not grow spectacularly.

So your ground on the ground assessment and based on the new thing that have come up with zero based merchandizing, is there a timeline with tha

t you have for yourself that this is the time when you know, I think we can touch a double digit growth. When we started the year, we all

were seeing the second half as to grow much faster. Do you see that playing out now, as in we are much closer to that now? So, your thoughts?

Gunjan Shah : Yes. Okay, thanks Amir. You're asking me to do crystal ball gazing, which is not been a very good fast track record, especially for the last few quarters. But however, what we feel is that some of these initiatives that we are doing should give us much better traction, basis the experiences that we have seen. Besides the fact that as I said that simultaneous straddling the premiumization journey through Hush Puppies, through some of the concepts and Floatz, Power as well as some of the examples that I talked about in terms of Bata core while according the affordability, should make sure that we keep moving the needle up while we wait for the turnaround, etc etera , which is very difficult to predict.

Sameer Gupta : No worries, sir. Second question specific on Power. Now there is a feeling that this brand has been neglected, and it is only now that the company is doing something to re -energize it. So just wanted some numbers. Can you give the salience how it was in le t's say in FY20 and what it is now, or maybe how -- what kind of growth the brand has achieved vis a vis the company growth?

Gunjan Shah : I think overall Power as I mentioned has grown has seen -- see, it saw a great boom in '22, right, coming out of COVID, etcetera. '23 was actually and I commented on it, has been slightly muted. While Northstar continue to fire from a sneaker perspective because of lifestyle. Power is our performance back to how do you say fitness brand, and therefore needs technology USP to keep it firing. while we need to also, as you rightly said, invest behind it. So I think now we feel comfortable with the pipeline that we've got, the technology credentials that we want to bring in, while living up to the promise of Power, which is democratizing fitness.

We want to offer Power at the sweet price point at INR2,000 plus or minus broadly, right? But offering great technologies otherwise are available to consumers only at INR5,000, INR6,000 plus. So that's the promise, the pipeline is great. So now we feel gre at about investing in it. And as I mentioned in my presentation, you saw one campaign, we will continue doing that.

Sameer Gupta : Can you show the salience, broad number would also be helpful?

Gunjan Shah : Yeah. It should be in the range of about mid double digits contribution to our turnover.

Sameer Gupta : Got it, sir. That's all for me. I'll come back in the queue for follow -ups.

Gunjan Shah : Thank you Shah -ji.

Moderator: The next question is from the line of ….[unclear speech]….. Please go-ahead.

Surbin Lotta : Hello. Hi. So what is the current capacity utilization at your manufacturing unit? And is all production done in these four unit, or is there any outsourcing?

Gunjan Shah : Okay. So basically what we do Surbin that our sourcing footprint is in -house manufacturing as well as sourcing partners. What I commented in my presentation of sourcing partner consolidation, broadly the ratio that we have, at least, let's say for example, last few quarters would be in the range of about 25% and 75%. So 25% comes from in -house manufacturing, and

75% comes from sourcing partners. We obviously make sure that we go for the right categories where the larger term road map that we have, and we have taken some action that we find that it's not long-term sustainability on the IHM front, we shut down one of our plants last year. Similarly, on the sourcing front, we want to consolidate, make larger partners where we can obviously have better engagement, better product deve

lopment, capabilities as well as economic of scale benefit on quality, as well as service levels, etcetera, is going to be also on the IHM front, we are investing more and more on automated, less labour intensive, technology and capex led kind of interventions. So one example has been about a year back when we invested in something called the injected molded Eva pl ant. It's now running to full capacity.

And actually there is now evaluation going on how do we add that. There's another one that we are bringing in which is a little higher investment, which is something called the polyurethane direct ingestion plant, which is PUDIP, that should be coming in, I think another next quarter, which is in the March quarter. So that should get installed. But all of these are, as I said, high capex, less labour , highly automated technology intensive lines.

Surbin Lotta : Okay. Thank you so much.

Gunjan Shah : Thank you, Surbin.

Moderator: The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth : Hi, thank you for the follow -up opportunity. On the industry especially, I mean, primarily on the sports and athleisure side, how are you seeing the competitive landscape evolve, especially with BIS coming in, is there any change in terms that you'd like t o highlight? Or do you see the competitive landscape cooling off anytime soon in the visible future?

Gunjan Shah : It's too early to say this Videesha. While BIS will play some role. But you know, right now what's happened is that obviously people like us who've got a very large domestic manufacturing base have managed to transition. Maybe some people have had some sma ll hitches but otherwise not too much. And people who are otherwise depending on imports, etcetera, at the higher price points, etcetera, they have preponed inventory significantly. So we will have to wait and watch.

I think it's now what the third or fourth month, August one onwards. So about the fourth month now that we are in. So we have to wait and watch on how that transition pans out. But too early to say right now. Right now it's like for business as usual.

Videesha Sheth : Okay, got it. And the second follow -up was if you can elaborate on the sourcing partner consolidation of 39%. I mean, while you stated that the rationale of undertaking the same was to reduce the complexity. But at the same time, are we increasing our expo sure to a select set of partners?

Gunjan Shah : No, no. So it's still not going to be a very concentrated bit. I think we still have scope to go further. And which is why I said the target is to reduce by not only 45% by this year end, but another 20% going forward. We ideally would like to have in the range of about 50 to 60 partners going forward. So still we have a large number. So you can imagine what the number was. It was more than 100 going backwards. So that was exactly adding value. It does not give scale to

our partners, etc etera , and that they can then invest behind either quality or in terms of as I said, the capacity, etc etera , that we need.

Videesha Sheth : Got it, got it. Thanks, that's all from my side.

Gunjan Shah : Thank you, Videesha.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financials. Please go -ahead.

Gaurav Jogani : Sorry sir if my questions will be repetitive, I joined the call late. Sir, if you can maybe highlight about the demand conditions starting out in Q3, because we are hearing a lot of mixed feedback in terms of consumption, especially on the rural side, we a re hearing some kind of recovery. However, the mid premium or the mid mass is kind of getting impacted. So any sense on the demand side will be really helpful ?

Gunjan Shah : Yeah, I just made some commentary Gaurav on that, and I made it actually a reasonable amount of details which the

situation right now will allow me on. Just a brief touch on it. Broadly at least the quarter gone by, September was much better than July. And I think what we saw was two other trends, very clearly Tier 2 downwards. So the smaller towns, etcetera, the mini metros relatively saw much better traction compared to the larger towns, but offset by another phenomenon which was premium cont inues to do much better than middle and mass.

Gaurav Jogani : Sure sir . ….[unclear speech]….

Moderator: Mr. Jogani, please use your handset. You are not very audible into the call.

Gaurav Jogani : Sir, I'm on the handset. Can you hear me?

Gunjan Shah : Now it's clear.

Gaurav Jogani : Yes. So sir, my second question was with regards to the gross margin but while we are seeing the good growth in the premium part of the portfolio, however, we have seen kind of an impact on the gross margin front. So is it to do with the increasing franchisee store contribution or is it to do with on the raw materials front?

Gunjan Shah : Yes. No, it's nothing to do with the raw materials. In fact, I had given a commentary, even if in the start in my presentation that while this quarter would have been as a showcase that it's been lower by about 140 basis points, we are reasonably comfortable in the medium term in gross margins. Couple of things, one is that franchise now is almost about 11%, 12%, as compared to the DOS business, the retail business. So it's now increasing. So franchise and e -commerce continue to outpace and the refore at a gross level, they do have an impact.

The other piece that has also been typical for this quarter has been also a lot of focus that we've done in terms of making sure that we clear off inventory, which also I showcased in my presentation. So we have dropped inventory significantly, and we want to keep tightening the gap and the lid on the inventory total overall. But in the medium term, you should be fine on the gross margins. Does that answer your question, Gaurav?

Moderator: Sir, I believe the line for Mr. Gaurav has dropped. We'll go on to the next question.

Gunjan Shah : Sure.

Moderator: The next question is from the line of Suket Kothari from Nirmal Bang Institutional Equities. Please go -ahead.

Suket Kothari : Okay. Ye s. So I just had one question. I just wanted to understand for the so premium you have been saying it is doing well. We've seen the growth over the last one year. For the lower price point, the less than INR1,000 price points, what are the volumes in compar ison to pre -COVID times? Can you give like an indication on what that number would be?

Gunjan Shah : I don't have it handy right now Suket. Over the last year, it's dropped from about slightly less than I think about 38% to about 31% now this quarter, but my guess would be it would have been in the ballpark of about 50%. So yeah, it's a big comedown from pre-COVID kind of levels.

Suket Kothari : And any trajectory on how we are looking at getting this back to the pre -COVID or higher than the greater number, or any timeline even internally placed for our company.

Gunjan Shah : Which is what I mentioned Suket in my presentation, this entire thing on value proposition, both merchandise as well as in terms of communication, where we are wanting to make sure the value proposition comes through. So that's what we can or want to do, m aking sure that we bring in the products which are competitive at a competitive price point, which allow the consumer to feel enticed to open their wallets, and obviously communicate it aggressively to consumers.

Suket Kothari : Okay, sir. And just one more question on the EBITDA margin -- sorry, gross margin EBITDA margin. So you mentioned that there are investments that are being made like even the high capex plans that you are putting in the automation and all of that. And so t his will go on for how

long the investments which will be taken out from the margins?
Nitin Bagaria : Capex.
Gunjan Shah : So this is in line with the comment that I made to another participant on this, on the capex in the plants. Is that what you're saying?
Suket Kothari : Yeah, yeah. So the investments are being -- investments is one of the reasons you also said why margins have been a little lower as they used to be.
Gunjan Shah : Okay. So it will not be a big deviation from our capex trend lines. It was just that it was more in context of where we are investing in manufacturing. But on our total capex trend lines, there will be no big deviation that I foresee.
Suket Kothari : Okay. Okay. Thanks, that answer my questions.
Gunjan Shah : In fact, we are largely done with the capex that we had taken two large projects on IT in the --
Suket Kothari : Right, right.

Gunjan Shah : Over the last about, let's say 1.5 years. So those are largely done with.
Suket Kothari : Okay. Okay. Thank you, sir.
Gunjan Shah : Thank you.
Moderator: Thank you. The next question is from the line of Kunal Bhatia from Dalal & Broacha Stock Broking Limited. Please go ahead.
Kunal Bhatia : Yes, sir. Thank you so much for the opportunity. Sir, first of all, I just wanted to know currently what would be the revenue share from the franchises. And secondly, so you did mention about consolidating a bit on the sourcing end. So are we looking at incre asing the in -house production as a percentage of overall? And if you could -- in light of that, could you give us what would be your capex for the next two-to-three -year period?
Gunjan Shah : Okay. So I'll order in the reverse sequence, I'll answer in the reverse sequence Kunal. On IHM, as I mentioned that we've got parallel strategies, right? IHM is right now about 25%, sourcing partners is about 75% right? In IHM, we want to go in the directi on of high capex automated, less labor, and how do you say that we have a technology bent, right? On the sourcing partner side, we want to make sure that we consolidate.
As I had responded to another participant, it is more in terms of complexity reduction than anything else. We want to have larger engagements with a few partners, but still they will be in the range of about 60 odd partners that we can still bring it down to, right? So there will be a large enough base where we can have different capabilities, obviously geographically be closer to demand, while making sure that you have got large economic of scale running with these partners, so that they can then also help us in terms of product development as well as quality management systems, etcetera.
So I think they are parallel tracks, one doesn't take off from the other. Let me put it that way. On your first question, which is on channel on franchise saliency, I did mention that. Franchise now has crossed the -- it's about in the ballpark of about 11 %, 12% of the retail, direct the DOS business, COCO business. So it's now becoming larger and larger as it keeps growing faster.
Kunal Bhatia : Okay. And sir we also saw this time the receivables going up. So what was our -- was there any particular reason for the same?
Gunjan Shah : Okay. I think it's an eccentric thing, but I don't see anything structured like this, should be back to normal in no time. It's just to do with maybe the marketplace businesses, etc etera , going up a little because of the season, etc etera .
Kunal Bhatia : Okay. Okay. Fine, sir. Thank you so much.
Gunjan Shah : Thank you.
Moderator: Thank you. The next question is from the line of Ankit Kedia from PhillipCapital. Please go - ahead.

Ankit Kedia : So first question is in the presentation talking about Hush Puppies, where the contract is renewed for next 10 years. What is the license fee we are paying for Hus

h Puppies, and which are the brands in the system are we paying the license fee for, if you c an just quantify that?
Gunjan Shah : I will -- hi Ankit. I cannot share that information Ankit for obvious reasons. But it's -- I don't see a big aberration whatsoever because of the renewal. That was the direction of the question.
Ankit Kedia : Sure. My second question is on the new sizing system which has been proposed. Last two years

we have seen some disruptions in the footwear industry. First, it was GST got implemented. Then it was BIS, and now the sizing system. Do you see that getting impl emented next year could have a major disruption?
Gunjan Shah : Well, actually, I think it's a great initiative, and in fact, we will want to embrace it just like we have embraced BIS. BIS, I have already commented, right. We had an absolutely seamless transition. And as I commented to another participant, we'll wait a nd watch how it pans out. But from a Bata perspective, we've been absolutely, how do you say seamless, and we were anyways involved in the whole setting of standards.
And in similar manner, even in the sizing system, which is [unclear speech] our team, my quality head, as well as the designing head is a part of this entire process with the government. So we are actually looking forward to it. It makes it much easier for the consumer. There are a lot of consumers who get confused between the US and UK sizes, and this will make it much more easier. Besides the fact that I mean, we will get a little technical, but the fact is that the size is not just about the length of t he foot, but also of the girth, etc etera . So this will try and take those Indian specifics into mind while designing sizes, etcetera. So I think it's good for the industry, I would say.
Ankit Kedia : Sir, but when someone imports the footwear, as you said right in BIS while the imports have been curbed, will that get impacted as well? And will this all the footwear sold will be of the new sizing? How does that work is implemented?
Gunjan Shah : You are right, you are right. It will have some impact on that, because see the girth and the ball is very different, and therefore the last that goes into it, which is why I said this might become a technical discussion, so I can have it offline with you Ankit. So there can be some implication, we have to see how far it goes, how much is the adoption that is being, and how much does the government sponsor it, etcetera. So it's still early stages on that front. So I'll keep you updated, and may be we can have a separate chat on it.
Ankit Kedia : Sure. And sir thank you for the elaborate presentation. Really appreciate the data point shared this time.
Gunjan Shah : Thank you, Ankit.
Moderator: Thank you. The next question is a follow -up question from Sameer Gupta from India Infoline. Please go -ahead.

Sameer Gupta : Hi sir, and thanks for taking a follow up. Just wanted to understand this price point below INR1,000, the weakness here in more detail. So a drop from 50% before COVID to 30% now, it's a very large drop. So is it a very sub category specific issue or what is the data telling? Is it like more pronounced in metro Tier 1s? Is it more pronounced in categories which are Gen Z specific, or is it like a more pronounced because Bata is losing share in this segment to let's say private labels of modern retailers like Zudio or Westside, etc etera . Some data would be helpful in understanding.
Gunjan Shah : Okay. So let me try and give it to you this way, Sameer, right? So there are multiple how do you say inflection points that are there in this long journey, right? While as I said that there is a differentiation, so two, three things are, let's say, for exa mple, very large differentiation that has happened to the whole industry, right. One is the GST came in, and the GST demarketed INR1,000

. So what that frustrated was immediately everything that was in the border line between, let's say, for ex ample, INR850 MRP upwards, right, suddenly just to be margin neutral had to move to almost INR1,000. Yeah.
The second thing that happened was that late '21 coming out of COVID, and almost the full of '22, there was significant raw material inflation. So most probably right up until quarter three or so of '22, '23, the whole of industry went through a significan t price increase. It's not premiumization, it's not a portfolio mix, but price increase. So article to article prices got increased.
So the GST plus the material inflation significantly led to obviously a jacking up of prices. Now that's obviously had its impact in terms of how some articles migrated. So it's not just a question that it's apple to apple. There is a migration that happen ed a portfolio for one price point below INR1,000 to another. Are you with me on this?
Sameer Gupta : Sort of, go ahead and finish your view that happening.
Gunjan Shah : Yeah. The second thing that's happened is obviously this kind of inflation has been seen by consumers all across, and which is where now the predisposition is towards trying to ensure that we are able to get more and more affordability going back to consum ers, while they obviously need to also become a far more comfortable in terms of opening up their wallets, especially the middle and mass segment.
I don't think largely a lot of this hit has been taken in the distribution business. So that doesn't have as much of a play most probably. But yes, they can be obviously cannibalization with

certain competitors, etcetera, all the play. But it's a very fragmented market, right? I mean, the top 30 players are only about 25% of the business.

Sameer Gupta : So sir, just to follow -up here. I mean, the person who's buying or the people who are buying these products at these prices that they're still buying it in the last two, three years. So it's not coming to Bata, and we are losing share. So I mean, even if I'm downgrading, why am I not downgrading it to Bata? So that's -- I mean, is there a structural challenge with the brand in this price point or how do you r ead this?

Gunjan Shah : Yeah. So that's a very difficult to read in the fact that basically whether it's the same article or not, which is why I said there's a migration of articles. It's happened across industry. So whatever industry data we see, we see that there is a dissonanc e between value versus volume. But yes, there is possibility of obviously consumers being there, and there are people who are wanting to offer that. So private labels would have gone up, etc etera , etcetera .

Sameer Gupta : And is there any action now, I mean, whatever happened has happened, but now are we taking any action to get this back, or at least stabilize this? Because every quarter the share is going down. And the growth is also -- it's not like the premium category is going like 15%, 20%. So this is actually declining one of our basis.

Gunjan Shah : No, the premium category is actually grow. They are growing at actually pretty at double digit over several years now, right, even compared to let's say pre -COVID. But you're right, I mean, that does require, we have to make sure that we straddle the margi ns as well as the cost proposition right to consumers. And which is what the entire presentation that I made on affordability Sameer was towards that we want to tackle it while we make sure that the brand imagery as well as the margin profile gets maintained.

Sameer Gupta : Got it, sir. I'll probably take this offline. I just wanted to understand that slide in a more detailed manner.

Gunjan Shah : Sure, thank you Sameer.

Moderator: Thank you. The next question is from the line of Rajiv Bhar ati from Nuvama. Please go -ahead.

Rajiv Bhar ati: Yes. Thanks fo

r the opportunity. Sir on slide seven on Hush Puppies. So is it because you're spending on more on COCO stores and that count has grown by 20%, but your revenue is still up 4%. So are these one is, are these stores smaller than the usual ones? A nd because we are spending our money there, why the turnover is still lacking there First -off.?

Gunjan Shah : Yes. No, so that's more to do with recently of store opening. See what's happened is that the Hush Puppies network had been largely static till about, let's say about let's say five, six quarters back. And then we have obviously started expanding pretty aggressively. So it takes time for these stores to build up their franchise.

But per se, we see obviously Hush Puppies both on its own in the concept panel network, as well as within the Bata network, continue to grow better. And we obviously wanted to do much better, and that will continue going forward. So I don't see that as a b ig correlation. Obviously, once the store stabilizes, then the full turnover potential comes through, once the franchise is created within the vicinity.

Rajiv Bhar ati: Sure. And is it possible to call out what is the saliency of Hush Puppies in your entire business currently or how it was pre -COVID?

Gunjan Shah : It's about 20% -- actually in mid double digits.

Rajiv Bhar ati: Sure. Sure. And does let's say the situation with Clarks currently that does it help us accelerate on this further to capture the market, let's say,

Gunjan Shah : No, we always look forward to opportunities. Obviously, consumers do place Hush Puppies in a certain consumption or a consideration set. And these are all opportunities that we will want to tackle in. But I'll not specifically comment on a competitor, etc etera . But we are pretty robust and that's why we have invested more and more beyond expansion of Hush Puppies.

Rajiv Bhar ati: Great, thanks a lot, and great work on the disclosure improvement. Thank you.

Gunjan Shah : Thank you Rajiv.

Rajiv Bhar ati: Thank you.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to Mr. Rahul Arora for closing comments.

Rahul Arora : Thank you, sir. But I'd like to thank Gunjan and Nitin for giving us this opportunity once again. I think it's been a very insightful discussion, and I think the presentation very well appreciated as well. Again, festive greetings to everyone, and thank you once again to the management f or allowing us to host this call. Thanks, Gunjan.

Moderator: Thanks.
Gunjan Shah : Thank you everyone.
Moderator: Thank you, everyone. On behalf of Nir mal Bang Equities , that concludes this conference call. Thank you for joining us and you will now disconnect your lines.
Disclaimer: While we have made our best attempt to prepare a verbatim transcript of the proceedings of the Earnings' Call, however, this may not be a word -to-word reproduction

Call: Feb 2025

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February 14, 2025

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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings call

This is further to our letters dated January 21, 2025 and February 12, 2025, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings Call (Group Call) held on Wednesday, February 12, 2025.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.
Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP (Special Projects) – Company Secretary & Compliance Officer

Encl.: As Above

“Bata India Limited
Q3 & Nine Months FY ‘25 Earnings Conference Call ”
February 12, 2025

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. AMIT AGGARWAL –DIRECTOR (FINANCE) & CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – AVP AND COMPANY SECRETARY – BATA INDIA LIMITED
MODERATOR : M R. RAHUL ARORA – NIRMAL BANG EQUITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Bata India Limited Q3 FY '25 Earnings Conference Call, hosted by Nirmal Bang Equities Private Limited.
As a reminder, all participants’ lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rahul Arora – CEO of Nirmal Bang Equities Private Limited. Thank you, and over to you, Mr. Arora.
Rahul Arora: Thank you, Ranju. I would like to welcome one and all on this call. And I would like to thank the Bata Management for giving us the opportunity to host the Earnings Call for the Quarter Ended December '24.
At the outset, I would like to introduce Mr. Nitin Bagaria – the Assistant Vice President and Company Secretary, to make the introduction and introduce the management. Following which I think the management will make some opening comments and then we will take the Q&A.
So, thank you once again to one and all and to the management especially. And Nitin, over to you.
Nitin Bagaria: Thank you, Rahul, and thank you, Nirmal Bang team, for putting this together. Very warm welcome to all of you.
I have with me Mr. Gunjan Shah – MD and CEO. We also have Amit Aggarwal, who has joined us as a Director of Finance and CFO in December.
We have shared the presentation with the stock exchanges sometime earlier today. We will be taking you through the same. We will navigate the slides as well as the page numbers to stay synchronized. On Slide number 2, we have the disclaimer. I am sure you have gone through the same.
I now request Gunjan to take over and thank you once again for joining.
Gunjan Shah: Okay. Hi, everyone. Welcome to the call. I will now want to move to the presentation, and I will try and navigate through slides.
I am on the Slide #3, which is the one with the levers:
I have spoken about this, and we have changed the format a little for all of you, ladies and gentlemen. We have obviously uploaded the standard template, which gives you a little amount of longer-term direction, but I will want to focus on a few levers that we are trying to focus on to drive growth largely and some amount of efficiency/simplicity in the system, which will also result in better effectiveness of the business. I did talk about some of them in the last quarter also

and I will show you progress update against that and what are our plans wherever I can comment on it. The rest of the appendix has been uploaded. You can have a look at it at your leisure.
Moving into the key growth levers, therefore, I am on Slide #6, which is basically talking about six items that I will be talking to you, the entire thing of keeping the store at the center to drive store growth, so both in terms of merchandising, it's become much larger than just merchandising, but the project is still called ZBM ; and the value proposition which has also opened up in the last quarter; I will talk about that.
On the portfolio front:
Two large initiatives continue. I have been talking about it for some time. There is a lot of exciting work happening on it, some progress update as well as what we want to do going forward on Floatz and Power. And last, but not least, as I mentioned, simplicity and agility, I will talk about two large areas, inventory, I talked about it last time, and complexity reduction. Okay.
So, moving further into the store growth levers, store at the center of whatever we do, on the zero-based merchandising for enhancing consumer experience and therefore resulting in obviously both financial as well as non-financial metric improvement in the stores

. The last quarter, as seen, now we have exited at 17, but it's been a fast pace towards the lag end of the quarter and that has now spread across three towns. This quarter, we should be ramping it up even faster now with having the learning spread across regions, the template set in terms of the playbook of how we want to roll it.
The gains continue, as you can see in the graphs below, as well as some of the metrics, both net of control. So, the rest of the network, as well as in isolation per se. So, lines in these stores have reduced by almost 60%. Sales per square foot have actually gone up. And because this has resulted in significant inventory reduction along with lines at, as you can see, 0.628, so 38% reduction, the ROIC on these stores has gone up. It's also over a period of time. Now we have seen it for almost 12 weeks of consumer data, etc.
It's resulted in now some kind of footfall increase net of control, as well as much better consumer experience signified by two metrics out here. The first one is retrieval time, I think it's a big part of consumer experience. The network is then an average of two minutes. These stores are now at 45 seconds. And the NPS of these stores is under 300 basis points better than the rest of the network. So, progress continues. I would have wanted a much larger part of the network going in. This quarter I think we should see a significant explosion, because now we have set the trainer model as well as the playbook, which will help us roll across the wide part of our network. Our objective is to take the Pareto stores in first and therefore have an outsized impact from a like-for-like store growth.
The second one, it's a new topic that I have brought in. It's been in the works for the last about two, three months. This is just one manifestation from an example point of view, but focused towards our core categories. The one that I am showing you here is the ladies category. We have done it in a few stores, basically collapsing price points. In a way, also using that to get in value

proposition wherever applicable. So, as you can see, there were 11 price points in this category, which is called ladies closed. It has been crashed for ease of decision-making for consumers to only three price points. That has resulted in a significant explosion in terms of pairs growth from these stores, as well as a commensurate impact on turnover. The other key marker that we have kept it, does it help us in an absolute gross margin? And that right now has shown some kind of a positive indication, as you can see in the pilot on the left.
What does that do? It obviously, as I said, the price point reduction is to three per store for that category that we have talked about, as well as, as I said, comes out from competition benchmarking, etc. We want to also now fine tune in terms of how do we make sure that the right kind of call-out happens to consumers. That's still in fine tune working, as well as in terms of store windows, etc., as you will see going forward. So, good for this thing, but this should scale up much faster, because this does not result in, unlike zero-based merchandising, the whole store gets re-overhauled. It's not just the range, but also the visual cues, the visual merchandising, as well as the fixtures in the stores have been simplified. In this case, it's just a question of changing the price point, collapsing them across the portfolio products, which can be done digitally. So, we should see a full-scale sold out of a few select categories, starting with ladies in this quarter, and hopefully the overall impact on the network because of that, as we have seen in the pilot.
Moving to the next one from a portfolio perspective, I will talk to you about two specific ones:
■ One is Floatz, continues the momentum, continues leading our growth by a mile. We are now also getting into some k

ind of simplicity in terms of how we communicate
our entire Floatz portfolio. It's now become, in many stores, contributing to almost 8% to 10% of turnover, significantly accretive from a margin perspective. Obviously, we have worked on backend efficiencies on this as the volumes go up and the economies of scale kick in. We did have some slight amount of supply disruption in the quarter that went by, and now the volumes are pretty large. But it's got smoothed out towards the end of the quarter in December, and January onwards is back to normal. We have also launched obviously the new collection, Dual Density being one, which is a technology-driven product, which is Dual Density with a differential proposition for the outsole compared to the in-sock.

■ And the second one that has been also the collab, which is with Marvel and Disney. A large part of it will get scaled up in this quarter, and it's giving us exciting results. We are very excited with it. So, Disney will get scaled up, as you can see. We will also obviously have a big build up towards the summer and the monsoon, which is when this category starts seeing the crest coming through. So, good momentum and should continue going forward. As I mentioned to you all last quarter, Floatz was the fastest to Rs. 100 crores plus, and that's what we saw in the calendar year, and we will hopefully want that momentum to only continue going forward.

■ The other one was Power in Athleisure and driving overall growth. Our second largest brand, after Bata continues to grow faster, led by volume growth, almost close to double digits last quarter, and was backed by obviously new launches, Easy slide as

well as Stamina. Easy slide has been a great roaring success. It's at two times the ASP. And we are now widening the range in terms of color options as well as design options. The earlier one was a little more basic, and that's giving us good, exciting results. Stamina is the other one, which is the running and the walking shoe of ours. And that is also giving us an accurate ASP as well as results. We are also consolidating the seven EBOs that we had opened. That is now the focus is towards driving trading density and a certain throughput that we want, which is accretive to overall network, and therefore shows the viability of this network before I start expanding this further. But the turnover as well as the trading density has improved last quarter.

The last section on this key lever in my presentation is on simplicity and agility. And if I can move you to slide number 14, so this is the progress that we have managed to achieve. I think we will see a little more going forward, 33% reduction in the planned range for a store, right? That's the first quadrant that you see on the top left. That also reduces clutter. Now the difference between the first and the bottom quadrant on lines is that even discontinued lines, etc., how are we making sure that the store gets decluttered out. So, a focused work towards clearing them, maybe even aggressively discounting, but getting them out, because they are not large quantities, but they clutter the store and the consumer choices, etc.

So, both the planned range is coming down as well as the number of lines in a store at any point in time are coming down. We will want to see a lot more reduction going forward, and I will keep updating you on that. But parallelly, while we have done that, and as even my commentary in the press release plus the subsequent chart will show, is that while the inventories have been tightened even further, our availability has actually gone up. And that's because we have brought in simplicity, the number of lines that we are measuring for and promising availability to stores and therefore consumers.

So, it's at 20 points extra than where we were earlier. And within that, the top articles are at 20 points extra. Overal

l availability keeps inching up further. I think there is still some mile to go
on it. I think this can go up by at least another 10 percentage points on both these availabilities as we keep pushing this forward. This is backed by obviously a lot of complex work that's happening in terms of back-end supply chain, front-end logistics, etc.

Moving you to the next chart on Slide #15, yes, on absolute inventory, I talked to you last time, pleased to share with you that despite literally our highest availability and some of the progress I talked about, this is the lowest inventory that we have in our system for now going backwards eight quarters. So, it's a good mix to get in. Low inventory, high availability, reduced complexity, and also backed by lowest or lower agent inventory.

I think agent inventory can go down even further. So, it's been now almost two to three quarters of continuous progress, also results in obviously lesser clutter at the stores. Backed by, as I said, better demand planning, supply chain and logistics, forecast accuracy is one of them, which is leveraging the technology tool that we have put in place called high performance merchandising,

which I talked to you all in the previous quarters. Results in better stock turns and therefore inventory base, so this is the financials we show on the balance sheet.
So, that covers all the specific highlights, areas that I wanted to talk to and share with you all. There are some more other key highlights. We did cross the landmark of 600 stores on franchise. This was less than about 100, till about three years back. So, it's been a big journey or explosion. Northstar and Bubblegummers were the other brands that actually did relatively much better in an overall muted quarter. We also saw volume growth after some time, even for the year, as well as for the three months of the quarter that went by, and we want to keep continuing that.
Some of the initiatives that I have talked to you that we want to see volume-backed growth coming through. We also saw some category as well as key retail outlets expansion in the distribution business. E-commerce show addition of quick commerce, Zepto got activated and the others are in the pipeline at the right time. We got awarded for some franchise brand. We did land up doing campaigns. The festive campaign with Kartik Aaryan did go live. Jim Sarbh for Hush Puppies and Vir Das is the brand ambassador for Hush Puppies. So, you will hear a lot more of that. Vir Das incidentally hosted the Oscars wearing Hush Puppies this year.
With that, I come to the end. We have a chart on financials, which I will want Amit to comment on, which is Slide Number 18, and then we can open up for questions here.
Amit Aggarwal: Good afternoon, everyone. Revenue from operations stood at Rs. 918.5 crores, which represents 1.7% value growth. Gross margin at Rs. 515.6 crores, which is improvement by 17 bps over the last year gross margin. EBITDA margin at 22.7%, which also expanded by 141 bps, and while the reported PAT is about Rs. 582 million, which is flat.
Gunjan Shah: Before exceptional, I forgot to mention, we did incorporate in the quarter that went by one-time exceptional item, which was on VRS related to one of our south factories. So, while I think four quarters back, if I remember right, we had taken in the closure of the Bangalore factory. This one was, partial VRS for a certain section of workers, which was amounting to about roughly Rs. 11 crores, yes. So, that we had taken incorporated. So, the PAT obviously is after that. Thank you.
Moderator: Shall we open the line for questions?
Gunjan Shah: Yes.
Moderator: Thank you. We will now begin the question-and-answer session. (Operator Instructions) The first question comes from the line of Ankit Kedia with Philip Capital. Please go ahead.
Ankit Kedia: Sir, my first question is on zero-based merchand

ising. Last quarter, we had given a target of 100 stores by December and 250 stores by March '25. We are still at around 17 stores in the presentation for December. So, we are behind that target. So, any challenges in executing zero-based merchandising?

Gunjan Shah: Okay. Hi, Ankit. Thanks for that. Yes. You are right. And that's what we had set out ourselves. I think, unlike the other initiative as I mentioned even in my call or presentation that this one requires a lot. And what we have realized, as we mature this entire thing and understood consumer feedback, the store understanding of what's happening, why are they doing better, etc., we realize that three, four things go together. So, it's not just initially, it started off and which is like the project is called zero-based merchandising, but it's much broader than just merchandising.
So, now we are not only making sure that the range is curated, the voice of the store is brought out and therefore the relevant consumer cohort. But then making sure that simplicity comes through all across, right? So, the communication cues, how do you say the visual merchandising that we put, the number of fixtures, so for example, at least the first set of stores that I remember clearly, there were the gondolas, etc., were to an extent of about eight gondolas. After the entire exercise went through, the gondolas were reduced to four, but simultaneously the seatings went up and we had basically about eight seatings and that went up to about 13 or 14. So, all of these were physical changes.
So, I think a combination of the physicality of the change and simultaneously the question of training the trainers, because now we are spreading across, it was earlier limited to one city, I think is what took time. Now as I mentioned, I think the progress that we have seen between Jan and Feb also, I am pretty confident we should get back to the earlier plan, albeit with a lag of a quarter or a few months.
One other piece, Ankit, just to let you know, this also is teaching us new muscles, which we hitherto were not doing, and which is a relevantly best practice, which is making sure that we are able to suck out stocks out of stores on change of season, right?
And I think that also leads to the other piece that I talked about, which is decluttering. So, all of these combined together, Ankit, yes, so you are accurate in your comment.

Ankit Kedia: Sir, so, in the overall, say, by end of FY '26, will we be able to implement zero-based merchandising across the COCO stores first?
Gunjan Shah: It will be focused on COCO stores primarily, Ankit. So, the '25-'26 year will be fully focused on that. I don't have a number to give you right now, but the objective and endeavor would be to cover Pareto turnover contribution stores within such a long time period, right? We are right now focused towards making sure that the top 50% turnover, and which is what the 250 stores, 300 stores ballpark gets us there, is where we want to first ramp it up.
Ankit Kedia: Sure. Sir, my second question is, on the whole, the value proposition. At least in the example you have shared, we have, exited the Rs. 499, Rs. 599, Rs. 699, the entry-level price points. Is that the right way to look at it? While from 11 price points, we have moved to 3 price points in the women's closed footwear, but a big chunk of the entry-level footwear we have exited, right? So, how does the customer behave in that? If a customer wants Rs. 599-Rs. 699 price point, it's not there in the store, so they move out to competition. How does that play out?

Gunjan Shah: Okay. No, Ankit, very perceptive question. This was an example to just highlight the piece that I wanted to message out of this was, clear out price points. As you can see, the pairage is faster than turnover. So, obviously, people are get

ting much better value proposition, right? Now the example out here, I have given it to make it simpler, but it will be depending on consumer cohort. So, if, for example, I am in a relatively premium mall in, let's say, Mumbai, right, I will want to make sure I curate the price points accordingly, but tomorrow for a store that I have, let's say in a Meerut, I will have a very different, but they will still have three price points, right, across the three silhouettes, and that's where maybe the Rs. 599 becomes now the critical price point, and all products within the flat ballerinas now congregate towards that. So, I hope I have been able to answer you. But yes, right now, optically, your comment is right, but that's not how it's panning out. It will depend on the consumer cohort.
Ankit Kedia: Understood. And my last question is on the volume growth. So, till the first half, our volumes were negative for YTD. You made a comment that for nine months, we have become positive on volume growth. So, what changed in this quarter in terms of MBO traction, in terms of entry-level price points, the value proposition? Where is the volume growth coming from?
Gunjan Shah: Okay. So, three things, and some of these are, as I mentioned that, we want to reinforce these, etc., but three things that would have driven. One is that it's the volume growth is across channels of us, right? So, whether it's franchise, even the MBO, right? We saw volume growth better than the value growth.
The second piece is that we have also leveraged, and obviously set up the entire execution calendar for EOSS much better. So, that did help it along also. And the third piece is obviously some of these areas, which I have given you some example of value proposition. We will want to make sure it comes across several core categories, where you feel that consumers are looking for value, and as I mentioned, they're pinched for inflation.
Ankit Kedia: Understood. Thank you so much, sir, all the best.
Gunjan Shah: Thank you, Ankit.
Moderator: Thank you. Next question comes from the line of Videesha Sheth with Ambit Capital. Please go ahead.
Videesha Sheth: Hi. Good evening. I hope I am audible. Just one question from my side is, you have not added any stores this quarter. So, anything that you'd like to call out over here on the store addition momentum going forward?
Gunjan Shah: Yes. No, Videesha, you are right. The net additions have been flattish. That does not mean that we have not added. Gross additions have been there, I think, in normative numbers. But what we have aggressively also done, and I think a lot of work that was being put in by the team for the last about six-nine months, is that finally they come home to roost, so that we have also closed unprofitable stores, right, stores, which were diluting from, let's say, like-for-like growth within the town, etc., etc. So, combination of non-profitable stores, as well as taking away or

splitting out the like-for-like, a lot of that has happened. I think that's a progress that we will keep doing. There's also a framework that we have put in place for tightening it. So, my sense is it will be there for another quarter or so, but then the gross additions will keep happening. Eventually, net will start taking over.
Videesha Sheth: Okay. And the net addition, once the momentum improves, should it return to the earlier run rate of 30-40 stores per quarter?
Gunjan Shah: Yes, yes, absolutely. On the EBO front, including franchise, for sure.

Videesha Sheth: Understood, understood. And just one clarification on the earlier conversation around zero-based merchandising. These Pareto-based stores, they would be contributing to what percentage of overall revenue that you are looking to roll out zero-based merchandising?
Gunjan Shah: Okay. I don't have ready numbers, Videesha. I am sure the team can share it with you.
Videesha

Sheth: I can get that. I can get that.
Gunjan Shah: But the Top 100 stores that we will want to first attack should be contributing to about 25% of our turnover.
Videesha Sheth: Understood. Thank you. I will get back in the queue.
Gunjan Shah: Thank you, Videesha.
Moderator: Thank you. Next question comes from the line of Gaurav Jogani with JM Financial. Please go ahead.
Gaurav Jogani: Thank you for taking my question, sir. And also, congratulations on finally, the cost leverage is starting to work out and good work on that. So, my question is again with regards to the gross margins here. While we have seen that there are higher sales on the USS bid and also volume growing faster, so, what really has helped the margin expansion on a Y-o-Y basis?
Gunjan Shah: I will ask Amit to answer that.
Amit Aggarwal: Hi, Gaurav. So, in terms of the margin, the overall gross margin has expanded by 17 bps. This has come on account of a couple of things. One is tightening of the way we source the product as well as in-house manufacturing. Both of them have been more efficient, plus, the second aspect is in terms of overall the sales from discounted products have been slightly on the lower side.
Gunjan Shah: Versus year-on-year, the other piece, Gaurav, is that some of this, at a gross margin level, the fixed cost of IHM that has been worked upon for the last now almost two-three years is finally getting to count, right? So, the factory that we took closure about a year, year and a half back that I mentioned in my opening call in Bangalore, etc. So, finally, all of that is obviously

benefiting also in addition to some good work in terms of utilization and fixed cost in factories that Amit mentioned.
Gaurav Jogani: Yes. Sir, just one follow-up here. As the proportion of the franchise stores are increasing and mathematically, the gross margins for the franchise stores should be lower. So, going ahead, what kind of margin expansion thought process should be there in the gross level? Because ideally, as the network of the franchise stores would increase, the gross margin should be lower. Am I right in my thinking?
Gunjan Shah: No, you are right in your thinking. Mathematically, that is how it works. So, you are right and I have commented on this in the past, right? We actually hold the business lines and the business units, which is SBUs for franchise, COCO, etc., to their sequential gross margins. When we are looking at combined together, right, we look at it basically at an EBITDA level, right? So, at that level, basically both of these get neutralized, and their franchise is significantly more accretive.
Gaurav Jogani: Sure. And, sir, on the Power part, now we have seven stores odd that we have Athleisure as these are kind of model stores. So, any further updates you can give how the performance has been for these seven stores and how do you plan to take these ahead?
Gunjan Shah: So, Gaurav, there is a lot of feedback that's there, right? I mean, it's not as if I have just put in the summary output of it. Obviously, the numbers show that there is progress happening. Are we satisfied with where we are? No. And which is why the task with the team right now is to still, I need more improvement on trading density, which is the productivity of these stores. Because now we have got a critical mass from our ability to drive a network, drive some merchandise, etc. There are many learnings. Like, for example, how much do we give space as well as highlight NFT, including apparel? I think there is some way to go on that, right?
Also, the fact that what is the way in which we can get in, let's say, much easier, price point as well as clarity to consumers, the store offers us much better things. We can also, because the store is dedicated only for Power, the kind of merchandise, the kind of options that I need to show, which is differentiated from othe

rwise the rest of the network of mine, is also something that there is way to go. So, there are enough levers to push this further, but the prime driver will be trading density.
Gaurav Jogani: Sir, just a follow-up to this is, because of the learning that you have in Power, are you also contemplating to take other brands also to this route? Like how you have done also for Hush Puppies, driving separate EBOs for them, and then the overall performance kind of picks up and also drives premiumization for you. So, are there any other brands that you think you can take out and expand on this EBO basis?
Gunjan Shah: So, Gaurav, I have spoken about this. We have got to be choiceful in doing this, right, because it

can very easily start detracting efforts from the core, and the core will be to make sure that 1,250 store Bata banner keeps growing, right? But yes, for future, we are, and that's the whole objective of why we are doing this in Power. The other one that I have talked about is Floatz. So, there also we have got almost about 15 to 20 doors, and there, again, we have reached critical mass.

We need to make sure there we are also getting them to a certain level of trading density and profitability before we start expanding it further. They are also tests of creating a separate consumer cohort for these brands by themselves standalone. So, yes, that's where we stand right now.

Gaurav Jogani: Thank you, sir. That's all for me.

Gunjan Shah: Thank you, Gaurav.

Moderator: Thank you. The next question comes from the line of Sameer Gupta with India Infoline. Please go ahead.

Sameer Gupta: Hi. Good evening, everyone, and thanks for taking my question. Sir, wanted to understand Bata as a brand. What is the contribution currently and how it has trended over time, let's say, pre-COVID versus current? Now, why this question is because there is a belief that the contribution has decreased significantly, and if that is so, what are the reasons? Is it specific to certain categories like formals or women's? Some color on this aspect will be helpful, sir.

Gunjan Shah: Okay. And I am assuming you are asking from a much longer horizon, Sameer.

Sameer Gupta: Yes, right.

Gunjan Shah: So, I might not have the numbers handy, but, Sameer, we can definitely see how I can share it. So, there are two-three phenomena that are there, right? There is a sneaker as well as the Hush Puppies on the premium, which has outpaced overall, right? So, that has gone up in contribution. From a Bata EBO perspective, right, and including within that, there has been a migration towards the more relevant variants of Bata, which is Bata Comfit, right, Bata Red Label, as well as Floatz by Bata, right? Now, obviously, are on the slightly more premium side, and premium has been doing better, and which is why we are now wanting to strengthen the core, and I think the consumer is ripe right now to offer the kind of action that we are talking about, right? Give clear choices, but give solid value to them, and hopefully get that traction converted in an absolute manner in terms of better trading volumes.

The other piece that is separate outside the EBO, which has also unfortunately gone through some of it, and I have commented on it, is the price point that was 500 and below, especially post-GST and the inflation, etc., in the NBO business. Now, we are hoping that that also turns around at some point in time. Last quarter, saw some early signs, but we will have to wait and see whether it's secular. So, that's where the broad trends are. So, I think the Bata core broadly stands where it is. The premium as well as the sneaker part has outgrown, and the massy piece, which was the 500 and thereabouts, is what has de-grown contribution-wise.

Sameer Gupta: Got it, sir. Secondly, sir, the top-line growth of 1.7%, and what I have noticed is that you typically have a COCO and then a fra

nchisee NBO, where you typically sell, you know, outright at a margin. So, if, let's say, the proportion of franchisee increases, this kind of also depresses the top line. So, can you give a number on a consistent basis, and for this quarter, adjusted for franchisee

or, let's say, consumer level, what kind of growth is happening in the turnover? That would be very helpful, sir.

Gunjan Shah: Okay. I get what you are saying, Sameer. I don't have an answer right now. We will try and get back to you. What you are basically saying is that at a consumer price level, right, what would be the right apple-to-apple comparison on turnover, right, rather than the, you know, the wholesale price or the outright price at which franchise or e-commerce guys are buying it. Yes?

Sameer Gupta: Yes, that is true. I mean, just the no effect from the mix of channels changing, that would be great, sir. Yes, and thirdly, sir, this employee cost, what would be the impact of VRS? Let's say VRS wasn't there this quarter. How much this number would be on employee cost?

Gunjan Shah: It is not at the employee cost. It has been brought out separately at Rs. 11 crores in exceptional items in the P&L.

Sameer Gupta: No, no. So, what I mean is that you would have given a VRS to your employees. Otherwise, you would have given them salaries, right? So, if this VRS was not there, typically just trying to model this over the next few quarters.

Gunjan Shah: Okay. Amit?

Amit Aggarwal: So, it would be about Rs. 2.5 crores per annum.

Sameer Gupta: Got it. That's all from me. I will come back in the queue.

Gunjan Shah: Thank you, Sameer.
Moderator: Thank you. Next question comes from the line of Tejas Shah with Avendus Spark Institutional Equities. Please go ahead.
Tejas Shah: Hi, Gunjan. Thanks for the opportunity. And first of all, thanks for sharing more insights and improving transparency quarter after quarter. So, first question is the 17 stores that we have migrated to zero-based merchandising. Apart from the NPS improving, which you spoke about, which is a subjective outcome, revenue per square feet has just improved by 7%. Seven is now a good number looking at macro construct. But the kind of base that we have in some of those stores, I am assuming, with the kind of servicing that we are improving, would you have a higher goal seek in such effort?
Gunjan Shah: No, we would, we would for sure, Tejas. And the piece that we are looking at also, and this is one of the reasons that I responded to one of the earlier questions on why we got delayed, was to make sure that we capture all the learning, because we cannot do one such a large network rollouts again and again. So, we wanted to take a few more weeks and maybe actually a month and more to make sure we capture the full learning on this and therefore making sure that our ability to get the transition going.

So, just to give you one example of it, right? One of the stores that we expanded from 9 to 17 or whatever, right, we actually sucked out the stocks, but we have not put in the fresh stocks sufficiently. And we actually lost sale for a week, and which is criminal, right? A week out of 52 days, the store's profitability get impacted. Now, those are the kind of things that we are wanting to make sure that we fine-tune and tighten, and which should basically give us multifarious impact. Similarly, the visual merchandise piece, the number of communication messages that you are giving, the fixtures that you are putting on the floor and cluttering the floor, etc. So, all of that has gone through an overhaul, and which is what we will hope will get us even better than 7%.
Tejas Shah: Got it. And then zero-based merchandising, is it similar to theory of constraint, or is it different from that?
Gunjan Shah: No, theory of constraint is a supply chain it

em, in my mind, Tejas. The zero-based merchandising is working from a consumer experience perspective. It makes the consumers' choices easier, bring out the story that you want to bring out to consumers much better, reduce the clutter, and simultaneously, as I said, bring the voice of the store into the whole system of Bata.
Tejas Shah: Sure. And now second is, Floatz seems to be delivering an outlier performance. Something is clearly working there. Can you share more insights? And can we kind of extrapolate that learning or experience, whatever we are doing there, to other brands or other formats?
Gunjan Shah: Our endeavor is in that direction. On the slightly more elaborated discussion seems like an open-ended question, but your question is right. Tejas, we can do that offline.
Tejas Shah: Sure. And lastly, see, in the last three years of your tenure, you have addressed multiple gaps in products, service, supply chain, but the brand gap remains. So, in one of the earlier questions, I think, it was also alluded in this direction, but aside from Hush Puppies, which of the brands truly resonate with the urban premium consumer, like, whoever is on the call. For Athleisure brand, do you think there is enough brand gap that you have bridged in terms of what urban premium urban consumer wants?
Gunjan Shah: Okay. No, so there are different, I mean, basically the point is that we have to focus on our core consumers, and therefore different brands have to play that role. And which is where we are seriously focused on, right? Can we do better? For sure, right? Can we bring in more sharper choices? For sure, right? Can we become more trendy? For sure, right? But we will want to stay focused to the core consumers and the core brand. And therefore, the proposition that we want for those consumers. Now, can the Bata brand straddle all consumers together? I don't think so. And we will have to figure out and you rightly said Hush Puppies targets a different clientele and a cohort and you want to keep enriching and focusing on that and I talked about a couple of initiatives on that front, on the brand front, but simultaneously, the reason that even in the previous discussion, we are talking about seeding and putting a lot of effort behind seeding, let's say, a Power as well as the Floatz, is towards trying to see whether we can straddle and use different brands in our portfolio to straddle different sets of consumers. Similarly, Nine West is

an area in that direction. You will have to be also mindful, Tejas, on how much do we want at any point in time. Because as I said, the core is to make sure that Bata keeps growing.
Tejas Shah: Perfect. And just last one on that. Has Power been an aspirational brand in any of your other

countries?
Gunjan Shah: Sorry?
Tejas Shah: Has Power, as a part of Bata portfolio, has it been a very successful brand in any of the other countries?
Gunjan Shah: I cannot comment on that, but India is one of the largest markets for Power.
Tejas Shah: Okay, okay. That's all from my side, and all the best for coming quarters.
Gunjan Shah: Thank you, Tejas.
Moderator: Thank you. Next question comes from the line of Awais with Sundaram. Please go ahead.
Awais Bakshi: Hi, sir. Thank you for the opportunity. Am I audible?
Gunjan Shah: Yes, Awais.
Awais Bakshi: Sir, one quick question. When I look at our current performance and compare it with the pre-COVID, which is June '19 to December '19, on an absolute basis, we have seen 11% kind of revenue growth. Also, if I look at the gross margin, while it has come down on a percentage terms, absolute basis, we have again seen growth here. But when I look at the PBT, or for that matter, PBT margin, there is a sharp deterioration from 17% in the pre-COVID quarters, nine months, to now around 9% run rate.
So, firstly, I just wanted to get some sense that am I correct in my understan

ding that whatever incremental CapEx, which we have done during this period, in terms of adding stores, etc., we have not seen that contributing materially to the bottom line as of now. And if that understanding is correct, can you help me understand how long you see the gestation period is before that start giving us incremental benefit?
And can we reach that pre-COVID pivot margin given whatever business structure we have changed? Your sense on these things would be helpful. Thanks.
Gunjan Shah: Okay. Awais, it's a very large question that you have. And obviously, we have got to go back data points and things that we will have to also look at where the comparative is apple to apple in terms of exceptional items, etc., because we have been also taking a lot of long-term structural calls, which are good for the business and we are pretty confident and we keep tracking the business cases whether it's ERP implementation, whether it's the high performance

merchandising or the kind of ERS on IHM, etc., which is obviously going to give us multi-year benefits on operating costs.
But either ways, I think your broad commentary whether the numbers might, we will have to check for, but the commentary is to do with how much have we managed to leverage in terms of cost structures versus the top line, and the answer lies on two phases, right? One is that I think we would like to see much more top line leverage. So, a lot of the focus of the organization is to get the top line going further.
I am pretty confident with the cost structure that I see underlying, right, once we are able to get like for like growth and therefore overall top line leveraged, we should be able to see significant leverage coming through in the direction that you have looked at in terms of PBT margins.
Awais Bakshi: Sure. I would want little bit sense on the numbers, but maybe we can take this offline if that is okay, yes.
Gunjan Shah: Okay, Awais. Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Nitin Bagaria for closing comments.
Nitin Bagaria: Thank you, everyone, for joining once again. It was lovely interacting with you all as always. We look forward to connect again. Thanks.
Moderator: Thank you. On behalf of Bata India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

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June 4, 2025

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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings call
This is further to our letters dated May 27, 2025, May 30, 2025 and June 2, 2025, on the captioned subject.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings Call (Group Call) held on Monday, June 2, 2025.

The same shall also be made available on our website i.e. www.bata.in

This is for your information and records.

Thanking you,

Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP (Special Projects) – Company Secretary & Compliance Officer

Encl.: As above

“Bata India Limited
Q4 FY '25 Earnings Conference Call”
June 02, 2025

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. AMIT AGGARWAL – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – AVP AND COMPANY
SECRETARY – BATA INDIA LIMITED

MODERATOR : MR. GAURAV JOGANI – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Bata India Limited Q4 FY '25 Earnings Conference Call, hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gaurav Jogani. Thank you, and over to you, sir.

Gaurav Jogani: Thank you. Hello, everyone. On behalf of JM Financial, it's my pleasure to welcome you all to Bata India's Q4 and FY '25 Earnings Conference Call. From the management, we have with us today Mr. Gunjan Shah, Managing Director and CEO; Mr. Amit Aggarwal, Director Finance and Chief Financial Officer; and Mr. Nitin Bagaria, AVP and Company Secretary.

I would now like to hand over the call to the management. Thank you, and over to you, Nitin.

Nitin Bagaria: Thank you, Gaurav, and thank you, JM Financial team, for putting this together. Very warm welcome to all of you. I have with me Gunjan, MD and CEO; and also Amit Aggarwal, Director Finance and CFO.

We have shared the presentation with the stock exchanges last week. We'll be taking you through the same. We'll navigate the slides as well as the page numbers to stay synchronized.

On Page number 2, you have the disclaimer. I'm sure you have gone through the same.

I'll now request Gunjan to take over and thank you once again for joining.

Gunjan Shah: Hi, everyone. Good morning. Welcome to the call. I will jump to the presentation, Slide number 3, and also in line with the previous presentations over the last couple of quarters, I will focus on a few focused levers that we are consistently driving amongst the overall strategy of driving growth profitably.

Okay. So, the 3 levers, just for refresh, driving same-store growth, portfolio evolution on a few focused portfolio levers and the last one being inventory agility/complexity. So, we'll try and update you on the various initiatives and how that's been progressing.

Within the store growth, there is Zero Base Merchandising. We made obviously some decent progress post the last quarter, where we were scaling up the pilot, and the second one was on driving value proposition in the stores.

If you can just move to Slide number 5, you will see where we have tried to picturize what is the kind of change that we are trying to do through Zero Base Merchandising visually besides obviously the numbers that I will talk about subsequently. I have also spoken about the numerical part, but this will pictorially tell you how the stores look different.

Just to give you, the objective is to make the stores more inviting. As you can see in this example of one of the stores, the barriers to visibility, insight depth into the store, the number

of fixtures that were on the store, that have been reduced, while simultaneously increasing seating, which helps and aids conversion, especially on the busy weekend, etcetera, when there is a surplus of consumables in the store.

It also enables us to make the store more clutter free. While the picture does not show that, but I will move you to Slide number 6, which shows on the left side what are the key inputs that go into unmeasurable and numerical manner onto Zero Base Merchandising. We are now to about

146 stores. So, it's obviously a very large expansion from less than 40 or so last quarter. The pace has obviously gone up as we have learned to do this much faster. Obviously, we want to keep on doing this much faster. This quarter also, it's going be a very large focus area. Associated with this is that the number of lines in the store have dro

pped by almost 40%. The
inventories have dropped by about 25%. What we measure as availability of various size sets and articles has gone up significantly versus net of control by about 300 basis points. And the retrieval time as a key measure for customer experience and success is reduced to less than 1 minute at 45 seconds, which is what the pilot was also. So, it's being done now at scale versus more than 1.5 minutes for the rest of the network.
What this shows is that despite the muted demand, etcetera, that these stores do deliver significant key success factors. The ones that we measure for the ZBM is that how are they doing versus controlled stores in the same city, and they are all in the positive as the numbers show to you, both in terms of consumer experience as well as in terms of financial outcomes.
Okay. Moving to Slide number 7. The other lever was driving value proposition. We've made again significant progress on this. Now it's spread all across the network. We would also has started seeing some impact of this from a volume growth objective, but still a long way to go in my view of what would define success for this.
As you can see now, especially on the ladies Bata core essentials that we call, right, the price points have been already discovered, last time I shared this. Now it is spread across almost about the full network. Simultaneously, we have also introduced and launched the whole Power Move+ collection, which is starting at a very attractive price point, with some very cutting-edge designs that we have developed along with some of our China partners.
We will expand this much, much larger. There are some exciting results in the latter part of the previous quarter, but we will see this going larger even towards the second half of this calendar year. Obviously, parallelly, we are also expanding this across the network. This kind of a price point deserves to be there across the board. So, it will go to all Bata stores. Hopefully, that should also drive volumes for us and, therefore, volume-driven revenue growth.
Slide number 9 and moving to the next lever, which is on -- basically on certain focused portfolios. One -- first one is Floatz and, therefore, the volume category. It continues its attractive growth trajectory, as you can see here, now at pretty large volumes. It is also -- continues its growth rate of almost 40% plus.
As you can see out here, it's almost more than doubled in the last 2 years backed by solid volumes. And obviously, as I mentioned, that it comes at a -- in most stores, it comes at a

premiumized price, PSP. As you can also see that we are also trying to use some amount of science behind how we are trying to display it with a silhouette led display with the range now expanding, but simultaneously trying to bring out a story, as you can see in the pre and post photographs that have been done.
We are also investing big time in this portfolio behind collabs, which we see is one of the key drivers for consumer interest, especially in the youngsters, both kids as well as below 10 as well as 10 to 15 or 10 to 16. And we will increase collabs. We have done this with Marvel. Donald goes live -- has actually go on live already in stores, right? And we will have obviously some more campaigns coming across going forward. So, we hope that this growth rate trajectory continues on this part of the portfolio.
Moving to Slide number 10. Another piece that has actually taken a lot of our effort has been Power portfolio. Besides the Move+, which was a price point driver, we have also introduced 2 new technologies, EasySlide has been there for some time, now is getting scaled up. Now we are taking it to 1,200 doors. We are also resetting the price point on this to make it even more attractive. And also, the Stamina+ collection, which is at a premium end at about INR4,000 MRP.
And that has shown

some good results in the first launch in the last quarter, and that's been
taken to almost 400 doors. So, the technology as well as the premium objective on Power continues while we do the Power Move+ that I talked about in value propositions.
Continuing forward to Slide number 11. Hush Puppies continued its expansion on the premium side, right? As you can see, consistent quarter-on-quarter store expansion, and that journey continues, both through the franchise model as well as the COCO model. We have also associated, as I had shared with you last time, with Vir Das and Sahiba Bali. And they were the centrepiece of the office speaker campaign, the Ease, please that you see. And that has given us some very good results. It's also burnished our credentials on taking the comfort premium credentials of Hush Puppies into a semi-formal space. And we expect that to unlock revenue

growth for us going forward.
On Slide number 12, moving on to the inventory agility lever. So obviously, a whole bunch of numbers that are flowing in the next couple of slides, as you can see. They are continuation of the updates that I've shared with you all in the previous presentations for the last couple of quarters.
So, on Slide number 13, if we can move there. So, the number of clients overall across the network, while I talked about the ZBM stores, right, overall, across the network also reduced by almost about 30% year-on-year. The top articles, the way we look at it is that while we reduce the whole success of this is that while we reduce inventory and complexity, we keep on increasing our size fulfilment as well as ability to satisfy consumers in store.
So, it's a dual balanced objective. We develop -- deliver both, then it's excellence on this front. So that has gone up. As you can see on the numbers, it's 12% better than where it was last year, despite significant reduction of availability and 7% better on overall.

The clutter at stores, so basically, the objective is that total net lines, including any discontinued lines at stores, are what is this clutter at store, and that lines for store is the active lines that we are sending into the stores, right? So, both of them are significantly reduced.
The next chart on 14 on inventory agility is more talking on financial terms. The inventory is a significant drop at 16%. This is over a continuing drop over the last almost now 5 quarters that we have managed to do. That has shown up in terms of turns also.
We still see some more meat going forward on this entire piece, not only in total quantity, but also on the quality of inventory, which is what you see in the aged inventory that's about 30% to 35% lower.
So, in that line and the potential that we see on this, we will -- I'll take you through Slide number 15. We have launched off a large transformation project with an external partner on what we call is Customer First, on how are we able to make sure that everything that we are doing through the organization comes through the value chain and impacts the consumer.
So, consumer centricity, making sure that we are agile enough to adapt to trends, the pipeline is kept efficient enough so that we are able to react fast, driving it through operational excellence, so making sure leakages are, how do you say, tightened up. And last but not the least, making sure data is at the core of all the decisions that we take, including innovation.
So, it's going to result in tangible outcomes that we foresee over the next several quarters. The project has already been kicked off, and we are looking at great benefits, so furthering already some initial signs that we have seen on this front that I shared with you in the last previous slides.
Slide number 16, a few other highlights. Now franchise stores stand at about 625. For the first time after a long time, we have started seeing some revival and contribution

from the less than
INR1,000 price point, which shows up in our volume growth, though we would have desired much more, so that we can also result that into revenue growth, which we are hopeful for going forward.
Overall, NPS stands at a high of 85. Efficiency parameters on the stores have gone up. We are also, in our distribution business, expanding our key retail outlets, which are our activation program for the MBOs to now almost about 1,400 outlets.
We installed our largest ever capex in the back end in Batanagar in the PUDIP machine. This backs our commercialization of the IMEVA machine that we did last year. These are all in line with what we feel is the right strategy for manufacturing, which is automated capex, technology intensive, and IPR driven is what we want to own, while we use contract packers for the manual labour-intensive pieces, fashion driven.
We were also recognized for some awards. We ran a few campaigns, as you can see out here, during the quarter. And also, collabs with fashion designers.

With that, I will take you to the last slide, which is Slide number 18, and I will invite Amit to talk on this. Amit?
Amit Aggarwal: Good morning, everyone. From a financial slide’s perspective, the overall revenue from operations stood at INR788 crores, which is a value decline of about 1.2% compared to the previous year same quarter. The gross margin were at about INR455 crores, while there is an erosion of about 230 bps versus the last year same quarter.
EBITDA margin reported is at about 25.5%. The change versus last year is about 14 bps lower.
Now in the EBITDA margin, there is a change in accounting for one of the licensed brands

based on the Ind AS. Like-to-like EBITDA margin versus last year would have been about 23.5%.

From a PAT perspective, overall, PAT stood at about INR46 crores, which is a decline of about 215 bps versus last year same quarter. Over to you, Gaurav.

Moderator: The first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Sir, firstly, on the gross margin contraction this quarter, now I understand that increased franchising operations will also lead to some gross margin dilution. So, if you can maybe quantify the impact of that and the rest, if there is any gross margin contraction, the reasons for that?

Gunjan Shah: Okay. So, a couple of factors that contributed to it. One is obviously the mix. It's obviously franchise and e-commerce, as I mentioned in the past, does have a different implication on the way it flows through from a gross margin to EBIT level.

But also, the fact that we have been consciously providing value proposition, while we are parallelly working towards resetting the cost structure for some of our lead products like the kind of example that I mentioned, Sameer, in my presentation. And that should pan out over the next -- so both of these are the things that have contributed to the gross margin that you see.

Sameer Gupta: Got it, sir. Second is, sir, more bookkeeping question. If you can help me with the channel mix in terms of revenues for this year, COCO, franchisee, multi-brand distribution and e-commerce.

Gunjan Shah: Should be basically about for the year, can I have it handy? Retail would be about 70% COCO. You will have franchise at about 7.5%, e-commerce at about 10%. And you will have IND at about 12% to 13%.

Moderator: The next question is from the line of Videesha Sheth from AMBIT Capital.

Videesha Sheth: The first question was that you ended the year with 100-odd stores being added. So how should we think of store addition momentum going forward?

Gunjan Shah: Yes. It should be a little higher going forward, Videesha, right now as we look at it, right? Obviously, as I mentioned, we would want to continue. And we've largely retained, which is

about an 80-20 ratio between fran

chise and COCO. But it should be a little higher next year compared to the previous year that we've seen.

Videesha Sheth: Got it. And if you could just help with the revenue contribution of revenue mix from the key brands that you operate being Power, Hush Puppies, Comfit, etcetera?

Gunjan Shah: Okay. We don't share that, but basically, I would say that the second and the third largest brand after Bata, which is the largest by far, is Hush Puppies and Power. They would be in the strong double digits in the range of about 20%.

Videesha Sheth: Noted, noted. And just 2 small clarifications on my end. In Slide number 6, so when you're talking about the output of the Zero-Based -- or sorry, of the value proposition there, I just wanted to check that is it fair to interpret that the opening price points are currently available only in 600 stores out of the entire network?

Gunjan Shah: Okay, No, no. The value propositions, you're talking on Slide number 7.

Videesha Sheth: Sorry. Slide number 7 on the left-hand side.

Gunjan Shah: Yes, yes, yes. No. So this is basically trying to talk about that overall universe, which is the price point that you see. So, let's say, for example, the core price point of INR799, Videesha, right, would be a core in, let's say, for example, about 800 stores, what is the opening price point for the balance 600 stores.

So, from a full portfolio on the table, we have an opening price point, and that's basically suitable as the opening price point in the store for, let's say, about 600 stores, which have been taken to 800 as part of driving the value.

Videesha Sheth: Understood. And on the slide earlier to that, which is on the Zero-Base Merchandising, the import and -- or the output is being showcased in this slide. That would be for all the 146 stores. Or again, it will be a sample out of stores -- 146 stores?

Gunjan Shah: No, no. This is for all 146 stores.

Moderator: The next question is from the line of Gaurav Jogani from JM Financial Institutional Securities.

Gaurav Jogani: So, my question is with regards to this -- the lower other expenses this quarter. So, you did, I think, mention that there is some adjustment with regards to the license rights. So, if you can explain that a bit in detail and what exactly it is.

Gunjan Shah: Yes. I'll ask Amit to do this.

Amit Aggarwal: Gaurav, in terms of -- see there is a change in the construct of one of our licensed brands. And in line with the earlier, the ex-royalty, what we were paying towards the usage of the brand was being charged as other expenses. However, in line with the India's requirement due to change in the structuring of the agreement, the same has been led to creation of an intangible asset, which you would see in the balance sheet side also. Therefore, once I create an

intangible asset, the amortization and the financial liability of the same gets charged in the form of depreciation and finance costs on a like-for-like basis, yes.

Gaurav Jogani: No. So, my question, sir, would this be a recurring in nature? I mean, every quarter now...

Amit Aggarwal: Yes, yes. It will be recurring. So, we will have 3 more quarters where there will be numbers may not be comparable with reference to the previous year. Once we reach quarter 4 of '26 financial year, then number starts becoming like-to-like.

Gaurav Jogani: Sure, and that explains the reason why the other expenses have declined so much on a Y-o-Y basis.

Amit Aggarwal: Yes. Apart from that also, there is an improvement or underlying initiatives, which we have run, which has led to improvement in overall other expenses. If you look at purely from a P&L perspective, if I exclude the gross margin impact, the overall cost structure, which is including your employee expenses, finance cost, depreciation and other expenses, overall, the trend is marginally lower versus last year.

In terms of percentage of

revenue, it has marginally gone up by 30 basis points, which also includes one exception -- one-off exceptions of about, let's say, 100 basis points in terms of my employee cost.

Gunjan Shah: It should not be recurring.

Amit Aggarwal: It should not be recurring in nature.

Gaurav Jogani: Sure. So, you're saying the employee cost is higher by 100 bps approximately this quarter, right? Because the run rate was around INR100-odd crores a quarter basis.

Amit Aggarwal: Yes. Roughly, yes.

Gaurav Jogani: Okay, okay. And sir, my next question is with regards to the overall demand conditions. So, you did highlight that in the 146 stores where you have implemented the zero-base budgeting, there, you were able to see a better revenue conversion, volume, etcetera.

But what about the remaining? Is it largely because of the muted demand environment exactly or there is some other issue as well? Because of this, the overall revenue performance is thought being flattish rather is what I would say.

Gunjan Shah: Yes, yes. No. So obviously, we know that the demand conditions are -- have been tight, Gaurav. However, within that, what we see is that our ability to do 2, 3 things, right? One is provide the right kind of portfolio to consumers, which we are looking for, and many of them are what we see very clearly are looking for some kind of a relief from the overall inflation that they've seen and, therefore, value for money.

The second piece is our ability to showcase that to the consumers in a tangible way, which is, are you able to showcase them in a non-cluttered way, are you able to showcase them in a full set manner, which is all sizes, etcetera, our ability to make sure that they are served well. And

those are the ones which are resulting in the delta performance that we see and which we are measuring for.

So -- which is why we are looking at it very aggressively across the various levers that I've talked about. And hopefully, that should result in the overall network getting impacted over a period of time.

Gaurav Jogani: Okay. Sure. And sir, just lastly, I mean, on the Floatz side, your Floatz have been really doing well for you. Has this now been expanded across all the stores? Or still it remains in terms of the presence limited to most of the metro towns or certain kiosk that you were trying to open earlier?

Gunjan Shah: It is across stores. It is across stores, Gaurav. It is now in some stores. It is now resulting in basically some of the places where we have opened kiosks, etcetera, and -- which is to cater to basically where we might not have the right kind of store footprint or we want to have a point of sale, which shows up consumers the Floatz proposition.

Gaurav Jogani: Sure. Sir, I think last time, you did mention that this has already crossed, I think, $1 billion plus in revenues for us. Any number that you would want to put out for this brand?

Gunjan Shah: At the run rate, in fact, it costs out by a handsome margin. I'm assuming $1 billion is INR100 crores, right? So, it plotted by a handsome margin last year. And this year, my sense is if this continues momentum, right, we should be in the range of about INR200 crores.

Moderator: The next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: So, my first question is on the inventory. You're now introducing more of the Power products in the stores, which could be at a higher ASP. Two, we are reducing inventory in those stores

of other products, which 2 years back was not there. Apparel was not there 2 years back in the store. So, what kind of the inventory are we reducing in the stores? So, I understand that clutter getting reduced. But what are these new products replacing in the store?
Gunjan Shah: Okay. So, there are 2, 3 pilots that are there on this, Ankit. Then, I mean, obviously, we can speak a long time because there's a lot of effort that's gone

in. The results are now being seen,
but it's been in the works for almost about a year, right?
So, the first thing that there is, the one that I'm sure you can tangibly see is, reducing the aged inventory, which is basically to do with on 2 fronts, right? One is reacting fast on a slow-moving product. And the second one is to make sure that we are also ordering in the right manner. Right now, the technology of the Blue Yonder that we've implemented, some of the processes and governance that has been put in place, etcetera, etcetera, leading up to that.
So, reduction of aged inventory, which is redundant inventory, does not provide proposition. We don't market it to consumers is one big lever. The second one is basically making sure that we are able to have sharpish collection for the new products.

Now making a new -- let's say, for example, a new sandal or a new loafer just by itself does not -- at least we believe, does not basically lead to great success or great probability of success. We need to present a collection to consumers, and -- which is what, let's say, this entire Power Move+ is. It's a collection of articles, which are basically sitting in a certain proposition of, let's say, in this case, value-added certain technology at a certain democratize price and, therefore, leads to pitching a story to the consumers.
And hopefully, a good chance of success that we've seen, or Floatz, for the matter or, let's say, the office sneakers from Hush Puppies. So that's the second thing. I don't -- so that also forced the teams to be far more choiceful in the new products that we bring in.
The last thing that's there and which is, I think, the one that is going to result in a lot more work going forward is cannibalization. Is there a distinct reason for a product to be on the shelf? I mean if it's another sandal with the same black color, if it's the same slip-on with the same brown color, are you offering enough reason for the consumer to be able to see it differently versus another one against it right on the shelf? So, are the price points enough different, etcetera?
And this has also resulted in -- that is what I've talked about in ladies value proposition that one is the value proposition of opening price points, etcetera, but the other one is the collab's price points. And then that results in questioning that do you need the same sandal, which was at, let's say, for example, INR799 and you have another one at INR899.
Now they might not necessarily need to coexist together. Either one of them will serve the proposition to the consumer. So, these are 3 broad levers, obviously, results in a lot more work. But effectively, that's what is resulting in this.
Ankit Kedia: And sir, in a lean demand environment, what we have seen in last 3 or 4 quarters, if the demand doesn't play out, do we see higher discounting? How does the supply chain at the back-end work given that you're more sharper in the inventory?
Gunjan Shah: Yes. So, it does result in that. It comes with the lag and which is what I answered to someone else who was talking about it, that we are now also making sure that the products that we are looking for value proposition, we want to reset the cost price. The volumes go up on a per article basis. My ability to amortize costs and, therefore, get per pair cost down goes up, etcetera.
So, they do result in that. What it also helps is that because you've got conscious -- limited conscious choices of new products, your ability to react is far better. If a product is selling well in one part of the geography versus another, we move that stock out. Obviously, it slows you down if you've got more and more clutter in the pipeline. So yes, it does result in a much better efficiency. Therefore, lower intensity of markdown after a lag.
Ankit Kedia: Sir, my last question is on the focused product scheme announced in the bud

get. We haven't
seen the handprint of that from the ministry side. Do you think if implemented we'll see a lot more of the global brands coming in the country or exports as opportunity will open up for you to the parent? How should we read that from a budget perspective?

Gunjan Shah: Okay. While we await the fine print in the retail, as you've rightly said, there is not so much of clarity. However, the piece is that -- and I think there is already a lot of ecosystem that is

developing because of BIS itself Ankit, right? So that we can see evidence of that.
From a Bata perspective, we are obviously consciously working, and I have mentioned this, on creating a complete structure within Bata India, which can basically cater to Bata globally.
And that's going to be opportunity, which will keep ramping up over a period of time. And as we see tangible progress, I will keep updating you on it. And if there is clarity on PLI or any other scheme, etcetera, it will only provide impetus on this going forward.
Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset.
Rahul Agarwal: Gunjan, a couple of questions. Firstly, on this resetting of the business, that's the way I'm looking at it…
Gunjan Shah: Can you speak a little louder, Rahul?
Rahul Agarwal: Yes. Yes, sure. Is this better?
Gunjan Shah: Yes.
Rahul Agarwal: Okay. I was basically looking at Bata in terms of the entire resetting of this business. I understand the demand is weak, but you're obviously doing more premium, some automation focus, more efficient inventory management. From an investor perspective, what would you expect Bata to look like 3, 5 years out?
When you are tangibly measuring success of these changes, how should we look at it? Specifically talk about financial metrics. How -- will the Bata look very different from what we are looking at today in terms of growth, margins, in terms of balance sheet turns? Anything would you want to highlight? That's the first question.
Gunjan Shah: Okay. Why don't you complete your question, Rahul?
Rahul Agarwal: Sure. And second was more a bit shorter term, let's say, next 2 years. You talked about volume growth, consecutive quarters, now better. But obviously, pricing is paying its own part. The way to look at growth for Bata should be more format-wise, which you discussed about retail, FOFO, COCO, e-commerce, industrial. And what it entails when the salience changes, what it entails for the gross margin operating margin?
Because assuming that whatever right now, fourth quarter, you've reported based on that salience and incremental growth outlook. How does this business look like in, let's say, 2 years? How should we look at growth in ASP and different format growth, whatever you want to talk about?
The relative question also was on inventory and working capital. Should we expect more rationalization on inventory, which you alluded that we'll continue to work on that? This 80 days of inventory of sales, which you look at, does it further decline? And where this business stabilizes over a 2-year time frame? Those are my questions.

Gunjan Shah: Okay. All right, Rahul. So, they are pretty much linked together, Rahul, so I'll try and see without -- we don't normally give you -- give forward-looking commentary. But however, at least from a trust area and an impetus perspective, I will try and give you few markers and more than happy to see whether the team can connect with you offline also.
One is that we want to make sure Bata is, how do you say, the heart of our consumer base, which is basically the middle-class Indian is what it remains to be, right, and how do we make sure that we are relevant to that. From all the initiatives that are either I'm talking about it or the ones that we want to go going forward.
So, making sure that the product port

folio, our communication strategy, our stores, the way they look, etcetera, the way the experience for consumers is, is all connected towards this one larger objective from a consumer perspective.
The second theme that's there is that we want, over the next not only 2 years, but also 5 years, to make sure that we -- it's a volume-driven growth trajectory overall, right? There might be some quarters up and down, but we want to make sure it's a volume-driven revenue growth trajectory.
The third piece is this should come with the kind of initiatives that I think we've already set in place, plus the larger projects that I also alluded to in my presentation. It should come with an extremely aggressive objective on inventory agility, overall, in general, right? Now that resulting to many facets. And with some of them, I have talked about, some of them will expand as we roll out this project further.
In terms of complexity, the agility of bringing in new range, etcetera, the amount of choices that we make or bringing the new range, but presented in a coherent manner to the stores, to the consumers in the stores, etcetera.
Last but not the least, we would and are endeavour at all times and I think the amount of work that we have done on the cost efficiencies, etcetera. Once we see the revenue growth trajectory, it should result into, obviously, operating leverage and, therefore, profitable growth for us.

Rahul Agarwal: So, does this also mean we should get back to value equal to volume growth this year or you still think there is time?
Gunjan Shah: I'll refrain from giving a forward-looking statement, but the direction is in the endeavour of what I said.
Rahul Agarwal: Okay. And based on the salient changes, more franchisees, more e-commerce growth, does that entail any meaningful changes on EBITDA margins? So obviously, you mentioned that...
Gunjan Shah: Yes, yes. That was the -- yes, yes. That other piece, I didn't comment on. Ideally, we would like -- we are -- something that we have mentioned that we want to make sure that this multichannel model remains from a revenue pipeline perspective. And I think each one of

them caters to consumer cohorts, which are -- yes, there might be overlaps, but there are large enough distinct consumer cohorts within that.
So, for example, franchise allows us to add EBOs in towns and markets, which otherwise the COCO model did not have till, let's say, about 4 years back in a very profitable way. And that also we have fine-tuned now. So, we will expect all of these channels to grow.
COCO will have its own new source of growth driven by same-store growth. You will have a lot of franchise, both same-store growth as well as basically expansion, especially in the urbanizing India. A large part of our addition in the last 2, 3 years have come through that and will continue going forward. And e-commerce and multi-brand outlets, obviously, have their distinct strategies. So, it should basically largely be pronged on all these 4 with the focus being on retail, for sure.
Rahul Agarwal: One follow-up. Because you mentioned a number of stores opening should be higher than last year, but are you guys working with some kind of numbers here? Or it's more about taking it very opportunistically, FOFO continues to expand faster than COCO and then you'll end up doing, let's say, 120 stores, something like that. Or is there a hard number to work around it?
Gunjan Shah: No. There is obviously targets and numbers that people and the teams carry on this, Rahul. There are also -- more importantly, there are target areas that we want to be in, right? So, there is a complete census mapping. Now there's enough and more modules of multiple data integrators that give us the right kind of, what we call, a PTAs, the potential trade areas, which is what we start as a universe.
That universe, by the way, if I last remember

, is at about 600 locations, right? So, we have managed to successfully, economically viable, how do you say, commercialize, let's say, about 100 last year. So, there will be enough and more opportunities going forward.
Moderator: The next question is from the line of Rajiv Bharati from Nuvama.
Rajiv Bharati: Sir, I'm on Slide number 14, the inventory reduction part. So -- and there, you mentioned that aged part, right? So, is it safe to assume that this 16.5% or the delta between the 2 is basically largely each inventory reduction?
Gunjan Shah: I can't mathematically do it, but the large part would be, which is what I mentioned to another gentleman on this call some time back, which is that there are multiple levers towards this inventory. I think the one that is the fastest and the most profitable is reduction of aged inventory, which is being proactive in slow-moving SKUs before it becomes aged as well as trying to be choiceful of what you bring into the stores, right? But there are other levers that I mentioned about. But my sense is, yes, some mathematics will show that a large part of this would have been aged.
Rajiv Bharati: And the -- let's say, the inventory turn on that aged part would be, let's say, 0.5 or something like that.

Gunjan Shah: No, no. It will be lower. It will -- yes, it will be lower. I don't know the exact numbers. I can offline get back to you, but it will be lower.
Rajiv Bharati: I mean, what I'm implying is looks like close to INR250 crores is the aged inventory out of the INR765 crores. And I was just wondering that the inventory turn on rest of the portfolio is upwards of 3, 3.5, is it?
Gunjan Shah: I don't think that conclusion is right because I don't know how you got that INR200. But aged inventory is in low single digits.
Rajiv Bharati: So how I got is INR915 minus INR765 is 0.37, right?
Gunjan Shah: No, no, no. They are very different. That's total inventory, Rajiv, whereas the aged inventory is showing a reduction of 37% from a starting point of X. Both of them are in low single digits as a percentage of the total inventory, which you see on the left top chart.
Rajiv Bharati: Sure. And on Slide number 6, which is your -- sorry, not 6.

Gunjan Shah: Mind if I say, the best-in-class benchmark, by the way, on the aged inventory is low mid-single digits. So, it should be in the range of about 2%, 3%, so less than 4%. So, we still have some way to go, while we have reversed a large part of the reduction. But it's in that range. So, it's nowhere close to the 20%, 30% that you calculated.
Rajiv Bharati: Yes. And on the overall volume growth in the -- at the company level, can you specify that number? How much is that?
Gunjan Shah: We don't share that. But as I've mentioned in my press release also as well as my commentary in the start, the second quarter that we've seen reasonably broad-based volume growth in the mid-single digits would be the best.
Rajiv Bharati: Why I'm thinking? Because on Slide 6, right, the ZBM portfolio is having a volume growth of 8%.
Gunjan Shah: It's net of control. The way we see it, net of control, as you can see in the comment, right? So, it's not necessarily in absolute. It is how they are doing relative to the rest of the stores in the same consumer cohort or city.
Rajiv Bharati: Sir, I got that. The next question is in terms of, let's say, this ZBM scale-up. We are probably a quarter behind what we have initially shot for right, 250, by the end Q4. Are you sharing what is the number you're targeting for, let's say, '26, '27?
Gunjan Shah: That's a very -- ideally, we would like to see -- and I've mentioned this, yes, we took a little while to scale up, but now the scale up is happening at a pretty good pace. So, my sense is that we should be covering about, ideally, my best guess is about 300-odd stores by [December] end. And that should cover us -- my sense is about

50% or 45% of our turnover on retail.
Moderator: The next question is from the line of Vikram Damani from Damani Family Office.

Vikram Damani: Am I audible?
Gunjan Shah: Yes, Vikram.
Vikram Damani: So, apologies on repeating the question…
Gunjan Shah: Now your voice is inaudible. Vikram, can you speak a little louder? You said you are repeating the question. No problem. Tell us.
Vikram Damani: Am I audible?
Gunjan Shah: Yes.
Vikram Damani: So, I just wanted to get a sense of the opportunity that's arising from the implementation of the...
Gunjan Shah: Sorry. Surety on the implementation of?
Vikram Damani: BIS norm.
Gunjan Shah: Your voice is coming and growing. Okay. Go on, go on.
Vikram Damani: Yes. So, the -- what percentage of sales versus have been a few years ago? And going forward, what sort of opportunity that arises for local manufacturers? If you can just give me -- throw some light on that, please?
Moderator: Sorry to interrupt. Mr. Vikram, your voice is not that clear. Could you speak a bit louder?
Gunjan Shah: No, we heard the question, Vikram. We heard the first question, yes. Yes. Okay. Vikram, so basically, we are 100% localized. There was a level of small amount, but I've given this commentary almost about 4, 5 quarters back when BIS was under transition.
We had a seamless changeover, and we had almost no hiccups, except for maybe a few niche licensed brands, which also have now been sorted now. So, in fact, we are looking at this as an opportunity from an export's perspective, which is what I commented on earlier to one other question. Does that answer your question?
Vikram Damani: Yes. Partly, what I actually wanted to gauge is the overall sort of supply. How much was the BIS supply to India, 5%, 10% of the overall market?
Gunjan Shah: Miniscule. It wasn't -- it was less than 5%, and that's now been eliminated.
Moderator: The next question is from the line of Udit Gajiwala from YES Securities.
Udit Gajiwala: Just one clarification and advice. You have mentioned that the focus is on volume growth. If I look it in quarters back in the con-call, you were mentioning more of a premiumization as the strategy. Is there a shift in strategy or the volume growth will come and premiumization will also be with it? If you can just explain a bit on it.

Gunjan Shah: Yes, yes. No. So Udit, I think it's the latter of what you yourself mentioned right now, right? So -- and that's what my document or my presentation also was while you would have heard me at the start, right, that there is a consumer cohort, a large part of our target consumers who are looking for value proposition. And therefore, how do we make sure that we do it not only

in the short term, but also in the medium-term structure is what we are working on.
Some of the initiatives, I have shared with you all. But simultaneously, that doesn't stop us from bringing in technology innovation, brand as well as basically premiumization being driven through it. And that was the example that I told you from a portfolio level, so whether it is Power, whether it is Floatz, whether it -- Floatz is a classic example. Consumers buying that kind of a footwear were buying it at a price point, which was less than half of what the ASP of Floatz is.
The ASP of Floatz is almost 2x of the parallel products that we had on offer for consumers. So that parallelly does do premiumization. Similarly, HP, there are a bunch of levers as well as the product -- the technology driven offerings from Power. So, they will continue in parallel, in short.
Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.
Gaurav Jogani: Thank you, everyone, for joining once again. It was lovely interacting with you, as always. We look forward to connect again. Thanks.
Modera

tor: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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August 18, 2025

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The Manager
Listing Department
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7, Lyons Range,
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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings Call
This is further to our letters dated July 31, 2025 and August 14, 2025, on the captioned subject.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Post Earnings (Group Call) held on Thursday, August 14, 2025.
The above information shall also be made available on Company's website viz., www.bata.in
This is for your information and records.

Thanking you,
Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP – Company Secretary & Compliance Officer

"Bata India Limited
Q1 FY '26 Earnings Conference Call"

August 14, 2025

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER, BATA INDIA LIMITED
MR. AMIT AGGARWAL – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER, BATA INDIA LIMITED
MR. NITIN BAGARIA – AVP AND COMPANY
SECRETARY , BATA INDIA LIMITED

MODERATOR : MR. GAURAV JOGANI – JM FINANCIALS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Bata India Limited Q1 FY '26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Gaurav Jogani from JM Financials. Thank you. And over to you, sir.
Gaurav Jogani: Hello, everyone. On behalf of JM Financial, it is my pleasure to welcome you all to Bata's Q1 FY '26 Earnings Conference Call.
Today we have with us Mr. Gunjan Shah – Managing Director and Chief Executive Officer, Mr. Amit Aggarwal – CFO, and Mr. Nitin Bagaria – AVP and Company Secretary.
Thank you and over to you, Nitin.
Nitin Bagaria: Good evening, everyone and welcome to the Bata Q1 FY'26 Earnings Conference Call. We have Gunjan Shah – MD and CEO. We also have Amit Aggarwal – Director Finance and CFO joining us.
We have shared the presentation with the Stock Exchanges earlier today. We will be taking you through the same. We will navigate the slides as well as the page numbers. On Page #2, we have the disclaimer. I am sure you have gone through the same.
I will now request Gunjan to take over and thank you once again for joining.
Gunjan Shah: Hi, everyone. Pleasure to be back on this call for this quarter.
While overarching, the quarter was a relatively tough one. It seemed a little better than what we had seen in the previous quarter of Jan to March. But still, it resulted in only flattish kind of a growth, while we managed to have the operational efficiencies reasonably working for us.
And it just goes on to show that the backbone of the P&L is strong enough. And hopefully, once we start seeing growth, led by the initiatives that we have talked about and hopefully pushing ahead, we should see this translating to much better profit growth also.
Moving forward, I will try and keep consistency with what I have shared with you. On Slide #3, I am going to talk about three large initiatives. I have talked about them in the past. And I will give you progress updates on all three of them going forward also.

And some of them I will inch towards the kind of plans that we have for the balance of the year in the next two quarters. Store growth, same store sales growth. Portfolio evolution from a product portfolio. And inventory agility. These are the three things.
Moving forward, Slide #4, talking about store growth. There have been two large initiatives: the ZBM project, Zero Base Merchandising, that we are now scaling up pretty large; and the value proposition project, for driving same store growth.
In Zero Base Merchandising, for enhancing customer experience, the key metrics are now we are at close to 200 stores end June 2025, plus 50 stores in the quarter gone by. So, the pace is picking up.
We would like to have it much larger, provided we are able to make sure that the inputs that go into making a successful transition to ZBM and the kind of output metrics that you see on the

chart on the right side, they fall into place.
We hope to maintain this progress of about 50 stores a quarter, and if things work out well, then maybe a little more accelerating. Line reduction. And hopefully, now these are all Pareto stores. So, there should be a larger contribution to the overall store network from a turnover perspective. These stores have seen a line reduction of 33%. That is we have reduced the clutter piece. They have also seen an inventory reduction of almost 22%, so a significant return on invested capital for these stores, and are much better from an availability perspective or size sets, etc., f

or the
lines that we have kept there at almost 450 basis points.
What does that result in is a much better consumer experience. The NPS scores are better. The Google ratings are better of these stores. The unit per transaction is much better. The turnover is better in terms of same store growth versus Control stores as well as the volume pair throughput is much better.
So, we are able to display our merchandise, display our proposition to consumers much better, and the stores are run more efficiently from a store manager perspective, which I have talked about for now the last two quarters, three quarters. We hope to continue this projection going forward and maybe even consolidate even better.
The second big initiative, Slide #6, is on driving value proposition. We do sense stress even now in the mass segment, the middle and mass segment. And there have been concerted efforts. We are gaining significant momentum. Now we see some signs of success on it.
Some of the examples I have put here, Bata Ladies, a very large volume contributor as well as value contributor to the store's turnover. We have introduced key price points both in open and closed. And there is significant success in terms of checkout rates. They have also improved as far as checkout rates go.

As you can see, some of the data points, I will just take you one of them and then we can extrapolate to the rest. Opening price points of Rs. 399 and rs. 499 were introduced at scale across almost 800 doors. Those price points resulted in checkouts going from 3.5% to 8%.
The meaning of checkout in a better reference would be the average checkout of the full portfolio of our network is about 4%, roughly. That is basically equivalent to 2x, so anything about 4% is better than average.
These portfolios show a checkout of 8%, right, and at a large volume base of almost 15,000 pairs per month or per week, which is also significant from an overall growth perspective. So, we now plan to expand this to almost a full network, which is close to 1,200 stores.
A similar data point for Rs. 799 – Rs. 999, checkouts moving up to 6.4%, price points clearly demarcated. And then the network getting expanded, and obviously then backed up with now communication to consumers outside the store in terms of the value proposition, depending on what is the proposition in which stores. One example has been shown.
Similarly, on the Power side, and the price points of Rs. 1,699 - Rs. 1,999, first time introduced at scale. Some initial signs of success is a checkout of 6.6%. We would like to now expand this across the network and with additional lines also, so four more lines coming through in addition to the seven lines.
So, there should be a significant portfolio that we build there. So, these are just a couple of examples. There are many more that are being worked upon on the value proposition, and hopefully allowing us to have a little more optimism going forward.
On the portfolio evolution, three large levers: casualization, driven by Floatz; Power, driving the athleisure portfolio; and Hush Puppies on the premium side.
On Floatz, Slide #8, significant progress. Momentum continues, 30% plus kind of growth. It is significantly indexed from a price point perspective. It is 1.2x of the average ASP of the store. So, it adds on to the ASP of a store, while driving significant volumes.
The quarter that went by, as you can see on the right side, did see a significant addition of new portfolio. What we have been very conscious of is that as the new one comes in, there is the existing one which is now faded out also.
So, standardized merch packs have been done for various clusters of stores of alpha, beta, gamma. And as you can see, some of these are collabs with Disney properties. Some of them are technology introductions. And some of them are just pure design and color introduction. But to great

response and obviously the checkouts are showing up out there.

We also launched in this quarter some of our largest campaign for the quarter was around Floatz, Comfort Never Looked So, Good, along with a mega influencer, Prajakta Koli, to great response also.

The second piece on Slide #9 on Power portfolio investment. These are on the premium side, price points of Rs. 2,500 to almost Rs. 4,000 plus. These, again, saw significant traction. Checkouts, mind you, at this level are relatively lower at these price points.

Even there, if you are getting 4.5%, it is extremely good, because it results in significant turnover. And there we plan to obviously extend this whole Power Easy Slide collection to the full network now and with a significant widening of the range.

And we are now wanting to also insert this property of Easy Slide in some other product categories of ours that I will talk to you as we go by in the subsequent quarters. Power Stamina on the premium side for running shoes, good response, at Rs. 4,000 plus, checkout of 4% at six lines. So, that continues to invest on democratizing technology.

The last but not the least on driving premiumization, Hush Puppies continues to expand. We are now close to 150 EBOs, as you can see in the graph, both COCO as well as franchise combined. We will want to see a reasonable split of almost, let us say, about 60% - 40% in terms of expansion going forward of COCO as well as franchise in this.

And this was backed with, obviously, a large campaign that we continued on the Ease Please along with Vir Das, the brand ambassador for Office Sneakers to great response. And that was the first major departure that we have done from the core categories of Hush Puppies of formal dress shoes as well as informal dress shoes, which are moccasins as well as loafers.

That is the centerpiece of Hush Puppies sales. Office Sneakers has been a significant addition to that portfolio.

In addition, as you can see in Slide 11, we have been also investing significantly on driving a refresh of the entire Hush Puppies brand. The new concept, as you can see in before after, much more brighter, does have very premium codes.

The category is displayed in a far more focused manner as well as the fixtures are reduced to make it easy for consumers to navigate and give them better comfort and accessibility. So, 36 of those stores that I showed you have been already converted. And that progress will continue to keep investing on this channel for that consumer segment.

Moving to Slide #12. Inventory agility is very critical. I think this is some area that belatedly we have gotten to the task. We are on it for almost about three quarters. And the progress is there in the subsequent two charts, three charts.

Slide #13, the lines overall, while I showed you for the ZBM stores dropped by 33%, overall for the full network has dropped by 25%. And the clutter at the stores also, including aged lines, has also dropped by almost 23%.

The top articles availability has also gone up by 7%. But however, this area, we still have significant headroom to progress. And there is a concerted project called Customer First, which is in this complete zone of end-to-end how do we improve this entire agility.

Total inventory, moving to Slide #14, total inventory has dropped year-on-year significantly. I showed this last quarter also. This quarter also, it is dropped by 16% and this is despite the fact that we are building up inventory sequentially for the upcoming season, year-on-year, it is still almost at the lowest level that we have ended June at for several years now.

Despite that, our stock turns are better and our aged inventory has been significantly reduced to less than half, which should also portend well in terms of full price range going forward into the season.

Customer Fi

rst project is on track. As I mentioned, it is a large-scale project, which is dedicated for end-to-end improvement in terms of how do we not only forecast for inventory but also the lead time as well as the way we store inventories upstream versus downstream.

And the best-in-class benchmark that we have is that the stock turn improvement that you see to 2.1, which is on a trailing 12 month basis, it is not an easy metric to move. We want to see it in the next about 12 months to move to almost 2.5 plus.

Moving to Slide #15. Other highlights, 644 franchise stores. Expansion on franchise store continues. We were a little less than required in 20 stores. Largely, the first half of the quarter was disturbed because of the geopolitical situation of Indo-Pak, etc.

And that disrupted the momentum, but then onwards it has picked up and we are hopeful of maintaining the momentum of about 30 stores to 40 stores a quarter. NPS keeps on moving ahead.

We have now introduced a significantly more stringent metric, which is on Google Ratings, which is visibly outside to consumers as well as externally validated, and that is at about 4.6. KROs are from a multi-brand outlet, we have now significantly invested on KROs, and that is

at about 1,500, 300 more than last year. And we have been awarded a few awards, Best Workplace Culture, etc.
We also launched three large campaigns. I talked about the Floatz one. I talked about HP. For Bata we had launched under the Make Your Way platform, the Tropical Breeze Collection, which was under the Comfort piece.

Moving to financials. So, therefore, this is a summary.
Financials, the growth was flat at minus 0.3% at Rs. 942 crores. Gross margin, however, took a slight toll at minus 133 basis points. The EBITDA margin was at about 22.9% and the PAT landed up at about 5.5%, before exceptional, less by 112 basis points.
There were two exceptional items as I mentioned below in the fine print. One was the VRS cost that we incurred towards the partial relieving of some workers in one of our factories, in line with our longer-term plan of trying to get an efficiency on fixed costs.
And the second one was in the base year of last year, where we had got an exceptional item of realization of Faridabad land at Rs. 134 crores.
That brings me to the end. There are a few slides in the appendix, which you can go through. Thank you.
Nitin Bagaria: Yes, we can now move to Q&A moderator, please.
Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We have our first question from the line of Gaurav Jogani from JM Financials. Please go ahead.
Gaurav Jogani: Hi, Gunjan. My first question was with regards to the gross margins in the quarter around. We are seeing improvement in the contribution from the premium part of the portfolio. We are also seeing the quality of the merchandise, etc., improving. However, still we see that, the gross margins have declined. So, if you can highlight what has really led to this?
Gunjan Shah: Okay. Hi Gaurav. Thank you. No, your observation is right. Partially, the reason that has been there, especially in the last couple of quarters, would be on the lines of clearance of some of the inventory, not only aged, but also what we call as basically discontinued. And that is the process that we are now putting in much more stringency as part of what I have talked about as Customer First.
But effectively, answering your question, I think a large part of is done. Now we are in a situation wherein we actually do not carry as much aged inventory or discontinued from that front, and especially compared to last year. So, now we should be able to basically realize a lot of that benefit from a gross margin perspective. However, there is some part of it which we will realize, some part of it will get redeployed where we are doing the value proposition initiatives in

some
of the categories.
Gaurav Jogani: Okay. Sure. That is clear. And my second question is with regards to multiple steps that we have been taking, even, I mean, Zero Base Merchandising, the portfolio revamp, even on the tech front where you are doing multiple initiatives. However, somehow the revenue growth has been hard to come by. If you can dissect that what it is that despite a very low base, we are not able

to take the revenue growth to even mid-single digits. So, what apart from the slow macro consumption would help you to drive it to double digits?
Gunjan Shah: Okay. If I have understood your question right, it is basically in terms of what is it that is causing the roadblock to revenue growth, right, in, whatever, individual segments, or any commentary on that front. I mean, while we leave aside the environment piece, Gaurav, the piece that is I think in our view is going to be at the lower price points, and that is where basically the level of revenue growth is most critical to come through from. And that is the piece that we are focused significantly on.
While this quarter we did see a significant, how do you say, sluggishness on the MBO, that is a distribution business front, we did see encouraging signs from a scores perspective on the lower price point. And we are hopeful that the initiatives that I have talked about will only gather momentum as we go forward.
So, the lower price points less than Rs. 1,000 is where the stress is, and that is where we want to basically keep accelerating ourselves, while we push the premium part separately that I have talked about.
Gaurav Jogani: Sure. Thank you. That is all from me.
Moderator: Thank you. The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.
Sameer Gupta: Hi, Gunjan, and thanks for taking my question. First question is on the margin front. Now, in the

peak Bata, if I just look at a pre Ind AS basis, including the rental as part of other expenses, Bata made a 16% EBITDA margin a few years back. And last year it is finished at around 11%. There is some benefit of that royalty accounting here.

Now, the company is hinting it is focusing more on the value part and that might be margin dilutive for some of the years. Internally, as an organization, is there a guardrail in terms of margin that this is the bottom and we will not allow the margin to go down from here? Is there a thought process around that?

Gunjan Shah: Okay. Sameer, so a couple of things, right? I am assuming what you are talking is at an EBITDA level, right? But I mean, in a very simple way, there are three large pieces towards this margin, right? One is obviously gross margin. The second one is, let us say, store related fixed costs, right, which are leverage coming from a same store growth. And the third one is corporate fixed costs, right, including manufacturing as well as corporate overheads. Are you with me till now?

Sameer Gupta: Yes.

Gunjan Shah: Yes. Okay. So, now, I will try and give you some commentary on it, while we do not give forward-looking guidance on margins, but the way we are approaching for it, and let us see

whether it addresses your question, right? One is in terms of gross margin, I gave a commentary just prior to this question that was asked.

And therefore, we are very hopeful that, that should come through. We will redeploy some part of it, right, of this cleaner inventory, etc., towards price point value. But I do not think that dilutes margins too much, and especially once we start driving scale, because that gives us economies of scale from a cost of product perspective. So, that is on the gross margin piece.

On the piece which is to do with the leverage on same store growth, which is, anyway, super critical, and that comes through, I think our cost structures have been reasona

bly tightly run.

And that is why, if you saw my presentation, the focus is on same store growth, right? We should be able to get that realized and transferred from a leverage perspective from an EBITDA.

The last piece is on corporate. There we have done, obviously, a significant amount of work, both in terms of in-house manufacturing over the last two years, three years, as well as from a productivity perspective of corporate staff, and which I am very hopeful we should be able to see the realization as we see the top line growth.

Sameer Gupta: Okay. Let me put it in another way. See, I understand that the efforts are towards driving same store sales growth, and that in turn will drive leverage. But those are not entirely in our hands as, if it would have been, we would have had a good history of SSS growth in the past few years also.

So, my question is that then there is a level after which, if margins drop, the business does not make a very good return on investment, it will be sub 10% beyond a point. So, do we have a thought process in the organization that, okay, now it is time to do more cost cutting or we need to get more optimum levels of efficiencies, something on those lines, I am asking.

Gunjan Shah: Yes. That is what I meant by the third piece, because the second piece and third piece is where you can leverage your fixed costs. So, obviously, I think while on one end is leverage coming from top-line, otherwise you can make sure that you tighten up your fixed costs as much. As you can see, the manpower line has been much tighter even for the last couple of quarters, and that is what we will see going forward. Amit, you want to add in some more?

Amit Aggarwal: Yes, Gunjan. And thanks for that opportunity. If you look at in terms of beyond gross margin, so there is a gross margin erosion of about 130 bps as a percentage of sale versus last year same quarter. We call the other cost item, if you add up, there is a benefit of losing close to about 45 bps to 50 bps, which has emerged.

Now this is emanating from all the structural initiatives on fixed costs, which Gunjan talked about. So, we are very aware in terms of top-line challenges because of various factors, which Gunjan also captured. Therefore, we are very tightly running the ship in terms of all the structural costs. They are continuing to be hard looked. And wherever we are finding access, we are ruthlessly cutting it out. So, that endeavor continues.

Sameer Gupta: Got it. This is very helpful. Second question is that, if I just look at the channel, the feedback suggests that Bata stores are significantly understaffed, which technically leads to lower conversion. And this is despite the flexi manpower initiatives. And now, I am sure this is a feedback you would have also received over the course of several concalls. Any initiatives you are doing to tackle this? I know, I asked the first question on margins, but great to get your thoughts here.

Gunjan Shah: Yes. So, it will be great, Sameer, if you are able to pass on that feedback, because we do our checks on this front. And it is a template that is run centrally as well as empowered into the regions, which then gives a store the right to manpower, and obviously, correlated to their conversion metrics and stuff on that front. And I think broadly, while it is fine, there will be pockets where fluctuations do happen, for whatever reasons. The system can be far more agile in terms of reacting to it, but should work in that manner. So, if there are specific gaps, more than happy to tackle them. Does that answer your question?
Moderator: Sameer, are you there? Sameer?
Gunjan Shah: I think we have lost him.
Moderator: We will move on to the next question, sir. The next question is from the line of Sandip Sabharwal from Asksandipsabharwal. Please go ahead.
Sandip Sabharwal: Hi. I have been attending your calls for

the last many quarters. And each call, the outlook seems to be very bullish when you present itself. But when we come to the end of the quarter, the top line virtually is stagnating. And the brand Bata also does not resonate so well with the young generation of today.
And secondly, there are a lot of B2C brands which have come up, which are doing reasonably well. So, what is aiding the company that despite so many initiatives, there is virtually no growth?
Gunjan Shah: Okay, Sandip. So, two, three things, right? Obviously, we also would like to see much better top-line. I think on a couple of fronts I mean, that I would like to respond on a slightly more macro level. One is that I think the consumer, especially in our target consumers, which is the middle class, probably the belly of the population, have obviously seen a certain pinch that is there in terms of the inflation that they have gone through.
Now, making sure that they see value for money in our products, which we were known for, is something that we want to make sure that we consolidate and strengthen ourselves. And more importantly, also make sure that these are presented to consumers in the right way. And which is why this whole piece of ZBM, etc. is being worked upon. Now, that is one big piece.
The second piece that is there is that the online piece, you are absolutely right. There is a significant amount of traction that is there online. Obviously, a far stronger traction that was

there, let us say, the immediate period post-COVID, etc. But there is a shift that is structurally there in terms of consumers having moved online. And a lot of the D2C brands are from there. Now, we have reinforced basically on two fronts.
Obviously, our e-commerce business is our fastest growing business for some time. The dot-com business is obviously now getting significant investment. We have just launched our app, let us say, about 10 days back. There is already about 10,000 downloads that have already happened. So, there is going to be significant impetus that will continues to keep plugging there. However, the conscious piece is that we want to make sure that this is consistently a profit accretive kind of a channel. And we do not want to land up buying up sales, which is not going to sustain down the line.
The last piece that is there is on product design itself. And we are now working not only in India but also globally in terms of getting our significant amount of effort going behind product design, and which means the technology as well as making sure that trends in the material are rightly captured.
Now one right example of this is, let us say, for example, the Floatz. Now, very clearly, it is at least the average consumer profile of Floatz is about 8 years to 10 years younger, right? It is a product line that has been started only about 3.5 years back, and it is already hitting a run rate of about Rs. 200 crores annualized. Where you put this together, it does work out. So, that is where the endeavor is, Sandip. But yes, I agree with you, we can do much better top line.
Sandip Sabharwal: Thank you. And thanks for your detailed answer. The only point being like, as all of us know, footwear is sort of essential. Like you cannot do without it. So, how much you can capture out of the market, that is the whole question. And once a brand loses mindshare, then taking it back becomes difficult. So, wishing you the best, and let us hope things will be better going forward.
Gunjan Shah: Thank you.
Moderator: Thank you. The next question is from the line of Tanuj from JM Financials. Please go ahead.
Tanuj: Hi, sir. Two questions from my side. First one will be, sir, we have slowed down our pace of implementing the Zero Base Merchandising. Like, as much I remember, you guided to implement this in 300 stores by end of this Q1. But we are now to 194 stores. So, any kind of h

indrance which we are facing that you want to highlight?
Gunjan Shah: Okay. And what is your next question, Tanuj?

Tanuj: Next question will be on margin, sir. As our franchise mix and e-commerce penetration is increasing, so how is this going to impact both the gross and EBITDA margins? How much dilutive both the things will be?

Gunjan Shah: No, at an EBITDA level, it is not dilutive. At a gross margin, it can play a little mix because of the way the business model is structured for it. And I have mentioned this in the past also. In fact, our franchise business actually is exceptionally accretive from an EBITDA business. So, I hope that addresses that, that it should be net accretive from a profitability perspective as they grow.
The ZBM piece, in a way, you are right. I would have expected this to accelerate much better because all performance metrics, from a consumer experience, from a throughput, productivity of the stores, revenue per square foot, as well as from, as I said, ROIC, they are all better. The piece, however, that is making sure that we are a little more consolidated the way we go about, when the stores are made so lean that you have to have the complete system running really smoothly to service those stores.
Now, ideally, once we do that, we want to make sure that we sustain it, and we do not want to have a hiccup. Now, we have had a situation where the team went a little too eagerly, and we actually had to take a toll on turnover for a couple of weeks, and which is why now we want to make sure that we do not have these blackout periods in between because they can be very damaging to the store's performance.
And that is the reason why it is getting a little modulated. As I mentioned in my presentation, while we see are comfortable with the 50 stores getting transformed into this network progressively every quarter, hopefully, I think with the various other initiatives falling in place, we should be able to accelerate it to about 65 stores, 70 stores.
Tanuj: Okay. Sure, sir.
Gunjan Shah: Thank you.
Moderator: Thank you. The next question is from the line of Avinash from Motilal Oswal Financial Services. Please go ahead.
Avinash: Good evening, sir. So, my question is relating to the sneakers. So, at one point, we have introduced something like a Sneaker Studio. There was a lot of focus on that. So, what happened to that? I mean, for the last few quarters, we are not seeing any kind of growth there. So, what exactly is happening there?
Gunjan Shah: Okay. Avinash, so Sneaker Studio continues. I think we are now, at last count, close to almost about 800 stores out of the network with a Sneaker Studio now. The endeavor at that point in time, just to give you a context, was to make sure that the sneaker proposition from within the store is brought out, and which is why we put up the panel, and then for the Sneakers Studio concept was brought in.
Now, the point is that now we see that we need to take this to the next level, and which is why the initiative is now on the portfolio that we are displaying under Sneaker Studio, and which is

what now I have been focusing a lot more and that is what the organization is working on also. But that does not mean that the Sneaker Studio initiative has stopped. That still continues. And any store that undergoes a renovation or a new store opening does have a distinct Sneaker Studio concept, but the driver is now going to be portfolio going forward for the next level of growth that we need from this category. And that is why I focused on what I talked about both from a Power perspective as well as value proposition.
Avinash: Okay. Got it. I mean, I do not need an exact number, but what would be the ASP of the speakers that we are doing? What is the kind of growth rate in the last couple of quarters that we are seeing

in this category? Because they account for like a substantial 20% of the top line, right, if I am not wrong?
Gunjan Shah: Sorry, can you just repeat the last point?
Avinash: I mean, sneakers account for like 20% of the top line last time when we spoke of.
Gunjan Shah: Yes. Right. So, it is about a 20% contribution to top line of the stores. It is an ASP which is about 1.2x of our store ASP, overall sneakers. Power is much higher. We do sell sneakers under Bata also and we do sell sneakers under North Star.
Avinash: Any view on like how has the growth been there in the last couple of quarters? Because we are seeing everything was done within, other players are putting, like their inventory position are getting better in the sneaker portfolio.
Gunjan Shah: Can you just repeat that?

Avinash: I am trying to say there is a --
Gunjan Shah: It has been slightly better, I would say. Not dramatically different, but it is been slightly better than the overall growth rate over the last, say, about last six months or so.
Avinash: Okay. That is it. Thank you.
Gunjan Shah: Thank you.
Moderator: Thank you. The next question is from the line of Nirav Savai from Abakkus Investment Managers. Please go ahead.
Nirav Savai: Hi. My question is on the COCO format now. It is been more than two years and expansion is extremely very slow. And I understand there has been a lot of store closures. So, how do we see this year as far as COCO format expansion is concerned? And what kind of store closures are we looking at?

Gunjan Shah: Right. So, I mean, it is a continuous process, Nirav, that happens in the retail world. And obviously, modulating based on basically same store growth in the environment that we see, then the net additions are an outcome of that in a way. But we still go on doing about roughly, in my view, about 70 to 80 gross additions that happen every year in COCO, gross, right? Now, depending on some of the consolidation initiatives that we are on, let us say, for example, in the last two, three quarters, there has been accelerated effort towards that. That will result in a net number that we are talking about.
But we have still been largely, I would say, flattish, maybe a few store additions year-on-year. And that should only accelerate as we see the environment improving, hopefully. So, there has been, obviously, a lot of expansion that has happened through the franchise format, especially in the smaller towns, where, obviously, the benefit comes through in terms of new town additions, which are obviously grabbing new consumers.
Simultaneously, a lot of effort has been towards not only Zero Base Merchandising expansion, but also towards better Bata Red 2.0, which is renovating the stores. And that reaches at I think about 60% of the network now.
Nirav Savai: Right. So, basically, at net level, we should look at a minimal 10% -15% kind of store expansion.
Gunjan Shah: As of now, in the short term, yes.
Nirav Savai: And I understand the stores which we are shutting down are not very profitable stores, and maybe some of them might be loss making stores. So, what can be the incremental addition in margins which we can look at post closure of the stores? Because we have been doing this exercise for more than three years now.
Gunjan Shah: Right. So, normally a store, we do not allow it to be significantly negative. So, as soon as it turns marginally negative from a four wall margin basis, it gets into a scanner. And then I think in another about three months to four months is then the decision is precipitated, in case all other levers have been basically fructified. So, that is where the benefit arrives, but I will let Amit answer in case of, he is got a better number to answer you on this.
Amit Aggarwal: So, typically, the closures what we have done, they should help us increase our operating costs or facilitate reduction of the ope

rating costs because the stores were loss-making, right? So, typically, we have seen on an average is about let us say, 40 basis point to 50 basis point improvement coming in the overall operating margin from the store closures.
Nirav Savai: Okay. So, that is something which we can foresee for the rest of the year.
Amit Aggarwal: Yes. But also, what happens is that when you open a new store, which Gunjan also mentioned, it takes time to become profitable. So, the year one, generally, the new stores are not profitable on year one. So, therefore, there is that compounding, or let us say, impact which happens. So,

net-net, on account of store opening and closure, at best you see a 10 basis point to 20 basis point improvement only, which is largely coming from the store closure, but gets offset because of the store opening. But year two, year three onwards, that delta of 40 basis point to 50 basis point, which I mentioned, that continues to be.
Nirav Savai: So, we have been adding 70 stores, 80 stores, I understand, for the last three years. And the closures have been maybe, let us say, 50 stores. So, now the years, let us say, FY ‘23 - ‘24, those stores would have turned profitable. Now, is there any time frame, let us say, a new store for, let us say, two years does not function or operate as per our expectations, we shut it down. So, what is the criteria of store closure? Are these old legacy stores which have been burning cash for a long time?
Amit Aggarwal: See, internally, we have a stringent framework in terms of performance evaluation for any store. Like Gunjan mentioned, we look at stores which are closer to breakeven from that evaluation

perspective. So, one is the criteria on the bottom line. Second criteria is also the brand presence within that geographical space also.
So, there could be a couple of stores which are marginally loss-making, let us say, from an operating cost perspective of that store, they are operating at a minus 2% - minus 3% of a loss, but we do not have either our own store or present through franchise, given that the quantum of loss, it is negligible, we may continue to operate.
But any store which is significant, again, that gets addressed, irrespective of the duration.
Minimum criteria what we apply is two years from a store opening.
Nirav Savai: All right. And how many such stores would be still there, which we are looking to close? Or do we see FY ‘26 as a conclusive year for cutting down loss-making stores? Or this is an ongoing process which will keep on continuing?
Amit Aggarwal: It is an ongoing process, right? So, every six months, we refresh the store performance. While the data is available on a monthly basis, but given that there are various factors which impact the store performance, the first intent is to fix those other levers, which helps us driving either in terms of the merchandise refresh, or the margin profile change, or renegotiation with the landlord, right?
But when everything also does not figure out, and as I said, based on the criteria which we follow, still it does not meet, then only we proceed for the closure.
Nirav Savai: Right, right. So, basically these closures of 50 stores - 60 stores will continue for FY ‘26 and beyond that also we see that happening --
Moderator: Sorry to interrupt, Mr. Nirav.
Nirav Savai: -- it is impacting growth. Yes, this was just the last question.

Amit Aggarwal: In terms of --
Nirav Savai: So, I am saying that the closures also has been impacting the top-line growth. So, is this a final conclusive year or this will 50 - 50 stores will continue to close every year?
Gunjan Shah: See, it is an ongoing process, this is always going to be there, and any diligent retailer will have it. However, the quantum of stores will be very difficult to project. We as of now see a significant red

uction in the pipeline that we see, right? I mean, let us say the red list that Amit was talking about, which is refreshed every six months, that is significantly lower versus, let us say, one year back, right?
Now, will that expand going forward or will that reduce, will also depend upon basically the store’s performance. So, our objective is to make sure it becomes smaller and smaller because there is some amount of write off that you do of fixed costs, right? So, you have built an equity. You have invested in a certain locality. So, you do not want to do too many of them.
It also predicates on the fact that how good you are at opening new stores. What is the right location? Have you got the right commercials going, etc., etc. And there is obviously a bunch of things that people have done in terms of getting the right triangulation of various inputs into the potential of a store and therefore the commercials.
So, you have tied up with third-party agencies that get some kind of a consumption pattern and therefore potential demand. Therefore, we hope that this pipeline will keep reducing going forward. If that is the narrow question.
Nirav Savai: Got it. That is it from my side. Thank you.
Moderator: Thank you. We have our next question from the line of Prerna Jhunjhunwala from Elara Securities. Please go ahead.
Prerna Jhunjhunwala: Thank you for the opportunity, sir. I wanted to understand the volume growth in this quarter and the ASP performance given all the initiatives taken and the hurdles faced.
Gunjan Shah: Yes. Just a second. Yes. Okay. Broadly, I think both of them have been flattish, Prerna, right? Largely driven by basically the fact that we had a disproportionate amount of impact in the first half of the quarter, especially in the IND business because of the conflict, etc., that we talked about. So, it is been broadly flattish on that front, allowing for the mix change, etc.
Prerna Jhunjhunwala: Okay. So, sir, with all the initiatives taken, whether it is Zero Base for EBOs as well as focus on Power and Floatz and stuff, when do we see volume growth and revenue growth picking up? And how do we see internally on the growth that can be achieved at an overall level in the company?

Gunjan Shah: Yes. So, I answered that question earlier. Our endeavor is towards making sure that, despite demand conditions remaining soft, some of these initiatives help us drive the growth. And we are hopeful that this comes sooner rather than later, that we can get the full bang of all these

efforts coming together at the storefront.
Prerna Jhunjhunwala: Okay. Understood, sir. And any color on how much stores can be added at a net level in this year?
Gunjan Shah: We should be looking at broadly while the longer-term guidance has been to basically add about 130 stores to 150 stores a year, with a ratio of about 80 - 20 franchise to COCO, so we should be in that ballpark, maybe a little lower because of, I think, a slower last couple of quarters. But we should see acceleration going forward, primarily driven through franchise, as I mentioned in my presentation earlier also.
Prerna Jhunjhunwala: Okay, sir. Sir, thank you for the answers. All the best.
Gunjan Shah: Thank you, Prerna.
Prerna Jhunjhunwala: Thank you.
Moderator: Thank you. The next question is from the line of Rajiv Bharati from Nuvama Wealth. Please go ahead.
Rajiv Bharati: Yes. Good afternoon, sir. Thanks for the opportunity. Sir, with regard to your franchising network, which used to be close to 150 odd stores around COVID period and now 650 stores, what is, let us say, the throughput number, how has it moved over the years? And has there been a repeat in terms of the franchise has come back, or what proportion of these franchises have come back to open, let us say, another store with you, just to you success here?
And the related question is, in terms of your Hush Pu

ppies arrangement, is not there a mandate,
let us say, get to a certain milestone number of stores in, let us say, two years, three years out?
Yes. These are two questions.
Gunjan Shah: Okay. All right. Thanks, Rajiv. Quickly on the franchise piece, franchise contributes to roughly around about 12% of turnover on a retail sales price level, right? Realization turnover, obviously, is a little lower because of the way we realize whole price on the DOS side, right, on the COCO side.
The piece on repeat franchisees, we see more and more of it. Right now, if I last recollect, I think on an average, partner of ours has about 1.7 stores or 1.6 stores with us. But let us say, the additions that we are doing, about 60% of our additions are coming from existing partners. And we want to propagate that further.

So, we are encouraging franchises to open more, and we are seeing that happening much easier, much faster. Because, obviously, they understand our systems and portfolio much better and vice versa also.
On the Hush Puppies front, basically, the point is that we do have some kind of an arrangement on the brand. We have long since crossed that from a relationship perspective because it is been well established, it is been there for a long time. But however, we are ahead of plan on that front. So, we do not see a constraint from that perspective. Does that answer your question, Rajiv?
Rajiv Bharati: Yes, sir. Just a follow-up on the first part, the 12% contribution you mentioned. Let us say pre COVID, what was the contribution? Because you mentioned that this is margin accretive as compared to the remaining business, right, on the EBITDA side. But overall EBITDA has not moved. So, something else is eating into, let us say, if this channel is growing better.
Gunjan Shah: Yes. So, what is the question, Rajiv?
Rajiv Bharati: No. So, has the contribution changed materially? This 12% number was in the same ballpark earlier also, is it, in terms of contribution?
Gunjan Shah: No, no. Franchise contribution was much lower earlier. I mean, that is the whole reason that this expanded, right? I mean, I cannot recollect immediately, but my sense is it was less than 3%.
Rajiv Bharati: Sure. That is all from my side. Thanks a lot, sir.
Gunjan Shah: Okay. Thank you. Thank you, Rajiv.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Nitin Bagaria: So, thank you, everyone, for joining. It was lovely interacting. Over to you, moderator and JM Financial.
Moderator: Thank you, sir. On behalf of Bata India Limited and JM Financials, that concludes the conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2025

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November 6, 2025

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The Calcutta Stock Exchange
Limited
7, Lyons Range,
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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings Call
This is further to our letters dated October 6, 2025 and October 30, 2025, on the captioned subject.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Post Earnings Call (Group Call) held on Thursday, October 30, 2025.
The above information shall also be made available on Company's website viz., www.bata.in
This is for your information and records.

Thanking you,
Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP – Company Secretary & Compliance Officer

Encl.: As above

"Bata Limited Q2 FY26 Earnings Conference Call"

October 30, 2025

MANAGEMENT : MR. GUNJAN SHAH – MD AND CEO, BATA LIMITED
MR. AMIT AGGARWAL – DIRECTOR FINANCE AND
CFO, BATA LIMITED
MR. NITIN BAGARIA – AVP AND COMPANY
SECRETARY , BATA LIMITED
MODERATOR : MR. AKHIL PAREKH, BATLIVALA & KARANI
SECURITIES INDIA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Bata Limited Q2 FY26 Earnings Conference Call hosted by Batlivala & Karani Securities India Limited.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Akhil Parekh from Batlivala & Karani Securities India Limited. Thank you and over to you, sir.

Akhil Parekh: Thank you, Shifa. Good afternoon, everyone. On behalf of B&K, I would like to welcome you all for 2Q FY26 Conference Call of Bata India.

From the Management side, we have with us Mr. Gunjan Shah – MD and CEO, Mr. Amit Aggarwal – Director of Finance and CFO, and Mr. Nitin Bagaria – AVP and Company Secretary.

Without taking much time, I will hand over the call to Mr. Nitin Bagaria for his initial comments. Over to you, Nitin.

Nitin Bagaria: Good evening, everyone, and welcome to the Bata Q2 FY26 Earnings Conference Call. We have Mr. Gunjan Shah – MD, CEO. We also have Mr. Amit Aggarwal – Director Finance and CFO.

We have shared the Presentation with the Stock Exchanges several times earlier. We will be taking you through the same. We will navigate the slides as well as the page numbers. On page 2, we have the disclaimers. I am sure you have gone through the same. I will now request to Gunjan to take over. Thank you once again for joining.

Gunjan Shah: Hi, everyone. Thank you, Nitin. Welcome to the call.

I will jump directly into the presentation which was already uploaded but I will try and see if I can also index you to the slides.

I am moving to Slide #3. This has been the journey. This is just encompassing the full flow of the journey that we have been under for transformational customer experience and therefore driving growth. Inventory declutter, that has been a big part of this entire process especially post-COVID. And I think we are towards the fag end of it. I will show you the progress on that. Revamping the whole customer store experience, and ZBM was at the heart of this entire piece, and I have been talking about it for the last few quarters. We'll see where we have reached. Backed by this was basically then coming out with focused marketing campaigns behind stories and we've seen some elements of it and many more coming along. And therefore, the investments that go behind it, having cleaned up the experience as well as the inventory declutter.

And having done that, how are we wanting to push for expansion? And last but not the least, I think I will give you a glimpse of how we are looking at the product funnel and the product portfolio getting reimagined. I will talk a lot more of it down the line in subsequent quarters because that work has just got started significantly.

With that, I will move to Slide #4, which is on basically the inventory declutter, complexity as well as inventory reduction. On the clutter piece, Slide #five, as you can see, that continues. The number of assortments in the store has significantly come down, largely, as you will see, correlated to aged inventory and discontinued lines. So, a lot of that reduction is coming from there and therefore, focus towards bestsellers as well as to whatever is the stories and therefore new collections of ours. Clearly, that is showing up to us in feedback from consumers, etc. They are able to see the newer stories and lines much better because we have reduced the clutter. What that allows us to also is dedicate inventories towards these products that we want to showcase and sell well, and which is showing up in the availability going up now indexed much higher at

almost about 14% better. So, sizes, availability, etc., has gone up. I think there is still some scope. There's a large customer first project, which I briefly talked about last time, that is gathering significant pace, and we will see jump shift especially on the availability piece going forward having reduced the clutter.

Moving to Slide #6, inventory in absolute year-on-year, again the reduction continues, double-digit reduction, despite having much better availability, therefore showing the health improving. Health also comes about in the subsequent two charts that you see in the two quadrants. Freshness is at almost the peak level that we are seeing since COVID, and we do see scope for improvement further on this which is basically absolutely fresh product which is less than six months old. And last but not the least, I think inventory turns, we have reached almost 2.2 and we ideally want to push for at least 2.5 and that significantly improves not only in terms of financial working capital, but more importantly in terms of our agility of the supply chain to cater to demand patterns, etc. So, the pipeline being a little more cleaner allows us to cater much faster.

Having done that, in the same sequence as I mentioned on the transformation piece was store experience, which is slide 8, if we can move to that, I think the centrepiece of this entire piece was there are many other smaller initiatives, but the biggest piece was zero-based merchandising, enhancing customer experience, decluttering stores, enabling more seating in the store, etc., I have spoken about it, so I will not repeat all of that in the previous quarters. But now more importantly on how we are progressing, we know there are benefits, they give us delta like-for-like and revenue per square foot, etc., and consumer experience scores. So now we are not only expanding doors across our network, while we are penetrated literally across the country, and therefore, we've got large stores done everywhere. But however, we are also gradually now wanting to paint cities. As you can see last quarter, so just to make sure it's clear, this is not the cities where the 400 or 300 that we are sitting on, They are spread across. But now we are also simultaneously not only expanding but making sure no cities get painted completely. So, there's a full-scale benefit coming through in the city. And therefore, two cities that we have managed

to put under our belt is Gurgaon and Mumbai. A few more that are being panned out in the next quarter, which is December quarter, as you can see the total doors, we should be able to hit almost 50% of our store turnover by the next quarter end. And hopefully even almost Pareto, that is (+) 80% by the next year hopefully much faster. We have also seemingly cracked the model of moving this much faster. So instead of doing almost about 60-70 stores a quarter, we should be accelerating much faster now, having cracked some of the other elements that are required for this.

Moving further to the stories and marketing campaigns behind it, Slide #10, we did invest in this quarter despite the disruption that we saw on GST. Some of it we didn't anticipate so acutely, but we were very clear that we want to invest, and this trend will continue. We will want to make sure that we invest and that's what you have seen overall from a marketing investment.

The key campaign that we focused, I think one of the biggest ones that came out of the story focus campaign, and I will talk a little more about the product portfolio and the funnel we imagined, was the Victoria Ballerina. And I think we tried to make this really large, especially in some of these ZBM cities that we have painted, and we did see encouraging feedback. So not only the city overall had an impact on its footfall as well as like-for-like, but also in terms of the ladies category from a national perspectiv

e, which started growing towards the fag end of the
quarter despite the GST disruption. So, we are obviously very encouraged by this, not only the mechanism of making sure it's fully focused, but also the Victoria Ballerina itself, it seems to be something that gets associated with Bata very strongly and has a very large usage location and therefore volume opportunities. So, you will hear a lot more of this going forward.

Next one was on power. There were two large stories, one was on Stamina, and the other one was on Easy Slide. Easy Slide is actually something that we are far more bullish on even now. Last quarter saw it hit almost 4000 pairs per week. The gold standard that we want to hit is about 10,000. So, there is still a lot of headroom, and we hope to achieve that nearer in this quarter itself. There is a lot of inventory that's in the pipeline as well as a range and a bouquet coming through on that. And similar was from a slightly more premium series on performance-based footwear.

Hush Puppies similarly saw two distinct campaigns. The first one was office sneakers, the hybrid one. I think that's given us great response. I think I have some numbers coming in subsequent slide. But the iconic collection got launched towards the fag end leading into the festive season. And with our most premium shoes, I think the highest price now is at about 20,000 that's been launched here along with obviously a social influence of celebrity that you see there.

Last but not the least on the marketing front was the GST communication itself. We were the first on the move on this, literally I think a few days or hours after the announcement of the Prime Minister and obviously subsequent clarity that we managed to emerge with on the 22nd of September when it became effective. Actually, I think in terms of making sure that the clarity was very clearly visible to consumers, and we did see encouraging response, obviously once that communication clarity came through to consumers post 22nd. And a lot of it stays.

Moving to the next section, on network expansion, as I have been talking about it on slide 16, one of the key cornerstones on this expansion has been the franchise story. While this is a slightly more shorter term over the last about 18 months or 6 Quarters, but over the last four years, this has moved from less than 100 to almost nearing towards 700. It gives us access to unique towns. We are wanting to make sure that this is now basically encouraged for multiple store partners. We have almost half the number of franchise partners that have got more than two or more than two stores with us and there are no reason why they should not, at least in a cluster, have about five stores. So, there's eminently large possibility both from the enabler of partners as well as from potential trade areas wherever India is urbanizing so focus towards obviously smaller consumer cohorts and extremely profitable. So that will be a big driver, and our ambitions are pretty large. We want to increase this run rate, and we know where the unlocks lie on this.

We will obviously want to make sure that expansion also continues. SIS is the other piece that I want to talk about. This is Shop-in-Shop commerce stores in large departmental and high throughput areas. We had gone through a consolidation where we were actually relooking at the business model. It was not a very growth driven kind of a business model that we were running and that transformation was underway for the last about six months. And I think now with all our partners, we have undergone that transformation. The business model and contracts are in place and now we should see significant expansion coming back into this. I see huge opportunity on this in terms of attracting newer consumers into the fold of Bata and its brands, both Hushpuppies and Bata.

Last, while this is a new topic, on the last piece on th

is entire transformation journey which is the product funnel reimagined. I will not speak too much on this, but basically the whole objective is to get a lot more science into and the rationale behind what we bring in as new products onto the table, and not only onto the table, but also what we carry forward from season to season. So, we want to make sure that this pyramid is as sharp as possible with fewer toolkits that allow us to have much better control on comfort in technology. Making sure that styles is what gives us economies of scale driven by uppers on the same molds and kits that are there. So having variety of uppers that gives us much better control on both quality of material as well as in terms of economies of scale and therefore cost of product.

And last but not the least, making sure that multiplies into color ways and which then gives us variety. This is the best practice across the world in the footwear business. And I think this ratio, and I will talk a lot more of it as we progress, you will see a lot more numbers as well as progress talking on this going forward and the benefits that come in, Victoria Ballerina, Easy Slide are a couple of examples very clearly showing that this is the way benefits come through to us. But we'll talk a lot more. So, the whole funnel is under scrutiny right now.

Other highlights, Floats continues its journey. HP Office Sneakers I talked about. On the customer front, as I said, we have graduated now from Net Promoter score to Google scores, and that is continuously seeing improvements. So, we want to be proud enough that we can even tomorrow talk about it to consumers walking them into the stores, etc., and hopefully we'll get

there. The score did improve slightly in this quarter. KROs for multi-brand outlets continue to expand and we did see, obviously, transition impact which I have talked about in my press release on the GST 2.0 transition. But post-22nd, obviously, it's been a reasonably good uptick.

VRS was introduced in Bata Nagar so that on the focus on removing basically legacy cost structures as well as disabling our non-agile supply chain elements continues and we are seeing significant movement on that front. This was one step in that direction. We also saw disruption in July because of our largest distribution centre in the north which covers all our channels in Jamalpur. It covers almost about 40% of our inventory and that did go through a very unplanned abrupt transition in terms of a 3PL partner. We obviously stabilized after that and we've got a

gold standard partner now, and obviously there was some reward that we got.
I will hand over to Amit to talk to you through the financial highlights.
Amit Aggarwal: Good afternoon, everyone.
Overall revenue from operations stood at about INR 8,000 million which is a decline of about 4% compared to the previous year from a YoY perspective. Now, as Gunjan mentioned, there were two key events which impacted the top line. One was the RDC operation which got partly impacted. It's one of the largest distribution centres. And second was the GST transition. As a result, there was a lot of consumers as well as customer deferral in buying because of the rate rationalization exercise which was being planned.
The gross margin stood at lower by about 150 basis point versus last year's same quarter. However, sequentially, it has improved by 190 basis point compared to Q1. This erosion in gross margin versus last year mainly on account of two events. One, in order to excite consumer and as well as the channel partners to continue buying pre-rate rationalization, there were certain additional incentives and schemes which were run and that has led to certain impact on the gross margin. The second impact, the continuous push in terms of having a much cleaner inventory pipeline. As you would have seen, the freshness has gone up by almost 7% compa

red to the base
which is there. So, endeavour is to keep the fresh inventory running and whatever is getting slightly aged or not from a range width perspective, intent is to expedite the liquidation as early as possible.
From an EBITDA perspective, the decline is about 220 basis point largely emanating, one, from a gross margin. Two, as Gunjan mentioned in the previous slides that there has been a continued investment in A&P is what we are driving it and you would have seen in the number, the A&P investments have been almost 2x compared to the previous period and we are doing almost 3.5% versus 1.5% which is there in the base previously and the endeavour is to continue and sustain A&P investment in the range of 3%-4% going forward.
Nitin Bagaria: Thank you. We request the moderator to move to the Q&A section.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Sameer Gupta from India Info Line. Please go ahead.
Sameer Gupta: Firstly, if you could quantify the impact of GST-related disruption that you have called out, both in terms of your channel partners as well as consumers, whatever the best judgment that you have. The idea is to understand the normalized growth or decline this quarter had these issues not been there.
Amit Aggarwal: In our whatever analysis what we have done internally and looking at the number post the GST transition what we look at especially from a consumer footfall perspective into store post the GST reduction, we assume if the transitions would not have been there, we would have at least reported a flat revenue versus a 4% decline what is seen there grom a top-line perspective.
Sameer Gupta: This is very clear. So, 400 basis points is broadly the impact that you can research. Secondly, on margins. I have asked this before also. Now, if I look at the EBITDA margin on a pre-IndAS basis, this is after accounting for rent and also if you adjust for the royalty accounting change that has happened in 4th Quarter of last year, I believe the margin is somewhere at 7.5% for this first half. Now, I understand that largely a function of weak same-store sales, but historically also we have had periods where the volume growth or the same-store sales growth hasn't been really impressive, but margin still used to be in a particular range. At the peak of it, they were at 16% and largely around 12% margin range is what we used to deliver. So, what is then pulling this down? Is there a factor apart from same-store sales or subdued sales which is pulling this down? I understand marketing spends have gone up, but even if I adjust for that, it is much below what it used to be. Is franchisee network a margin dilutive channel? And more importantly, apart from same store, what are the other levers that you can use to pull up the margins to at least (+) 10% levels from here? I know it's a lengthy question, but I am sorry, need clarity.
Amit Aggarwal: Thanks for raising this. If you look at purely from a dilution perspective, as I mentioned, specifically for the current quarter there are two large impacts, one being the gross margin erosion. Now, gross margin, again, is a function of two things which I mentioned. One is that to ensure that there is a continued footfall as well as the conversion because of the GST-led price reduction. The reforms were announced sometime mid-August while the rates were applicable from September 22. It was a very, very long transitionary period where at least what we witnessed from a data perspective, there was a deferral in terms of buying. So what we tried to do is entice consumers with communication and that's where Gunjan also covered as part of the slide that we were the first mover advantage in terms of ensuring and communicating with the consumers that while the revised rates are applicable from September 22, we went ahead and
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tarted passing on those additional GST-related benefits effective first week of September itself. Similarly, certain incentives were run for channel partners specifically in case of franchise and distribution business to ensure there is no deferral of buying and whatever support is needed by them to liquidate and minimize the inventory holding which is at a higher GST rate which otherwise would have led to working capital blockage at their end. So that piece, that impacted the gross margin for the quarter.

Second, the drive to continuously improve the freshness. So, earlier what used to happen that the old stocks were heavily cleared during the USS period what we are moving away from doing that we are constantly driving the freshness so that entire discount which gets supplied during the USS period that comes down effectively. So broadly in the next quarter when the USS is there, ideally the markdown spend which otherwise we would have incurred you may call there as an advancement and recognition of the same earlier. So, it should be a lower markdown in the subsequent quarter which would help us recover some of the gross margin which we have lost during the quarter.

Sameer Gupta: Just a follow up here. Is there an EBITDA margin range that you are targeting and what will lead us to that?

Gunjan Shah: So, while we don't give you a forecast Sameer, but some of these were typical incidences/actions for the quarter gone by so we should not see them repeating. The other piece that I can definitely tell you is that as Amit was also describing this entire piece of freshness as well as inventory clearance or health, a large part of the journey from a health perspective I think we have crossed and therefore the commentary that he gave on the USS load and therefore the markdown impact, we should see those benefits coming through and that's the whole reason that we want. I mean you keep a healthy inventory, so you don't have to do deep discounts later on rather than clear it at a lower discount earlier. But unfortunately right, we have to take the hit earlier the benefits come a little later. So, one offs GST related, etc., obviously should not get repeated. We should not have those incidences again. The other one is the benefits of inventory should flow through as long as we maintain the discipline. The total inventory we still have I think some way to go. I still feel that there is much better terms that we can hit. So that's where the commentary will lie on that. The other levers VRS, etc., obviously are not going to repeat all the time.

Moderator: We have next question from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: I have two questions. The first one is if you could please share the same store sales growth of your company owned stores for festive vs festive last year. So, I am talking about Navratri vs Navratri comparison. If I could get the same store sales growth number for your COCO stores for the last 9-10 days of the quarter vs the last Navratri.

Gunjan Shah: We don't reveal and share that but what I can tell you is what I mentioned in the commentary is that there was obviously a disproportionate impact and which is what I think in the previous conversation Amit commented, because of this transition and some amount of impact of the warehouse related disruption last quarter did impact our overall growth. But we do see an uptick obviously post the 22nd. Some of it I guess must be also to do with backlog getting pent up demand coming through. But we will and are hopeful of structural benefits coming through. One is all the action that I have talked about. The second one is from a structural ecosystem that the GST would have started giving. We do see some signs of that coming through even in the lower price point products which were under stress for the last 2 years or so.

Saurabh Kundan: But if you could give us just an idea of how the festive demand was quantified, I am talking about only those last 9 days. I know in the commentary you said that there was a pickup, and I understand it also involves some sort of backlog but some sort of an idea that will be quite helpful to see what is happening to the underlying demand.

Gunjan Shah: So, I would say it has been much better than what we have seen for the last few quarters, and I will leave it at that.

Saurabh Kundan: The second question is your channels including franchise and distribution must be under some kind of stress and you indicated that you tried to support them. How long before the channel hygiene there is okay and the channel health there is okay, and you start getting your primary sales? Could it take another couple of quarters?

Amit Aggarwal: Just to clarify, it was during the transition period, so let's say the rate rationalization announcement was made by somewhere towards the mid of August while the rates were announced in the first week of September. The moment the rates were announced, and the benefit was visible to all the channel partners, there was a deferral in terms of buying because what would have happened you would have purchased at let's say 12% and sold at 5%, the 7%

becomes an ITC blockage from a channel partner perspective. So, what they were all looking at is how to defer the buying so that they are able to buy after 22nd September at 5% to avoid any blockage of working capital in the nature of ITC. So, the moment 22nd September happened, the buying resumed and everything is live now. It's just that the backlog we could not service in just 7 to 9 days of the remaining 8 days of the month therefore some of those spillover orders float to October. But right now, it is normal.
Gunjan Shah: So, there is no long running disruption that we see and therefore any kind of gross margin impact from a support perspective. As I mentioned to some other person, it was a one-off thing that happened in the quarter.
Saurabh Kundan: I was just trying to understand there must be inventory in the channel, right? Let's say in your distribution channel which if I recall correctly is maybe 12%, 13%, 14% of your business. How about that? That also would have been bought at a higher GST.
Amit Aggarwal: From a consumer perspective given the company decided to pass on the MRP reduction and the channel partner anyway has that advantage, it is not an actual loss to them. The entire conversation was around the blockage of ITC. Because if I purchase at 12 and sell at 5 the working capital gets stuck because I will be able to utilize this ITC not in the immediate month but let's say over a period of 5 to 6 months and there was a reluctance from channel partner to invest to that extent. But purely from a margin perspective there is no impact to channel partner also with the GST rate reduction exercise.
Moderator: We have next question from the line of Tejas Shah from Avendus Spark.

Tejas Shah: Disruption we called out but I thought that there were tailwinds also in terms of early Navratri and our exposure to East India where this festival is very prominent. We saw many East heavy retailers, both listed and unlisted kind of calling out to be a decent quarter. Just wanted to know, was it that we could not kind of capture the demand because of the disruption?
Gunjan Shah: We are reasonably present and penetrated in East, but it is about 20% of our business from a turnover perspective. So, it is not so prevalent that it can move the whole thing both ways. But yes, the Durga Puja related preponement, etc., and Navratri related, that did come through but as we mentioned somewhere else in the conversation was that there was a disruption related impact till 22nd that was obviously not recovered as fast. The backlog obviously got cleared over a perio

d of time.
Tejas Shah: Even if we adjust for that that we called out that it is 4%, flat growth does not kind of show that kind of exuberance or recovery that we have seen in some of the other like-to-like retailers. So, what is your read on consumer sentiment then because of this flat number?
Gunjan Shah: Within this then there are two segments that obviously this whole piece that is that I talked about in my presentation works towards that obviously. The second piece that there is that there is this whole piece which is we will see what the structural impact will come through but the pressure that was there in terms of the 40% of our portfolio which is below 1000 and that ideally with the pass-on that has happened, etc., we should see hopefully that coming and bouncing back. So, those are the two levers that are there. One is obviously the work that we are doing in terms of consumer experience end-to-end and the other piece is obviously the price point related pressure that is there on the lower and mass end. Plant expansion, if I may add, as I said the journey was to make sure that we fix what we have and get that going. Now that confidence seems to be there and therefore as I said we will do now aggressive expansion especially in the channel that I mentioned.
Tejas Shah: Last one if I may, when I look at our interactions over the past few quarters it seems we have been ticking all the right boxes in terms of interventions and growth drivers that we are trying to repair, yet for one reason or another numbers haven't quite come through. So, where would you narrow down the core of the problem which is still not responding?
Gunjan Shah: Obviously we all want numbers to be better. So, there is no question about that. I think our hypothesis is exactly on the lever that we are working on. Therefore, having got the confidence on setting the right part of the portfolio or the journey right, is where now the investments are going into marketing which you have started seeing now. Investments into now expansion in the right channels and last but not the least the one that is now kicking off is the entire thing of product funnel getting reimagined. So, those are the areas that I think we can do much better on and hopefully that should result into all of this finally cumulatively creating impact.
Tejas Shah: Any model territory or market where you believe that you would have done all those changes that you spoke about, and the numbers are kind of coming much better than what we are reporting at aggregate level?

Amit Aggarwal: Example is the ZBM store where if you look at the deltas what you see from a control perspective even from a turnover perspective there is a good delta and ZBM is what represents our going philosophy in terms of the rights availability of products, the right assortment, the right consumer experience. So, there is what we see that once you do those concepts right the growth will come.
Gunjan Shah: So, just to add on. Three parts, one is ZBM as Amit just mentioned which we have been now tracking for some time and at large scale it still continues to give us significant delta, and we want to make sure that we paint things faster and which is what the agenda is. The second piece is on the marketing piece. I didn't elaborate on this, but we did do an over indexation within this quarter which was in the places where we have managed to paint green and we did see a significant preference being made to the overall city from a like-for-like as well as footfall perspective. And the last one that is there is on the product imagine that Victoria Ballerina is a classic case. One scientifically designed format giving multitude of options literally on a bouquet, a strong association and story with the Bata promise, and a simplified price positioning I think will give us fantastic results. So, we will bet on these much larger and on

a wider scale
as we see these successes coming through.
Moderator: We have next question from Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala: I wanted to understand your strategy in terms of value versus premium and how it could impact volume versus ASP largely as you focus on increasing volume from lower price product as well and focusing on Hush Puppies and all these brands for premiumization. So, where do we see as a vision for Bata India where it is positioned and how do we see volume growth and ASP is moving once this GST disruption actually flattens?
Gunjan Shah: It's not positioning of Bata India by the way. Bata India is a corporate name. It's positioning of the brands and right now there are two large banners in operation which is Bata and Hush Puppies. As I mentioned in the presentation Hush Puppies is our premium driver and that is seen obviously with the traction that we have seen on premium side of things, etc., in the portfolio, it has seen continuous expansion. Now EBOs both COCO as well as franchise combined, we have crossed 150 now on last count let's say September versus let's say about less than 100 till about 2 years back. So that sees continuous expansion that will anchor the entire premium side on specifically comfort and as I said comfort casual kind of space, formal casual space. There also there are growth levers from a portfolio perspective in terms of there are two large growth levers, one is on NFT. I think the badge value is very strong. We can leverage it across many other categories that consumers wallet consumes. So non footwear related stuff and we are seeing exciting traction on some of the products that we have brought in there. The second piece in Hush Puppies is the ladies section. Ladies offerings, the ladies call to action, the mind share for ladies is not as high as it is for men and I think we have got a right to it. More often than not couples do walk in, and we can monetize both of them. So, there are two clear cut levers besides expansion, etc., on the Hush Puppies side. On the Bata side, it is going to be also, I would say that the growth will be driven by a mix of both volume as well as value. We will not want it to be only value driven. We have realized that that is very critical. However, the price points that

are on the lower side have been under pressure for some extended period and therefore some of the benefits have not come through. We are expecting and we do see some early signs of it because of obviously the value proposition that we have done. We have re-indexed products. We have brought in new products at competitive price points but wherever we can add in technology and features, we will charge for premium and classic example being Power Easy Slide, the whole float story that we have created over 3 years as well as let's say Bata Comfit, etc. These are technology/feature driven products, and they do sell at ASPs which are significantly higher than overall ASPs. So, it's a two-pronged thing. I hope I have been able to answer Prerna.
Prerna Jhunjhunwala: As a follow-up on this answer, I wanted to understand as a company, how do you see the volumes and ASPs moving because these are two different strategies merging and I know it is consumerization where you cannot really pinpoint on what will work first and what will work second. But as a senior management, you would be having some vision wherein how this should pan out and how can you deliver growth on a volume and ASP basis because at the end of the day, we need growth on volume and ASP.
Gunjan Shah: Bata will continue to drive volumes. We will want within that the full price sales to go up significantly and that's what the whole inventory declutter was all about and we do see now that coming through as Amit mentioned in a commentary on markdown and therefore gross margins.
Premiumization as I said will be dr

iven by certain categories of products as well as portfolio and
Hush Puppies. It will be a combination of both as I said and I think it is going to be a medium-term trajectory that I can comment on. Quarter-to-quarter, there will be variations based on contextual circumstances.

Prerna Jhunjhunwala: Just wanted to understand this quarter, how was the volume growth and what was the ASP decline because of this inventory declutter. If you could also give us some sense on how is the consumer behaving on a (+) Rs.2500-2800 price point and below price point and how are you going to take it forward?

Gunjan Shah: The latter question we will wait for as I also mentioned that there is some amount of backlog, etc., so we don't know what's the structural piece while we do see uptick definitely post 22nd. But the fact is that what is the structural behavioral change, etc., we will wait and watch on that front. So, I will hold my answers on that right now while do we see some traction coming through on the lower price point product so that's where I limit myself. But between let's say 1000 to 2500 which I heard you ask versus (+) 2500 we will wait for a little more time while we make any commentary on that. On the first piece which is on ASP versus this, I think last quarter we would have been flattish on ASP. As I said premium has done much better, so the mix obviously lifted the ASP the inventory declutter and the clearance on that front lowered the ASP, so both of them nullified each other overall flat on ASP.

Prerna Jhunjhunwala: In fact, the decline is largely volume driven.

Gunjan Shah: Yes.

Prerna Jhunjhunwala: Do you see any margin impact going forward in terms of this strategy moving ahead because this quarter definitely there was some disruption, but do we return back to similar margins that we were doing earlier in the next quarter.

Gunjan Shah: I think Amit commented on this pretty much in detail in a prior question, but I will let him summarize it once again.

Amit Aggarwal: Again, I am saying see the company is slightly shifting from a deep markdown during the USS period to consistently clearing up inventory and not waiting for the USS period therefore what you see the slightly higher markdown leading to margin erosion. So, next quarter, which is a big USS period, we should see significantly lower markdown impact on gross margin because many of those actions are continuously being done in the current quarter as well as in the previous quarter. So, next quarter the overall margin should come out to be better compared to the previous year.

Moderator: We have a follow up question from Sameer Gupta from India Infoline.

Sameer Gupta: A clarification on the zero-base merchandise I have seen in the presentation that you have completed Gurgaon and Mumbai. I wanted to understand what does it mean? Does it mean that all stores in Mumbai now are on zero-base merchandising, or it means whatever stores you had assigned to be on zero-base merchandising in Mumbai are now completed.

Gunjan Shah: Largely the objective is all stores but however within that there is some filter that they apply but broadly about 90% I would say, so most of the stores.

Amit Aggarwal: 90% of Mumbai Bata stores in Mumbai are now on zero-base merchandising.

Gunjan Shah: Yes.

Sameer Gupta: Another bookkeeping question, can you quantify the percentage of portfolio now which is below 1000 between 1000 and 2500, and the rest would be above 2500.

Gunjan Shah: About 40% below 1000. 40% between 1000 and 2500 and 20% above 2500. 40-40-20.

Sameer Gupta: A clarification on this also so I heard in earlier interview like 3 days back you mentioned that premium is 30% of sales so what exactly do you call premium, is it a price point.

Gunjan Shah: It is price point driven but it is a combination of price point as well as brand so I think it would have been depending on the

context that was said but I would have commented based on let's say basically (+) 2000 or something like that. So, there are various categories of products which also have price points above and therefore (+) 2000 would have been in that range. I think it would have been in context of a question.

Sameer Gupta: Basically, understanding again is like an open footwear even if it is let's say less than 2000 can be classified as premium in your understanding, or no, that's (+) 2000.

Gunjan Shah: Yes. I can't give you a concrete example immediately but there are Hush Puppies products which are let's say for example below 2500. So, there are similar examples in Power the other way around, etc. So, it's more of a subjective definition

Gunjan Shah: Yes.

Moderator: We will take that as our last question for the day. I would now like to hand the conference over

to management for closing comments.
Nitin Bagaria: Thank you everyone for participating. If you have any follow up questions you can get in touch with me. Thanks everyone.
Moderator: On behalf of Batlivala & Karani Securities India Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

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February 18, 202 6

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Dear Sir/Madam,

Subject: Post Earnings Call
This is further to our letters dated January 28, 2026, February 12, 2026 and February 13, 2026 , on the captioned subject.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Post Earnings Call (Group Call) held on Friday , February 13, 2026 .
The a bove information shall also be made available on Company's website viz., www.bata.in
This is for your information and records.

Thanking you,
Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP – Company Secretary & Compliance Officer

Encl.: As above
Page 1 of 14 Bata India Limited Q3 and FY '26 Earnings Conference Call February 13, 2026 MANAGEMENT: MR. GUNJAN SHAH – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED MR. AMIT AGGARWAL – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED MR. NITIN BAGARIA – AVP, COMPANY SECRETARY – BATA INDIA LIMITED MODERATOR: MR. AKHIL PAREKH – B&K SECURITIES

Bata India Limited February 13, 2026
Page 2 of 14
Moderator: Ladies and gentlemen, good day, and welcome to Bata Limited Q3 and FY '26 Earnings Conference Call hosted by B&K Securities. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then hash on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Akhil Parekh from B&K Securities. Thank you, and over to you, sir. Akhil Parekh: Yes. Thanks, Danish. Good afternoon, everyone. On behalf of B&K Securities, I would like to welcome you all for 3Q FY '26 Conference Call of Bata India. From the management side, we have Mr. Gunjan Shah, MD and CEO; Mr. Amit Aggarwal, Director, Finance, CFO; and Mr. Nitin Bagaria, AVP, CS. Without taking much time, I would like to hand over the call to Gunjan for his opening remarks, post which we'll open the floor for Q&A session. Over to you, sir. Nitin Bagaria: Thanks, and good afternoon, everyone, and welcome to the Bata Q3 FY '26 Earnings Conference Call. We have Gunjan Shah, MD and CEO; and we also have Amit Aggarwal, Director Finance and CFO, joining us. We have shared the presentation as a pre-read to the stock exchanges yesterday. I hope you had time to go through the same. We have already also shared the disclaimer, which is part of the presentation. I now request to -- request Gunjan to take you through the performance summary. Thank you. Gunjan Shah: Thank you, Nitin. Hi, everyone. Thank you for joining this call this quarter. We will do this slightly differently this time in the sense that while the presentation has been uploaded, and I'm happy to take any questions on it, many of them

are consistent pieces that we have showcased over a period of time. So I will not be taking through every chart. I will give you some opening remarks on the highlights that I see. And then as I said, I'm more than happy to answer questions on the presentation or otherwise. So thanks once more, and we'll -- so we saw turnover-led growth of about 3% this quarter, right? It's been welcome after some time. We do see signs of momentum and green shoots, as I mentioned in my release also. This was on the back of persistent implementation of the zero-based merchandising project. Now it has scaled up to 400 stores and obviously, higher marketing spend. This is the second consecutive quarter that we have elevated our marketing spends, double-digit growth on marketing spend itself, and we are seeing the results of that. We hope to continue that going forward. All the key metrics in ZBM have shown growth, as you would have seen in the presentation. And the overall margins growth is at double-digit at 10%

underlying PBT growth, supported by various actions that we have talked about, including, but not only the Customer First. There are now tangible improvements that we can see in terms of turns, availability, turnaround time in terms of resupply to stores and obviously, a longer-running project, which was rationalization of agent inventory. It is now at -- as per our records at very high levels now in terms of freshness. While overall growth was seen reasonably democratic across price points, so good to see even the lower price points doing better. But we did see, obviously, Hush Puppies, Power and Floatz from a brand perspective, obviously driving growth disproportionately better. We also saw a significant turnaround. It has been under work for almost a year, but the corner stores channel, which was, in a way, rationalized and put on pause is now showing both growth as well as extremely strong margin performance. We'll see and hear a lot more of it coming in the coming years. As I talked about in the last quarter, the e

ntire funnel for product creation, had -- I had briefed, opened that topic last time. I promised you that I'll come back with a lot more flavor. We had shared with you now a lot more color and detail on it. Happy to answer questions, but you will see a lot more actions in the next few quarters, specifically focused on basically the product channel -- the product funnel getting reimagined, which we feel is a very, very strong pillar for our growth going forward. The franchise network continued to expand. Now we are at about very close to 2,000. Hopefully, this quarter, we should cross the 2,000 mark. Our I&D promise business continues to expand through the KRO network, reach is now 2,000 plus, a significant addition of almost more than double in the last 1 year. And the last piece was on e-commerce. We saw strong growth coming back across the channels, marketplaces.com as well as omni. We also have launched our Bata app and now almost 14% of our D2C business comes through the app, which is very encouraging within the first 6 months. Lastly, to top it up, turnover increased by 3%, as I mentioned earlier, and EBITDA went up by about 200 basis points, by -- as I said, well-rounded performance across channels from a margin perspective. With that, I will come to a close on my comments. Thank you. Moderator: Ladies and gentlemen, we'll begin with the question and answer session. Our first question comes from the line of Sameer Gupta from IIFL Capital. Sameer Gupta: Sir, firstly, if I look at large part of our initiatives that are being articulated in the presentation, these are focused on simplification of processes, lower inventory, lesser kit style lines. While it improves efficiency and -- it also reduces the choice for the consumer. And on the other hand, there is any -- hardly any retail store addition during the year on an overall basis.

Now initiatives are commendable. I'm not trying to downplay them, but how does this solve for growth? Or how do we reach that double-digit growth aspiration that we have laid out in recent quarters? Gunjan Shah: Yes. Okay. Thanks, Sameer. You're right. There are a lot of bunch of things which are enabling a lot of simplification. But let me point out a few of them, which will try and give you some flavor of where the -- so the biggest one is, in my view, was, let's say, for example, the entire piece on elevating the marketing investments. We have significantly taken them up, and you will see that continuously going up. That's driven continuously towards growth, right? And there are obviously certain -- we are also making sure that, that is focused towards a few product campaigns. Last quarter, for example, our single largest one was on the festive collection, and that's given us -- the one prior to that was focused on only 2 of them, which was Victoria Ballerina as well as the Power Easy Slide. And that's given us great impact, and you will see that going forward. The second one that's there is, I firmly believe, and we have seen that in terms of the growth rate revenue per square foot also is that the zero-based merchandising is giving us incremental benefit continuously, right? And now at the scale that it is, it is impacting the overall SSG also. So that's the second big piece. The third one and which I feel is going to be the longest in taking impact, but will have the largest impact also in line with our aspirations going forward is the product one, which I commented in my commentary. The reason that this rationalization that you see in kits, etc., is also to get authority on the product going. So we want to make sure that the products at the end of this full funnel that I've talked about over the last 4 quarters, we -- our -- next 4 quarters, you will see that our ability to make sure that the right kind of a product with the right authority from a design, material as well as comfort perspective comes through to the co

nsumers in a scale that is relevant enough and which will enable consumers to make our choices much easier for us. So I think all of these combined together are supposed to drive growth, besides, obviously, the one that I commented, which I'm sure you would have understood, which is expansion across channels, right, whether it's franchise or whether it's e-commerce or even the MBO channel. Sameer Gupta: Got it, sir. This is very helpful. Second question is that there is a sharp jump in the key retail outlets this quarter, and this is both Q-o-Q and Y-o-Y, looks very high for 1 quarter. So is there a renewed strategy towards this channel, which is the MBO channel being under pressure for some years now? Gunjan Shah: Yes, yes. So the reason -- I've been talking about this for some time, Sameer, right? And I think this is just the cumulative of that effort. So things take time to gain momentum and then the results come through, right?

So this is a combination of that. It's been in effort for the last about 4 quarters. It is not revisiting the channel, but basically trying to look at the -- these are the big ones. So I believe we reached about 20,000 outlets in MBOs, right, roughly. It's not a very easily trackable data. But the key retail outlets within that are supposed to contribute to almost these top 10% outlets contribute to almost 25%, 30% of the turnover. And making sure that we are able to present our range right, the engagement of these outlets is right. There is an engagement program, which rewards them for the right performance, gets the display right. So that is the journey that we are on. I think there is enough scope on expansion itself as well as making sure that the engagement becomes better. So you will hear a lot more of it going forward, but it's in the works for the last 4 quarters. So it's not a sudden thing. Sameer Gupta: Got it, sir. Again, very helpful. Last one, if I may squeeze in. Just a bookkeeping one. So 9 months FY '26, can you just share the broad growth numbers for different brands, Bata Hush Puppies, Power, any other which is meaningfully large? Gunjan Shah: Can we do something on that? Or -- I will need to come back to you, Sameer, on this in the interest of time. In case I have handy, I will comment on it in some other questions. Sameer Gupta: Sure, sir. Moderator: Our next question comes from the line of Gaurav Jogani from JM Financial. Gaurav Jogani: Sir, my first question is with regards to the GST impact. You had called out in the earlier quarter that, that had an impact of around 400 bps last time around. Now if we total up the Q2 plus Q3 revenue, that total, I think last year, it's -- the sales has kind of declined. So would it be prudent to say that the sales whatever we have lost because of the GST disruption that has not come back entirely and possibly could benefit going ahead as well? Gunjan Shah: Okay. It's a little difficult, Gaurav, to do a complete arithmetic on this because there was an impact, which was some amount of impact was channel, but a decent amount of impact was also consumer hesitancy. Now for sure, as I had mentioned even at the last quarter when I said that post that, we have seen and that momentum, as I gave in my opening remarks, we continue to see that through the quarter. How much of it was a plus/minus, etc., very difficult to state, but we do see momentum continuing. So -- which I would say is, I think, an underlying structural impact of GST 2.0, which should continue in general for the foreseeable future. Gaurav Jogani: Okay. Sure, sir. Got it. My next question is with regards to the... Gunjan Shah: The channel issues -- if I may just clarify, the channel issues that we had faced, obviously, in the last -- I mean, the quarter 2, they have completely eliminated. So it's reasonably -- now it's a reasonably steady state comfortable for everyone. There is no confusion whatsoever in the channel. So I th

ink in that manner, I think those wrinkles have got removed.

Gaurav Jogani: Okay. Okay. Sir, just one allied question to the GST question only. I mean, because of this rate reduction, have you now seen more attractiveness? Because of the earlier rate hike, the mass end kind of was getting more impacted. Have you seen more recovery now in this part of the portfolio? Gunjan Shah: Not as much as I would have liked, Gaurav, but yes, better than what we have seen over the last 7, 8 quarters. Gaurav Jogani: Sure. Sir, my next question is with regards to the zero-based merchandising performance, the one that you mentioned about the quarter performance. Now if you look at the delta, the delta is around 5%-odd versus the overall store network. So would you say that this is very early stage delta that you are getting? And as the time progresses, this delta can even grow bigger? Or you largely expect the delta to be around this range only? Gunjan Shah: Okay. So it's a delta versus rest of network. So as soon as the rest of the network -- I mean, once the ZBM now is 400 stores, our ambition is to take it to almost a full network or a large part of it by the end of this year, right, in the next few couple of quarters. So the delta is not the only relevant metric, but I understand where you're coming from. See, this is purely driven by giving us a much better curated choice to consumers, making it easier for consumers to make decisions and making the full -- the machinery working towards the consumer experience, right? But there are many other parts that will add on to this, hopefully, right? As I said, just one example that I elaborated on to a previous question was on the product piece. Now that piece is supposed to give us delta. That's why we are putting so much of effort on it. I feel that it's very good. Some examples of it that we have launched in men's dress, Floatz is a classic example that we have been on it for almost 3 years now. They are all examples wherein we get the authority on the product, and that gives us significant purchase from a consumer traction perspective. So they should add on, yes, all the other initiatives. Marketing investments being elevated, right, will add on to it. Gaurav Jogani: Okay. Okay. And sir, just last question from my end is in terms of the channels itself. We have been consistently seeing 2 things. One is your premium products continue to consistently grow at a very decent pace. And at the same time, the online and the EBO channel -- sorry, the online channel continues to also grow at a faster clip. So probably if you can help us out, one, how the contribution for the online channel now has changed? And also on the part that -- is it margin dilutive? It is margin accretive, same line, something on that sort. Gunjan Shah: Okay. All right. So if I can just rephrase contribution, how they have moved for e-commerce as well as how are they from a margin perspective. Is that right? Gaurav Jogani: Yes, yes, yes. Gunjan Shah: Okay. All right. So growth rates have been very strong, I would say. I think we can do a lot more, and there's a lot of work that is afoot both from making sure that our penetration in terms

of both inventory options as well as partners keeps continuing. I think we are there with most of the partners, including the quick commerce guys. There are a bunch of business partnering that we are doing with some of the partners also in terms of their newer initiatives and how can we participate in it, right, from a category as well as from a consumer experience perspective. So that should funnel. There is another large piece that we are trying to do in terms of making sure that we also create certain kind of a brand presence online, which is in addition to what we are anyway leveraging from the offline brand presence, right? So Floatz is a classic example. My contribution o

f Floatz online is still not as much or nowhere close to what it is offline. So there is a huge runway that I have in terms of driving it and therefore, the necessity of putting brand presence. Now both of these combined together, coming to your question, we should see this growth continue. It is now in, I would say, mid-double digits in terms of contribution from an e-commerce perspective. And we look at it purely e-commerce, not just the omni part, which is additional. And the second one is from a contribution perspective or profitability, I would say, broadly, it's at par. It might be slightly lower than overall profitability, but my sense is scale gives us great benefits on this. And I think at the growth that it is, it will hopefully not be a drag anymore. Moderator: Our next question comes from the line of Devanshu Bansal from Emkay Global. Devanshu Bansal: Yes. Sir, I wanted to check, obviously, you mentioned that growth is not handy with you. Can you tell us how big is the size of Hush Puppies for us as in broad ballpark range, if you can allude to? Gunjan Shah: It is about -- overall, it's in the range of about, I think, INR700 crores, I would say, right? And in retail stores, it contributes to anywhere between 15% to 20%. Devanshu Bansal: 15% to 20%. And this INR700 crores is like consumer level sales that we do? Or is it like there is a B2B as well also? Gunjan Shah: It is retail business largely. So there is no big difference between consumer sale and the realized turnover. Devanshu Bansal: Understood. Understood. Sir, the intent of asking this question was from a prospective increase in competitive intensity in this space, right? So there is another brand class where rights have yehbeen acquired by Metro. Plus we are seeing incremental focus of expansion in terms of their value brand, which is Walkway as well. So I wanted to check what steps are we sort of taking to protect our businesses at both the value end as well as at the premium end. Gunjan Shah: Okay. So while I cannot comment specifically on competition, but we keep a track of it, Devanshu, right, for sure. I mean, that's part and parcel of doing business. The second thing to just keep in context, right, both ends, the market is significantly fragmented. So it's not like it's

a duopoly or a monopoly, right? And there one person directly takes a shy of -- slice of the pie, right? But that doesn't mean that there is a consumer trend, there is a competition, there are trends that we can identify and obviously learn from also, right? So that's a continuous exercise. Irrespective of that, both at the lower end as well as the higher end, there is opportunities as well as challenges, right, which we need to be cognizant of and therefore, incorporate in strategies. Let me try and tackle a brief manner, both of them. On the lower end, see, there are 2 large pieces that we are trying to do. One is that even there, one big step we took about a year back and which has now started showing some results, right, obviously, aided by the GST impetus also is the value proposition piece. We have got the value proposition right, and that is now showing signs of consistent traction to us, right? So that's one big piece. The second one that's there is accessibility, right? We are now at almost about 700 franchise stores. We hope to get to 1,000 hopefully in the next couple of years, right, if not earlier. And that gives you a significant leeway, especially when you're talking of the slightly mass end of the products, right? So that's 1 -- 2 pieces that are there. On the top end piece, let's say, Hush Puppies, specifically the example that you mentioned, there is a significant expansion. This one is already now sitting at COCO-plus franchise, we are at about 160 EBOs, right? We should be hopefully aiming for a 200 exit in the next rolling 12 months or so. So it will see a significant continuous traction in terms of e

xpansion. In addition to that, there are a few other things, right? The biggest one is in terms of product. There is a desire, and we see very clearly that there is getting the best kind of product, the best kind of materials behind the product, right, and nuances on design, color, etc., right, is the ask is even higher here. And the more we get into, let's say, departmental stores, etc., that's giving us even more need for it as well as urgency for it. So I think those pieces will help us. So expansion on both ends as well as making sure that we get the product proposition right will be the key to making sure that we continue the growth traction on these ends. Devanshu Bansal: Thank you for this elaborative answer, Gunjan. So last question from my end. I guess I read somewhere that we intend to increase our export business as well, right? So with recent signing of FTAs, what kind of a scale are we targeting from an export perspective over the next 2, 3 years? Gunjan Shah: Okay. So exports is -- and I mentioned this in the past. So basically, we have, over the last, I think, 1, 1.5 years, set up basically a dedicated sourcing hub, right, which supplies not only to India but also to the globe of Bata, right? Now obviously, with the FTA that has just come in, right, it will obviously take some time to get operationalized, which we all know. But that doesn't stop us from making sure that the groundwork also gets accelerated. So I will not be able to give you numbers, but the ambitions

are pretty large on that front, and we are wanting to make sure that -- and because we've got a large footprint of Bata in Europe also. So there is invariably a lot of synergy. So even the global Bata system is now looking at it even -- with even more urgency of how can we expand exports dramatically. We have been in the ballpark of about 700,000 to 1 million pairs historically. You will see a significant jump over the next 2, 3 years. I can't comment numbers right now, but I'm sure in the next couple of quarters, I will have numbers for you. Moderator: Our next question comes from the line of Muskan from Svan Investment. Muskan: My question would be like how many stores do we have for Hush Puppies? And how many stores do we aspire to grow in the coming years? Gunjan Shah: We have -- as I just mentioned in the prior question, we have about total of 160 EBOs, about 125 -- 135 are COCO and 25, if I remember, are franchise. Just help me, I'm just checking the numbers somewhere. Okay. And we should be aiming for, as I said, in the next 12 months, reasonably ambitious, but we should be aiming for about 200 plus. Muskan: So these are the overall stores, right? I wanted to know specifically for... Gunjan Shah: EBOs, Exclusive Brand Outlets. Yes. Muskan: Okay. Okay. Fine. So these are exclusively for Hush Puppies, right? Gunjan Shah: That's what your question was. Muskan: Yes, yes. Okay. Cool. Moderator: Our next question comes from the line of Chetan Thacker from M3 Investment Private Limited. Chetan Thacker: Sir, just 2 questions. One is when I typically observe the footfall at your store, what is quite evident to me is that there is a fair degree of brand recall for customers who are in the 30s and above who have experienced the brand. And hence, there is a large degree of recall when it comes to Bata. But when I look at the cohort, which is, say, in their 20s or mid-20s, so to speak, there the recall remains quite low even now. So what would be your take there? What is your data that you're seeing and your experience? And how do we address this? And the second question is more from your mix of in-house manufacturing and outsourcing because we've seen a VRS, which has happened in Hosur as well along with Batanagar that happened. So how are you looking at the mix between outsourcing and own manufacturing? And what are the pros and cons for both of them? Gunjan Shah: Okay. From a age profile of c

onsumers, etc., your anecdotal observation is actually not very -- is actually not very inaccurate, right? So our average age of consumers as per our CRM database is in the early 30s, right? So about 31, 32 is what I remember, right?

It's got a little younger over the last, I think, let's say, 3, 4 years, but it's in that ballpark of 31, 32, right? So there is a bunch of consumers, largely, I would say, between 25 to 30 also. There are -- what our consumer research, etc., Chetan says is on 2 fronts. One is that awareness, I don't think that's a problem. So even the 20s, consumers know Bata. Do you have relevance from a product profile perspective of what they're needing and wanting from an experience as well as product profile, there is areas to work upon. I will give you 2 large, but there are many other flavors to it. One is this whole sneakers, and you will see that work coming through more and more. But that space is very, very dominant in their consideration of relevance, etc., from a footwear perspective. The second one that's there is online, right? A lot of their consumption, their discovery experience comes from online as well as even digital interface with brands, etc. So we have tried to move a lot of our digital spend, which is much easier. Anyways, a lot of our marketing spend has moved digital. And within digital also has moved from celebrities towards social media influencers, etc., right? So that piece is also the other big pivot that I think is work in progress. We need to continuously keep doing more, right? Now that's on one end. The other piece is also making sure that you are able to -- as I said, you are able to make sure your stores look younger. So the whole piece that was there of Sneaker Studio, Bata Red 2.0 as well as now this whole ZBM piece of making sure that the consumer at the center of the store from an offering perspective are all working towards that same direction. But I would say that, that's an area that still needs a lot more improvement. I think with elevated marketing spends, you will be able to attract those consumers a lot more. Your second question was -- can you just repeat your second question? Chetan Thacker: Outsourcing. The mix between outsourcing and in-house because we... Gunjan Shah: Yes, yes, in-house manufacturing versus outsourcing. So it's a long-term strategy, Chetan, that I've been talking about for some time now, right? We were, let's say, about 4 years back at almost 30%, 35% contribution of our product coming from in-house manufacturing. From a long-term strategy, we see that coming down gradually, right? And we are now sitting in the mid-teens, I would say, roughly. And that will continue to taper. Not to say we have not invested. So we have invested in capex as well as technology on certain key lines, but the large principle that I mentioned even earlier and the VRS and the actions are in those same lines are basically to do with wherever I've got an IPR, which is technology driven, wherever I've got automation and wherever I've got large capex, right, low labour is what I would like to keep in-house. Rest of it is better off done through contract manufacturers.

Chetan Thacker: Sir, just a follow-up on the second bit. So when we do in-house versus the contract manufacturing, does it not elongate the market time for us or it does not matter really? Gunjan Shah: Intuitively, you're right. But what we are doing is we are doing it differently. So we are also consolidating our contract manufacturing partners. So they were about 120 plus till about 3 years back. Now they are down to 60. We will see further rationalization of it. Ideally, our goalpost on this is to have only 15 partners, right? So -- yes. So that will give us a significant amount of lead time is one big thing, but that is not the bigger one. The bigger one is leveraging and cross le

veraging best practices, technology and innovation, product development becoming an extended arm, etc. So a lot of those benefits are far higher and obviously much better quality control. Chetan Thacker: Sure. Understood, sir. So fair to assume that to address the first issue, we will first need to obviously address the product bit as well and brand marketing can continue online and discovery can also help get conversions from the customers who are in the younger pool today. And to give you credit, we've seen the impact of store renovation. So that is quite visible and refreshing. So that should be a fair takeaway from this? Gunjan Shah: Captured well. Thank you. Moderator: Our next question comes from the line of Aniket Salunke from Sunrise Gilts & Securities Private Limited. Aniket Salunke: Gunjan, Aniket Salunke this side. So my question was like you added 27 new franchisee outlets and ZBM expanded across 400-plus stores. So what is the expected ramp-up time line for revenue contribution for these new and updated stores? And like how are these performing versus company-owned stores? Gunjan Shah: Okay. Okay. You're talking of the franchise stores or the ZBM stores? Aniket Salunke: Yes, franchisee stores. Franchisee stores and ZBM? Gunjan Shah: Okay. So ZBM, we have got a chart which clearly tells you how they are doing versus rest of the network, right? So that delta that you see, basically, just to make it easier for you, it's 5%. We've seen that now over a very large network. These are the top 400 stores of our network, right? And they are continuously doing better on a very large scale. And as I said, we will continuously expand. In fact, now we have become more confident as well as we understand the process of expanding faster. So we -- hopefully, this year, we should be done with the ZBM agenda also, right? Now coming back to -- coming back to the franchise piece, franchise model is attuned towards smaller consumer cohorts, Aniket, right? Now historically, Bata was not good at franchise, right? Over the last about 4 or 5 years, we have expanded it from less than 50 stores to now close to

700. As I have mentioned earlier in the call, right, we aim to be at about 1,000 plus in the next couple of years. Now this is largely driven in Tier 3 and downward markets and smaller suburbs of the larger metros or cities or Tier 1, Tier 2 cities, right? Now these are consumer cohorts which are smaller. They are upcoming. Obviously, they're growing really fast because that's where urbanization is all happening. Historically, we were not able to tap into it easily. And franchise is a very efficient, extremely profitable win-win model, which allows us to do that, and that's given us all this traction. So yes, I hope that answers your question. Aniket Salunke: Okay. So, as you mentioned, like you are expecting 1,000-plus franchisee stores. So any guidance on revenue growth, margin trajectory for the next 2 quarters? Gunjan Shah: I will not be able to give you guidance, but we obviously are doing this for growth, right? So the objective is to keep driving growth and franchise is one lever to driving that. Aniket Salunke: Okay. And my next question is like how is e-commerce and digital share trending? And what initiatives are underway to expand this channel? Gunjan Shah: Okay. I answered that in a call -- in a question prior, but it's in basically mid-teens from a contribution perspective. It has been our fastest-growing channel for the last almost 5 years or so. Now it's significant basis also, so it's no longer a small base. It grew and I've shared that in the document also, we grew in -- at about 15%-odd last quarter. And in fact, our ambition is to grow it even faster going forward. Aniket Salunke: Okay.

And my last question is like on inventory and working capital. So I saw like that inventory efficiencies are 11% that was highlighted. So how sustainable are these impro

vements? And like what are the risk of future inventory buildups if demand softens? Gunjan Shah: Okay. I'll hand over to Amit to answer that. Amit Aggarwal: Aniket, thanks for raising this. See, what we are doing is a structural correction through the project Customer First, what we talked about. What we have done is we have reduced the number of lines, therefore, less inventory to be managed, right? We are improving the freshness of the inventory. As we earlier mentioned that right now, we are at onetime -- all-time low aged inventory, and we are doing more science-based data analysis in terms of predicting the future demand. So all that is helping us in ordering the right inventory, right, so that we don't end up having accumulated inventory, which is not desired from a consumer perspective. So the inventory reduction, what you see is sustainable and you will see further reduction compared to where we are right now. Over the 2 years, we may have done about 25% reduction, right? But that trend will continue. You will see further improvement on that inventory side. Aniket Salunke: Okay.

Gunjan Shah: Yes. So it is not coming at a compromise of ability to serve, right? I mean it is at better or even higher availability in stores, right? So it is not coming at the cost of that. It is both, right? That is the whole objective of this project to Customer First. Moderator: Our next question comes from the line of Kunal Bhatia from Dalal & Broacha Stock Broking. Kunal Bhatia: Sir, could you give us some sense on... Nitin Bagaria: Kunal, can you speak a little louder? Kunal Bhatia: Yes. Can you hear me now? Nitin Bagaria: Yes, much better. Kunal Bhatia: Yes. Yes. Sir, could you give some sense on -- for the 9-month period, how has the SSSG panned out? And how has been the revenue per square feet? And then I'll follow up with the other question? Gunjan Shah: Yes. We don't share the SSSG numbers, Kunal. But however, what we have shared consistently has been basically the ZBM performance. That has been significantly accretive, right? So that continues. Overall 9-month numbers are published and available, right? I would say that they would be overall flattish, I believe, right? But the fact is that we had a GST disruption in one of the quarters. So yes, that's where the commentary will stand. Kunal Bhatia: Okay. And sir, it's been like a long period of time wherein the growth has been lagging around the single digit. Sir, according to you, what is the kind of assessment we have done in terms of the efforts put in? Because there are -- I agree to it, there are a lot of efforts being put in from the last couple of years now. So still, there are some pain points which are old enough to be handled. So is it that the hard decisions are not being taken? Or what is the issue that we are still not being able to -- I agree there are some external factors also. But what are the kind of things we will still require to do to get to a double-digit kind of growth from this low base effect? If you could throw some light on the broader perspective in terms of the next, say, 1- or 2-year period? Gunjan Shah: Okay. We don't give any forward-looking forecast, Kunal. But if you look at it, I mean, the Slide Number 3 on the presentation that has been uploaded, right, is exactly trying to answer the questions on how do we want to drive growth going forward, right? And it also is consciously put in a sequence of gestation of work that is going backwards as well as going forwards, right? So some of the works that are there in the points 1, 2 as well as 3 are significantly underway from an action perspective. So the inventory declutter, making sure that the consumer experience is elevated from a stores, etc., perspective as well as marketing investments are elevated are already underway, and I have already commented on them.

I think the one

that will give us even more impetus, I think there is a lot of scope in the next 4 quarters that you will see is the one on network expansion as well as in terms of the product funnel. So I think that chart itself answers the question that you're talking about. Kunal Bhatia: And sir, according to you, any older pain points which you have not been able to touch base upon and you do feel that maybe it's a hard decision, but if taken, things could improve significantly? Gunjan Shah: I think the biggest one, not a hard decision, but the one with the longest gestation is the product piece, right? Making sure that we've got a significant authority as well as our own stamp of design as well as comfort behind each product of ours is where the gestation is the longest and -- but there is now enough work underway, as I've outlined in the chart, which is I think Chart Number 15, which I had opened up last time and now I have given a lot more color to it, right, is the one that is the longest gestation. So not a difficult one, but the one that you will see a lot more effect coming through, not only in my calls to you all, but also in the stores going forward and hopefully, traction from consumers. Moderator: Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management of the Bata. Thank you, and over to you, team. Nitin Bagaria: Thank you, everyone, for joining. It was lovely interacting. Over to you and the moderator for closing. Thanks. Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of B&K Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. Disclaimer: While we have made our best attempt to prepare a verbatim transcript of the proceedings of the Earnings’ Call, however, this may not be a word-to-word reproduction

Call: Jun 2026

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June 8, 2026

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BSE Security Code: 500043 NSE Symbol: BATAINDIA CSE Scrip Code: 10000003

Dear Sir/Madam,

Subject: Post Earnings Call
This is further to our letters dated May 25, 2026 , June 1, 2026 and June 3, 2026 , on the captioned subject.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Post Earnings Call (Group Call) held on Wednesday , June 3, 2026 .
The a bove information shall also be made available on Company's website viz., www.bata.in
This is for your information and records.

Thanking you,
Yours faithfully,
For BATA INDIA LIMITED

NITIN BAGARIA
AVP – Company Secretary & Compliance Officer

Encl.: As above

"Bata India Limited
Q4 FY26 Earnings Conference Call "
June 03, 202 6

MANAGEMENT : MR. GUNJAN SHAH – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BATA INDIA LIMITED
MR. AMIT AGGARWAL – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER – BATA INDIA LIMITED
MR. NITIN BAGARIA – AVP , COMPANY SECRETARY –
BATA INDIA LIMITED

MODERATOR : MR. ANGAD DHALIWAL – 360 ONE CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Bata Limited Q4 FY26 Earnings Call

hosted by 360 ONE Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Angad Dhaliwal from 360 ONE Capital. Thank you, and over to you.
Angad Dhaliwal: Thank you. Good afternoon, everyone. On behalf of 360 ONE Capital, I would like to welcome you all for 4Q FY26 Conference Call of Bata India. On the management side, we have Mr. Gunjan Shah, MD and CEO; Mr. Amit Aggarwal , Director, Finance, CFO; and Mr. Nitin Bagaria , AVP, Company Secretary.
Without taking much time, I would like to hand over the call to Mr. Nitin Bagaria for his opening remarks, post which we'll open the floor for the Q&A session. Over to you, sir.
Nitin Bagaria: Thank you and good evening, everyone, and welcome to the Q4 FY26 Earnings Conference of Bata India Limited. We have shared the presentation as a pre -read to the stock exchanges on Monday. I hope you had time to go through the same. We have also shared the disclaimer, which is part of the presentation.
I now request Gunjan to take you through the performance summary. Thanks a lot.
Gunjan Shah: Thank you. Thanks, Nitin. Welcome to everyone on this call. Okay. So I will jump in. I will try and cover instead of going through the presentation, as Nitin mentioned, we have now started making sure that we've got enough time to upload the pre -read. So I will go through the Slide number 3 and restrict my summary comments to that. And obviously, the rest of the charts are there, and we are more than happy to cover that and anything else from the QA perspective.
So, with that, coming in, I think pleased to have a second consecutive quarter of accelerating growth, and it was volume backed. It was also coming with significant growth in cash flow from operations. We saw growth across channels, right? So , it was broad -based and across our categories also.
Coming to Slide number 3, retail, we saw volume -led DOS growth. We also saw expansion of ZBM. I've been talking of this agenda now for the last 1 year, right? And that has now shown scale up. We are now in the position to say that we are already at 550 stores as of last quarter, and our plan is to take it to almost 75% to 80% of the network by this quarter end. It did show delta growth, and that's the measure that we have in mid -single digits better than the rest of the network.
We also saw significant double -digit growth coming from strategic vectors of penetration and expansion, which is franchise and SIS, both organic as well as inorganic combination and coming at a significantly higher overall profitability. From a multi -brand distribution, we did scale it up further to almost about 1,670 towns with the channel now showing some signs of

growth. And therefore, I think this pressure that was there on less than 1,000 seems to have become a little better from a momentum perspective, especially in the last quarter.
The e -commerce business continues to be our fastest -growing channel. It continues to grow across its business lines of B2B, B2C as well as dot -com. And now we also have the largest omnichannel network in place, we now have almost 700 -plus stores that are f ulfilling online orders, therefore, leveraging the same inventory on a better turn on a better sales turnover.
What that does do is obviously put a lot of pressure in terms of making sure that we are able to replenish the stores much faster. And that comes to the next chart

highlights on inventory and
customer availability project. The inventory continues to reduce . It's now 28% down over 2 years consecutively year -on-year and 13% down over last year.
This is despite that the availability has gone up by almost 1,000 basis points. And it also has come at a significant impact in terms of 30% reduction in terms of complexity. So fresher stock, much more better availability across sizes, at a much better tu rn is obviously the whole outcome of this project, and I think it is on track for the outcome that we wanted on that.
On the product and merchandising side, it was backed by obviously key campaigns. The premium portfolio of HP and Power continues to outpace the overall growth. We also saw now benefits of this whole inventory piece that has been in the progress for the las t 6 quarters. Full price sales are driving growth for us and with obviously commensurately lower markdowns.
Last but not the least is obviously brand and marketing. Our marketing investments, I had talked about it last quarter, we continue to invest in marketing investments. Brand consideration has shown a good trajectory, moved down to 66, which is the highest. And we also saw exhilarating response to the Ballerina Campaign that we launched, which was -- which garnered a large part of this marketing campaign investments of ours.
I will also want to share that as we speak, we have crossed the 2,000 store EBO network as a brand, as a company, and that comprises the details that I've mentioned in the chart. I will just

now hand over for a few minutes to Amit to take us through the fi nancials. Yes, Amit.
Amit Aggarwal: Like Gunjan mentioned, we had the second consecutive quarter of about 5% plus value growth.
Moderator: Sorry, you're sounding muffled. Can you just repeat the last part?
Amit Aggarwal: Good evening, everyone. Is it better now?
Moderator: Yes.
Amit Aggarwal: So good evening, everyone. We had the second consecutive quarter of 5% plus growth. From a reported PBT perspective, while the reported number shows a decline of about 94%, by a couple of exceptional items, which we had clarified and informed. This was tow ards the closure of one of our manufacturing facilities. Historically, if you look at, we have been trying to improve the structural cost by closure of plant operations. And if you look at from the quarter perspective

also, our employee cost is lower by about 10%. And this benefit is flowing from -- to the employee cost line item on a structural basis.
The second large exceptional item for the quarter was the FX impact on one of our licensing agreement in line with the Ind AS. So the closing liability has to be translated at the closing exchange rate that led to an impact of about INR220 million, as mentioned in our notes. Third item, which is not mentioned, is a lower gains on account of lease closures.
So last year, similar quarter, we had a gain of about INR84 million. This forms part of other income. While in the current quarter, that gain on account of store closure is only INR36 million. So that is a non -cash delta of about INR48 million. Also, in the previous year, similar quarter, we had a one -off exceptional reversal amounting to about INR60 million. right?
So, if I were to account for these 4 exceptional items, which I just mentioned, the like -to-like PBT growth stands at about 11%, which is also reflected in the metrics of cash flow from operations, which we had mentioned, that is about 18%.
Nitin Bagaria: Thank you, Amit. Gunjan, we now open the floor for Q&A. The moderator will help us, please. Thank you.
Moderator: We take our first question from the line of Sameer Gupta: from India Infoline.
Sameer Gupta: First question is, sir, on inventory. So it has reduced steadily and it is -- so firstly, is it now at a level which is desirable or it's a continuous proc

ess and you will keep cutting down? And second question on this is that as you are reducing inventory , it also means fresher merchandise, lower discounting. But somehow this is not reflecting in our gross margin. So are we using a strategy wherein after a point, if it doesn't sell, we will just discount it and liquidate it. And this is something that is likely to continue? Or how is it playing out?
Gunjan Shah: Okay. Thanks, Sameer. Inventory, I think while I would say 70% or 75% of the job is done, we are wanting to get to turns which are in the range of about 3. We -- last I remember, I think our turns are, while I think very well comparable to our peers, but a bout at 2.7 or so, right? So there is some amount of improvement still left in our view. But however, it does not come at the cost of basically better availability, as I mentioned in my opening remarks, right?
And I've been showing that consistently. So it's a very critical part of that project that availability actually should improve further. So we are doing a lot of things, upstreaming inventory, making sure that we replenish the stores much faster, etcetera, etcetera, right, besides complexity reduction.
The second part of your question on full price sales, full price sales have shown accretive growth, right? So if the growth is overall x, then the full price sale growth is actually almost 2x or maybe a little higher. So it will reflect in basically while -- as Amit mentioned, there were some one - offs that were basically impacting, but our sense is that underlying full price sale mix, our markdown control, etcetera, will reflect in gross margins. So we are reasonably hopeful of the trajectory on gross margi ns going forward, which will be visible to you. I hope that answers...

Sameer Gupta: Yes, it does, sir. But then historically, this is not playing out. But logically, it should because so if you could just allude to the reasons why that is not happening?
Gunjan Shah: Yes. I'll just hand over to Amit to mentioned that …
Amit Aggarwal: From a gross margin perspective, there are two impacts, what we spoke about. One is the change in the channel mix , because the channel will have a different gross margin play. As you would have witnessed, we are expanding more on the franchise channel. It comes at a lower gross margin percentage, while it is accretive to the overall bottom line, right? So there will be a gross margin dilution from an optical perspective, while in reality, the dilution doesn't happen, right?
The second is the one -off item, which I talked about, about INR60 million. There were certain provisions which were created in the past in line with the accounting standards, which were no

longer required. Those were reversed in the quarter 4 2025, in line with the company practice. And therefore, the base quarter 4 2 025 margins are slightly higher compared to what it should have been. So these are the 2 reasons why you do not see the impact of higher fresh price sales in the gross margin.

While on the PBT, as I explained, if I exclude the 4 exceptional items, which is VRS FX impact on lease liability, lower gains on lease closure, all 3 being noncash items, right, we have a like - to-like PBT growth of about 11% and a cash generation from ope ration at about 18%.

Sameer Gupta: Got it, sir. And these provisions reversal has happened in the COGS line item and not other expenses?

Amit Aggarwal: Yes. So this was pertaining to certain suppliers, right? So there is a periodic process of doing a vendor reconciliation and all. Bata being a listed entity, we will always follow prudence and conservative approach. Once the reconciliation, etcetera, is do ne, then, of course, if any provision is carried for disputed claims and all, the same gets reversed once the reconciliation process is completed.

Sameer Gupta: Sure, sir. This is very clear. Se

cond question is on the current situation, sir, on the raw material basket. And also, there have been some minimum wage hikes announced by certain states, and these are of very large magnitudes. So if you could just tell us about the impact in the foreseeable future that can be expected from these 2 things?

Gunjan Shah: Okay. No. So we are waiting and watching. I think the bigger one that we are obviously wanting to -- and I have commented on this in the past is basically to do with the raw materials, right? And that can have a material impact. we have taken some consider ation of the current status of inputs.

As of now, we don't see a direct impact, but we have obviously taken in the judicious price elasticity that we need to apply, right, going forward. It also depends on how long this disruption will last. So my sense is, as of now, it would be neutral, but we will obviously be dynamic on this front as things pan out from a crude oil price and therefore, the raw material prices for us.

Sameer Gupta: Any numbers that you can share, sir, what is the kind of raw material inflation based on the current spot? I understand you have covers and you have inventory. But what is the kind of inflation you are facing on the current spot?

Gunjan Shah: Okay. So this is a very dynamic situation, Sameer, right now. But the last quoted number that I had in the review was in the range of about 5% to 6%. So that will have to be covered for.

Sameer Gupta: 5% to 6% inflation, that's it? EVA, polyurethane, all these are direct to...

Gunjan Shah: Blended together, yes, blended together because obviously, there is other materials, etcetera, that are there also, leather, etcetera, which has not gone through as much.

Sameer Gupta: And minimum wage hike, sir, because Haryana, UP, Karnataka, all have seen very high magnitude of minimum wage hikes and any foresee -- and these might not reverse even as the RM pressure or the war pressure goes away. So your thoughts on this, sir?

Gunjan Shah: Yes. No, very true. So those are more structural, and I guess will be perennial. In many places, we were already paying more than minimum wage. So that anyways gets covered and therefore, insulated from it, but there will be some impact. My sense is the bi gger one that we have been focused on is on the raw material piece, but we will have to see the impact of this cumulatively because we are spread across 30 states. So this is just 3 or 4 states as of now.

Moderator: Next question is from the line of Kanishk Gupta from SS Family Office.

Kanishk Gupta : Sir, my question would be with the competition increasing from both the domestic and global footwear brands, what do you see as the company's key structural advantage in sustaining market share and margins over the next 3 to 5 years?

Gunjan Shah: Okay. Good to hear you. Basically, the point is that there are around 3 or 4 pivots that we are basically focused on. And I've spoken about this. They are reasonably there in this piece that I consistently also update our progress on. Single largest piece that is there is basically on the product piece. right? There is a huge amount of investment that are going in. I think only 10% of that is what has come out into what is consumer facing, I would say.

But over the next 12 months, there will be a massive amount of upliftment of product from a central product design perspective that we have invested in capabilities, etcetera, pivoted around 3 large pieces, technology, comfort as well as style. We want to be the everyday footwear essential for everyone in India or in the family, right? And that's where the largest pivot is.

The second piece that's going to be there is to do with expansion. Our penetration, both offline and online, I think, still has a huge amount of scope. The brand is extremely high on awareness, and it continues to climb, right, both

not only on unaided awa reness, but also in terms of consideration, as I mentioned in the presentation. How do we make sure that our availability

reaches up to that awareness, right?
Therefore, expansion through the franchise route, which has now crossed 700 stores, our desire is in the next 12 months or so, we should be wanting to cross almost or get very close to 1,000

stores. The SIS expansion that is happening. Last but not the least is obviously the whole digital commerce expansion, including leveraging this whole full network to service customers much faster. So I think that's the second big pivot.

The third one that's going to be there is in terms of marketing investments and making sure that the brand continues to strive to become more relevant for basically the consumers of the future. That, I think, is the other one that's got a lot of legs to go and which are, I think, in my view, the simple 3 things. There are many other hygiene factors at play, simplifying the back end, making sure that we've got a few large suppliers and consolidated, removing legacy factories, etcetera. But from a consumer fa cing, these are the 3 ones that I would bet on.

Kanishk Gupta: And sir, as you just said, the Bata's brand recall is really, really strong. But over the last 4 years, revenue growth has remained largely stagnant despite multiple strategic initiatives. So looking back, why do you believe assumptions about the business, the customer or the market were incorrect? And what has changed in your understanding today that gives you confidence that you can again reaccelerate growth over the next 3 to 5 years?

Gunjan Shah: Yes, yes. So these are the levers that are giving us the momentum that we have seen in the recent past. The piece that is helping this whole thing along is the piece on inventory simplification. And that is something that took some while, got deteriorated and it's taking some while to now get back.

As you can see, the progress is very tangible now. So that clubbed with these levers should help us manifest this and translate that into growth, which we, as of now, are experiencing also. We are desiring that to obviously accelerate even further going fo rward.

Kanishk Gupta: And sir, many younger consumers are increasingly shifting global and digitally driven brands that are perceived as more aspirational and trend focused. So how do you plan to strengthen your relevance among the younger consumers? And what metrics would indi cate that these efforts are translating into improved customer acquisition and market share?

Gunjan Shah: Right. So that, Kanishk, is the one that I mentioned when I said the marketing piece. While there are some legs to go, the single largest piece that is going to happen in that front and which will -- I will share with you at the right moment is our proposi tion from a sneakers perspective. And that work is in progress right now.

And how do we bring that alive to consumers, how do we want to present it to consumers as well as the kind of product portfolio because there is a big overlap between the younger consumers and the sneaker world. And how do we make sure that, that comes ali ve is, I think, going to be one big answer to the question that you're raising, but it's a live one.

Kanishk Gupta: So sir, what you are telling that, that is in -- currently in works right now?

Gunjan Shah: Yes, absolutely. In addition to obviously, the levers that I already mentioned. So our marketing investments right now are always elevated. But specifically to your question of younger consumers, that is a big overlap with the sneaker world. Getting a spec ific answer to that is going to be a large part of that answer for you and for the consumers also.

Kanishk Gupta: But sir, people still consider Bata as a legacy brand and the young

er consumer mentally thinking from their perspective, prefer new and cool -looking brands apart from Bata being like a legacy brand that people from ages prefer. So how do you plan to shift the mindset that the younger audience is preferring?

Gunjan Shah: So that's the answer, Kanishk, that we'll come out with. That's what I was trying to tell you.

Kanishk Gupta: Okay, sir, no problem. And lastly, sir, beyond -- last question would be beyond revenue growth, what are the key internal metrics that you track to evaluate whether customer relevance and brand strength are improving? And how do you plan to increase the sa me-store sales growth and which gives you the greatest confidence that it is still improving a lot and there is no more room for improvement left?

Gunjan Shah: Okay. It's a very long question, Kanishk. But effectively, there are 3, 4 things, and that is the ones that I have shared in the pre -read of mine. I think this whole piece on Google and NPS ratings is one big measure of consumer piece. Brand consideration is one more measure. The third one is expanding this whole zero -based merchandising, which helps us get us much better same -store growth in the stores that we have expanded to.

I think are all leading up to the same piece of making sure that we are able to deliver and measure

much better consumer satisfaction. And besides that, online, basically repeat consumer sales that you get from your bata.com. So that's expanding really fas t, almost doubled last quarter.
Moderator: Next question is from the line of Malishka Velani from Sunrise Gilts and Securities .
Malishka Velani : So my question is the vendor revamp and the store revamp that Bata is doing, it's really helping the top line. How long could it take for these revamps to show effect on the bottom line?
Gunjan Shah: As you heard Amit comment on a previous question as well as in the opening remarks, we see underlying leverage coming through. And it's not just the store revamp, Malishka, but also the inventory pipeline decluttering and a combination of these initiatives . So we see underlying benefits coming through. And obviously, you will see that also in the ensuing periods as we push for much better top line, but with efficiency and therefore, leverage.
Malishka Velani: All right. Understood. And my next question is that the 28% reduction in inventory is a great thing for the company. But the trade receivables have surged nearly 65% year -on-year. So now is this due to rapid expansion of the MBO channels, which now reaches like 1,600 towns? And when do you expect these receivables to normalize in the upcoming quarters?
Gunjan Shah: Just a second Okay. Just the trade receivables have gone up by -- so I don't think there is something unnatural that's happened. I think it's to do with basically expansion of accounts, Malishka. And when we measure it as a number of days, etcetera, perspe ctive, I don't see that to be a big deterioration. But I'll like Amit to comment a little bit.
Amit Aggarwal: See, it is because of the different contribution of the different channels, right? So the credit is there in case of, let's say, wholesale business, what we have, some part on the franchise business and largely on the e -com business, which is the entire B2 B piece.

Now in terms of days and outstanding beyond what is the permissible credit terms, there is no risk from that perspective in the financials also, if you look at from a provision for doubtful debtors where we have a very strict policy, there is hardly any mo vement. So while in absolute, yes, you are right, it has grown up by 65%, but, rest, assured in terms of the quality of those numbers. It is largely driven by the businesses because those channels have grown faster.
Gunjan Shah: And it's more a base effect.
Malishka Velani: All right. Also, my last question is that the bata.

com grew 81% year -on-year. So this channel, it continues to contribute 14% of your D2C business, right? Now how much growth can we expect in this financial year from the D2C business?
Gunjan Shah: Okay. So just to give you a little context, right? Overall, e -commerce is contributing to low teens to our business, right, about 12%, 13%. Within that, basically, the B2C business is about half of it, let's say, ballpark, about 5% to 6%. And within that 5 % to 6%, I think about 14% is the contribution of bata.com. I hope I'm accurate, roughly.
So that's where basically the context lies. But however, it's an important channel for us, not only from a revenue perspective, Malishka, which is going well. And it's now accretive from a -- we have been investing in this channel for almost last 4, 5 year s.
Now it's obviously delivering on those investments, but also from our ability to test concepts, new products, promotions, etcetera, with consumers because this is our access to direct to consumers online, and we can instantly try out things overnight liter ally. Obviously, it doesn't stop us from doing it offline where anyways, we've got a large consumer base.
So it's important. But coming back to your question, my sense is it's underlying growth, it's everyday growth. So it should continue, right, going forward also. In fact, we are expanding because servicing this -- the phenomenon in e -commerce also, Malishka , is that consumers want gratification fast. That's why quick commerce, etcetera, is taking off.
Now our ability to leverage the 2,000 store network is a very large unique differentiator, right, which I answered to another analyst before this. And therefore, this is also propelling that growth, right? We are having almost 1,000 stores now online servi cing these demands.
Therefore, they are closer to consumers and therefore, ability to service faster and therefore, get much orders also much faster. So we hope this will continue going forward.
Malishka Velani: All right. There's no doubt about the online growth. But I want to know -- I want some clarity with respect to how much growth can we expect this year, like a number -- an estimate or something that can help.
Gunjan Shah: I don't give you forward -looking Malishka number, but my sense is that it is underlying growth that we have seen overall e -commerce as well as for bata.com within that. So I don't see a big aberration in that.
Malishka Velani: All right. Also last question, the current marketing spend of 1.5x, is it primarily focused on these digital channels or it's both?

Gunjan Shah: It's not digital channels, it's digital marketing, right? Some of it goes into obviously performance marketing, which is channel oriented, but it is overall digital marketing, but we do some localized, how do you say, offline marketing also. But the broad ratio would be digital is almost lion's share, almost 80%, 85% of our marketing spend.

Moderator: Next question is from the line of Prerna Jhunjhunwala from Elara Securities.

Prerna Jhunjhunwala: My first question is on profitability. On pre -Ind AS basis, the margin compression over the last 2, 3 years is around 200 bps plus. But on post -Ind AS -- on pre -Ind AS basis, the decline is sharper. So can you help us understand how do you see the operatin g leverage playing out even after opening the franchisee stores? And how do you view the efficiency of franchisee stores? What kind of levers are there to improve profitability?

Amit Aggarwal: Thanks for the question. See, right now, as I explained from a quarter -on-quarter perspective, at the PBT level, we were at about 11%. If I were to look at pre -Ind AS, which we also monitor from an internal perspective, our profit growth for the quarter wa s near about 16%. Now because of certain noncash items, that number has tapered down to what is the reported PBT growth,

right, which I explained in the previous one.

Structurally, again, if I were to look at from a channel perspective, franchise is an accretive channel at an overall level to Bata. So it is not a dilutive channel. It's a more accretive channel, right? On a per pair basis, I make more money from an EBIT perspective if I sell that pair in a franchise versus any other channel which I do. So franchise is not dilutive. However, from a gross margin perspective, the dilution will appear because of the base effect, right?

Prerna Jhunjhunwala: And how many stores would be there in which lease are being paid by you against -- in the franchisee stores against what the franchisees want to do?

Amit Aggarwal: No. In franchise store, the arrangement is like a bought -out arrangement, the outright sales. So I am not -- the Bata does not pay any lease rent on those stores. The lease rent, etcetera, what you see is more on the COCO side of it, which is company -owned , company -operated. We don't have other model. Our model is either company -owned, company -operated or franchise -owned, franchise -operated.

Prerna Jhunjhunwala: Okay. Okay. Understood. That's helpful. Second question is on demand. The growth that we witnessed in this quarter is how is the consumer sentiment right now? And are you witnessing similar trends even today? And how is the volume growth likely to pan out going forward with respect to consumer sentiment perspective?

Gunjan Shah: Okay. So, the piece is basically that while I cannot give you a forward -looking statement, but as I mentioned, even during the quarter that went by, right, even in my press release, etcetera, March was better than Jan. So, we did see acceleration of momentum, not only quarter 4 versus quarter 3, but within the quarter. So, I'd like to stay by that statement.

We, as of now, as I said, are conscious of the fact that there might be some unpredictable because of inflation, etcetera, and we are conscious of the necessary balancing that we need to do in

terms of cost efficiencies as well as price modulation as I answered to someone else. But I don't see a tangible change in consumer sentiment as of now.

Prerna Jhunjhunwala: That's helpful. Sir, what is the price hike you've taken, if you could share that number till date?

Gunjan Shah: We've not rolled it out yet. But as I answered to another person, basically, the inflation cost that we have seen as of now, right? And this, as I said, is a monitorable, so it keeps changing. But the last update that I see from the team is basically in th e range of about 5% to 6% blended across materials.

Prerna Jhunjhunwala: Understood. And last question is on brand strategy. Just wanted to understand, you were also looking at value segment growth in the company. So volumes to be looked at through value segment while profitability through upscaling the premium segment. So wher e are we on that strategy? And how are we balancing the both?

Gunjan Shah: Okay. So less than INR1,000 is one cut that I have been mentioning consistently, right? While that has been one of the bugbears for the last 3, 4 years for us and therefore, impacting our overall top line, we have seen some signs of revival in that in the last few months. So th at's on the value segment equivalent, right? I mean that's the closest that I can talk to you on as less than INR1,000 MRP.

The second piece that you talked about on premiumization, I think that's a conscious strategy. You will see a lot more action from us backed by much better products. So it's not just price increase, but bringing in much better value to consumers and which is what I mentioned that this whole piece on product reimagined and the funnel for it, right, you will see a lot more manifesting to consumers over the next 12 months. I think only 10% of the work that we have put in, in investments have at least manifes

te d to consumers.
But wherever we have done it, we have seen significantly. Besides that, I think our growth lever from an expansion of brands like Hush Puppies will continue at a significant acceleration. It is our fastest -growing brand and will continue to be. We will als o disproportionately expand the stores of Hush Puppies and also through the franchise and the SIS route, the corner store route. So that's where that would stand. Does that answer your question, Prerna?
Prerna Jhunjhunwala: I would like to have the revenue share, if you can share between less than INR1,000 product and more than INR1,000 product.
Gunjan Shah: I did have a commentary some time back, but I don't have it handy right now, but we can offline give it to you.
Moderator: Next question is from the line of Kunal Bhatia from Dalal and Broacha Stock Broking.
Kunal Bhatia: In fact, I had the similar question in terms of the contribution from INR1,000, above and low. Apart from that, sir, if you could give us a sense on what was the current full year growth in case of Hush Puppies and the contribution from Hush Puppies?

Gunjan Shah: Okay. Kunal, first one, while I tried to tell Prerna that we'll get back offline, the accurate number, but broadly, just to give you a sense is that while this less than INR1,000 was declining for almost 3 years, I would say, since the GST went up, right, and the raw material price increases impacted consumers, we did see stabilization on that front. So now it's no longer declining. So it's kept pace. So it's in the ballpark of the overall 5% top line that we saw, right?
So that's one. And that somehow answers even Prerna in a way. It was in the ballpark of about 35% to 40% contribution. It remains there. right? But the decline seems to have got stayed now, and I can see that structurally happening. On the other piece of H ush Puppies' contribution, I would say that it is in the ballpark of about 18% to 20% to our turnover.
Kunal Bhatia: Okay. Okay. And sir, for the full year FY25 and FY26, what would be our volume growth on a full year basis?
Gunjan Shah: I don't have it handy. Let me try and come back to you. Let me try and come back to you.
Moderator: Next question is from the line of Sameer Gupta from India Infoline.
Sameer Gupta: Firstly, on the -- I just wanted to get this clarified. On the press release, you mentioned that Zero - Based Merchandising, which is at 550 stores, they are 70% of store sales. So just trying to get my reading right, this is basically out of the 1,150 COCO stores, 550 stores which have ZBM are contributing 70% of the store sales, which is roughly 50% of the store network. Is that a correct understanding?
Amit Aggarwal: Small clarification. That 70% contribution is coming from the 700 stores, which is also mentioned in the investor deck. So as at end of May '26, we already have ZBM stores rolled out across 700 stores. So these 700 doors is what is contributing to 70%. Whe n we were at about 550 stores, the contribution was about 50% to 55%.
Sameer Gupta: Sir, then 70% of stores contributing 70% of sales, the turnover delta is not very high, right? I mean it's...
Gunjan Shah: Just to clarify, if you can just remove that because this is a key monitorable we monitor literally every week. The 550 stores out of 1,150, 70% contribution out of 1,150 total , right? So that's the denominator. It is not the rest of the business of ours. It's only the COCO network that we are talking of. Is that -- are you with me now?
Sameer Gupta: 550 on 1,150 or 700 on 1,150?
Gunjan Shah: No, 550 on 1,150 is 70% of the total turnover of 1,150.
Sameer Gupta: Got it. But that's...
Gunjan Shah: Yes. That is pareto larger stores. Therefore, they are 50% or less than 50% of stores, but more than 70% of turnover. The update that we have added that Amit quoted to you was that 700 store

s have been now completed by May. As I said, a large part of our d esire, which is about 800, 850 is what we will want to complete hopefully by this quarter. We will update you as we come to you next quarter.

Sameer Gupta: Got it. Then this gets clarified. So the understanding is correct. 50% of stores are contributing 70% of sales.
Gunjan Shah: Yes.
Sameer Gupta: Bookkeeping question. Revenue mix channel -wise for the year, if you can give, COCO, FOFO, MBO online, you mentioned 12% to 13%, but rest of the channels, if you can give?
Amit Aggarwal: So overall, as we mentioned, the COCO contribution would be about, let's say -- let me talk about the other channel. Franchise would be, let's say, close to double digit. e -commerce about 8% to 10%, as we mentioned, and distribution is again similar to 10% to 12%.

Gunjan Shah: About 35% is non -COCO, COCO is 65%.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Nitin Bagaria for closing comments. Over to you, sir.
Nitin Bagaria: Yes. Thank you, everyone, for joining. It was lovely interacting. Good day to all of you. Thanks.
Moderator: Thank you. On behalf of 360 ONE Capital, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.